

**CAPITALAND
MALAYSIA
TRUST**

20

A N N U A L R E P O R T

22



Our cover page features the letters “C” and “O” intersecting to form an interlocked design, where “C” stands for **CapitaLand** and the “O” stands for **ONE**. Together, they represent the **ONE CapitaLand** ecosystem, and symbolise how the respective REITs, business trusts and businesses that are part of the CapitaLand Investment Group benefit from cross-platform synergies and complementary strengths; and are united and committed to the same shared purpose of ***Making a Positive Impact. Think Big. Do Right. Make it Last.*** by adhering to the principles of diversity and inclusion, doing right by our stakeholders and contributing to the long-term interests of the communities that we operate in.



**THIS FLUIDITY OF
SHAPES REPRESENTS
THE GROUP AND OUR
ONE CAPITALAND
ECOSYSTEM.
WE LEVERAGE
OUR RESPECTIVE
STRENGTHS AND GROW
TOGETHER AS ONE.**



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We are Committed to Growth

To increase the resilience of CLMT's portfolio, we will continue to pursue yield-accretive investment opportunities in the industrial and logistics space as part of our diversification strategy towards increasing the proportion of non-retail assets in CLMT's enlarged portfolio.



Who We Are

CapitaLand Malaysia Trust (CLMT) is a real estate investment trust (REIT) and was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. CLMT's investment objective is to invest, on a long term basis, in a geographically diversified portfolio of income-producing real estate assets across Malaysia that are used primarily for retail, commercial, office and industrial purposes. As at 31 December 2022, CLMT had a market capitalisation of approximately RM1.2 billion with a total asset value of approximately RM4.0 billion.

CLMT's portfolio of quality assets comprises five retail properties, an office and a logistics park with a total net lettable area of 3.4 million square feet. Its retail and office properties are strategically located across three key urban centres: Gurney Plaza in Penang; four in Klang Valley – a majority interest in Sungei Wang Plaza in Kuala Lumpur; 3 Damansara and 3 Damansara Office Tower in Petaling Jaya; and The Mines in Seri Kembangan; and East Coast Mall in Kuantan, Pahang. CLMT's logistics park, Valdor Logistics Hub, is located in one of Penang's key industrial hubs and is well-connected to the North South Highway and the Penang Second Bridge.

CLMT is managed by CapitaLand Malaysia REIT Management Sdn. Bhd., a wholly owned subsidiary of CapitaLand Investment Limited, a leading global real estate investment manager with a strong Asia foothold. MTrustee Berhad is the trustee for CLMT.

Note:

CLMT's interest in Sungei Wang Plaza comprises:

- i 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area, and
- ii 1,298 car park bays which comprise 100% of the car park bays.

Vision

To be Malaysia's leading diversified real estate investment trust through value creation and continuous innovation

Mission

To deliver long term and sustainable distribution of income and potential capital growth to Unitholders

FOR INVESTORS

Deliver sustainable total returns

FOR TENANTS

Create profitable opportunities

FOR SHOPPERS

Create delightful shopping and lifestyle experiences

FOR EMPLOYEES

Provide opportunities to realise personal potential and achieve professional growth

FOR THE COMMUNITY

Promote social responsibility and environmental sustainability

Value Creation

KEY OBJECTIVE

The Manager's aims are to provide Unitholders with sustainable income growth through regular and steady distributions, and to create new value through proactive asset management and yield-accretive acquisitions, while maintaining an appropriate capital structure

Strategies



Organic Growth

- Striking a balance between healthy occupancy rate and improving rents
- Forging close ties with tenants to improve tenant retention
- Optimising tenant mix for retail properties



Asset Enhancement Initiatives

- Review space usage to optimise space productivity and income
- Maximising return on investment through asset enhancement initiatives



Acquisition

- Focused on retail, industrial and logistics asset class in key urban centres in Malaysia
- Seeking opportunities from both third parties and CapitaLand Group



Cost and Capital Management

- Improve overall cost and operational efficiencies through effective budgetary control
- Proactively manage and strengthen balance sheet by ensuring robust liquidity and a diversified funding base

Investment Objective

The principal investment objective of CapitaLand Malaysia Trust (CLMT) is to invest, on a long term basis, in a geographically diversified portfolio of income-producing real estate across Malaysia that are used for retail, commercial, office and industrial purposes or such other non-real estate investments as may be permitted under the Trust Deed, the Guidelines on Listed Real Estate Investment Trusts or by the Securities Commission Malaysia, with a view to providing Unitholders with long term and sustainable distribution of income and potential capital growth.

The Manager believes that CLMT has achieved its investment objective for the financial year ended 31 December 2022.

Future Prospects of the Market

The Manager views the Malaysian real estate sector to be resilient in the long term and will continue to pursue the abovementioned value creation strategies. For more information in the sectors in which CLMT currently invests in, please refer to the 'Independent Market Overview' section on page 134 to 154 of CLMT Annual Report 2022.

Salient Features

Fund Name	CapitaLand Malaysia Trust (CLMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	Duration of the Trust/Termination Date: The earlier of the occurrence of any of the events listed in Clause 25.2 of the Trust Deed ¹ ; or the expiration of a period of twenty one (21) years after the death of the last survivor of the issue now living of his majesty, the current Yang di-Pertuan Agong of Malaysia; or until such further period as the laws permit.
Authorised Investments	Real estate, non-real estate assets, cash, deposits and money market instruments in accordance with the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 75% of CLMT's total asset value must be invested in real estate that generates recurrent rental income at all times; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: - At least 90.0% of CLMT's distributable income of each financial year. - Semi-annual distribution payment for the six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 60.0% (FY 2021: 60.0%) of CLMT's total asset value at the time the borrowings or financing facilities or deferred payment arrangements are incurred. As announced by the Securities Commission on 12 August 2020, the gearing limit for Malaysia Real Estate Investment Trusts was temporarily increased from 50% to 60% until 31 December 2022.
Revaluation Policy	Valuation of investment properties are carried out: - Annually based on independent professional valuation; and - When a real estate is to be acquired or disposed by CLMT.
Management Fee	- Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2022 actual: 0.29%) - Performance Fee: up to 5.0% per annum of Net Property Income (before Management Fee) (FY 2022 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CLMT (FY 2022 actual: 1.0%) - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CLMT
Financial Year	1 January 2022 to 31 December 2022
Listing Market	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Name/Code	CLMT 5180

1 The Deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between the Manager and the Trustee.

2 Guidelines on Listed Real Estate Investment Trusts.

3 As defined in the Deed, the value of Deposited Property is equal to all the assets of CLMT (total asset value).

Highlights of FY 2022

Financial Highlights

GROSS REVENUE

RM275.8
MILLION

NET PROPERTY INCOME

RM152.5
MILLION

DISTRIBUTABLE INCOME

RM87.5
MILLION

DISTRIBUTION PER UNIT

4.01
SEN

MARKET CAPITALISATION

RM1.2
BILLION

GEARING RATIO

36.2%

AVERAGE COST OF DEBT

3.2%

Operational Highlights

PROPERTY VALUATION

RM3.9
BILLION

RETAIL: RM3.8 BILLION
LOGISTICS: RM81 MILLION

NET LETTABLE AREA

3.4
MILLION SQ FT

RETAIL: RM3.1 MILLION SQ FT
LOGISTICS: 0.3 MILLION SQ FT

NUMBER OF COMMITTED LEASES

1,089
LEASES

RETAIL: 1,087 LEASES
LOGISTICS: 2 LEASES

PORTFOLIO OCCUPANCY RATE

85.9%

RETAIL: 84.3%
LOGISTICS: 100.0%

ANNUAL SHOPPER TRAFFIC

44.5

MILLION

Sustainability Highlights



ENVIRONMENT

Energy Intensity
Reduction from
Base Year 2009

25%

Water Intensity
Reduction from
Base Year 2009

29%

Carbon Emissions Intensity
Reduction from
Base Year 2009

25%

Cumulative Utilities Cost Avoidance Since 2009

RM42.2 million

Sustainable Financing

RM60 million



SOCIAL

Women Representation in
Senior Management

20%

Total Training Hours
More than

6,240

Annual surveys conducted with
employees and tenants

#GivingBersama 2.0
Raised **RM64,000** to benefit over
1,200 underprivileged children



GOVERNANCE

Female Representation
on Board

12.5%

Board
Independence

62.5%

Staff attended Fraud,
Bribery & Corruption Training

100%

Staff attended
Whistleblowing Training

100%

Staff attended
Cybersecurity Training

100%

CLMT's supply chain agreed to
abide by the CapitaLand Supply
Chain Code of Conduct

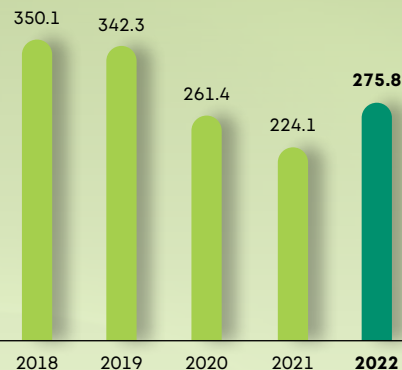
100%

Financial Highlights

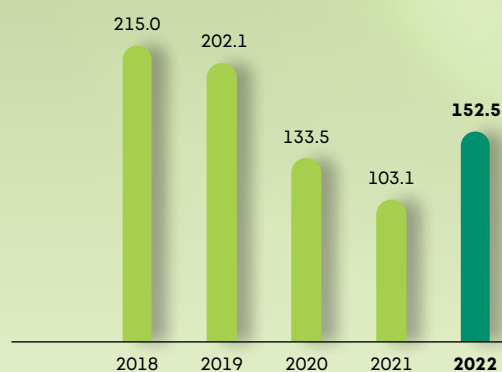
TOTAL ASSETS (RM MILLION)



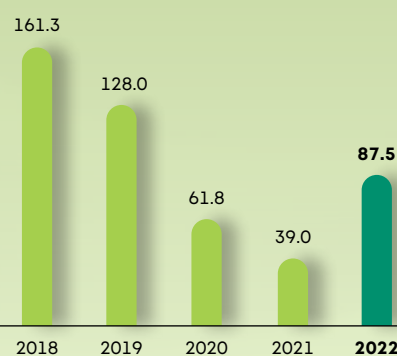
GROSS REVENUE (RM MILLION)



NET PROPERTY INCOME (RM MILLION)



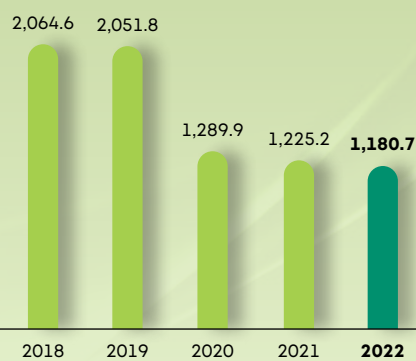
DISTRIBUTABLE INCOME (RM MILLION)



DISTRIBUTION PER UNIT (SEN)



MARKET CAPITALISATION¹ (RM MILLION)



CLMT Group Performance Highlights (RM million)	FY 2022	FY 2021	FY 2020	FY 2019	FY 2018
Gross Rental Income	220.1	185.6	210.3	266.9	271.2
Car Park Income	19.4	12.9	14.6	23.1	24.2
Other Revenue	36.3	25.6	36.5	52.3	54.7
Gross Revenue	275.8	224.1	261.4	342.3	350.1
Net Property Income	152.5	103.1	133.5	202.1	215.0
Distributable Income	87.5	39.0	61.8	128.0	161.3
Distribution Per Unit (sen)	4.01	1.84	3.00	6.25	7.90
Distribution Yield ¹ (%)	7.50	3.20	4.80	6.25	7.82
Annual Total Return ² (%)	0.02	(5.0)	(34.5)	5.2	(40.5)
Average Total Return (3 years) (%)	(13.2)	(11.4)	(23.3)	(3.4)	0.5
Average Total Return (5 years) (%)	(15.0)	(10.0)	(5.6)	1.8	2.5
Earnings/(Loss) Per Unit (sen)	2.33	(1.44)	(4.11)	3.55	6.64
Management Expense Ratio ³ (%)	0.9	0.8	0.8	0.9	0.9
CLMT Group Financial Position Highlights (RM million)	FY 2022	FY 2021	FY 2020	FY 2019	FY 2018
Portfolio Property Valuation	3,892.0	3,826.0	3,895.0	4,035.0	4,019.0
Total Assets	4,015.6	3,932.9	3,999.4	4,143.8	4,143.0
Total Borrowings ⁴	1,452.7	1,413.3	1,411.6	1,376.7	1,321.9
Unitholders' Funds	2,418.1	2,391.3	2,443.9	2,601.9	2,666.6
Net Asset Value (NAV) Before Final Income Distribution	2,418.1	2,391.3	2,443.9	2,601.9	2,666.6
Net Asset Value (NAV) After Final Income Distribution	2,372.6	2,370.4	2,402.8	2,539.8	2,587.3
NAV Per Unit (Before Final Income Distribution) (RM)	1.0957	1.1222	1.1842	1.2681	1.3045
NAV Per Unit (After Final Income Distribution) (RM)	1.0751	1.1124	1.1643	1.2378	1.2657
CLMT Group Capital Management Highlights (RM million)	FY 2022	FY 2021	FY 2020	FY 2019	FY 2018
Gearing Ratio (%)	36.2	35.9	35.3	33.2	31.9
Unencumbered Assets as % of Total Assets	29.4	27.8	28.1	28.3	28.0
Average Term to Maturity (years)	3.6	4.0	3.5	4.4	4.8
Interest Coverage (times)	3.0	1.9	2.1	3.0	3.2
Average Cost of Debt (%)	3.2	3.3	4.1	4.4	4.5

CLMT Group refers to the consolidation of CLMT and its wholly owned subsidiary, CLMT MTN Berhad.

1 Based on the closing market price of the respective financial year.

2 Annual total return is equal to the DPU plus capital appreciation (in sen) during the financial year divided by the opening unit price at the beginning of the financial year.

3 Refers to the expenses of CLMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

4 Before deducting unamortised transaction costs.

Tenants Speak

GlassesGateway

CapitaLand has been a key business partner since the opening of our first Spectacle Hut outlet at IMM in Singapore supporting our expansion plans throughout other CapitaLand malls with their expertise in mall management and tenant mix. When we decided to expand our business beyond Singapore, it was only natural that we reached out to the CapitaLand team in Malaysia. For the GlassesGateway brand, our first outlet is in Sungei Wang Plaza and we have certainly benefitted from their efficient tenant support, in-depth local expertise and great attention to customer needs. We look forward to further strengthening our relationship and expanding our presence to other CapitaLand malls in Malaysia.

GARY KHOO

(Founder of Spectacle Hut & GlassesGateway)
Director

Mirar Laboratories (M) Sdn. Bhd.



Calvin Klein & Tommy Hilfiger

Despite the macroeconomic challenges in 2022, PVH Corp. experienced strong sales in the region due to increased domestic demand and inbound tourists. Throughout this period, CLMT has been PVH's key business partner in Malaysia and an important ally, pivotal in our recovery and strong sales momentum. With their ongoing support as an innovative real estate market leader, PVH will continue to leverage this partnership to elevate and strengthen our global iconic brands, Calvin Klein and Tommy Hilfiger in Malaysia. Together, we look forward to sustainable growth and many more successes in the coming future.



SAMANTHA LOH

General Manager,
Singapore & Malaysia
PVH Corp.

Project Rock



Project Rock opened the biggest climbing gym on Penang island in Gurney Plaza in June 2022. As a local business, the valuable support given by the management team is paramount to our successful opening of Project Rock. We worked closely together to ensure that our climbing gym is a success and the team is readily available to assist us with our issues and concerns. The choice location at Gurney Plaza has been a huge factor in our success as the mall is popular among locals and tourists. Leveraging the mall's popularity, our outlet is able to reach a much wider audience than we could have possibly done so on our own. Overall, our partnership with CapitaLand has been a great experience. They are professional, reliable, and truly care about the success of our business. We are confident that with CapitaLand's support, we will be able to continue offering the best climbing experience to our customers and expanding our reach even further. We are excited to see what the future holds for our partnership and are eager to continue working together to achieve even greater success.

GOH KAE VIN

Director

Rock Climb Asia Sdn. Bhd.

IORA

The past two years have not been easy for us. However, we are glad to have a like-minded business partner like CLMT. Although the global pandemic has caused much chaos to our business processes, CLMT has placed their trust in us. Despite the poor retail business outlook, our business has grown during these difficult years together with CLMT.

Now that travel borders have reopened, CLMT continues to be one of our preferred business partners to grow hand in hand to further expand our foothold in Malaysia. We look forward to many more years of close collaborative working relationship.



TEO TOON LIN

Marketing Director
Sora Fashion Sdn. Bhd.

The Coffee Bean & Tea Leaf®

We have had a longstanding relationship with CapitaLand from our first café in Queensbay Mall to our latest outlet at East Coast Mall which opened on 2 July 2022. It has been an exciting journey so far as CapitaLand is supportive of our business by creating campaigns that excite and draw in traffic, communicating our new launches through social media and providing opportunities to participate in mall digital and social activities. We look forward to growing our business together in 2023.

MOHAMED AMAR SHAH

Vice President, Malaysia Retail & Country Business Head
The Coffee Bean & Tea Leaf (M) Sdn. Bhd.



ANTA

Avid Sports Malaysia has been working with CapitaLand for several years, from our first store in 2019, and currently expanding to multiple other locations nationwide. It is a pleasant experience working with CapitaLand as they have been very professional and proactive in providing support to us. As a tenant, we believe that we have benefited well from CapitaLand's marketing initiatives and assistances. We look forward to continue growing together in the future.

JEFF TAN

Group General Manager
Avid Sports Malaysia Sdn. Bhd.



TGV

We opened at The Mines in 1997 and have since enjoyed a great partnership with CapitaLand. CapitaLand is a dynamic mall operator that understands the meaning of partnership and recognises the importance of building win-win platforms for retailers. We look forward to continued strong support from CapitaLand's professional and efficient leasing team, which has helped us to successfully grow our business.

TAN LAY HAN

Executive Director/Chief Executive Officer
TGV Cinemas Sdn. Bhd.



L'Occitane

Our long-standing partnership with CapitaLand has recently been strengthened further with the successful opening of our new brand ELEMIS' first store in the Northern region at Gurney Plaza. We have always been confident to have our brand's presence in their malls because we have faith in the retail team's commitment in helping us achieve our goals.

For instance, their continued support and belief of reducing waste are aligned with those of the L'OCCITANE Group, which makes it easier for us to offer shoppers a convenient way to switch to sustainable habits like recycling with our Big Little Things program. We also appreciate the retail team's consistent marketing initiatives and efforts on collaboration, and we look forward to our brands growing together with CapitaLand in the years to come.



ELIDA WONG

General Manager – L'Occitane SEA & India
L'Occitane Malaysia Sdn. Bhd.

Year in Brief

JANUARY

- > Announced an annual distribution per unit (DPU) of 1.84 sen for the period 1 January 2021 to 31 December 2021.

MARCH

- > Organised a virtual non-deal roadshow for local major and prospective investors.
- > All CLMT malls switched off non-essential lights for an hour in support of the global Earth Hour campaign to combat climate change. In conjunction with Earth Hour, Gurney Plaza collaborated with Penang Green Council for the Green Givers Campaign. Through this recycling campaign, shoppers were encouraged to bring their items for recycling at participating outlets and were rewarded with STARVouchers and parking rebates.



In support of the annual Earth Hour campaign, all non-essential lights were turned off at all CLMT's properties for one hour on 26 March 2022.

- > A distribution of 0.98 sen per unit for the period from 1 July 2021 to 31 December 2021 was paid to Unitholders. The Manager announced it had issued and allotted a total of 21,519,490 new CLMT Units pursuant to the Distribution Reinvestment Plan (DRP), which represented approximately 54.6% of the theoretical total number of new CLMT Units, had all the entitled unitholders of CLMT elected to reinvest their respective electable portion under the DRP in new CLMT Units.
- > Held a virtual Annual General Meeting of CLMT and all resolutions, including the proposed DRP, were approved by Unitholders.



A virtual Annual General Meeting was held on 30 March 2022.

APRIL

- > CapitaStar introduced the Refer & Earn feature as part of the initiatives to boost membership. An additional digital marketing – Digital Stamp Rewards was introduced to offer convenient rewards for members and boost retail spending.
- > Announced a DPU of 0.95 sen for the period 1 January 2022 to 31 March 2022.

JUNE

- > CLMT secured an additional credit facility of RM25 million from an existing principal banker.
- > Announced the proposed acquisition of two contiguous parcels of freehold land and industrial properties located within Kawasan Perusahaan Valdor, Sungai Jawi, Pulau Pinang.
- > Announced the proposed change in the control of CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM), the Manager of CLMT, in which CapitaLand Investment Limited (CLI), that held 70% equity interest in CMRM, would exercise the call option to acquire the remaining 30% equity interest in CMRM from Malaysian Industrial Development Finance Bhd. (MIDF).

JULY

- > CLMT procured an additional credit facility of RM50 million.
- > CLMT commenced its extension of financing for an existing fixed rate term loan after the successful negotiation concluded in the previous financial year.
- > CLMT's DPU for the period 1 April 2022 to 30 June 2022 was 1.00 sen, which resulted in a total of 1.95 sen for the 1H 2022 income distribution. The DRP was applied on the 1H 2022 income distribution where the gross electable portion is the entire 1.95 sen per unit.

AUGUST

- > CapitaLand was recognised as "Company of the Year for Supporting Orphanages" for its philanthropic efforts in Malaysia at the Sustainability & CSR Malaysia Awards 2022. CapitaLand's presence in Malaysia spans across asset classes such as residential, retail, lodging and business parks. Its retail network comprises seven malls, of which five are owned by CLMT.



CapitaLand awarded Company of the Year for Supporting Orphanages.

SEPTEMBER

- > Announced the completion of the registration of the transfer of 30% equity interest in CMRM from MIDF to CLI. CMRM is now a wholly owned subsidiary of CLI.
- > A distribution of 1.95 sen per unit pertaining to the period from 1 January 2022 to 30 June 2022 was paid to Unitholders. The Manager announced it had issued and allotted a total of 47,363,371 new units, which represented approximately 60.86% of the theoretical total number of new CLMT units, had all the entitled unitholders of CLMT elected to reinvest their respective electable portion under the DRP in new CLMT Units.

OCTOBER

- > Participated in the Malaysian REIT Managers Association annual REIT conference, M-REITs & The Road Ahead, as a panellist speaker on issues faced by the M-REIT industry in a challenging market.
- > Announced the debut of latest NSK Grocer concept at 3 Damansara, which opened in January 2023.
- > Announced a DPU of 1.01 sen for the period 1 July 2022 to 30 September 2022.
- > Gurney Plaza took home the Gold Award for “Best Experiential Marketing 2020 – 2022 Awards” which was organised by the Malaysia Shopping Malls Association.



Gurney Plaza was recognised for its ‘Gurney Food Hall: The Journey’ campaign by the Malaysia Shopping Malls Association.

- > The #GivingBersama 2.0 initiative was rolled out and with the support of CapitaLand Group's philanthropic arm – CapitaLand Hope Foundation, about RM64,000 was donated which provided more than 1,200 beneficiaries from 36 homes and schools in Penang, Klang Valley, Kuantan and Johor with essential items and school supplies.



CapitaLand staff visited SK Pendidikan Khas Kuantan as part of the #GivingBersama 2.0 activities.

NOVEMBER

- > Announced the proposed acquisition of 91.8% of the total strata floor area of retail parcels in Queensbay Mall, Bayan Lepas, Penang for RM990.50 million.



Queensbay Mall, one of the largest shopping malls in Penang, will deepen CLMT's presence in the state.

- > Participated in CapitaLand Investment and CLI REITs Corporate Day 2022 in Bangkok.
- > Conducted non-deal roadshows with existing and prospective investors pursuant to the announcement of the proposed acquisition of Queensbay Mall.
- > CLMT MTN Berhad has secured the commitment from the existing noteholder to subscribe to the unrated and secured Medium Term Notes to RM300 million for another three years from its maturity date on 20 June 2023.
- > CapitaLand's Plant Rewards Augmented Reality Campaign was recognised to be among the best at the Marketing Excellence Awards 2022 Malaysia in the following categories: Gold Awards for Excellence in Interactive Marketing/AR & VR; Excellence in Retail/Shopper Marketing; and Excellence in Loyalty Marketing, and Silver in Experiential Marketing.



CapitaLand's Plant Rewards Augmented Reality Campaign was recognised to be among the best at the Marketing Excellence Awards 2022.

DECEMBER

- > Site visit with analysts and fund managers to Gurney Plaza and Queensbay Mall, Penang.
- > Announced the completion of the acquisition of two plots of contiguous freehold land and industrial properties located within Kawasan Perusahaan Valdor, Sungai Jawi, Pulau Pinang. The property logistics park will be known as Valdor Logistics Hub.
- > CLMT has secured its maiden offer for a RM60 million sustainability-linked term loan to refinance the bridging loans drawn for the acquisition of Valdor Logistics Hub.

Letter to Unitholders

With a larger portfolio and more diversified and resilient income streams, CLMT is entering 2023 on a stronger footing.



▲
MR LUI CHONG CHEE
Chairman

▲
MR TAN CHOON SIANG
Chief Executive Officer

Dear Unitholders

CapitaLand Malaysia Trust (CLMT or the Trust) delivered a resilient performance in 2022, buoyed by the post-pandemic recovery in domestic consumption as the country shifted to living with COVID-19. In addition to riding the sectoral tailwinds to improve our operating performance, CLMT executed several strategic moves that strengthened our foundation for sustainable value creation.

For the financial year ended 31 December 2022 (FY 2022), we are pleased to report a distribution per unit (DPU) of 4.01 sen, an increase of 117.9% from the previous year. This was driven by higher contributions from most of CLMT's retail properties amidst the continued recovery in retail sentiment. In addition, we diversified CLMT's income streams with our entry into the logistics sector. The acquisition of Valdor Logistics Hub, a quality fully tenanted logistics park located in one of Penang's key industrial hubs, was completed in December 2022. For FY 2022, CLMT's gross revenue grew 23.1% year-on-year to RM275.8 million while net property income improved 47.9% from a year ago to RM152.5 million. Distributable income increased 124.1% year-on-year to RM87.5 million.

CLMT's distribution policy is to pay out at least 90% of distributable income in each financial year on a half-yearly basis. For FY 2022, CLMT will pay out approximately 100% of distributable income, similar to preceding years. During FY 2022, CLMT made two income distributions to Unitholders totalling RM62.9 million or 2.93 sen per unit. This comprised (i) a final income distribution for FY 2021 of 0.98 sen per unit for the period from 1 July 2021 to 31 December 2021, which was paid out on 28 March 2022; and (ii) the first income distribution for FY 2022 of 1.95 sen per unit for the period from 1 January 2022 to 30 June 2022, which was paid out on 19 September 2022. We applied the Distribution Reinvestment Plan (DRP) on both income distributions, which received generous support from Unitholders with a take-up rate of more than 50% for each exercise. CLMT's final income distribution for FY 2022 of 2.06 sen per unit for the period from 1 July 2022 to 31 December 2022 will be paid out on 22 February 2023.

CAPITAL MANAGEMENT

We adopt a proactive strategy to manage our capital structure while ensuring a healthy balance sheet. As at 31 December 2022, CLMT's total borrowings stood at RM1,452.7 million¹, translating to a healthy gearing of 36.2% (FY 2021: 35.9%) and providing the Trust with a comfortable debt headroom for future acquisitions, asset enhancement initiatives and working capital needs. Sungei Wang Plaza, East Coast Mall and Valdor Logistics Hub are currently unencumbered, providing CLMT with further financial flexibility.

As part of our proactive capital management approach, CLMT had obtained additional revolving credit facilities amounting to RM75 million while advance negotiations in November 2022 has secured a firm commitment from the noteholder for the subscription of the unrated and secured Medium Term Note of RM300 million for another three years from the 20 June 2023 maturity date. As at 31 December 2022, approximately 79% of CLMT's debt was on fixed interest rates. Despite a rising interest rate environment, CLMT's average cost of debt for FY 2022 reduced to 3.2% per annum (FY 2021: 3.3% per annum) through proactive capital management strategies. Meanwhile, CLMT's average term to maturity for outstanding debt was 3.6 years (FY 2021: 4.0 years).

Based on the closing unit price of RM0.535 on 31 December 2022, CLMT ended the year with a market capitalisation of RM1.2 billion, a free float² of approximately 60.5% and total asset value of approximately RM4.0 billion. As at 31 December 2022, CLMT's property portfolio was valued at RM3.9 billion, 0.4% lower than the previous valuation³ due to the prolonged COVID-19 impact on the Klang Valley properties.

1 Before deducting unamortised transaction costs.

2 Free float is the proportion of units that are held by investors excluding units held by CLMT's sponsor, CapitaLand Investment Limited. It is a measure of CLMT's liquidity.

3 Previous valuation of RM3.8 billion for retail properties was at 31 December 2021, whilst for Valdor Logistics Hub of RM80 million was at 2 June 2022.

Letter to Unitholders

RETAIL PERFORMANCE

With five shopping malls and an office block located strategically in the key urban centres of Klang Valley, Penang and Kuantan and a diverse list of about 1,100 leases, CLMT's portfolio provides Unitholders with recurring cash flow underpinned by income and geographical diversification within Malaysia.

We proactively carry out retail and asset management initiatives to refresh and introduce new experiences in CLMT's shopping malls to enhance their attractiveness. To this end, CLMT invested capital expenditure of approximately RM25.3 million during the year in review to revitalise our properties.

We reinforced Gurney Plaza's popularity as Penang's premier lifestyle destination through continually updating its tenant mix and improving its shopper circulation. In FY 2022, the mall added luxury watch retailer The Hour Glass; fashion brands like Sans & Sans; beauty and cosmetics stores including Lancôme and Kens Apothecary; as well as rock climbing gym Project Rock. We also relocated Rolex, one of the world's leading watch brands, to the main entrance of the mall; the store's new prominent location helped to underscore Gurney Plaza's market positioning and attract visitors. We continued to refresh the mall's food & beverage (F&B) offerings, welcoming trendy concepts such as ParaThai, Mixue Ice Cream and Jipinhe Scones.

To stay ahead of consumer trends, we expanded East Coast Mall's fashion and athleisure offerings, bringing in brands like Tommy Hilfiger, Calvin Klein Jeans, Anta and New Era. To capitalise on the growing popularity of coffee culture, we expanded the mall's F&B options with The Coffee Bean & Tea Leaf, Gigi Coffee and Jiwa Kopi & Bingsu. In addition, existing tenants Levi's and Habib Jewels relocated their outlets and introduced new-to-market concepts.

We collaborated closely with the Sungei Wang Plaza Management Corporation to reinvigorate Sungei Wang Plaza's appeal to address the prolonged impact of COVID-19 and oversupply of retail space in the BBKLCC (Bukit Bintang-Kuala Lumpur City Centre) area. Joint initiatives included marketing

campaigns and bringing in thematic events such as anime festivals and thrift bazaars to draw crowds. The popularity of these events eventually convinced some of the event organisers, such as Akiba Street and Thrifted, to set up shop in the mall. We also increased the variety of halal F&B options with the introduction of Richiamo Coffee and Kakatoo.

Catering to the needs of the population catchment of The Mines and 3 Damansara, which are located in established residential neighbourhoods, we brought in more operators from the F&B and supermarket trade categories. At The Mines, several recently opened grab-and-go eateries have been well-received. Meanwhile, NSK Grocer, well known for its fresh and value offerings, opened its third outlet – and also its largest outlet – at 3 Damansara in January 2023. Occupying a net lettable area of over 100,000 square feet, NSK Grocer at 3 Damansara offers a wide range of premium-yet-affordable local and imported offerings, with plans to add a deli and casual dining offerings soon.

In addition to updating the tenant mix, CLMT shopping malls regularly organise marketing activities that drive footfall and tenant sales. We leverage CapitaStar – CapitaLand's card-less rewards programme that enables shoppers to collect points in exchange for parking rebates, STARVoucher shopping rebates and eDeals at CapitaLand malls⁴ – to enhance shopper engagement and customer stickiness.

Supported by our proactive retail and asset management initiatives, CLMT's shopper footfall trended upwards throughout 2022 to 44.5 million, although it has yet to reach the pre-pandemic level (FY 2019: 56.7 million) by the close of the year. On a positive note, CLMT's portfolio tenant sales per square foot in 4Q 2022 was 25.3% higher than the average level in 2019. And while rental reversion for the portfolio eased by 3.0% in 2022, portfolio occupancy as at 31 December 2022 improved to 85.9% – a reflection of our ongoing efforts to achieve portfolio stability by balancing rental reversions with occupancy levels.

⁴ CapitaLand malls in Malaysia comprise Queensbay Mall in Penang, Melawati Mall in Taman Melawati and five owned by CapitaLand Malaysia Trust – Gurney Plaza in Penang, a majority interest in Sungei Wang Plaza in Kuala Lumpur, 3 Damansara in Petaling Jaya, The Mines in Seri Kembangan and East Coast Mall in Kuantan.



The latest and largest NSK Grocer outlet opened in January 2023 at 3 Damansara.



Rolex, one of the world's leading watch brands, was relocated to the main entrance of Gurney Plaza.

COMMITMENT TO SUSTAINABILITY

CLMT is committed to deliver long term economic value, and contribute to the environmental and social wellbeing of our communities. CLMT's approach towards sustainability is aligned with that of our sponsor, CapitaLand Investment (CLI or the Sponsor), and we actively contribute to the targets set out in CapitaLand's 2030 Sustainability Master Plan⁵ and CLI's commitment to Net Zero by 2050. To strengthen our sustainability stewardship, we have formalised a Sustainability department to manage and implement CLMT's sustainability objectives and strategies.

In FY 2022, we continued to make progress in our Environmental, Social and Governance efforts. We actively implemented initiatives to improve operational efficiencies and manage energy consumption at all our properties. During the year, we secured our maiden offer for sustainability-linked loan. The five-year RM60 million sustainability-linked loan facility incorporates interest rate reductions linked to pre-determined sustainability performance targets set out for CLMT's portfolio.

With funding support from CapitaLand Hope Foundation, the philanthropic arm of CapitaLand Group, we provided essential items and school supplies to more than 1,200 children from 36 beneficiary homes and schools in FY 2022 with a donation of RM64,000.

⁵ CapitaLand's 2030 Sustainability Master Plan is a strategic blueprint which outlines its ambitious goals and directs its sustainability efforts towards a common purpose. CapitaLand aims to build a resilient and resource efficient real estate portfolio, enable thriving and future-adaptive communities, and accelerate sustainability innovation and collaboration.

Letter to Unitholders

GROWING CLMT

In November 2022, we announced that MTrustee Berhad, Trustee of CLMT, has entered into agreements to acquire 91.8% of the total strata floor area of retail parcels in Queensbay Mall for RM990.50 million from parties related to the Sponsor. This quality asset will provide immediate income and deepen CLMT's presence in Penang. We expect the proposed acquisition of Queensbay Mall to further benefit from the post-pandemic economic and retail recovery.

Separately, the acquisition of Valdor Logistics Hub marked CLMT's entry into the logistics asset class. One of CLMT's competitive advantages is our close relationship with CLI, a leading global real estate investment manager with a strong foothold in Asia. CapitaLand Malaysia REIT Management Sdn. Bhd. (the Manager) is a wholly owned subsidiary of CLI, the listed real estate investment management arm of CapitaLand Group. Being a part of the CapitaLand Group – one of Asia's largest diversified real estate groups with investment management and development capabilities across diversified asset classes – has enabled CLMT to leverage the Sponsor's strong support, regional network and operational expertise to enter into new economy asset classes with confidence.

With a larger portfolio and more diversified and resilient income streams, CLMT is entering 2023 on a stronger footing. Malaysia's economy is forecast to grow at a moderate pace of 4.0% to 5.0%⁶ in 2023 on the back of a softening global economic outlook due to elevated inflation, higher interest rates and geopolitical uncertainties. A challenging macroeconomic environment is likely to affect consumer sentiment and retail sales.

Amidst challenges in the operating environment, we will sharpen our focus on operational excellence by retaining and attracting quality tenants, managing costs, and executing asset enhancement initiatives well. Anchored by an income and geographically diversified quality portfolio, CLMT remains committed to deliver long term and sustainable income distribution to Unitholders.

ACKNOWLEDGEMENTS

We would like to express our gratitude to CLMT's Unitholders, tenants, shoppers and business partners for their continued support in 2022. We would also like to convey our heartfelt appreciation to each and every staff member for their unwavering dedication, hard work, and perseverance. To all stakeholders, we look forward to your continued support as we strive to propel CLMT to an even stronger position.

LUI CHONG CHEE

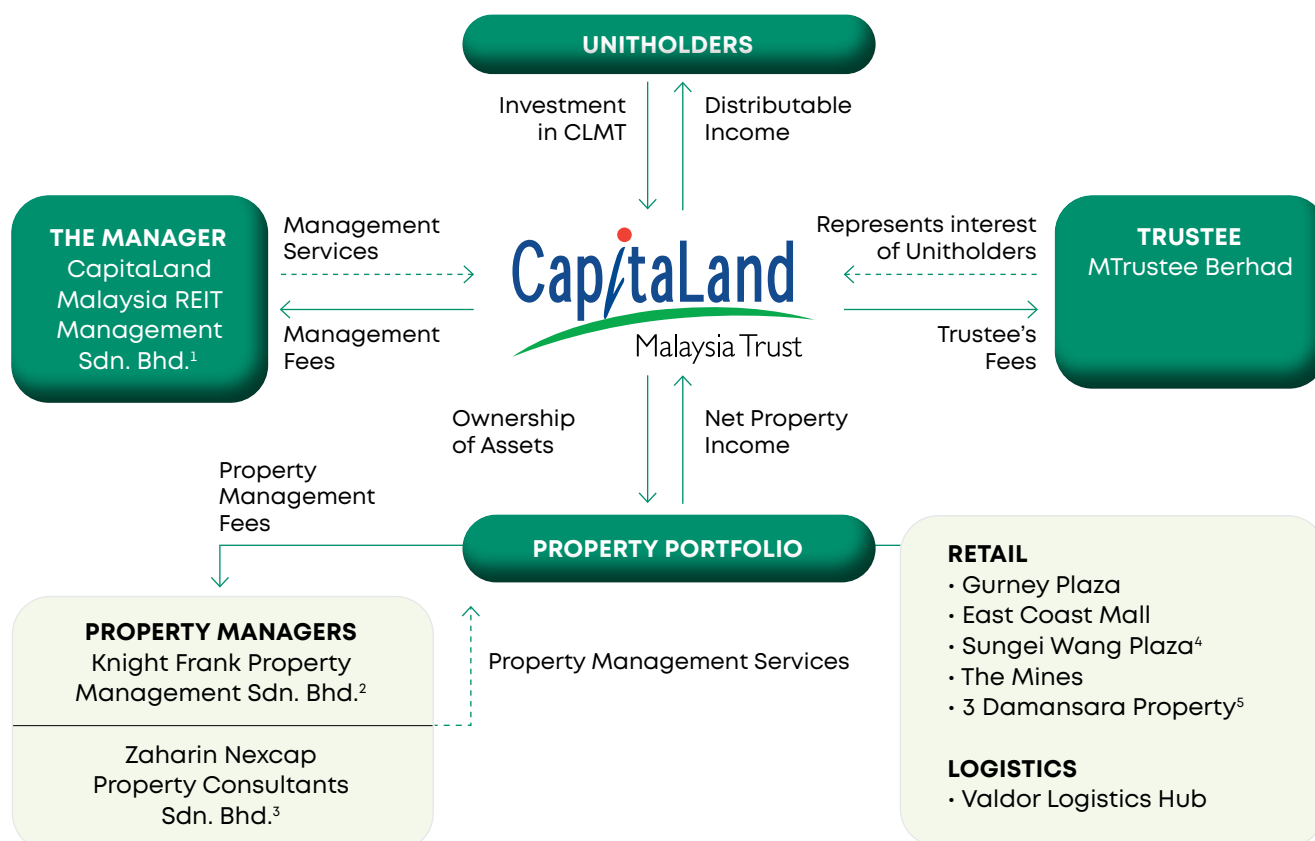
Chairman

TAN CHOON SIANG

Chief Executive Officer

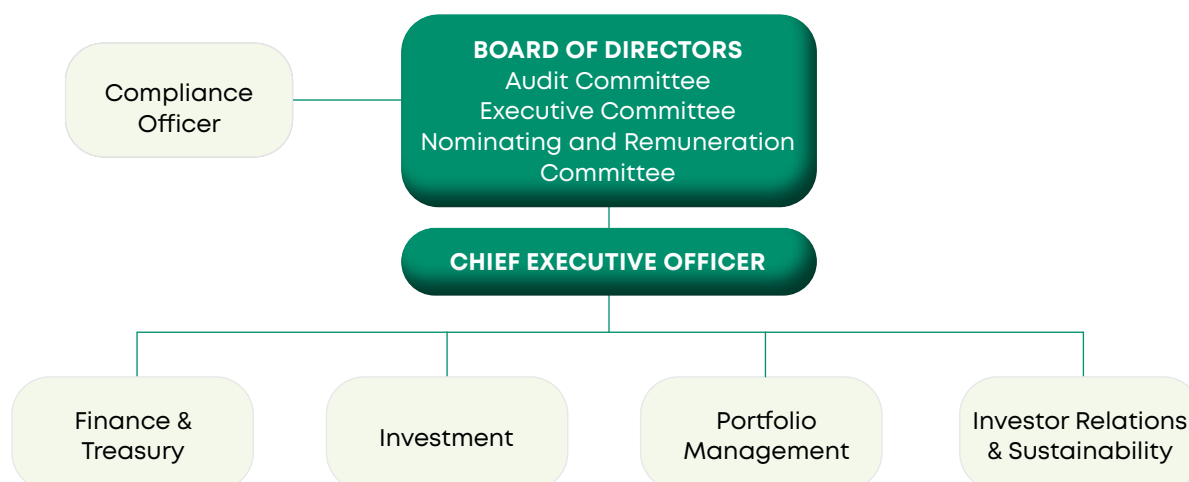
15 February 2023

Trust Structure



- 1 The Manager holds a Capital Markets Services Licence issued by the Securities Commission of Malaysia for the regulated activity of fund management in relation to asset management restricted to real estate investment trust.
- 2 Knight Frank Property Management Sdn. Bhd. manages Gurney Plaza, East Coast Mall, 3 Damansara Property, The Mines and Valdor Logistics Hub.
- 3 Zaharin Nexcap Property Consultants Sdn. Bhd. only manages CLMT's interest in Sungei Wang Plaza.
- 4 CLMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area, and (ii) 1,298 car park bays which comprise 100% of the car park bays.
- 5 Refers to 3 Damansara and 3 Damansara Office Tower.

Organisation Structure



Our Board of Directors



▲
LUI CHONG CHEE
Chairman
Non-Executive Independent Director



▲
TAN CHOON SIANG
Chief Executive Officer
Executive Non-Independent Director



▲
MOHD YUSOF BIN HUSSIAN
Non-Executive Independent Director



▲
TAN MING-LI
Non-Executive Independent Director



▲
FOO WEI HOONG
Non-Executive Independent Director



▲
TAN BOON PENG
Non-Executive Independent Director



▲
YAP NENG TONG
(also known as JONATHAN YAP)
Non-Executive Non-Independent Director



▲
LIM CHO PIN ANDREW GEOFFREY
Non-Executive Non-Independent Director

Our Board of Directors

► **LUI CHONG CHEE, 62**

Nationality: Singaporean | Gender: Male
Chairman
Non-Executive Independent Director

- Bachelor of Science, New York University, United States of America
- Master of Business Administration, New York University, United States of America

Date of first appointment as a Director

1 October 2020

Date of appointment as Chairman

1 June 2021

Length of service as a Director

(as at 31 December 2022)

2 years 3 months

► **TAN CHOON SIANG, 46**

Nationality: Singaporean | Gender: Male
Chief Executive Officer
Executive Non-Independent Director

- Bachelor of Science in Economics, Massachusetts Institute of Technology
- Master of Science in Economics, Massachusetts Institute of Technology

Date of appointment as a Director

1 January 2022

Length of service as a Director

(as at 31 December 2022)

1 year

Board committees served on

- Nominating and Remuneration Committee (Member)

Past directorship in other listed company held over the preceding three years

- Executive Director of Far East Orchard Limited

Present directorship of public company and listed issuer

- Nil

Background and working experience

- Managing Director and Chief Executive Director of Far East Orchard Limited (2014 to 2019)
- Group Chief Financial Officer of Raffles Medical Group Ltd (2011 to 2014)
- Various senior management positions with the CapitaLand Group, including Group Chief Financial Officer of CapitaLand Limited; Chief Executive Officer of CapitaLand Residential Limited and CapitaLand Financial Limited (2001 to 2010)
- Managing Director of Citicorp Investment Bank (Singapore) Limited (1998 to 2001)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Board committees served on

- Executive Committee (Member)

Present directorship of public company and listed issuer

- CLMT MTN Berhad (formerly known as CMMT MTN Berhad)

Present principal commitments

- Malaysian REIT Managers Association (Vice Chairman)

Background and working experience

- Chief Financial Officer of Ascendas Property Fund Trustees Pte. Ltd. (From 2017 to 2021)
- Head of Corporate Finance & Treasury of Ascendas-Singbridge Pte. Ltd. (From 2016 to 2017)
- Various positions with Genting Singapore Limited, including Vice President of Corporate Finance, Vice President of Investments and Director of Corporate Planning (From 2011 to 2016)
- Executive Director, Corporate Solutions of Goldman Sachs, Singapore (From 2010 to 2011)
- Executive Director, Equities Structuring of Goldman Sachs, Hong Kong (From 2006 to 2010)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

► **FOO WEI HOONG, 62**

Nationality: Malaysian | Gender: Male
Non-Executive Independent Director

- Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
- Fellow of the Association of Chartered Certified Accountants, United Kingdom
- Certified Financial Planner, Financial Planning Association of Malaysia

Date of first appointment as a Director

1 June 2021

**Length of service as a Director
(as at 31 December 2022)**

1 year 7 months

Board committees served on

- Audit Committee (Chairman)

Present directorship of public company

- Etiqa Life Insurance (Cambodia) PLC

Past directorship in other listed company held over the preceding three years

- Nil

Background and working experience

- Head, Finance & Information Technology of Malaysian Industrial Development Finance Berhad (From 2007 to 2020)
- Head of Corporate Planning of Malaysian Industrial Development Finance Berhad (From 2006 to 2007)
- Vice President of Financial Services of Malaysian National Insurance Berhad (now known as Etiqa Insurance Berhad) (From 2001 to 2006)
- Financial Controller of PanGlobal Insurance Berhad (From 1996 to 2001)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

► **TAN BOON PENG, 56**

Nationality: Malaysian | Gender: Male
Non-Executive Independent Director

- Master of Arts and Bachelor of Arts, University of Cambridge, United Kingdom

Date of first appointment as a Director

1 April 2019

**Length of service as a Director
(as at 31 December 2022)**

3 years 9 months

Board committees served on

- Nominating and Remuneration Committee (Chairman)

Present directorship of public company and listed issuer

- Hap Seng Consolidated Berhad

Background and working experience

- Various positions, Regional Head of Equity Capital Markets being the last position at CIMB Group (From 2003 to 2016)
- Head of Singapore Research and Coordinator of the Singapore/Malaysian Research Product of Indosuez W.I. Carr Securities (S) Pte Ltd (From 2000 to 2001)
- General Manager – Research of RHB Institute Sdn. Bhd. (From 1999 to 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Our Board of Directors

► **MOHD YUSOF BIN HUSSIAN, 73**

Nationality: Malaysian | Gender: Male
Non-Executive Independent Director

- Fellow of Chartered Certified Accountants, United Kingdom
- Member of Chartered Institute of Purchasing and Supply, United Kingdom
- Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Date of first appointment as a Director

1 October 2020

Length of service as a Director

(as at 31 December 2022)

2 years 3 months

► **TAN MING-LI, 53**

Nationality: Malaysian | Gender: Female
Non-Executive Independent Director

- Double degree, Law (Honours) and Science, University of Melbourne, Australia

Date of first appointment as a Director

1 June 2021

Length of service as a Director

(as at 31 December 2022)

1 year 7 months

Board committees served on

- Audit Committee (Member)

Present directorship of public company and listed issuer

- Nil

Past directorship in other listed company held over the preceding three years

- Independent Director and Audit Committee member of Boilermach Holdings Berhad

Background and working experience

- Various positions, Re-engineering being the last position of Shell Malaysia (1986 to 1999)
- Finance and Administration Manager cum Company Secretary, PTM Thompson Advertising Sdn. Bhd., an affiliate of J. Walter Thompson Group in USA (1976 to 1985)
- External Auditor, Coopers & Lybrand (now known as PwC Malaysia) (1971 to 1976)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Board committees served on

- Audit Committee (Member)

Present directorship of public company and listed issuer

- Tune Protect Group Berhad
- Tune Insurance Malaysia Berhad
- BP Plastics Holding Berhad
- OM Holdings Limited (a limited liability company listed on both the Bursa Malaysia Securities Berhad and the Australia Securities Exchange)

Present principal commitments (other than directorships in other listed companies)

- Legal Practitioner, Chooi & Company + Cheang & Ariff (Partner)
- Disciplinary Committee of the Advocates & Solicitors' Disciplinary Board of Malaysia

Past directorship in other listed company held over the preceding three years

- Ikhmas Jaya Group Berhad

Background and working experience

- Legal Practitioner, Messrs Allen & Gledhill (From 1993 to 1997)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

► **YAP NENG TONG, 55**

Nationality: Singaporean | Gender: Male
Non-Executive Non-Independent Director

- Bachelor of Science in Estate Management (Honours), National University of Singapore
- Master of Science in Project Management, National University of Singapore

Date of first appointment as a Director

6 July 2020

Length of service as a Director

(as at 31 December 2022)

2 years 5 months

Board committees served on

- Executive Committee (Chairman)
- Nominating and Remuneration Committee (Member)

Present directorship of public company and listed issuer

- CapitaLand Integrated Commercial Trust Management Limited (manager of CapitaLand Integrated Commercial Trust which is listed on the Singapore Exchange Securities Trading Limited (SGX-ST))
- CapitaLand India Trust Management Pte. Ltd. (Trustee-Manager of CapitaLand India Trust which is listed on SGX-ST)

Present principal commitments

- CapitaLand Investment Limited (CEO, Listed Funds) (September 2021 to current)
- Institute of South Asian Studies, National University of Singapore (Member, Management Board)

Past directorship in other listed company held over the preceding three years

- CapitaLand Commercial Trust Management Limited (manager of CapitaLand Commercial Trust¹)

Background and working experience

- CEO, Fund Management of CapitaLand Investment Limited (From September 2021 to April 2022)
- President, CapitaLand Financial, CapitaLand Group (From July 2019 to September 2021)
- Group Chief Operating Officer, Ascendas-Singbridge Pte.Ltd. (From July 2018 to June 2019)
- Group Chief Financial Officer, Ascendas-Singbridge Pte. Ltd. (From September 2017 to June 2019)

- Chief Investment Officer and Head of Real Estate Funds, Ascendas-Singbridge Pte. Ltd. (From June 2015 to November 2017)
- Assistant Group Chief Executive Officer for Overseas Funds & India, Ascendas Pte Ltd (From July 2012 to May 2015)
- Head of Real Estate Funds, Ascendas Pte Ltd (From January 2008 to May 2015)
- Executive Director and Chief Executive Officer, CapitaLand India Trust Management Pte. Ltd. (From June 2007 to September 2014)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

1 Delisted from the Official List of the Singapore Exchange Securities Trading Limited on 3 November 2020.

Our Board of Directors

► **LIM CHO PIN ANDREW GEOFFREY, 53**

Nationality: Singaporean | Gender: Male
Non-Executive Non-Independent Director

- Bachelor of Commerce (Economics), University of Toronto, Canada
- Master in Business Administration, Rotman School of Business, University of Toronto, Canada
- Chartered Financial Analyst® and Member, CFA Institute

Date of first appointment as a Director

15 April 2018

Length of service as a Director (as at 31 December 2022)

4 years 8 months

Board committees served on

- Executive Committee (Member)

Present directorship of public company and listed issuer

- CapitaLand Ascendas REIT Management Limited (Manager of CapitaLand Ascendas Real Estate Investment Trust which is listed on the Singapore Exchange Securities Trading Limited (SGX-ST))
- CapitaLand China Trust Management Limited (Manager of CapitaLand China Trust which is listed on the SGX-ST)

Present principal commitments

- CapitaLand Investment Limited (Group Chief Operating Officer)
- Accounting for Sustainability Circle of Practice (Member)
- Institute of Singapore Chartered Accountants' CFO Committee (Member)
- SG Her Empowerment Limited (Director)
- Sport Singapore (Singapore Sports Council) (Director and Chairman of Audit Committee)

Past directorship in other listed company held over the preceding three years

- CapitaLand Ascott Trust Management Limited (Manager of CapitaLand Ascott Trust which is listed on the SGX-ST)
- CapitaLand Integrated Commercial Trust Management Limited (Manager of CapitaLand Integrated Commercial Trust which is listed on the SGX-ST)

Background and working experience

- Group Chief Financial Officer (From 1 January 2017 to 31 December 2022)
- President of Real Estate Investment Trust Association of Singapore (REITAS) (From 4 May 2018 to 25 September 2020)
- Group Chief Financial Officer (Designate) of CapitaLand Limited (From 25 November 2016 to 31 December 2016)
- Managing Director and Head of SEA Coverage Advisory of HSBC Global Banking (From January 2016 to December 2016)
- Managing Director and Head of SEA Real Estate of HSBC Global Banking (From January 2015 to December 2015)
- Managing Director, SEA Investment Banking of HSBC Global Banking (From April 2013 to December 2014)
- Director, SEA Investment Banking of HSBC Global Banking (From April 2010 to March 2013)
- Associate Director, Investment Banking of HSBC Global Banking (From April 2007 to March 2010)
- Associate, Investment Banking of HSBC Global Banking (From July 2004 to March 2007)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- Nil

Notes: In addition to the earlier disclosure, none of the Directors have:

- any family relationship with any Director of the Manager and/or major unitholder of CLMT; and
- any conflict of interest with CLMT (save for Mr Lim Cho Pin Andrew Geoffrey's unitholding in CLMT of 50,484 units and En Mohd Yusof bin Hussian's unitholding in CLMT of 66,624 units).

Trust Management

► TAN CHOON SIANG

Nationality: Singaporean | Gender: Male
Chief Executive Officer and Executive
Non-Independent Director

Assisted by the management, Choon Siang is responsible for executing CMRM's strategy and its day-to-day operations for CLMT.

Please refer to his profile in Our Board of Directors, page 22 of CLMT Annual Report 2022.

► SOON YEONG CHYAN, 53

Nationality: Malaysian | Gender: Male
Chief Financial Officer

- Bachelor of Accounting, University of Malaya
- Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
- Member of the Malaysian Institute of Certified Public Accountants

Date of appointment
10 December 2019

Working Experience

Yeong Chyan began his career with Price Waterhouse, currently known as PwC. He has more than 20 years of working experience in the field of auditing as well as in leading and managing the full spectrum of finance functions of companies involved in various industries including plantation and integrated palm oil manufacturing; property development and investment; and investment holdings.

Responsibilities

Yeong Chyan leads the finance team and is responsible for CLMT's financial management functions including the financial and management reporting, taxation, budgeting, treasury and all other finance-related matters.

► MATTHEW LOH WOELIEH, 40

Nationality: Malaysian | Gender: Male
Head, Investment

- Master of Science in Real Estate Investment Finance (Distinction), Oxford Brookes University, United Kingdom
- Bachelor of Commerce, Deakin University, Australia

Date of appointment
1 July 2018

Working Experience

Matthew started his career in corporate planning with one of the real estate companies of Kuok Group in Malaysia. Subsequently, he joined Mapletree Investment under the asset management department stationed in Singapore and China for more than 2 years. Matthew was involved in the IPO of CLMT in 2010 and participated actively in the raising of funds from capital market for acquisition of assets. He rose through the ranks and became Head of Investment in 2021. He was instrumental in crafting the asset diversification strategy for CLMT in 2021 and subsequently led the charge in acquisition of logistics assets. He has more than 17 years of experience in the real estate industry covering financial feasibility study, due diligence, investment, valuation, capital structuring, strategic planning and regulatory compliance.

Responsibilities

Matthew heads the investment department of the Manager. He is responsible for formulating and executing investment and divestment strategies to enhance CLMT's portfolio returns. He leads the investment team to identify, evaluate and negotiate suitable investment opportunities for CLMT.

► MELAINE ONG SOOK MUN, 40

Nationality: Malaysian | Gender: Female
Deputy Head, Portfolio Management

- Bachelor of Science (Accounting & Finance), London School of Economics & Political Science, United Kingdom

Date of appointment
1 July 2022

Working Experience

Melaine has more than 10 years of experience in the real estate and REIT sectors. Prior to joining the Manager, she was with Hektor Asset Management Sdn. Bhd. overseeing corporate strategy, asset management, investor communications, public relations and risk management. In her initial role in Asset Management with CMRM, she was actively involved in The Mines, Sungei Wang Plaza and 3 Damansara Property where she has led and executed multiple AELs.

Responsibilities

Melaine heads the Portfolio Management function of the Manager. She is responsible for the formulation and implementation of CLMT's portfolio and asset strategies and business plans. She leads a team of asset managers to ensure the successful deployment of AELs and budgetary control, with the aim to maximise asset value and returns. Responsible for the valuation and capex optimisation, she works very closely with the retail team and property managers to provide financial leadership in business plans.

► JASMINE LOO PIK KWAN ABDULLAH, 44

Nationality: Malaysian | Gender: Female
Senior Manager, Investor Relations & Sustainability

- Bachelor of Arts (English Language), University Putra of Malaysia

Date of appointment
1 October 2014

Working Experience

Establishing her foundation in advertising and media with New Straits Times Press, Jasmine subsequently joined The Edge Communications Sdn. Bhd. and focused on the real estate sector. Thereafter, she moved to the corporate sector and honed her corporate communications skillsets with several listed property developers. Thereafter, she joined the Manager and comes with 20 years of experience in the field of corporate communications, media and investor relations.

Responsibilities

Jasmine is responsible for building rapport and facilitating transparent communications with various stakeholders including CLMT's Unitholders, potential and existing institutional investors, analysts and media. She is also responsible for formulating and implementing overall investor relations strategy and has since been tasked to manage and implement sustainability objectives for the Manager.

► LEE PHAIK SAN, 35

Nationality: Malaysian | Gender: Female
Compliance Officer

- LLB (Honours) Degree, University of Malaya
- Advocate & Solicitor, High Court of Malaya

Date of appointment
9 February 2023

Working Experience

Phaik San has more than 12 years of experience in the legal profession. She was previously in legal practice for about five years and moved on to the role as an in-house legal counsel for several private limited and public listed corporations. With experience in matters relating to asset acquisition, corporate financing, property development, strata management, leasing, aviation acquisition and financing, litigation, compliance and corporate advisory, Phaik San joined the CapitaLand Group from 2015 to 2017 and has since rejoined CapitaLand, particularly, CMRM in 2021.

Responsibilities

Responsible for all legal and compliance matters.

Property Overview

CLMT's portfolio of quality assets comprises five retail properties, a complementary office and a logistics park strategically located across three key urban centres in Penang, Klang Valley and Pahang



PROPERTY VALUE BY GEOGRAPHY

Outside Klang Valley

Gurney Plaza
Valdor Logistics Hub
East Coast Mall

Klang Valley

Sungei Wang Plaza
3 Damansara Property
The Mines

Penang
45%

Pahang
15%

Kuala Lumpur & Selangor
40%



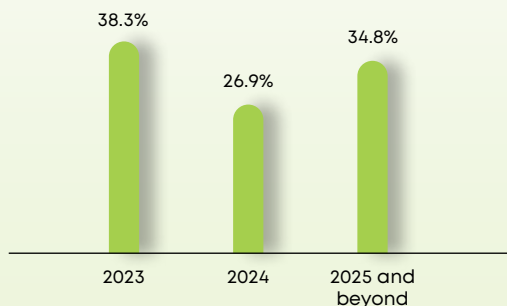
Property Details



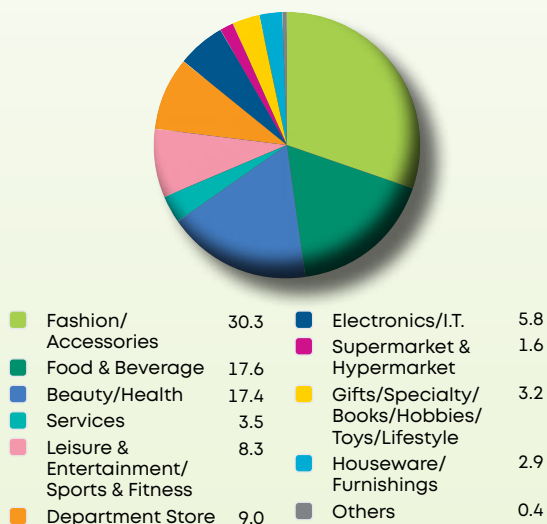
GURNEY PLAZA

Strategically located along the popular Gurney Drive promenade in Penang, Gurney Plaza is situated in one of the prime real estate areas in the island. Opened in July 2001, the nine-storey Gurney Plaza has undergone regular asset upgrading initiatives and today, it is widely recognised as the leading premier regional lifestyle shopping mall in the Northern region, and the preferred destination for shopping, dining and entertainment under one roof catering to both locals and tourists.

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)



TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Property Information

Centre Management Office
Lot No. 170-06-01, Level 6, Persiaran Gurney
10250 Penang, Malaysia
Tel: +60 4 222 8222
Fax: +60 4 228 6666
Website: www.gurneyplaza.com.my

Land Tenure	Freehold
Year of Completion	2001 ¹
Acquisition Date	14 July 2010 and 28 March 2011
Acquisition Price (RM million)	1,015.0 ²
Carpark Lots	1,836

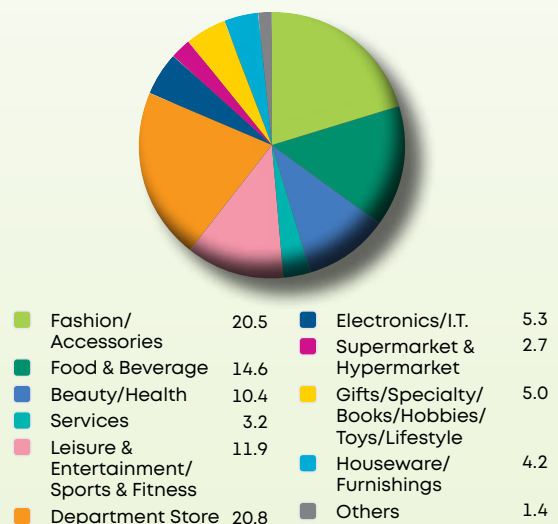
- 1 The completion of Gurney Plaza and Gurney Plaza Extension was in 2001 and 2008 respectively.
- 2 Equals to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

AS AT 31 DECEMBER 2022

Gross Floor Area (sq ft)	1,253,314
Net Lettable Area (sq ft)	886,810
Number of Committed Leases	390
Committed Occupancy (%)	98.2%
Weighted Average Lease Expiry (years)	1.57
Appraised Value (RM million) Conducted by – Nawawi Tie Leung Property Consultants Sdn. Bhd.	1,675.0
Annual Shopper Traffic (million)	15.4

Key Tenants:
Parkson Elite
Padini Concept Store
Mercato
JD Sports
Golden Screen Cinemas
Uniqlo
Switch
Marks & Spencer
Coach
Rolex

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Title Particulars	
Title	i. HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang ii. Geran 130393 Lot 5628 Seksyen 1, Bandar George Town Daerah Timor Laut, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	(FIRST GRADE) The land comprised in the title: i. shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ii. subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and iii. the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	i. There was a lease of part of the land in favour of Parkson Corporation Sdn.Bhd. (Registration No. 157029-X). registered on 13 October 2004 vide presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016. ii. There is a charge on the land in favour of Public Bank Berhad (Registration No. 64630-H) registered on 5 October 2011 vide presentation no. 0799SC2011034916.
Endorsements	i) H.S.(D) 17259, Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang 1. There are six (6) grant of easements registered on the land:- > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034874. > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034875. > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034876. > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034899. > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034900. > Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034901. 2. Transfer of land from Gurney Plaza Sdn. Bhd. (Registration No. 141240-K) to MTrstee Berhad (Registration No. 163032-V) registered on 5 October 2011 vide presentation no. 0799SC2011034910. 3. Change of name: change of type of identity from S to S; change of name from AmTrustee Berhad to MTrustee Berhad; and change of number from 163032-V to 163032-V registered on 20 March 2017 vide presentation no. 0799B2017002419. ii) Geran 130393, Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang. 1. There are two (2) grant of easements registered on the land:- > Grant of an easement for a perpetual term registered on 13 September 2012 vide presentation no. 0799SC2012032585. > Grant of an easement for a perpetual term registered on 6 December 2012 vide presentation no. 0799SC2012045745. 2. Change of name: change of identity from S to S; change of name from AmTrustee Berhad to MTrustee Berhad; and change of number from 163032-V to 163032-V registered on 2 December 2016 vide presentation no. 0799B2016012152. 3. Change of address from MTrustee Berhad Tingkat 22, Bangunan Ambank Group, 55, Jalan Raja Chulan, 50200 to MTrustee Berhad B-2-9 (Aras 2), Pusat Perdagangan Kuchai, No.2, Jalan 1/127, Off Jalan Kuchai Lama, 58200 Kuala Lumpur registered on 2 December 2016 vide presentation no. 0799B201612153.
Other matters relating to the title	Quit Rent 1. H.S.(D) 17259, Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang > RM84,297.00 2. Geran 130393, Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang. > RM2,764.00

Property Details



EAST COAST MALL

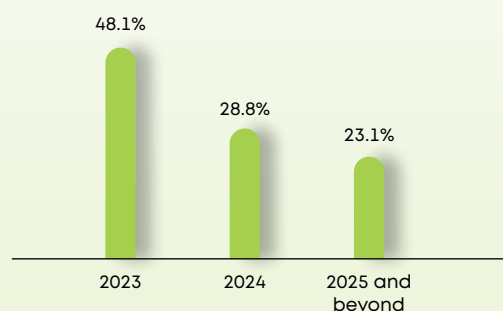
East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels. It is a modern lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. Within a walking distance from other local attractions and amenities such as the Darul Makmur Stadium and the Kuantan Urban Transformation Centre, the four-storey East Coast Mall is recognised as the leading mall in Kuantan with its established mix of domestic and international retailers. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the East Coast of Peninsular Malaysia.

Property Information

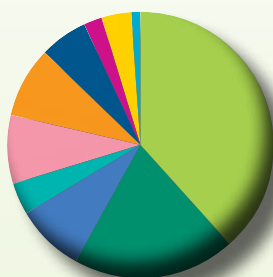
Centre Management Office
Lot L3-01A, Level 3,
Jalan Putra Square 6, Putra Square
25200 Kuantan,
Pahang Darul Makmur, Malaysia
Tel: +60 9 565 8688
Fax: +60 9 565 8699
Website: www.eastcoastmall.com.my

Land Tenure	Leasehold interest for 99 years expiring on 18 December 2106
Year of Completion	2008
Acquisition Date	14 November 2011
Acquisition Price (RM million)	310.0
Carpark Lots	1,101

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

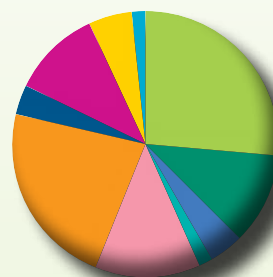


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	38.6	Electronics/I.T.	6.0
Food & Beverage	19.6	Supermarket & Hypermarket	2.1
Beauty/Health	8.4	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.7
Services	3.9	Houseware/Furnishings	0.9
Leisure & Entertainment/Sports & Fitness	8.3		
Department Store	8.5		

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	26.6	Electronics/I.T.	3.5
Food & Beverage	11.0	Supermarket & Hypermarket	10.7
Beauty/Health	4.2	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	5.4
Services	1.5	Houseware/Furnishings	1.6
Leisure & Entertainment/Sports & Fitness	12.8		
Department Store	22.7		

AS AT 31 DECEMBER 2022

Gross Floor Area (sq ft)	1,063,097 ¹
Net Lettable Area (sq ft)	467,529
Number of Committed Leases	200
Committed Occupancy (%)	98.2%
Weighted Average Lease Expiry (years)	1.29
Appraised Value (RM million) Conducted by – Savills (Malaysia) Sdn. Bhd.	590.0
Annual Shopper Traffic (million)	8.1

Key Tenants

Parkson
Golden Screen Cinemas
Padini Concept Store
Aeon Big
Max
Uniqlo
Bonia
Guess
Sacoor Club
Tommy Hilfiger

1 As per required by the authorities in Kuantan to be inclusive of the car park area.

Title Particulars

Title	H.S.(D) 28468, . PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	Commercial building
Encumbrances	Lease presentation via presentation no. 14336/2022 on a part of the land was presented on 2 December 2022, currently pending registration.
Endorsements	i. Transfer of land by Pasdec Corporation Sdn.Bhd. (Registration No. 55031-P) to MTrustee Berhad (Registration No. 163032-V) as trustee registered on 25 October 2011 vide presentation no. 9818/2011. ii. Change of address from Tingkat 22, Bangunan Ambank Group, 55, Jalan Raja Chulan, 14 to B-2-9 (Aras 2), Pusat Perdagangan Kuchai, No. 2, Jalan 1/127, Off Jalan Kuchai Lama, 14 registered on 29 November 2016 vide presentation no. 4036/2016.
Other matters relating to the title	Revision of quit rent from RM38,910 to RM94,692 in accordance with Section 101 of the National Land Code from 1 January 2020.

Property Details



SUNGEI WANG PLAZA

Sungei Wang Plaza, which translates as 'the river of gold', opened in 1977 and is one of the most popular shopping centres in Kuala Lumpur's prime shopping and commercial precinct – the 'Golden Triangle' – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

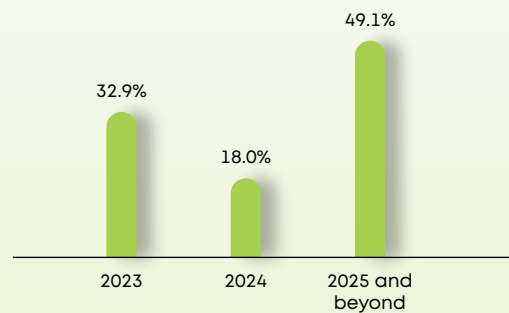
A one-stop shopping centre 'for all kinds of everything', the 11-storey Sungei Wang Plaza is well-known for its unique blend of specialty stores and entertainment outlets that appeals to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists. At end-September 2019, a new and vibrant energetic lifestyle zone known as JUMPA@Sungei Wang was unveiled to shoppers upon the completion of the asset enhancement initiative to reconfigure the annex space offering a fresh retail experience with a focus catering to the young and young-at-heart shoppers.

Property Information

Centre Management Office
(for CLMT strata parcels only)
Lot No. 6F-111, Level 6 (SWP Box No. 129)
Jalan Sultan Ismail, 50250 Kuala Lumpur, Malaysia
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
Website: www.sungeiawang.com

Land Tenure	Freehold
Year of Completion	1977
Acquisition Date	14 July 2010
Acquisition Price (RM million)	724.0
Carpark Lots	1,298

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)



TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/ Accessories	18.5	Electronics/I.T.	4.8
Food & Beverage	25.0	Supermarket & Hypermarket	8.2
Beauty/Health	9.1	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	5.9
Services	13.9	Houseware/ Furnishings	2.3
Leisure & Entertainment/ Sports & Fitness	7.9	Others	4.4

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/ Accessories	12.6	Electronics/I.T.	4.5
Food & Beverage	12.9	Supermarket & Hypermarket	7.4
Beauty/Health	5.5	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	9.8
Services	22.4	Houseware/ Furnishings	5.9
Leisure & Entertainment/ Sports & Fitness	12.4	Others	6.6

AS AT 31 DECEMBER 2022		
Gross Floor Area (sq ft)		511,103*
Net Lettable Area (sq ft)		410,669
Number of Committed Leases		156
Committed Occupancy (%)		75.6%
Weighted Average Lease Expiry (years)		1.77
Appraised Value (RM million) Conducted by – Nawawi Tie Leung Property Consultants Sdn. Bhd.		422.0
Annual Shopper Traffic (million)		11.5
Key Tenants	Mr. D.I.Y. Minnature F.O.S Sub	Srips College of Creative Arts Original Classic NAE Kitchenette
Giant Camp 5+ CMY Audio & Visual		
* Equal to 47,483 sq m, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza		

Title Particulars	
Title	i. Master Title > Geran 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur ii. Strata Titles > 205 parcels, each with individual strata title, in the building erected on the land held under Master Title GRN11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial building
Encumbrances	i. Master Title > There is a lease on part of the land in favour of Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. PDSC21493/1993 for a period of thirty (30) years commencing from 15 March 1993 to 14 March 2023. ii. Strata Title bearing Geran 11043/M1/3/312, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur. > There is a lease in favour of Premier Honours Sdn Bhd. (Registration No. 653322-W) registered on 26 March 2012 vide presentation no. PDSC9564/2012 for a period of thirty (30) years commencing from 31 August 2008 to 2038.¹
Endorsements	i. Master Title > Registration of Management Corporation where the opening of the book of strata register no. 2297 dated 21 November 2008 together with all properties subdivided granted to Sungei Wang Plaza Management Corporation registered on 21 November 2008 vide presentation no. PDN1183/2008. > Revision of quit rent from RM70,696.00 to RM81,301.00 in accordance with Section 101 National Land Code from 1 January 2006. > Cessation of quit rent from 1 January 2020 in accordance with Section 4C, Strata Titles Act 1985, Gazette No. P.U (B) 380 dated 8 August 2019. ii. Strata Titles 1. Geran 11043/M1/B1/11, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur a. There are two (2) grant of easements registered on land:- > Grant of an easement for a perpetual term registered on 5 November 2020 vide presentation no. PDSC32847/2020. > Grant of an easement for a perpetual term registered on 5 November 2020 vide presentation no. PDSC32845/2020. 2. Geran 11043/M1/6/673, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur > Grant of an easement for a perpetual term registered on the land on 5 November 2020 vide presentation no. PDSC32846/2020. 3. The 205 Individual Strata Titles are imposed by individual parcel rent in accordance with Gazette No. P.U. (A) 27 dated January 2020 from 1 January 2020 and Section 4C Strata Title Act 1985 Gazette No. P.U. (B) 380 dated 8 August 2019.
Other matters relating to the title	i. Master Title > Revision of quit rent from RM70,696.00 to RM81,301.00 according to Section 101 of the National Land Code starting 1 January 2006. > Cessation of quit rent from 1 January 2020 in accordance with Section 4C, Strata Titles Act 1985, Gazette No. P.U (B) 380 dated 08 August 2019.

¹ The said lease has been terminated and is pending de-registration.

Property Details



3 DAMANSARA PROPERTY

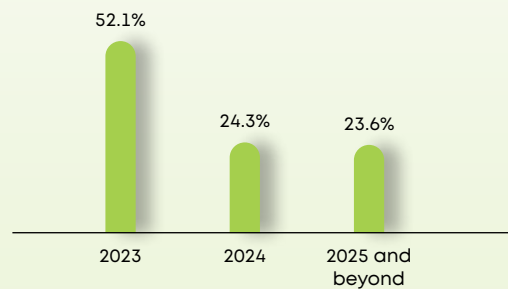
3 Damansara Property, which comprises 3 Damansara and 3 Damansara Office Tower, are part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya. As a niche community mall, it is well positioned to serve the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment. The 12-storey 3 Damansara Office Tower is seamlessly connected to the mall via an overhead covered link bridge.

Property Information

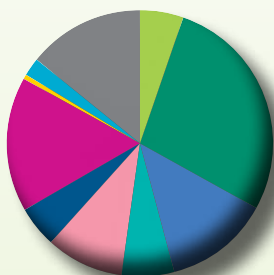
Centre Management Office
Lot B3-01, Basement B3, No. 3, Jalan SS20/27
47400 Petaling Jaya,
Selangor Darul Ehsan, Malaysia
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
Website: www.threedamansara.com/en/

Land Tenure	Freehold
Year of Completion	Retail: 2008 Office: 2009
Acquisition Date	10 July 2015
Acquisition Price (RM million)	540.0
Carpark Lots	1,759

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

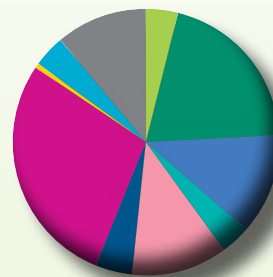


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	5.5	Electronics/I.T.	5.0
Food & Beverage	27.6	Supermarket & Hypermarket	16.2
Beauty/Health	12.9	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	0.7
Services	6.5	Houseware/Furnishings	2.3
Leisure & Entertainment/Sports & Fitness	9.4	Others	13.9

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	4.1	Electronics/I.T.	4.3
Food & Beverage	20.1	Supermarket & Hypermarket	28.4
Beauty/Health	12.2	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	0.6
Services	3.6	Houseware/Furnishings	3.9
Leisure & Entertainment/Sports & Fitness	11.9	Others	10.9

AS AT 31 DECEMBER 2022	Retail
Gross Floor Area (sq ft)	769,107
Net Lettable Area (sq ft)	568,399
Number of Committed Leases	94
Committed Occupancy (%)	64.5%
Weighted Average Lease Expiry (years)	1.28
Appraised Value (RM million) Conducted by – PPC International Sdn. Bhd.	469.0
Annual Shopper Traffic (million)	2.6

Key Tenants

NSK Grocer
Golden Screen Cinemas
TBM
Cotton On
Nando's
Starbucks Coffee
Mr. D.I.Y.
Mu Tong Yu Steamboat
Rakuzen
Esquire Kitchen

Title Particulars

Title	i. Strata Titles 1. Strata Title bearing Geran 54431/M1/B4/1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan 2. Strata Title bearing Geran 54431/M1/B4/2, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan 3. Provisional Strata Title bearing Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial building
Encumbrances	i. Strata Titles 1. Strata Title bearing Geran 54431/M1/B4/1, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan > There is a charge in favour of CIMB Bank Berhad (Registration No. 13491-P registered on 21 November 2018 vide presentation no. 57229/2018). 2. Strata Title bearing Geran 54431/M1/B4/2, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. > There is a charge in favour of CIMB Bank Berhad (Registration No. 13491-P registered on 21 November 2018 vide presentation no. 57229/2018 (GD)). 3. Provisional Strata Title bearing Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan. > Nil
Endorsements	i. Strata Titles 1. Strata Title bearing Geran 54431/M1/B4/1, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan > Correction pursuant to Section 380 of the National Land Code registered on 17 December 2018 vide presentation no. 2337/2018. 2. Strata title bearing Geran 54431/M1/B4/2, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. > Correction pursuant to Section 380 of the National Land Code registered on 17 December 2018 vide presentation no. 2337/2018. 3. Provisional Strata Title bearing Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan. > Nil
Other matters relating to the title	Nil

Property Details



THE MINES

The Mines, well-known for its Venetian-like internal water canal, is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. The five-storey suburban family mall is linked to the Mines International Exhibition & Convention Centre, Mines Beach Resort and The Mines Resort & Golf Club, and targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor. It underwent an asset enhancement exercise in 2008-2009 which involved the creation of an extension wing and a dedicated drop-off area for the convenience of shoppers. The Mines offers a wide variety of retail, IT digital, food and beverage, homewares and family entertainment options.

Property Information

Centre Management Office
Box No. 228, Level 4 Centre Management Office
The Mines, Jalan Dulang, MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan, Malaysia
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
Website: capitaland.com/my/malls/the-mines/en

Land Tenure	Leasehold interest for 99 years expiring on 20 March 2091
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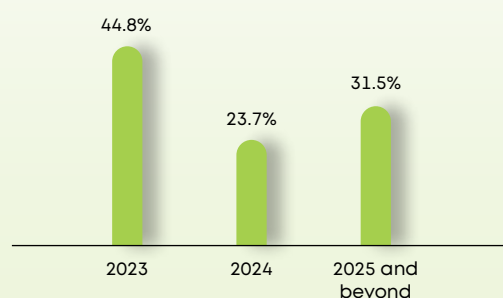
Year of Completion	1997
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Acquisition Date	14 July 2010
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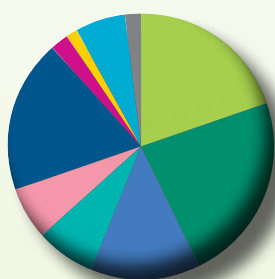
Acquisition Price (RM million)	530.0
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Carpark Lots	1,282
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LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

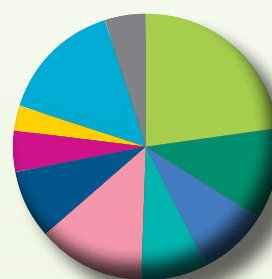


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	19.8	Electronics/I.T.	18.8
Food & Beverage	23.0	Supermarket & Hypermarket	2.1
Beauty/Health	13.5	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.4
Services	7.1	Houseware/Furnishings	6.2
Leisure & Entertainment/Sports & Fitness	6.4	Others	1.7

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	23.0	Electronics/I.T.	8.4
Food & Beverage	11.0	Supermarket & Hypermarket	5.1
Beauty/Health	8.5	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.8
Services	8.1	Houseware/Furnishings	15.0
Leisure & Entertainment/Sports & Fitness	13.1	Others	5.0

AS AT 31 DECEMBER 2022	
Gross Floor Area (sq ft)	1,150,798
Net Lettable Area (sq ft)	734,145
Number of Committed Leases	247
Committed Occupancy (%)	79.0%
Weighted Average Lease Expiry (years)	1.38
Appraised Value (RM million)	655.0
Conducted by – Nawawi Tie Leung Property Consultants Sdn. Bhd.	
Annual Shopper Traffic (million)	6.9

Key Tenants

TGV
Lotus's
Sen Q
Starbucks Coffee
KFC
Switch
Mr. D.I.Y.
Sport Planet
Celebrity Fitness
Ace Hardware

Title Particulars	
Title	H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge by Mtrustee Berhad, (Registration No. 16032-V) as trustee to Malaysian Trustees Berhad (Registration No. 21666-V) registered on 19 February 2020 vide presentation no.13245/2020.
Endorsements	> An easement is granted for a perpetual term registered on 15 December 2009 vide presentation no. 117530/2009. > Transfer of land by Mutual Streams Sdn. Bhd. (Registration No. 779107-P) to MTrustee Berhad (Registration No. 163032-V) as trustee registered on 23 September 2010 vide presentation no. 98339/2010. > Change of address from Tingkat 22, Bangunan AmBank GR, 55, Jalan Raja Chulan, 14 to B-2-9 (Tingkat 2), Pusat Perdagangan Kuchai, No. 2 Jalan 1/127, Off Jalan Kuchai Lama, 14 registered on 28 October 2016 vide presentation no. 52655/2016.
Other matters relating to the title	Revision of quit rent from RM84,975 to RM84,975 according to Section 101 of the National Land Code starting 1 January 2017.

Property Details



VALDOR LOGISTICS HUB

Strategically located in one of Penang's key industrial hubs, the freehold property enjoys easy accessibility due to its close proximity to Batu Kawan Industrial Park and is well-connected to the North South Highway and Penang Second Bridge.

Valdor Logistics Hub comprises a single-storey warehouse annexed to a double-storey office building, two single-storey detached warehouses and other ancillary buildings. With a net lettable area of 335,000 sq ft, the property is currently fully leased to tenants from the logistics sector.

Property Information

No. 1564, Mukim 12, Jalan Nafiri,
Kawasan Perindustrian Valdor, Sungai Jawi,
14200 Pulau Pinang.

Land Tenure	Freehold
Year of Completion	Building 1 and 2: 2007 Building 3: 2014
Acquisition Date	14 December 2022
Acquisition Price (RM million)	80.0

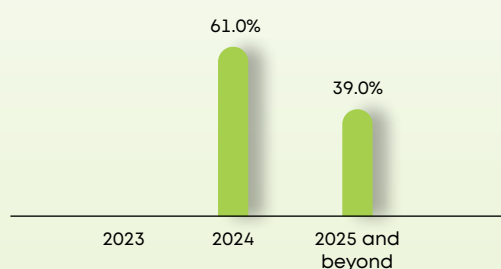
AS AT 31 DECEMBER 2022

Land Area (sq ft)	Approximately 549,000
Net Lettable Area (sq ft)	335,000
Number of Committed Leases	2
Committed Occupancy (%)	100%
Weighted Average Lease Expiry (years)	1.94
Appraised Value (RM million) Conducted by – PPC International Sdn. Bhd.	81.0

Key Tenants

MMP Logistic Sdn. Bhd.
Schenker Logistics (Malaysia) Sdn. Bhd.

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)



Title Particulars	
Title	i. GM 448, Lot 1628, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang ii. GM 450, Lot 1630, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	(FIRST GRADE) The land comprised in the title: i. Shall not be affected by any provision of the National Land Code limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ii. Subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years, shall revert to the State only if the proprietor for the time being dies without heirs; and iii. The title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	N/A
Endorsements	i. GM 448, Lot 1628, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang > Change of name: change of type of identity from 'tiada' to S; change of name from Leader Electrical Appliances MFG. SDN BHD to GUH Electrical Appliances SDN. BHD.; and change of number from 'TIADA' to 103524-K registered on 23 December 2011 vide presentation no. 0703B2011001344. > Transfer of land by GUH Electrical Appliances Sdn. Bhd. (Company No. 103524-K) to Ingenieur EPCM Sdn. Bhd. / Superinox Pipe Industry Sdn. Bhd. (Registration No. 200501030251) (712388-D) registered on 23 December 2011 vide presentation no. 0703SC2011002688. > change of name from Superinox Pipe Industry Sdn. Bhd. To Dynaciate SPI Sdn. Bhd.; change of number from 712388-D to 712388-D; and change of type of identity from S to S, registered on 1 December 2022 vide presentation no. 0703B2022000958. > Change of name: • Change of name: change of name from Superinox Pipe Industry Sdn. Bhd. To 'Tiada'; change of number from 712388-D to 200501030251 (712388-D); and change of type of identity from S to S. • Change of name from Dynaciate SPI Sdn. Bhd. To Ingenieur EPCM Sdn. Bhd.; change of number from 712388-D to 200501030251 (712388-D); and change of type of identity from S to S. • Registered on 1 December 2022 vide presentation no. 0703B2022000959. > Transfer of land by Ingenieur EPCM Sdn. Bhd. (Registration No. 200501030251 (712388-D) to MTrustee Berhad (Registration No. 198701004362 (163032-V) registered on 1 December 2022 vide presentation no. 0703SC2022002136. ii. GM 450, Lot 1630, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang. > Change of name: change of name from Leader Electrical Appliances MFG. Sdn Bhd to GUH Electrical Appliances Sdn. Bhd.; change of number from 'TIADA' to 103524-K; and change of type of identity from 'tiada' to S; registered on 23 December 2011 vide presentation no. 0703B2011001344. > Transfer of land by GUH Electrical Appliances Sdn. Bhd. (Company No. 103524-K) to Ingenieur EPCM Sdn. Bhd. (Registration No. 200501030251) (712388-D) registered on 23 December 2011 vide presentation no. 0703SC2011002687. > Change of name: change of name from Superinox Pipe Industry Sdn. Bhd. To Dynaciate SPI Sdn. Bhd.; change of number from 712388-D to 712388-D; and change of type of identity from S to S, registered on 1 December 2022 vide presentation no. 0703B2022000961. > Change of name: change of name from Dynaciate SPI Sdn. Bhd. To Ingenieur EPCM Sdn. Bhd.; change of number from 712388-D to 200501030251 (712388-D); and change of type of identity from S to S, registered on 1 December 2022 vide presentation no. 0703B2022000962. > Transfer of land by Ingenieur EPCM Sdn. Bhd. (Registration No. 200501030251) (712388-D) to MTrustee Berhad (Registration No. 198701004362) (163032-V) registered on 1 December 2022 vide presentation no. 0703SC2022002136.
Other matters relating to the title	i. GM 448, Lot 1628, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang <u>Quit Rent</u> > RM12, 967.00 ii. GM 450, Lot 1630, Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang. <u>Quit Rent</u> > RM19, 642.00

Marketing & Promotions

Digital Marketing & CapitaStar

CNY AR LION DANCE

CLMT malls in Malaysia have launched **AR Lion Dance** filters featuring six lovable lions on Instagram for the first time. From 8 January to 15 February 2022, shoppers shared their photos/video with the interactive Lion Dance AR filters on Instagram, hashtag #CapitaLandCNY2022 and tag any of the seven CapitaLand malls in Malaysia and 15 lucky winners have walked away with RM100 STARVoucher Ang Pow each.

CAPITASTAR REFER & EARN

CapitaStar launched its **Refer & Earn** feature in Malaysia starting 1 April 2022 to encourage members to get members. CapitaStar members may invite their friends to sign up and earn up to 50,000 STARS® and RM250 worth of STARVouchers together with their friends.

CAPITASTAR MOVIE DAY

CapitaStar also organised its first movie day with members in July 2022 themed “**CapitaStar Movie Day with Minions**”. The movie days were held at Gurney Plaza, East Coast Mall and 3 Damansara respectively where all movie tickets were fully redeemed. Free movie tickets were also given out to the lucky winners via the malls’ social media page.

CAPITASTAR REWARD CAMPAIGNS

To boost the CapitaStar membership and the retail spending, multiple reward campaigns have been organised across all CapitaLand malls which included:

- **Cashback Campaigns:** Cash Back 2.0 campaign (24 December 2021 – 28 February 2022) allowed members to earn RM5 STARVoucher cashback with minimum spending of RM80 and Merdeka Cash Back campaign (1 August – 30 September 2022) that rewarded members with RM5 STARVoucher when they uploaded a shopping receipt of a minimum of RM65.

- **Digital Stamp Rewards:** Raya STAMP Rewards (8 April – 31 May 2022) & Shop More, Earn More this Diwali (1 – 31 October 2022) that rewarded members with RM5 STARVoucher after completing five digital stamps (RM100 spending = one digital stamp).
- **Redeem & Win:** Parents Day Redeem & Win (7 May – 30 June 2022) that allowed members to redeem lucky draw chances starting from a minimum of 50 STARS® to win great prizes which included Ogawa massage chair, Tomei necklace set, free stays at Ascott properties, AGift with Care gift sets and STARVouchers.
- **Concert Tickets Giveaway:** Popular Taiwanese artist – WeiBird’s concert tickets giveaway (30 June – 17 July 2022) and popular local Youtubers, DISSY artists’ concert tickets giveaway (6 – 20 December 2022). 20 tickets were given away to 10 lucky winners via the CapitaStar App’s Redeem & Win contest for each concert.

Partnership

CLMT malls collaborated with the following parties for better branding opportunities and exposure to potential customers:

- **BHPetrol** – Portfolio wide partnership with BHPetrol, Malaysia’s leading marketer and distributor of petroleum products since 1 May 2022 for better brand awareness and new CapitaStar members were entitled for petrol rebates or STARVoucher redemption.
- Collaboration with **Unilever brands** – Lux, Sunsilk, Dove and Clear on Parents Day giveaway campaign from May to June 2022.
- **MATTA Fair** – collaboration with the biggest travel fair in Malaysia from 2 to 4 September 2022 to gain on ground exposure to approximately 30,000 MATTA Fair visitors for CapitaStar recruitment.
- Collaboration with **Darlie** to giveaway free toothpaste to shoppers from 15 October to 31 December 2022.
- Collaboration with **popular local Youtubers, DISSY artists** where the artists made appearances at East Coast Mall on 22 October, Gurney Plaza on 6 November and 3 Damansara on 10 December 2022.

Splendour of Spring



A spring garden at the centre atrium of Gurney Plaza during Chinese New Year.

In celebration of the Lunar New Year of the Tiger, Gurney Plaza's centre atrium was transformed into a spring garden for the prosperous occasion and was elated to present the captivating theme: Splendour of Spring. The alluring celestial garden was guarded mystically by tall and strong bamboos, whilst being embellished by delicate blossoming flowers. In the heart of the garden, there was a 28ft giant lantern, pieced together with a beautifully designed round embroidery used as a backdrop. There were bubble shows every weekend from 8 Jan – 12 Feb 2022 and Shop & Win lucky draw to assist tenants in achieving better sales performance and reward our CapitaStar members.

Green Givers @ Gurney Plaza

In conjunction with Earth Hour and World Environment Day in March and April, Green Givers Campaign is an environmentally sustainable initiative supported by Penang Green Council. Through this recycling campaign, we collaborate with brands such as L'Occitane, Nespresso, Uniqlo, Neubodi, SenQ and Riicycle Penang to reward shoppers with CapitaStar Vouchers, carpark rebate and other prizes when they bring items to recycle at participating stores.

Batik Aidilfitri

In celebrating the glorious Hari Raya celebration, Gurney Plaza presented Batik Aidilfitri – a celebration filled with Malaysia's rich heritage, culture, and tradition.



Batik Aidilfitri presented in a neighbourhood kampung style for Hari Raya celebration.

Marketing & Promotions

Inspired by the motifs of batik, we have taken a slice of the widely adored Malaysian textile heritage and transformed the heart of Gurney Plaza into a friendly neighbourhood kampung. To enrich the element of batik further, Gurney Plaza has invited Penang-born, self-taught oil painter and illustrator Mandy Muang (also known as MAMA) to showcase a segment of her Orikata Tales, exhibiting her life-like Batik Origami animals (towel art) at our Batik House. To further spur the shopping experience, there were fun-filled experiential events such as a Batik Demonstration and Workshop by Penang Batik Factory, a Gamelan Performance, The Zapin Dance, Kuda Kepang, and our festive “Raya Shop and Win Contest”.

Art @ Gurney Plaza

Art @ Gurney Plaza is a collaboration between Gurney Plaza and Penang Art District (PAD) to create a community art space that will introduce various art forms of art and cultural activities at the mall. Objective of the collaboration is to introduce a variety of arts and cultural activities in the shopping mall, making art accessible to the community and to drive traffic to the mall.

Taste of Penang – International Food Festival

A food festival where Penang’s best cafes, restaurants, hotels, and food trucks gathered at Jalan Kelawai and Amphitheatre for Penang International Food Festival (PIFF) 2022 closing weekend – Taste of Penang (TOP). During the food festival, Penang-born singer, Abin Fang made a special appearance and performed live with his latest song to promote Penang tourism.

To Wish Upon a Star Christmas

Gurney Plaza beckons visitors ‘To Wish Upon a Star’ with a dreamy backdrop featuring a 10m-tall biscuit house inhabited by little bunnies, who are also hosting a children’s tea party.

Sweet treats are draped around Christmas trees while colourful deer roam about. A ballerina twirls atop a giant jewellery box while toy soldiers stand guard. Look upwards and you would also find a star-filled sky. Among this dreamland lies three mighty and honourable Nutcrackers, keeping guard whilst their eyes wander on the captivating and magnificent ballerina placed on a pedestal of a jewellery box. Two deers can also be found as they keep the bunnies’ company.



Little dreamland of make-believe at Gurney Plaza for Christmas season.

East Coast Mall

Prosperous Roar-Some Celebration

To welcome the Lunar New Year of Tiger, East Coast Mall has been transformed into a beautiful traditional Chinese Pavilion. Shoppers be immersed by our festive atmosphere which surrounded by auspicious elements. A beautiful, blooming peony flower garden surrounded by cranes, gold ingots, festive lanterns and cherry blossoms to usher in the abundance of good health, luck and a prosperous year ahead! Various activities and redemptions were organised including Double Happiness with 2X STAR\$ rewards, secret deals and Roar-some Lucky Draw with a minimum spend of RM88. Eight lucky shoppers stand a chance to win an exclusive Tiger gold bar worth RM1,688!

Wau! Aidilfitri

To celebrate Hari Raya during the transition period from pandemic to endemic, East Coast Mall transformed the main concourse into a traditional Malaysian house surrounded by art, colourful lights, palms trees and beautiful flowers. The delicate design and uniqueness of the traditional Wau all around the mall remind shoppers of the traditional culture in Malaysia. A special Mini-Wau Making Workshop on 24 Apr & 30 Apr 2022 from award winning Wau-Maker to promote Wau culture to our shoppers. The activity also aimed at forging bonds between the family and the kids while they visit East Coast Mall. Various rewards and



Mini-Wau Making Workshop drew interest from kids to learn more about Wau.

redemptions were carried out such as Wau! Aidilfitri Weekly Lucky Draw, Double Voucher Redemption, Parking Treat, Beauty Treat, Foodies Treat and Giving STARVoucher during the biggest festive in Malaysia to celebrate together with our shoppers.

Colours of Deepavali

To celebrate the festival of lights, East Coast Mall's main entrance was decorated with the colourful traditional kolam and peacock to bring prosperity, blessings and happiness, as well as the lantern display to brighten the shoppers' mood. A traditional henna art redemption activity was held to encourage shoppers and Deepavali Lucky Draw to rewards our shoppers in this lights festival.



Kolam and peacock decorations at the main entrance to attract good luck on Diwali.

Christmas WonderLand

East Coast Mall's main concourse was transformed into a Christmas wonderland with a giant mushroom house surrounded by reindeers, mushrooms, Christmas trees and poinsettias. Shoppers were able to experience a wonderland in celebrating the season of giving. Special performances Christmas dance show, Meet & Greet with Santa and Santarina and redemptions and lucky draw were held to entertain and reward the shoppers in this long-awaited, first post-Covid Christmas season and new year celebration.

Marketing & Promotions

Sungei Wang Plaza

Sungei Wang Plaza's marketing and promotional activities were organised through Sungei Wang Plaza's Management Corporation (SWPMC).

Traffic and awareness

Sungei Wang Plaza organised numerous iconic events to drive traffic and build awareness, included 1st Sungei Wang Lion Dance Championship from 15 to 18 January 2022; Sungei Wang Batik Revival in conjunction with Raya in March 2022; Bla Bla Music Fest with the appearance of Ben Nicky in July 2022; annual Mid-Autumn Lantern Parade on 9 September 2022; Grand opening of Akiba Street from 1 to 9 October 2022 and eSport Women Professional Championship from 11 to 13 November 2022.

Thematic sales events

Sungei Wang Plaza also organised numerous thematic sales events included Nijigen Expo in January and March 2022; Kopi Expo and Bundle Expo in March, May and December 2022; Original Classic and Puma clearance sales in July and December 2022, provided shoppers with the opportunities to shop for the limited edition apparels and unique merchandises.

Tourism tie-ups

Upon the reopening of Malaysian borders, Sungei Wang Plaza collaborated with Tourism Malaysia – Shop & Be Rewarded 2.0 and Welcome to Bukit Bintang Giveaways to attract both local and international tourists. Other localised events are Cuti-cuti Malaysia Sarawak from 28 to 30 October 2022 and Celebration Friendship between Malaysia and Japan from 10 to 11 September 2022.



Akiba Street opening festivities in October 2022.

3 Damansara



Fun activities during school holidays included kids' cosplay competition.

The Roar of the Majestic Tiger

3 Damansara presents 'The Roar of the Majestic Tiger', an abundant celebration in conjunction with the Lunar Year of the Tiger. Shoppers wishing to attract good fortune can bask in 3 Damansara's exclusive festivities while admiring the Golden Tiger as the icon of strength, surrounded by beautiful lanterns and cherry blossoms at the centre concourse, bringing the blessings of good health and prosperity! The shoppers could also browse their Chinese New Year goodies on offer at the various kiosks and enjoyed a line-up of performances and activities such as acrobatic lion dance, roving God of Wealth, drum performance and tiger acrylic painting workshops throughout the month-long celebration.

Art Space

A unique and memorable exhibition themed 'Art Space' was organised by 3 Damansara to promote, educate, and engage more people in arts and cultures. The Art Space brought together and exhibited works by a range of renowned local artists, including bonsai, Suiseki, fine art painting, wood art, and floral artwork. It was launched by YB Datuk Dr. Dominic Lau Hoe Chai, Senator, Parliament of Malaysia, along with an impressive line-up of art seminars, demonstrations, and workshops led by renowned professional artists.

GET, SET, GO, Awesome!

In conjunction with school holidays, 3 Damansara organised a variety of fun, creative & entertaining kids' activities for families, with enticing shopping incentives. Among these are photo opportunities, interactive experiences, and fun games such as cosplay and mascot appearances, kids' cosplay competitions, brick speed building competition, coloring contests, sand art, K-pop dance sessions provided by Par Fitness, saber academy, magic show, etc. An assortment of food and drinks, as well as apparel and toys for children were on offer at the centre concourse. Additionally, an Art for Rare Charity event was organised to raise funds for a program for Persons Living with Rare Disease.

A bundle of joy from fun activities during school holidays including kids' cosplay competition.

Mid-Autumn Festival Celebration

To celebrate Mid-Autumn festival, 3 Damansara invited shoppers to revel in the festive mood with 'Mid-Autumn Festival Celebration 花好月圆人长久', enhanced by festive decoration on the centre concourse for photo opportunities, wide array of Mid-Autumn goodies and exclusive rewards. The opening event was attended by Dato Sri Ong Tee Keat, as well as a diverse array of performances and activities, including mid-autumn photography competitions, vegetarian food tasting, fine tea tasting conducted by tea masters, lantern

Marketing & Promotions

parade, Hakka classical opera, Wushu and Guzhen performances, and various art & craft workshops. Besides, there was a Lotus Photography Charity Exhibition organised, featuring 100 masterpieces from renowned photographers from Malaysia and China, on the theme of the Lotus, as a symbol of purity. It symbolizes a life of virtue and a profound vision of a harmonious and happy life. A portion of the proceeds was donated to SJK (C) Bandar Sungai Long.

Cosplay Carnival

During the spooky month of October, 3 Damansara collaborated with Cosplay Fantasy to create the most epic Cosplay Carnival, a magical world of animations, manga, games, and cosplays with fun-filled performances and activities. There were more than 70 local cosplayers, doujin artists, and merchants participating in the 2-day event. Fans were able to meet their cosplay including special

guests Angie0_0, Amelia Khor, Momo Rex as the star-studded judges of the Cosplay Competition. Highlights would include the anime song concert by Amelia Khor, a never-before-seen special performance by TikTok star Pudds, and DJ Taka Kazuki remixing everyone's favorite anime tracks live. A special cat-themed maid cafe was featured at Cosplay Carnival exclusively by Nijikaeri Maid Cafe. There was also a photobooth themed around Sakura for participants in the Cosplay Competition who could take home a complimentary 4R print.

Gatorade 3on3 Basketball Challenge

Having collaborated with Gatorade, 3 Damansara created a basketball platform, hype, and buzz that was targeted at primary and secondary schools throughout Malaysia, with approximately 400 participants. A basketball workshop was held prior to the challenge to engage shoppers.



Basketball tournament held at the centre concourse of 3 Damansara.

The Mines

A Wishful Chinese New Year



"Wish Upon A Fortune Tree" Lucky Draw Contest and Auspicious Cruise Ride in celebrating Chinese New Year.

Chinese New Year was celebrated with a magnificent fortune wishing tree and the display of 12 Chinese zodiacs at the Centre Court, and The Mines cruises had been transformed into Chinese oriental design that offered a different festive celebration to the patrons. Key activities included the "Wish Upon A Fortune Tree" Lucky Draw Contest and Auspicious Cruise Ride that received well responses from the shoppers.

Music Festival with a series of mesmerizing singing, instrumental and dance performances by famous Malaysian artists, local academy and talents, offered a free platform for the local talents to perform on stage.

Pets & Plants Fiesta

As an attraction to the family crowd during the school holiday season, the mall held an array of interesting pets & plants activities, which included the display of more than 20 premium cat breeds, petting zoo with more than 30 animals to interact with, aquatic pets with free Betta fish giveaway, rare plants and charity sales by animal shelter home, in addition to 2x STAR\$ for all Pet Lovers Centre's receipts during the event period.

A Candelicious Christmas

To spread the Christmas festive cheers, The Mines Centre Court has been transformed into a whimsical Christmas Candyland filled with colorful, fun and vibrant candy and snack ornaments and



A giant Moroccan lamp with several different Instagrammable sections to welcome Raya festivities.

Cahaya Syawal Aidilfitri

A magnificent giant Moroccan lamp comprising several Insta-worthy compartments in different themes of neon lights, lamps and ornaments that signified a brighter Raya celebration this year. Activities included festive Gift With Purchase redemption, CapitaStar e-packet reward and other festive contests.

A Melodious Celebration of Malaysiaku

My.REKA Doodle Contest offered a platform for doodle enthusiasts to showcase their creativity and skills, and a live doodle session on Mini Cooper cars with cars displayed throughout the campaign period. Malaysia Day was celebrated with Malaysiaku

decorations that will be a photo-perfect memory for the shoppers. Shoppers can also enjoy free train rides together with Santa Claus every Sunday along with various types of weekend activities such as Christmas cookies making workshops, dance performances, Christmas caroling and Christmas parade. By spending of RM250 and above in a maximum of 2 receipts, shoppers will be able to redeem free Chocochip Cookies from emart24 or Royal Popcorn from TGV concession kiosk, also redeem a free pass to Christmas inflatable playground and free train and ferry wheel rides when they spend RM100 and above in a single receipt and join as M-Kidz Member. Shopper who spends RM30 and above can also partaking the Ice-Cream Eating Challenge organised together with emart24.

Operations Review

PORTFOLIO LEASE EXPIRY PROFILE

Majority of the tenancies of CLMT properties typically have a three-year lease term. The portfolio lease expiry remained spread out as at 31 December 2022, with 41.1% and 27.0% of the leases by gross rental income due for renewal in 2023 and 2024 respectively, with the balance expiring from 2025 onwards. For the portfolio lease expiry profile as at 31 December 2022 by gross rental income, 11.9% is made up by the lease expiry cases of anchor and mini anchor tenants. About 547 leases are due to expire in 2023, of which 6.8%, based on gross rental income, is made up by the lease expiry cases of anchor and mini anchor tenants.

Portfolio Lease Expiry Profile (as at 31 December 2022)

Property	Number of Leases	% of Gross Rental Income
2023	547	41.1
2024	281	27.0
2025 and beyond	258	31.9

Portfolio Lease Expiry Profile for 2023 (as at 31 December 2022)

Property	No. of Leases	% of Gross Rental Income	% of Net Lettable Area
Gurney Plaza	186	19.2	9.4
East Coast Mall	90	10.4	9.8
Sungei Wang Plaza	75	1.6	4.4
3 Damansara Property	69	3.7	5.0
The Mines	127	6.2	9.4
Total Portfolio	547	41.1	38.0

Note: No leases due for expiry in year 2023 for Valdor Logistics Hub.

PORTFOLIO TOP 10 TENANTS

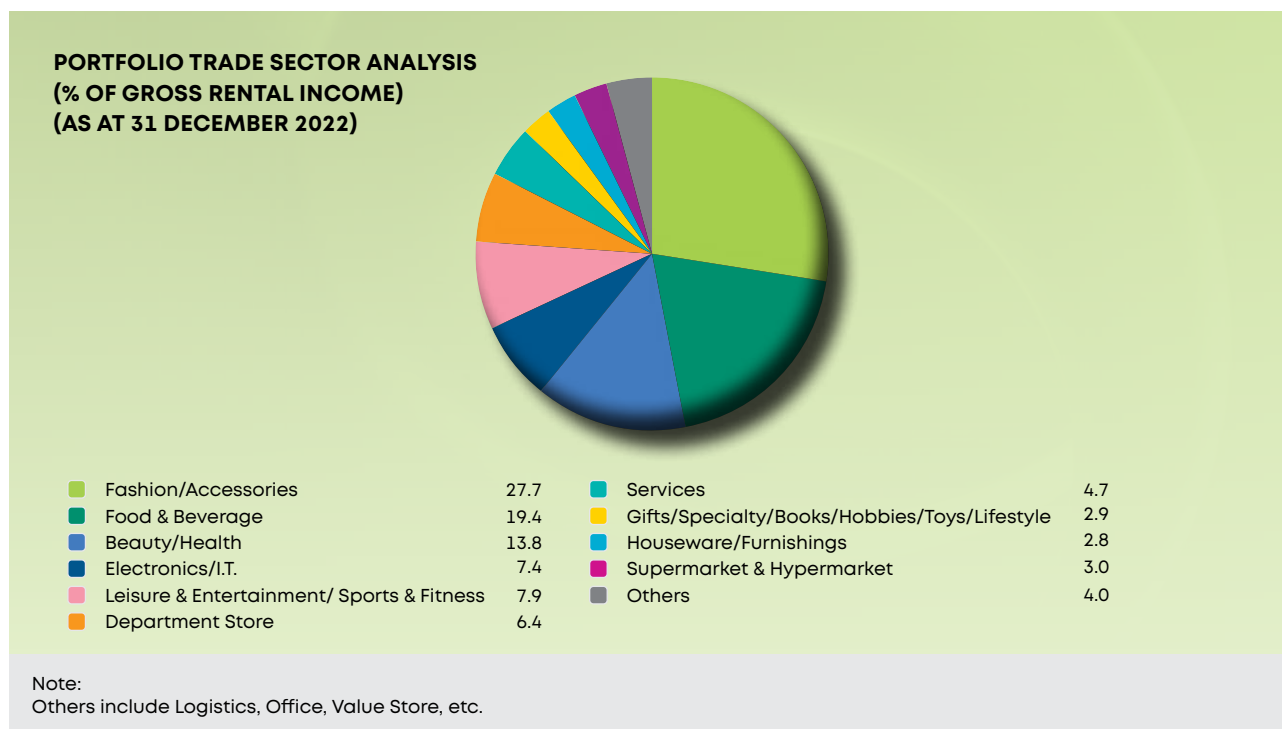
CLMT's gross rental income is well distributed within its portfolio of 1,089 leases. Collectively, the 10 largest tenants accounted for about 16.5% of the total gross rental income.

10 Largest Tenants of CLMT (as at 31 December 2022)

Tenant	Trade Sector	% of Gross Rental Income
Parkson Elite/Parkson	Departmental Store	6.0
Golden Screen Cinemas	Leisure & Entertainment/ Sports & Fitness	1.8
Padini Concept Store	Fashion/Accessories	1.6
MMP Logistic	Logistics	1.5
NSK Grocer	Supermarket/Hypermarket	1.1
Nando's	Food & Beverage	1.0
DB Schenker	Logistics	0.9
Watsons	Beauty/Health	0.9
JD Sports/ JD Sports, King of Trainers	Leisure & Entertainment/Sports & Fitness	0.9
Mr. D.I.Y.	Houseware/Furnishings	0.8
Total		16.5

PORTFOLIO TRADE SECTOR ANALYSIS

CLMT's portfolio is well diversified and leverages on many different trade sectors for rental income. As at 31 December 2022, Fashion/Accessories remained the largest contributor to gross rental income at 27.7% of the total portfolio. The Food & Beverage trade remained the second largest contributor to gross rental income at 19.4%.



PORTFOLIO OCCUPANCY RATE

As a result of active mall management, proactive leasing strategy and access to CapitaLand's extensive network of local and international retailers, CLMT's portfolio occupancy rate has remained largely stable, above 90%, throughout the years. However, following unprecedented pandemic challenges impacting the retail sector, CLMT malls were not spared which resulted in occupancy levels falling below 90% since 2020. On the back of the gradual recovery of retail sector post-COVID pandemic, the occupancy levels of CLMT's shopping malls too have seen improvements. With the addition of the fully occupied Valdor Logistics Hub, the portfolio occupancy rate as at 31 December 2022 improved to 85.9%. On same-mall basis, retail occupancy rate was 84.3% as at 31 December 2022, improving from 82.5% a year ago.

Occupancy Rate (%)

As at 31 December	2022	2021	2020	2019	2018
Gurney Plaza	98.2	96.3	98.6	99.8	99.9
East Coast Mall	98.2	97.5	97.4	99.5	99.0
Sungei Wang Plaza	75.6	66.4	64.2	82.0	75.3
3 Damansara Property	64.5	68.5	77.0	92.8	92.3
The Mines	79.0	76.2	85.2	90.5	89.1
Total Retail	84.3	82.5	86.6	93.8	93.2
Valdor Logistics Hub	100.0	–	–	–	–
Total Portfolio	85.9	82.5	86.6	93.8	93.2

Operations Review

BALANCING OCCUPANCY AND RENTAL REVERSION

For FY 2022, incoming average rents registered a decline of 3.0% against outgoing average rents for the retail properties. Our ongoing priority is to balance occupancy and rental rates particularly for the Klang Valley properties while continuing to rejuvenate and adjust retail tenant mix to remain relevant and in tune with evolving shoppers' behaviour.

Summary of Renewals/New Leases (excluding newly created and reconfigured units) (as at 31 December 2022)

Property	No. of New Leases/ Renewals	Change in rental rates ¹ (%)
Gurney Plaza	107	0.1
East Coast Mall	60	2.1
Sungei Wang Plaza	41	(25.8)
3 Damansara Property	24	(27.3)
The Mines	115	(1.8)
Total	347	(3.0)

¹ Change in the current average rental rates versus the preceding average rental rates.

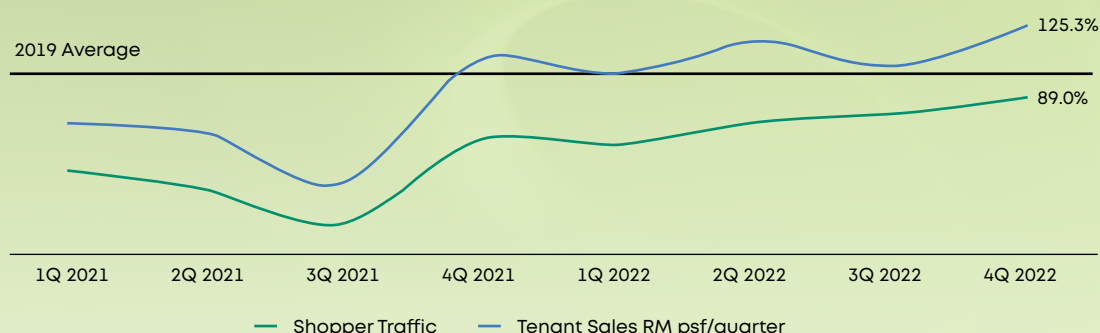
SHOPPER TRAFFIC

From April 2022, Malaysia has begun its transition to the endemic phase of COVID-19. In addition to reopening travel borders, the Government has lifted almost all pandemic-related restrictions on businesses to spur economic recovery. Malaysia's retail sector has benefitted from the increased economic activity and improvement in consumer sentiment resulting in the sustained recovery of shopper footfall and tenant sales in 2022. CLMT shopping malls registered an annual shopper traffic of 44.5 million in 2022, an improvement of 65.0% from the 27.0 million achieved a year ago.

Shopper Traffic and Tenant Sales Quarterly Performance

The relaxation of almost all COVID-19-related restrictions from April 2022 encouraged more shoppers to return to their usual shopping behaviour and patterns as all retail stores were permitted to operate as before. Following this development, we observed shopper footfall for CLMT portfolio recording gradual improvements particularly during festive celebrations. Shopper footfall and retail sales in 4Q 2022 continued to register improvements in line with the stronger domestic demand and tourist arrivals. With the anticipated uptick in higher inbound tourism in 2023, we expect Gurney Plaza and Sungei Wang Plaza, which are popular with foreign tourists, to benefit from this growth.

RECOVERY LEVELS FOR TENANT SALES PER SQ FT AND SHOPPER TRAFFIC FOR CLMT PORTFOLIO VS AVERAGE FOR 2019



PORTFOLIO VALUATION

CLMT conducted independent valuation of its portfolio in December 2022 and the methodologies applied included the income capitalisation method and comparison approach. Independent valuations for Retail properties as at 31 December 2022 saw a slight decrease of 0.4% year-on-year as a result of the prolonged COVID-19 impact on the Klang Valley properties. Capitalisation rates held steady compared to a year ago. Gurney Plaza and East Coast Mall reported a rise in value as they continue to defend their leading positions as the preferred lifestyle destination in the Northern and East Coast regions respectively. Independent valuations as at 31 December 2022 for Valdor Logistics Hub saw a slight increase of 1.3% when compared to the independent valuation as at 2 June 2022 due to improved anticipated market rent for the resilient logistics sector.

As at 31 December 2022, the valuations for Gurney Plaza, Sungei Wang Plaza and The Mines were conducted by Nawawi Tie Leung Property Consultants Sdn. Bhd. The valuation for East Coast Mall was conducted by Savills (Malaysia) Sdn. Bhd. while the valuations for 3 Damansara and 3 Damansara Office Tower (collectively known as 3 Damansara Property) and Valdor Logistics Hub, were conducted by PPC International Sdn. Bhd.

VALUATIONS AND PROPERTY YIELD

CLMT Portfolio	Valuation (RM million)			Property Yield (%)		Capitalisation Rate (%)	
	31 Dec 2022	31 Dec 2021	Increase/ (Decrease)	FY 2022	FY 2021	31 Dec 2022	31 Dec 2021
Gurney Plaza	1,675	1,665	10.0	5.7	3.9	6.75	6.75
East Coast Mall	590	579	11.0	7.5	5.7	7.00	7.00
Sungei Wang Plaza	422	442	(20.0)	(1.0)	(1.7)	7.00	7.00
3 Damansara Property	469	480	(11.0)	(0.4)	(0.2)	6.50	6.50
The Mines	655	660	(5.0)	2.8	2.1	7.00	7.00
Valdor Logistics Hub	81	–	1.0 ¹	5.8 ²	–	7.50	–
CLMT Portfolio	3,892	3,826	(14.0)	3.9	2.7		
Less: Additions			(27.1)				
FY 2022 Net Fair Value Losses			(41.1)				

- 1 The gain in valuation was arrived at by comparing the valuation as at 31 December 2022 against the first valuation conducted on 2 June 2022 for the purpose of asset acquisition.
- 2 Annualised net property income was used to arrive at the property yield.

ACQUISITIONS

On 7 June 2022, CapitaLand Malaysia REIT Management Sdn. Bhd., being the management company of CLMT, announced that MTrustee Berhad, on behalf of CLMT, had entered into a sale and purchase agreement with Ingenieur EPCM Sdn. Bhd. (formerly known as Dynaciate SPI Sdn. Bhd.) to acquire two plots of contiguous freehold land and industrial properties located within Kawasan Perusahaan Valdor, Sungai Jawi, Pulau Pinang, marking its entry into Malaysia's logistics sector after the expansion of its investment mandate beyond the retail sector to include properties in commercial, office and industrial asset classes. The total consideration of RM80 million for the logistics park was funded with bank borrowings and the acquisition was completed on 14 December 2022.

CLMT has secured its maiden offer for sustainability-linked loan from CIMB. The five-year RM60 million sustainability-linked loan facility incorporates interest rate reductions linked to pre-determined sustainability performance targets set out for CLMT's portfolio. Subject to fulfilment of terms and conditions, the loan will be available to refinance the bridging loans drawn for the acquisition of Valdor Logistics Hub.

Operations Review

RETAIL STRATEGY

GURNEY PLAZA

We continued to strengthen Gurney Plaza's positioning as a premium lifestyle mall in the Northern region by introducing new and refreshed affordable-luxury brands during the financial year. Some notable mentions include the opening of watch specialist The Hour Glass as well as the relocation of Rolex, one of the world's leading watch brands, to the main entrance of the mall. The store's new prominent location helped to underscore Gurney Plaza's market positioning and attract visitors. We continued to expand the mall's beauty and cosmetics offerings on the ground floor, welcoming well-known brands including French luxury perfume and cosmetics house Lancôme; and niche beauty curator Kens Apothecary. Skin wellness brand Elemis London introduced their first eco-concept store in Malaysia and has been well received. We also introduced trendy food and beverage (F&B) concepts including ParaThai, Mixue Ice Cream and Jipinhe Scones. During the financial year, we upgraded the mall's cooling towers to improve operational efficiency and escalator safety dividers have been installed for shopper safety.



Through continuous asset management efforts, occupancy rate as at 31 December 2022 improved to 98.2%.

In tandem with the easing COVID-19 measures, Gurney Plaza benefited from the resumption interstate travel and shopper traffic has kept its steady recovery momentum. Shopper traffic in FY 2022 is 90.1% against pre-COVID levels as the mall has yet to experience the full impact from the return of international tourists.



EAST COAST MALL

To stay ahead of consumer trends, we expanded East Coast Mall's fashion and athleisure offerings, bringing in international brands like Tommy Hilfiger, Calvin Klein Jeans, Anta and New Era. To capitalise on the growing popularity of coffee culture, we have also expanded the mall's F&B options with The Coffee Bean & Tea Leaf, Gigi Coffee and Jiwa Kopi & Bingsu. Meanwhile, fresh handmade cosmetics brand Lush's latest outlet in East Coast Mall showcases a new customer journey concept while existing tenants Levi's and Habib Jewels relocated their outlets and introduced new-to-market concept. To improve shopper experience, the mall has completed the first phase of toilet refurbishment during the financial year. The next phase will be completed in 2023.



Through continuous asset management efforts, occupancy rate as at 31 December 2022 improved to 98.2%.

In tandem with the easing COVID-19 measures, East Coast Mall benefited from the resumption interstate travel and shopper traffic has kept its steady recovery momentum. Shopper traffic in FY 2022 improved 55.6% year-on-year to 8.1 million.

Operations Review

SUNGEI WANG PLAZA

Various marketing-driven events were held throughout the year to capitalise on the improving economic environment as the nation transitioned into endemic phase. Through these events, we managed to attract younger crowds, evolving the shopper dynamics, before continuing into conversion into permanent tenants.



Various curated bundle events had been held at Sungei Wang Plaza with tremendous success and shoppers can now check out great deals from several of the Bundle Expo vendors at the Thrifted corner on second floor



The Last Kopek Bundle Expo event brought together more than 140,000 bargain hunters in search for thrift deals and preloved limited-edition goods.



One of the most sought-after Cosplay anime event, Nijigen Expo, is now a permanent feature at Jumba@Sungei Wang. Akiba Street features a cluster of different themed outlets and is a popular haunt for anime and cosplay enthusiasts.



The Malaysia Kopi Expo event which attracted more than 65,000 shoppers over the two-day weekend event.

As part of our continuous efforts in refreshing Sungei Wang Plaza's retail mix for shoppers, we have expanded the variety of halal food and beverage (F&B) options with the introduction of Richiamo Coffee, a local Malaysian establishment. Several more halal F&B operators have also been introduced including Kakatoo on the Concourse level. These additions cater to a wider range of shoppers and will certainly enhance the mall's appeal among the office and tourist crowd.



Richiamo Coffee



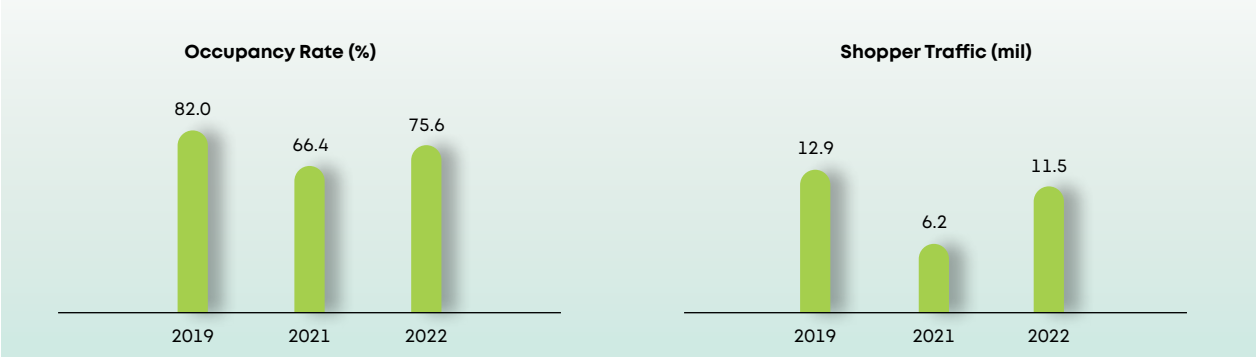
kakatoo

Sportswear brands Puma and Original Classic were brought in to refresh the sports-related offerings on the Concourse level.



Other new brands introduced at Sungei Wang Plaza in FY 2022 include 1901 Malaysia; Good2U, Happy Button gift and souvenir shop.

Meanwhile, Home's Kitchen which offers authentic Hakka home-cooked specialties has set up shop at Jumpa, complementing another Hakka-noodles store nearby, Yi-Poh. Gamer's Arena, a hobbyist store that features collectible items such as model kits, trading cards and action figures, has relocated from its previous lot in Sungei Wang Plaza to Jumpa. Occupancy rate as at 31 December 2022 was 75.6%.



In tandem with the easing COVID-19 measures, Sungei Wang Plaza benefited from the resumption of dining-in and social activities, as well as more employees returning to the workplace. As such, shopper traffic kept its steady recovery momentum with 2022 shopper traffic closing up to pre-COVID levels. Shopper traffic registered year-on-year improvements of 85.4% to bounce back to 11.5 million in 2022. With the decisive easing of travel restrictions and reopening of China's borders from January 2023, Sungei Wang Plaza is expected to benefit further from the influx of foreign tourists.

Operations Review

3 DAMANSARA

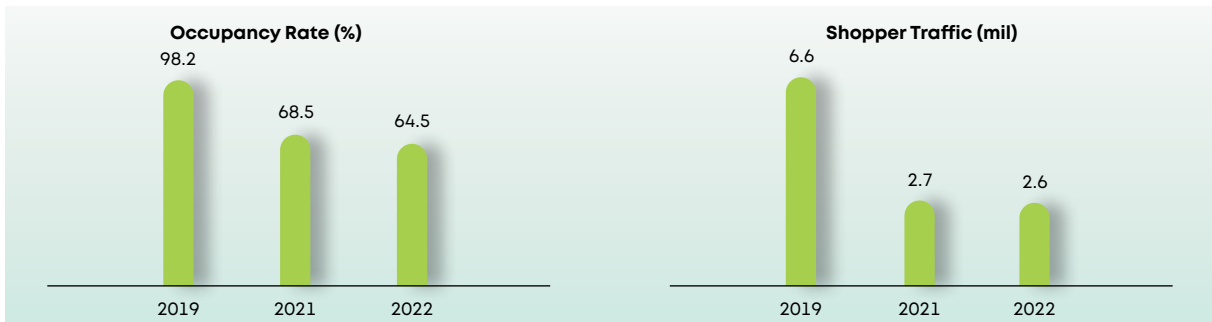
3 Damansara has been affected by the retail oversupply in the Klang Valley and unprecedented pandemic challenges faced by the retail sector. The current focus is to strengthen the mall's position as the preferred community hub and a one-stop and convenient destination to satisfy the community's daily essential needs. Targeted at young, urban families and working professionals within the vicinity, 3 Damansara's offerings are anchored on four key pillars: daily essentials and services; food and beverage; beauty and wellness; and enrichment and urban leisure.

The recent opening of NSK Grocer, occupying over 100,000 sq ft on the Lower Ground floor, in January 2023 will strengthen the mall's appeal and customers will also be able to patronise



NSK Grocer

this outlet for its deli offerings soon while there will be a section for casual dining that promises popular local fare. Occupancy rate as at 31 December 2022 was 64.5% while shopper traffic for FY 2022 recorded at 2.6 million.



THE MINES

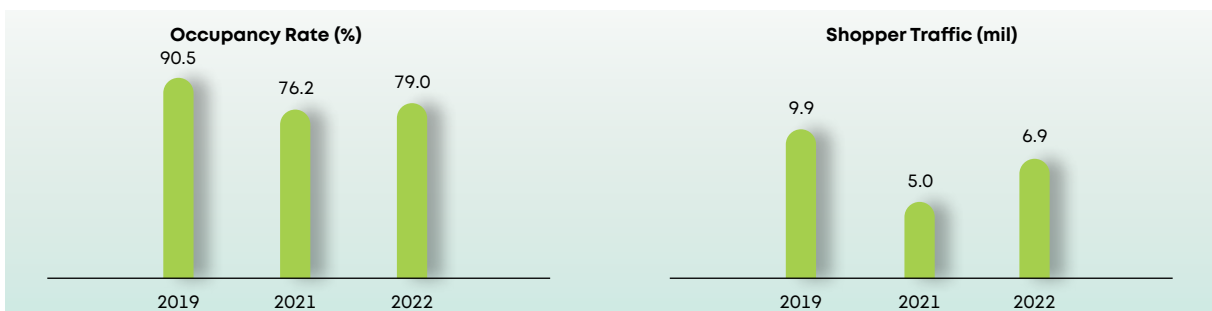
For The Mines, we continued to strengthen the mall's key trade categories in IT and F&B for FY 2022. There are various IT and services related to internet of things being offered including the expanded Mi Experience Store and refreshed Switch outlet. Several grab-and-go eateries such as Mug Mug and Bungkus Kaw Kaw have been well-received. Occupancy rate as at 31 December 2022 has improved to 79.0% from the previous year of 76.2%. The Mines recorded 6.9 million shopper traffic in FY 2022, a year-on-year improvement of 39.1% from the 5.0 million recorded a year ago.



Bungkus Kaw Kaw



Mug Mug



Financial Review

GROSS REVENUE

Gross revenue for FY 2022 of RM275.8 million was RM51.7 million or 23.1% higher than FY 2021. The increase was largely due to improvements across the various streams of income as the retail sector continued its recovery momentum to pre-COVID level as the economy transitions to endemic phase. Additionally, the gross revenue for the previous financial year was also impacted by the rental relief provided to targeted tenants.

Following the expansion of CLMT's investment mandate in June 2021, CLMT entered into Malaysia's logistics sector with the completion of an acquisition of a logistics park, Valdor Logistics Hub (VLH) in December 2022. Accordingly, the income contribution of VLH was recognised in CLMT Group's results during the financial year.

Gross Revenue by Property	FY 2022 RM'000	FY 2021 RM'000	Change (%)
Gurney Plaza	135,717	104,421	30.0
East Coast Mall	64,148	50,146	27.9
Sungei Wang Plaza	16,674	14,664	13.7
3 Damansara Property	17,435	18,876	(7.6)
The Mines	41,416	36,000	15.0
Valdor Logistics Hub	427	–	100.0
Total	275,817	224,107	23.1

NET PROPERTY INCOME

Net property income (NPI) for FY 2022 of RM152.5 million was RM49.4 million, or 47.9%, higher than FY 2021. The increase was a result of the abovementioned increase in gross revenue, which translated into higher NPI for CLMT Group. Gurney Plaza, East Coast Mall and The Mines continue to be the main contributors and had performed better than the previous financial year. The positive recovery in NPI also saw a write-back of provision for doubtful debts of RM4.9 million due to improvements in arrears collection.

Notwithstanding the above, operating expenses have increased especially on utilities consumption and maintenance works owing to the higher level of mall activities across CLMT's portfolio. The higher energy cost was also partially due to absence of electricity discount and ICPT rebate for non-domestic users.

Net Property Income by Property	FY 2022 RM'000	FY 2021 RM'000	Change (%)
Gurney Plaza	95,468	65,288	46.2
East Coast Mall	44,027	32,754	34.4
Sungei Wang Plaza	(4,108)	(7,617)	(46.1)
3 Damansara Property	(1,791)	(1,069)	67.5
The Mines	18,525	13,782	34.4
Valdor Logistics Hub	389	–	100.0
Total	152,510	103,138	47.9

DISTRIBUTIONS

For FY 2022, CLMT declared a distribution per unit (DPU) of 4.01 sen. During the financial year, CLMT made two income distributions to Unitholders, totaling RM62.9 million or 2.93 sen per unit, which comprised (i) a final income distribution for FY 2021 of 0.98 sen per unit for the period from 1 July 2021 to 31 December 2021, which was paid on 28 March 2022 and (ii) the first income distribution for FY 2022 of 1.95 sen per unit for the period from 1 January 2022 to 30 June 2022, which was paid on 19 September 2022. Both income distributions were subjected to Distribution Reinvestment Plan (DRP) where Unitholders may elect to convert the income distribution received (net of withholding tax) into new CLMT units. A total of 68,882,861 of new

Financial Review

units were issued out of 117,248,920 units eligible for the DRP exercises, representing a combined take-up rate of 58.7%. CLMT's final income distribution for FY 2022 of 2.06 sen per unit for the period from 1 July 2022 to 31 December 2022 will be distributed to Unitholders on 22 February 2023. The DRP will not be applicable for the final income distribution in view of the impending corporate exercise to raise equity funding for the proposed acquisition of Queensbay Mall. The total DPU from 1H 2022 and 2H 2022 of 4.01 sen represents a payout of approximately 100% of CLMT's FY 2022 distributable income of RM87.5 million.

Distribution History

	Period End	DPU sen	Distributions RM'000
FY 2022			
1 January 2022	30 June 2022	1.95	42,027
1 July 2022	31 December 2022	2.06	45,462
Total		4.01	87,489
FY 2021			
1 January 2021	30 June 2021	0.86	18,151
1 July 2021	31 December 2021	0.98	20,882
Total		1.84	39,033
FY 2020			
1 January 2020	30 June 2020	1.01	20,759
1 July 2020	31 December 2020	1.99	41,071
Total		3.00	61,830
FY 2019			
1 January 2019	30 June 2019	3.22	65,822
1 July 2019	31 December 2019	3.03	62,169
Total		6.25	127,991
FY 2018			
1 January 2018	30 June 2018	4.02	82,034
1 July 2018	31 December 2018	3.88	79,314
Total		7.90	161,348

FINANCIAL POSITION

The total assets for CLMT Group were RM4,015.6 million as at 31 December 2022 compared to RM3,932.9 million as at 31 December 2021. The increase of RM82.7 million was mainly due to the newly acquired logistics park at an acquisition cost of RM80.0 million and earnest deposit paid of RM19.8 million for the proposed acquisition of Queensbay Mall. Cash and cash equivalents have increased by RM8.1 million to RM84.3 million at balance sheet date due to higher collection of rent arrears and tenants were observed making prompt settlement on their monthly rental payment obligations.

Total borrowings increased by RM39.5 million to RM1,452.7 million¹ at the balance sheet date due to drawdown of revolving credit facilities as bridging loans to fund the acquisition of VLH and earnest deposit paid for the proposed acquisition of Queensbay Mall. The lower-than-expected increase in total borrowings was mainly due to the savings from the DRP exercises which helped to conserve at least RM35.5 million of CLMT's cash reserves.

Unitholders' fund for CLMT Group as at 31 December 2022 was RM2,418.1 million, an increase of RM26.8 million from 31 December 2021, this is mainly attributable to the increase in Unitholders' capital arising from the new units issued for the DRP exercises and management fees paid in units. The payment-in-kind obligations have created new CLMT units of 68,882,861 and 7,196,900 units, respectively, at the issue price between RM0.5119 and RM0.5750.

¹ Before deducting unamortised transaction costs.

Capital Management

The Manager continues to rigorously monitor the cash position and borrowings of CLMT Group with the view of strengthening its capital structure and competitive position.

BORROWINGS

The Manager's capital management strategy involves adopting and maintaining an appropriate prudent leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

In June and July 2022, CLMT Group obtained additional unsecured revolving credit facilities of RM25 million and RM50 million respectively. These facilities provide new source of fundings to support future acquisition of properties, capital expenditures and asset enhancement initiatives. At the same time in July 2022, CLMT Group has extended part of the existing fixed rate secured term loan for another five years.

In November 2022, CLMT MTN Berhad, a wholly owned subsidiary of CLMT, has secured commitment from the existing noteholder to continue the subscription of RM300.0 million unrated and secured Medium Term Notes (MTN) for another three years from its maturity date of 20 June 2023.

In December 2022, CLMT Group secured its maiden offer for sustainability-linked term loan of RM60 million to refinance the bridging loans drawn for the acquisition of Valdor Logistics Hub.

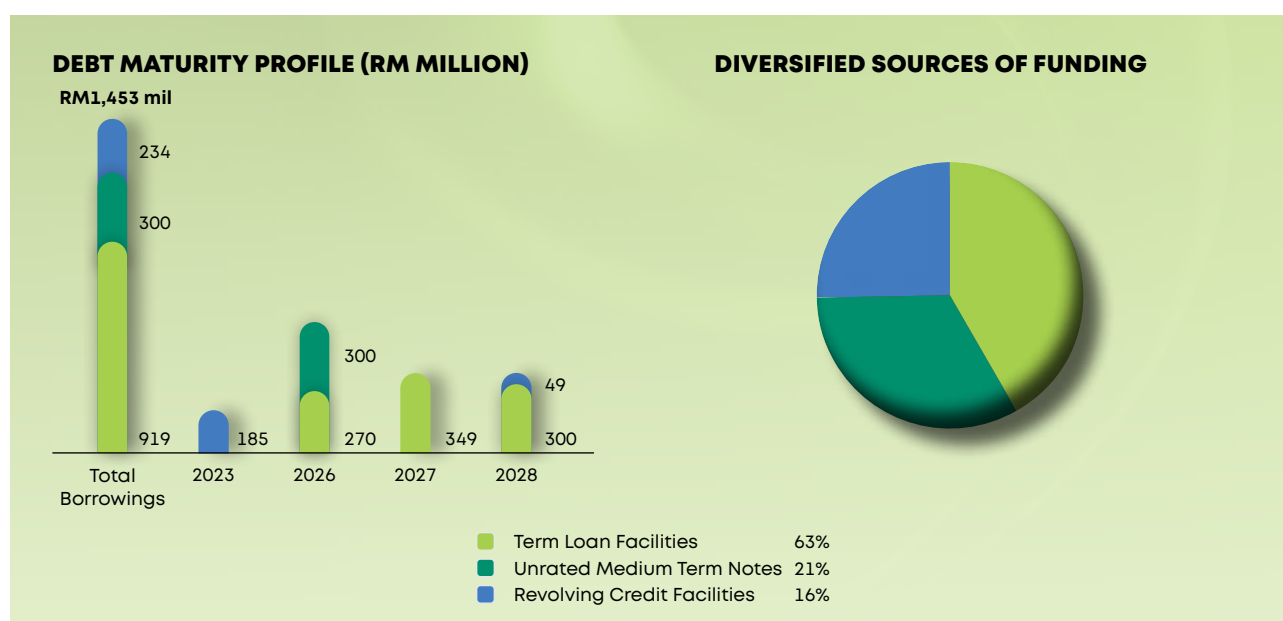
CLMT Group's initiative to manage interest rate has limited the adverse impact from the rising interest rate environment. Despite the increase in Bank Negara Malaysia's Overnight Policy Rate(OPR) by 100 basis points in FY 2022, CLMT Group's average cost of debt reduced from 3.3% in FY 2021 to 3.2% for the year under review as majority of CLMT Group's borrowings were fixed rate loans with most of them fixed during the low interest rate environment. As at 31 December 2022, the average term to maturity for outstanding debt was 3.6 years (FY 2021: 4.0 years) and CLMT Group locked in 79.0% (FY 2021: 81.0%) of its total borrowings at fixed rate.

The total borrowings of the CLMT Group as at 31 December 2022 was RM1,452.7million¹ (FY 2021: RM1,413.3 million), which translates to a healthy gearing level of 36.2% (FY 2021: 35.9%) and provides CLMT Group a comfortable debt headroom to increase its borrowings for future acquisition, carry out asset enhancement initiatives (AEI) and/or finance working capital needs.

Sungei Wang Plaza², East Coast Mall and Valdor Logistics Hub remain unencumbered at balance sheet date, thus providing CLMT Group further financial flexibility.

DEBT PROFILE

The debt maturity and diversified sources of funding profile for CLMT Group as at 31 December 2022 were as follows:



¹ Before deducting unamortised transaction costs.

² CLMT Group's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail Floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

Capital Management

CASH FLOWS AND LIQUIDITY

The Manager proactively monitors its cash and credit lines to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short term liabilities.

CASH AND CASH EQUIVALENTS

As at 31 December 2022, the cash and cash equivalents of CLMT Group stood at RM84.3 million, an increase of RM8.1 million compared to FY 2021. The increase was mainly the result of the operating cash inflows of RM155.5 million, offset by cash outflows of RM114.2 million and RM33.2 million from investing and financing activities respectively.

OPERATING ACTIVITIES

CLMT Group's operating net cash inflow for FY 2022 was RM155.5 million, an increase of RM72.5 million from the preceding year. The increase was mainly attributed to the higher net property income as well as higher collection of rent arrears during the financial year.

INVESTING ACTIVITIES

Net cash used in investing activities for the financial year of RM114.2 million was mainly the result of cash outflows of RM81.8 million which comprised of the acquisition cost for Valdor Logistics Hub and related incidental costs, RM19.8 million deposit paid for the proposed acquisition of Queensbay Mall, and a total of RM14.6 million incurred on capital expenditure and plant and equipment. The impact of these cash outflows were partly mitigated by interest income of RM2.0 million as a result of active cash management.

FINANCING ACTIVITIES

Net cash used in financing activities for FY 2022 amounted to RM33.2 million was mainly attributable to income distribution to Unitholders of RM27.4 million, interest and other financing cost paid of RM45.0 million which were offset by net drawdown of revolving credit facilities of RM39.5 million during the financial year.

Investor & Media Relations

We are committed to the principles of delivering timely, objective and transparent information to our stakeholders. Our stakeholders include Unitholders, potential retail and institutional investors, financial analysts, fund managers and the media. The senior management and investor relations (IR) team proactively engage with the investment community to provide a clear overview and explanation of CapitaLand Malaysia Trust (CLMT)'s business, operating performance and future growth strategy to raise the profile of CLMT among investors. The valuable feedback and insights gathered from these sessions allow the IR team to understand the investment community's views and concerns, which will then aid the senior management in investment decisions.

Guided by our Unitholders' Communication and Investor Relations Policy, we advocate a regular, effective and fair communication channel with our stakeholders. The policy is accessible on CLMT's corporate website (www.clmt.com.my) under the Investor Relations section.

To facilitate the prompt dissemination of information, all announcements and news are published on CLMT's corporate website including financial results, annual reports, property information as well as presentation materials used at conferences and roadshows. Investors may also sign up for email alerts to receive timely updates on CLMT's latest announcements and press releases. A dedicated "Ask Us" email address

(ask-us@clmt.com.my) is also available to address queries from investors and the general public.

PROACTIVE ENGAGEMENT WITH STAKEHOLDERS

In 2022, the senior management and IR team regularly and proactively engaged with institutional investors largely through virtual meetings, post-results investor briefings, conferences and roadshows. Updates on CLMT's latest developments, strategies in place, financial and operational performance, capital management and prospects were provided in a timely manner to the stakeholders.

Through our active participation in the Malaysian REIT Managers Association (MRMA), proactive engagements were also held regularly with the government, regulators and industry stakeholders to enhance regulatory framework and tax structures, amongst others, for the Malaysian Real Estate Investment Trust (M-REIT) industry. To elevate the profile for the M-REIT industry and showcase the progress of the respective M-REITs in the context of emerging trends and opportunities, and the growing importance of ESG, the MRMA organised the "M-REITs & The Road Ahead" forum in October 2022. CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM) participated as a panelist speaker and were also among the sponsors of the MRMA forum. The forum was attended by more than 300 attendees from the investment community.



Chief Executive Officer of CMRM, Mr. Tan Choon Siang, third from left, attended "M-REITs & The Road Ahead" organised by MRMA on 18 October 2022

Investor & Media Relations

We are also a member of the Malaysian Investor Relations Association (MIRA) and MIRA promotes best investor relations practices by creating opportunities for its members to share experiences and develop professionally.

EQUITY RESEARCH COVERAGE

Throughout the year, the IR team proactively engaged analysts and for CLMT, there are six analyst coverage.

We will continue to work with various securities firms and investment banks to expand our outreach to institutional investors, private banking clients, high net worth individuals and retail investors to expand CLMT's unitholding base and promote better trading liquidity of our units.

UNITHOLDERS' MEETINGS

The Annual General Meeting (AGM) and Extraordinary General Meeting (EGM) provide an important communication channel between the senior management and Unitholders. CLMT's AGM was held by fully virtual means on 30 March 2022 for the safety and wellbeing of Unitholders even as Malaysia began its transition to the endemic phase of COVID-19. Unitholders were invited to submit substantial and relevant questions ahead of the AGM. The Manager's Board of Directors and senior management team addressed their concerns and provided feedback during the virtual session. All resolutions were passed, and the voting results were published on Bursa Malaysia and made available on CLMT's corporate website. The Manager's responses to substantial and relevant questions were also published on CLMT's website within 24 hours upon the conclusion of the AGM, while the minutes of AGM was subsequently published on CLMT's website for greater transparency.



Board of Directors attended virtual AGM on 30 March 2022. All resolutions were approved by Unitholders during the AGM



Site visits to Gurney Plaza (top) and Queensbay Mall (bottom) with analysts and fund managers on 5 December 2022

CORPORATE DEVELOPMENTS

On 7 June 2022, CLMT made its first foray into the logistics sector with a DPU-accretive acquisition in Sungai Jawi, Penang. The IR team engaged closely with the analysts and investors to narrate the rationale of the acquisition and addressed their queries.

Subsequently, on 9 November 2022, CLMT announced its intent to acquire 91.8% of the total strata floor area of retail parcels in Queensbay Mall, Penang from its Sponsor, CapitaLand Investment Limited. The IR team developed a holistic communications plan that fully encapsulated the key investment merits to garner investor support for the acquisition. The senior management team also held briefing sessions with prospective and existing institutional investors to narrate the rationale of this investment and at the same time address any queries regarding this acquisition. Site visits were also arranged to enable analysts and institutional investors to have a better understanding of Queensbay Mall.

POST-RESULTS RESEARCH COVERAGE

Research Institutions	Date of Last Report	Recommendation	Target Price (RM)
CGS-CIMB Securities Sdn. Bhd.	10 November 2022	Hold	0.539
Kenanga Investment Bank Berhad	10 October 2022	Market Perform	0.510
Maybank Investment Bank Berhad	20 January 2023	Hold	0.550
RHB Research Institute Sdn. Bhd	20 January 2023	Neutral	0.590
TA Securities Holdings Berhad	20 January 2023	Buy	0.700
UOB Kay Hian Securities (M) Sdn. Bhd.	20 January 2023	Hold	0.500
Average Target Price			0.565

INVESTOR & MEDIA RELATIONS CALENDAR 2022

First Quarter	• Full Year 2021 results press release followed by media and analyst briefing • Full Year 2021 post-results briefing with institutional investors • Non-Deal Roadshow, Malaysia • CLMT Annual General Meeting
Second Quarter	• First Quarter 2022 results press release followed by analyst briefing • First Quarter 2022 post-results briefing with institutional investors • Proposed Acquisition of CLMT's First Logistics Property in Penang press release
Third Quarter	• First Half 2022 results press release followed by analyst briefing • First Half 2022 post-results briefing with institutional investors
Fourth Quarter	• Third Quarter 2022 results press release followed by analyst briefing • MRMA – M-REITs & The Road Ahead forum • CapitaLand Investment and CLI REITs Corporate Day 2022, Bangkok • Proposed Acquisition of Queensbay Mall in Penang press release • Proposed Acquisition of Queensbay Mall in Penang briefings with potential and existing institutional investors • Property visit to Gurney Plaza and Queensbay Mall, Penang for analysts and investors

UNITHOLDER & MEDIA ENQUIRIES

If you have any enquiries or would like to find out more about CLMT, please contact:

Jasmine Loo

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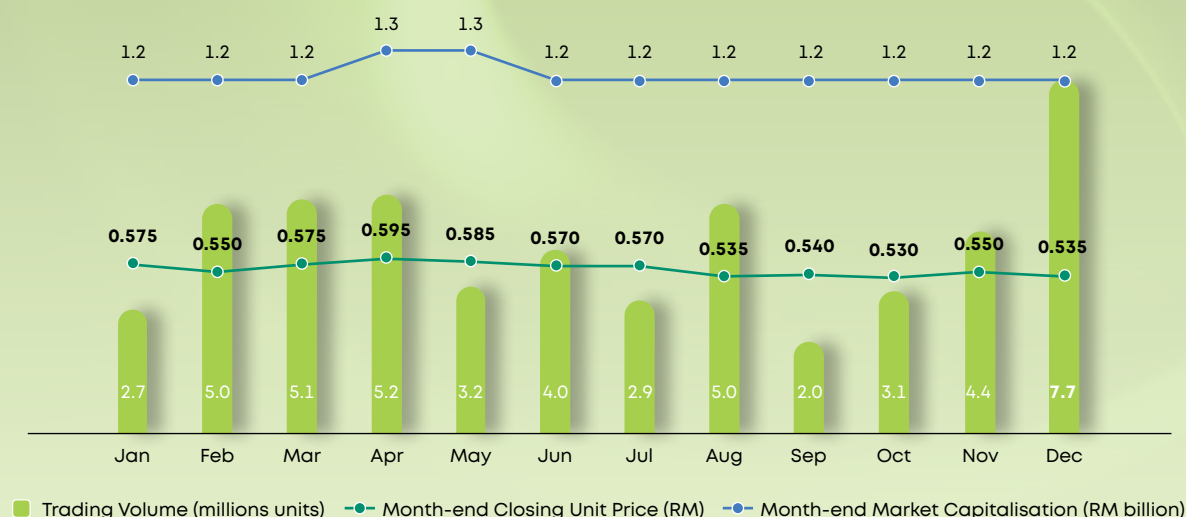
Website : www.clmt.com.my

Trading & Yield Performance

CLMT traded in the closing unit price range of RM0.510 to RM0.600 in 2022, concluding the year with a total trading volume of approximately 50 million units. This translated to an average daily trading volume of approximately 0.2 million units. With a closing unit price of RM0.535 as at

31 December 2022, the closing unit price reflected a potential 5.6% upside to the average target price of RM0.565 given by the analysts. As at 31 December 2022, CLMT's market capitalisation stood at approximately RM1.2 billion.

2022 MONTHLY TRADING PERFORMANCE



5-YEAR TRADING PERFORMANCE

Trading Highlights	FY 2022	FY 2021	FY 2020	FY 2019	FY 2018
Opening Market Price (RM per unit)	0.575	0.625	1.00	1.01	1.83
Closing Market Price (RM per unit)	0.535	0.575	0.625	1.00	1.01
Highest Closing Price (RM per unit)	0.600	0.74	1.02	1.13	1.47
Lowest Closing Price (RM per unit)	0.510	0.57	0.59	1.00	0.99
Total Trading Volume (million units)	49.9	167.0	204.8	181.5	257.3
Market Capitalisation ¹ (RM million)	1,180.7	1,225.2	1,289.9	2,051.8	2,064.6
Units in Circulation ² (unit '000)	2,206,935	2,130,856	2,063,846	2,051,753	2,044,176

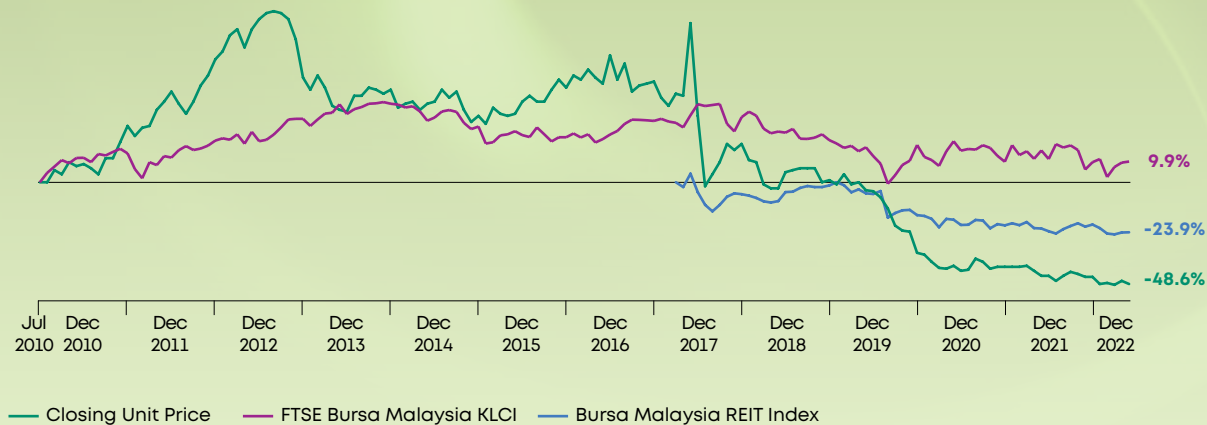
1 Based on the closing market price of the respective financial year.

2 Units in circulation at the end of the financial year.

TOTAL UNITHOLDER RETURN

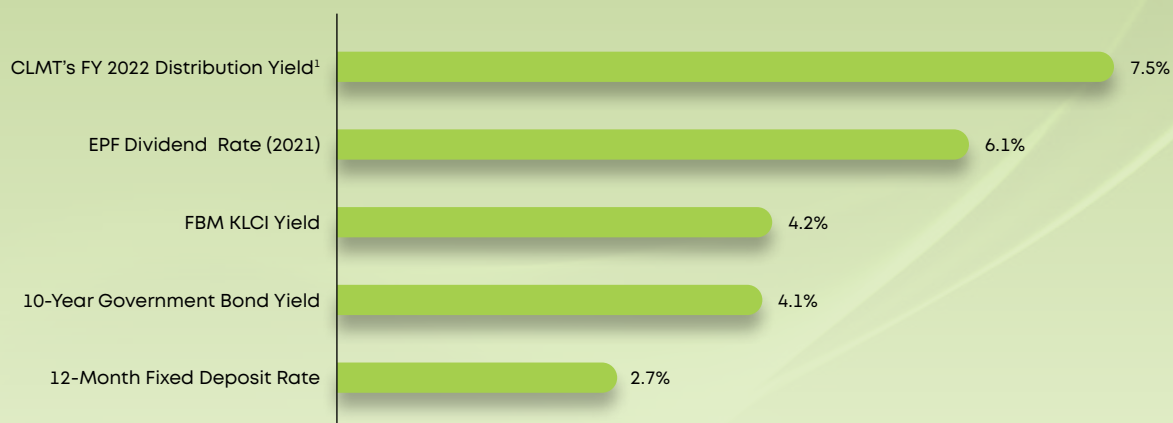
Total Unitholder Return	1-year (from 1 Jan to 31 Dec 2022)	3-year (from 1 Jan 2020 to 31 Dec 2022)	5-year (from 1 Jan 2018 to 31 Dec 2022)
Closing unit price on the last trading day prior to the commencement of the period (RM)	0.575	1.000	1.830
Capital Appreciation/(Depreciation) (RM)	(0.040)	(0.465)	(1.295)
Distribution per unit (RM)	0.0401	0.0885	0.230
Total return as at 31 December 2022 (%)	0.02	(37.7)	(58.2)

PRICE TRENDS SINCE CLMT'S IPO



Note:
Bursa Malaysia REIT Index was launched in 2017.

COMPARATIVE YIELDS



Source: Bloomberg, Bank Negara Malaysia, Employees Provident Fund.

¹ Based on DPU of 4.01 sen for the period 1 January 2022 to 31 December 2022 and the closing unit price of RM0.535 on 31 December 2022.

Corporate Governance

OUR ROLE

CapitaLand Malaysia REIT Management Sdn. Bhd. (Manager), the manager of CapitaLand Malaysia Trust (CLMT), set the strategic direction of CLMT and make recommendations to MTrustee Berhad (Trustee), in its capacity as trustee of CLMT on any investment or divestment opportunities for CLMT and the enhancement of the assets of CLMT in accordance with the stated investment strategy for CLMT. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager.

As the Manager, we have general powers of management over the assets of CLMT. Our primary responsibility is to manage the assets and liabilities of CLMT for the benefit of the Unitholders of CLMT. We do this with a focus on generating rental income and enhancing asset values over time so as to maximise returns from the investments and ultimately, the distribution and total returns to Unitholders.

Our other functions and responsibilities of the Manager include:

- (a) using our best endeavour to conduct CLMT's business in a proper and efficient manner in the best interests of the Unitholders;
- (b) preparing annual business plans for review by the Directors of the Manager, including forecasts on revenue, net income and capital expenditure, explanations on major variances in previous years' financial results, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions;
- (c) ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CLMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations;

- (d) attending to all regular communications with Unitholders; and
- (e) supervising Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Consultants Sdn. Bhd. (collectively, the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, marketing and promotion, operations coordination and other property management activities) for CLMT's properties namely Gurney Plaza, Sungei Wang Plaza¹, 3 Damansara and 3 Damansara Office Tower, The Mines, East Coast Mall and Valdor Logistics Hub.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. CLMT's environmental, sustainability and community outreach programmes are set out in the Sustainability Management section on page 108 to 133 of the CLMT Annual Report 2022.

The Manager administers the enterprise risk management and ensures that internal controls are in place to mitigate and manage the risks as set out in the Enterprise Risk Management section on page 103 to 107 of CLMT Annual Report 2022.

CLMT, constituted as a trust, is externally managed by the Manager.

The Manager appoints experienced and well qualified personnel to run its day-to-day operations. The Manager was appointed in accordance with the terms of the deed dated 7 June 2010 (as amended, supplemented or restated from time to time) (Trust Deed). The Trust Deed outlines certain circumstances under which the Manager can be removed, including by notice in writing given by the Trustee upon the occurrence of certain events, or by resolution passed by a simple majority of Unitholders present and voting at a meeting of Unitholders duly convened held in accordance with the provisions of the Trust Deed.

The Manager is a wholly owned subsidiary of CapitaLand Investment Limited (CLI) which also holds a significant unitholding interest in CLMT. CLI is a leading global real estate investment manager with a strong Asia foothold and has a vested interest in the long term performance of CLMT. CLI's significant unitholding in CLMT demonstrates its commitment to CLMT and as a result, CLI's interests is aligned with that of other Unitholders. The Manager's association

1 CLMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area, and (ii) 1,298 car park bays which comprise 100% of the car park bays.

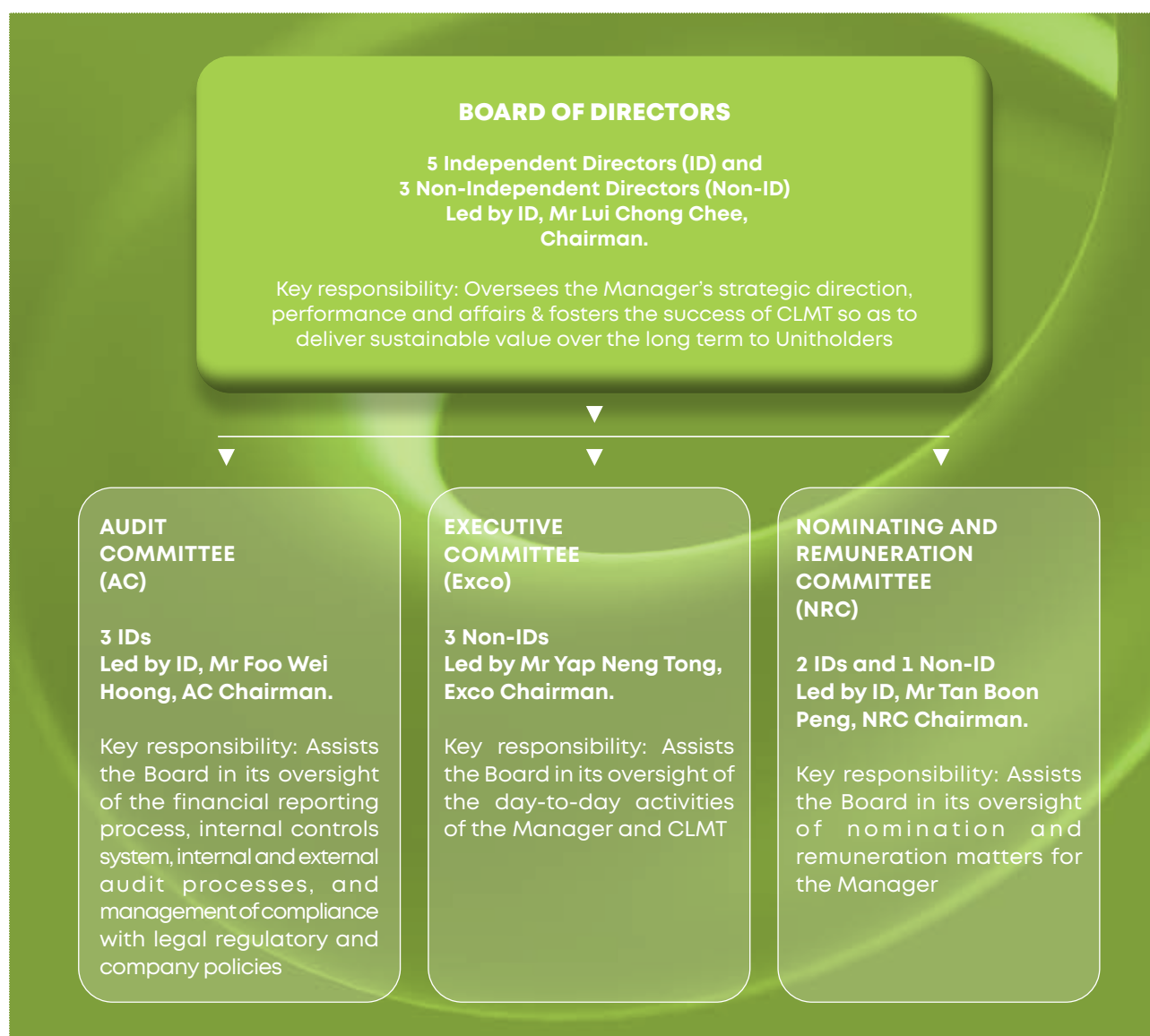
with CLI provides the following benefits, among other things, to CLMT:

- (a) a stable pipeline of property assets through CapitaLand Group;
- (b) wider and better access to banking and capital markets;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

OUR CORPORATE GOVERNANCE FRAMEWORK AND CULTURE

The Manager embraces the tenets of good corporate governance, including accountability, transparency and sustainability. It is committed to enhancing long term Unitholder value and has appropriate people, processes and structure to direct and manage the business and affairs of the Manager with a view to achieving operational excellence and delivering CLMT's long term strategic objectives. The policies and practices developed meet the specific business needs of the CLMT and provide a firm foundation for a trusted and respected real estate investment trust.

Our corporate governance framework is set out below:



Corporate Governance

The Board of Directors (Board) sets the tone from the top and is responsible for the Manager's corporate governance standards and policies, underscoring their importance to the Manager and CLMT.

This Corporate Governance Statement (Statement) sets out the Manager's application of the corporate governance practices for financial year (FY) 2022 with reference to the principles and practices of the Malaysian Code on Corporate Governance 2011 (Code) issued by the SC.

Throughout FY 2022, the Manager has applied in general with the principles and practices of corporate governance laid down by the Code and substantially, with the underlying provisions of the Code. Where there are deviations, appropriate explanations are provided in this Statement. This Statement also sets out additional policies and practices adopted by the Manager which are not provided in the Code.

BOARD MATTERS

Intended Outcome 1.0

Every company is headed by a board, which assumes responsibility for the company's leadership and is collectively responsible for meeting the objectives and goals of the company.

Practice 1.1: The board should set the company's strategic aims, ensure that the necessary resources are in place for the company to meet its objectives and review management performance. The board should set the company's values and standards and ensure that its obligations to its shareholders and other stakeholders are understood and met.

The Board oversees the strategic direction, performance and affairs of the Manager, in furtherance to the Manager's primary responsibility in fostering the success of CLMT so as to deliver sustainable value over the long term to Unitholders. It provides overall guidance to the management team (Management), led by the Chief Executive Officer (CEO). The Board works with Management to achieve CLMT's objectives and long term success and Management is accountable to the Board for its performance. Management is responsible for the execution of the strategy for CLMT and the day-to-day operation of CLMT's business.

The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to

assess and manage business risks and compliance with requirements under the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Malaysia, SC or other relevant authorities and such other applicable laws. It also sets the disclosure and transparency standards for CLMT and ensures that obligations to Unitholders and other stakeholders are understood and met. The goals and achievements of CLMT are set in the Balance Scorecard approved by the Board and measured at the end of each financial year. The Board also receives periodic reports on the risks, compliance, conflicts of interest and internal controls managed and applied by Management for CLMT and the Manager.

The Directors are fiduciaries and collectively, as the Board and individually, obliged at all times to act honestly and objectively in the best interests of CLMT. Consistent with this principle, the Board is committed to good ethics and integrity of action and has adopted a Code of Business Conduct and Ethics for Board (Board Code) which provides that every Director is expected to, among other things, adhere to the highest standards of ethical conduct. All Directors are required to comply with the Board Code. This sets the appropriate tone from the top in respect of the desired organisational culture and assists the Board in ensuring proper accountability by the Manager. In line with this, the Board has a standing policy that a Director must not allow himself or herself to get into a position where there is a conflict between his or her duty to CLMT and his or her own interests. Where a Director has a conflict of interest in a particular matter, he or she will be required to disclose his or her interest to the Board, recuse himself or herself from deliberations on the matter and abstain from voting on the matter. Every Director has complied with this policy, and where relevant, such compliance has been duly recorded in the minutes of meeting or written resolutions. The Board Code which was last revised on 28 July 2022 is published on CLMT's website at www.clmt.com.my (Website).

Furthermore, the Directors have the responsibility to act with due diligence in the discharge of their duties and ensure that they have the relevant knowledge to carry out and discharge their duties as Directors, including understanding their roles as executive, non-executive, and IDs, the business of CLMT and the environment in which CLMT operates. The Directors are also required to dedicate the necessary effort, commitment and time of their work as Directors, and are expected to attend all meetings of the Board, unless unusual circumstances make attendance impractical.

Board Committees

The Board has established various Board Committees to assist in the discharge of its functions. These Board Committees are the Audit Committee (AC), Nominating and Remuneration Committee (NRC) and the Executive Committee (Exco). The Board undertakes all the responsibilities for approving corporate disclosures other than certain non-material and routine disclosures which approvals are delegated to Management, following the dissolution of the Corporate Disclosure Committee on 1 February 2020.

All the Board Committees have clear written terms of reference setting out their respective composition, authorities and duties. Each of these Board Committees operates under delegated authority from the Board with the Board retaining overall oversight. The decisions and significant matters discussed at the respective Board Committees are reported to the Board on a periodic basis. The minutes of the Board Committee meetings which record the key deliberations and decisions taken during these meetings are also circulated to all Board members for their information. The composition of the various Board Committees is set out under the Corporate Information section of CLMT Annual Report 2022. The duties and responsibilities of the Board Committees are set out in this Statement.

The Board may form other Board Committees from time to time as dictated by business imperatives. The composition of each Board Committee is also reviewed as and when there are changes to Board membership and is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective Board Committees.

Meetings of Board and Board Committees

Board and Board Committee meetings are scheduled prior to the start of each financial year in consultation with the Directors. In line with good governance practices, the Manager leveraged on technology by conducting virtual meetings of the Board and Board Committees, which made it more convenient for meeting participation and robust discussion. The conduct of Board and Board Committee meetings which include a participation by any Director via audio or video conference is permitted by the Constitution of the Manager

(Constitution). If a Director is unable to attend a Board or Board Committee meeting, he or she may provide his or her comments to the Chairman or the relevant Board Committee chairman ahead of the meeting and these comments are taken into consideration in the deliberations. The Board and Board Committees may also make decisions by way of written resolutions. In addition to scheduled meetings, the Board may also hold ad hoc meetings as and when required by business imperatives.

At each scheduled Board meeting, the Board is apprised, amongst others, of the following:

- (a) significant matters discussed at the AC meeting which is typically scheduled before the Board meeting;
- (b) AC's recommendation on CLMT's periodic and year-end financial results following AC's review of the same;
- (c) decisions made by Board Committees in the period under review;
- (d) updates on the CLMT Group's business and operations in the period under review, including market developments and trends, as well as business initiatives and opportunities;
- (e) financial performance, budgetary and capital management related matters in the period under review, including any material variance between any projections in budget or business plans and the actual results from business activities and operations;
- (f) any risk management issues that materially impact CLMT's operations or financial performance;
- (g) updates on key Unitholder engagements in the period under review, as well as analyst views and market feedback;
- (h) prospective transactions which Management is exploring; and
- (i) summary of dealings in CLMT units by the Manager.

This allows the Board to develop a good understanding of the progress of CLMT Group's business as well as the issues and challenges faced by CLMT, as well as promotes active engagement with Management.

Corporate Governance

The Manager adopts and practises the principle of collective decisions and therefore, no individual Director influences or dominates the decision-making process. There is mutual respect and trust among the Directors and therefore the Board benefits from a culture of frank and rigorous discussions. Such discussions conducted on a professional basis contribute to the dynamism and effectiveness of the Board. The Board composition is such that there is diversity in views and perspectives which enriches deliberations and contributes to better decision-making by the Board. At Board and Board Committee meetings, all the Directors actively participate in discussions, and particularly, they engage in open and constructive debate and will challenge the Management on its assumptions and recommendations.

A total of seven (7) Board meetings were held in FY 2022 with the Company Secretary in attendance at every meeting while Management and internal and external auditors attended the Board and Committee meetings upon invitation, as and when necessary. The quorum for meeting of Directors is two (2), one (1) of which shall be a representative of CLI and one (1) independent Director. Decisions are determined by a majority of votes, including the affirmative votes of at least one (1) independent Director, with any member interested in the matter deliberated abstaining.

A table showing the attendance record of the Directors at meetings of the Board and Committees in FY 2022 is set out on page 94 of the Corporate Governance section of CLMT Annual Report 2022. The Manager believes in the manifest contribution of its Directors beyond attendance at formal Board and Committee meetings. To judge a Director's contributions based on his attendance at formal meetings alone would not do justice to his overall contributions, which include being accessible to Management for guidance or exchange of views outside the formal environment of Board and Board Committee meetings. In addition to the formal meetings held in FY 2022, Management has received and benefited from the strategic guidance of the Board through the Directors having had many interactive sessions with Management in person and also through electronic means.

Directors' Development

In view of the increasingly demanding, complex and multi-dimensional roles of a Director, the Board recognises the importance of continuous training and development, including material sustainability risks and opportunities for its Directors so as to equip them to discharge the duties and responsibilities

of their office based on their abilities as Directors. The Manager has in place a training framework to guide and support the Manager towards meeting the objective of having a Board which comprises individuals who are competent and possess up-to-date knowledge and skills necessary to discharge duties and responsibilities. Newly appointed Directors who have no prior experience as a director of a listed issuer are provided with training on the roles and responsibilities of a director of a listed issuer in accordance with the listing rules of the MMLR.

Upon appointment, each Director is provided a copy of the Director's Manual (which includes information on a broad range of matters relating to the role, duties and responsibilities of a director). All Directors, upon appointment, also undergo an induction programme which focuses on orientating the Director to CLMT's business, operations, strategies, organisation structure, responsibilities of the CEO and other persons having authority and responsibility for planning, directing and controlling the activities of the Manager (key management personnel), as well as financial and governance practices. Through the induction programme, the new Director also gets acquainted with members of Management which facilitates their interaction at Board meetings.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as Directors' duties and responsibilities, changes to regulations and accounting standards and industry-related matters, so as to be updated on matters that affect or which may enhance their performance as Directors or Board Committee members. The Directors may also recommend suitable training and development programmes to the Board. In FY 2022, the training and professional development programmes for the Directors included seminars conducted by experts and senior business leaders on board practices and issues faced by boards. The Directors also regularly receive reading materials on topical matters or subjects as well as updates on regulatory changes and their implications. The Board has been continuously briefed and updated on the Corporate Liability Provision under Section 17A of the Malaysian Anti-Corruption Commission (Amendment) Act 2018 (MACC Act), the gap analysis addressed with the policies and procedures put in place by Management for the Manager's compliance as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act and the latest development on the corporate governance issues.

All Directors have attended the Mandatory Accreditation Programme (MAP) as prescribed by Bursa Malaysia, within four months of their appointments. In addition to MAP, Mr Tan Choon Siang, who was appointed to the Board on 1 January 2022 had duly completed four (4) modules of the Capital Market Director Programme, within the timeline as required by the SC. Training programmes, seminars and conferences attended by the Directors during FY 2022 are set out on page 95 of the Corporate Governance section of CLMT Annual Report 2022.

Practice 1.2: A Chairman of the board who is responsible for instilling good corporate governance practices, leadership and effectiveness of the board is appointed.

The Board presently comprises eight (8) Directors, five (5) of whom are IDs. The Chairman of the Board is a non-executive ID. Profiles of the Chairman and the Directors are provided in Our Board of Directors section on page 20 to 26 of CLMT Annual Report 2022.

During FY 2022, Chairman has been responsible for:

- (i) providing leadership to the Board so that the Board can perform its responsibilities effectively;
- (ii) overseeing the Board agenda and interfacing between Management and Board members for delivery of information required at each Board meeting;
- (iii) leading all Board meetings and discussions;
- (iv) encouraging active participation and allowing dissenting views to be freely expressed by the Directors;
- (v) managing the interface between Board and Management on all other matters;
- (vi) ensuring appropriate steps are taken to provide effective communication with stakeholders and that their views are communicated to the Board; and
- (vii) leading the Board in establishing and monitoring good corporate governance practices in the Manager.

Practice 1.3: The positions of Chairman and CEO are held by different individuals.

The roles and responsibilities of the Chairman and the CEO are held by separate individuals, in keeping with the principles that there be a clear division of responsibilities between the leadership of the Board and Management and that no one individual has unfettered powers in decision making. The Board is led by Mr Lui Chong Chee whilst the CEO is Mr Tan Choon Siang. The Chairman and the CEO enjoy a positive and constructive working relationship between them and support each other in their respective leadership roles. They do not share any family ties.

The Chairman provides leadership to the Board and facilitates the conditions for the overall effectiveness of the Board, Board Committees and individual Directors. This includes approving the agenda set for the Board meetings and ensuring that there is sufficient information provided and time given at meetings to address all agenda items, and promoting open and constructive engagement among the Directors as well as between the Board and the Management on strategic issues.

The Chairman devotes considerable time to understanding the business of CLMT, as well as the issues and the competition that CLMT faces. He plays a leadership role by providing oversight, direction, advice and guidance to the CEO. He also maintains open lines of communication and engages with other members of Management regularly, and acts as a sounding board for the CEO on any strategic and significant operational matters.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO has full executive responsibilities to manage CLMT's Group business and to develop and implement policies approved by the Board.

The separation of the roles and responsibilities between the Chairman and the CEO and the resulting clarity of roles provide a healthy professional relationship between the Board and Management, facilitates robust deliberations on CLMT Group's business activities and the exchange of ideas and views to help shape CLMT's strategic process thus ensuring an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision-making.

Corporate Governance

Since the roles of the Chairman and the CEO are held by separate individuals who are not related to each other, whereby the Chairman is an ID, no lead ID is appointed.

Practice 1.4: The Chairman of the board should not be a member of the Audit Committee, Nomination Committee or Remuneration Committee.

Mr Lui Chong Chee is a non-executive independent Chairman and he is also a member of the NRC. The Board delegates and entrusts its review function to the NRC which operates within clearly defined terms of reference and specific powers granted thereunder.

The Board adopts and practices the principle of collective decision-making, no individual member can influence or dominate the Board's decision-making process. Based on peer review assessments conducted on objectivity and independence status of its members, the Board believes that the non-executive independent Chairman, is capable of exercising objective and impartial judgment to the Board's deliberations.

The Board also believes that having the same person assume the positions of Chairman of the Board and member of NRC helps to ensure that all key and appropriate issues are discussed in detail at the NRC before making any recommendation to the Board for decision.

Practice 1.5: The board is supported by a suitably qualified and competent Company Secretary to provide sound governance advice, ensure adherence to rules and procedures, and advocate adoption of corporate governance best practices.

The Board is supported by a suitably qualified and competent Company Secretary. The Directors also have separate and independent access to the Company Secretary of the Manager. The Company Secretary keeps herself abreast of relevant developments. She has oversight of corporate secretarial administration matters and advises the Board and Management on corporate governance matters. The Company Secretary attends Board meetings and assists the Chairman in ensuring that procedures are followed. The Company Secretary also facilitates the induction programme for new Directors and oversees professional development administration for the Directors. The appointment and the removal of the Company Secretary is subject to the Board's approval.

During FY 2022, the Company Secretary has advised on corporate disclosures and compliance with the Companies Act 2016 and provided updates on the Code, REITs Guidelines, Listing Requirements, the Corporate Liability Provision under Section 17A of the MACC Act and other related laws for the Manager's and Board's information.

Practice 1.6: Directors receive meeting materials, which are complete and accurate within a reasonable period prior to the meeting. Upon conclusion of the meeting, the minutes are circulated in a timely manner.

The Manager recognises the importance of providing the Board with complete, adequate and timely information prior to Board meetings and on an on-going basis, to enable the Directors to make informed decisions to discharge their duties and responsibilities.

The Company Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director at least five working days in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. The Board meets regularly and at each Board meeting, the CEO provides updates on CLMT's business and operations as well as its financial performance. Presentations in relation to specific businesses areas are also made by key executives and external consultants or experts. This allows the Board to develop a good understanding of the progress of CLMT's business as well as the issues and challenges facing CLMT, and also promotes active engagement between the Board and the key executives of the Manager.

In line with the Manager's ongoing commitment to minimise paper wastage and reduce its carbon footprint, the Manager does not provide printed copies of Board and Board Committee meeting materials. Instead, the Directors are provided with tablet devices to enable them to access and review meeting materials prior to and during meetings. This initiative also enhances information security as the meeting materials are made available through a secure channel. The Directors are also able to review and approve written resolutions using tablet devices.

The Manager practices timely circulation of the minutes of the Board and Committee meetings after each meeting. Minutes are complete and accurately reflect the deliberations and decisions

of the Board and Board Committees, including whether any Director abstained from voting or deliberating on any matter.

Intended Outcome 2.0

There is demarcation of responsibilities between the board, board committees and management. There is clarity in the authority of the board, its committees and individual directors.

Practice 2.1: The board has a board charter which is periodically reviewed and published on the company's website. The board charter clearly identifies: -

- > *The respective roles and responsibilities of the board, board committees, individual directors and management; and*
- > *Issues and decisions reserved for the board.*

The Board's duties and responsibilities have been guided by a Board Charter which include:

- (a) approving CLMT's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the risk management and internal control systems including financial, operational, compliance and information technology controls of CLMT and the Manager;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plan for the CEO; and
- (f) reviewing and approving the Board's compensation.

The Board Charter is periodically reviewed to reflect changes to the Board's policies, procedures and processes as well as any development in statutes and regulations that may have an impact on the discharge of the Board's duties and responsibilities. The Board Charter which was last revised on 28 April 2022 is published on the Website.

The Board has also adopted a set of internal control which establishes financial approval limits for capital expenditure, investments, divestments, bank borrowings and issuance of debt instruments and this is clearly communicated to Management in writing. The Board has reserved authority to approve certain matters including:

- (a) material acquisition, investments and divestments;
- (b) issue of new units in CLMT (Units);
- (c) income distributions and other returns to Unitholders; and
- (d) matters which involve a conflict of interest for a controlling Unitholder or a Director.

Apart from matters that specifically require the Board's approval, the Board delegates authority for transactions below the Board's approval limits to Board Committees and Management to optimise operational efficiency.

Intended Outcome 3.0

The board is committed to promoting good business conduct and maintaining a healthy corporate culture that engenders integrity, transparency and fairness.

The board, management, employees and other stakeholders are clear on what is considered acceptable behaviour and practice in the company.

Practice 3.1: The board establishes a Code of Conduct and Ethics for the company, and together with management implements its policies and procedures, which include managing conflicts of interest, preventing the abuse of power, corruption, insider trading and money laundering. The Code of Conduct and Ethics is published on the company's website.

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle workplace harassment and grievances are also in place.

The policies and guidelines are published on CapitaLand's Intranet which is accessible by all employees of the Manager. The policies that the Manager has implemented aim to help to detect and prevent occupational fraud mainly in three ways.

Corporate Governance

Firstly, the Manager offers fair compensation packages, based on practices of pay-for-performance and promotion based on merit to its employees. The Manager also provides various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures its employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. This is achieved through orientation training of new employees and periodic training updates for existing employees.

The Board has developed a Code of Business Conduct and Ethics for Board, which essentially sets out the standards of conduct expected from all Directors, including avoiding conflict of interest, duties of honesty and good faith, professionalism and commitment, preventing non-compliance with laws, rules and regulations. The Code of Business Conduct and Ethics for Board which was last revised on 28 July 2022 is published on the Website.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold the Manager's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings. This is in line with the Corporate Liability Provision under Section 17A of the MACC Act which came into force on 1 June 2020.

The Board had on 22 January 2020 adopted the anti-bribery and anti-corruption policy for the Manager's compliance (ABC Policy). The ABC Policy underpins CLMT Group's strategies in identifying, preventing and managing bribery and corruption issues. The ABC Policy applies to all Directors, managers and employees of the Manager in dealing with external parties in the commercial context. The Manager's zero-tolerance policy towards corruption and bribery has been extended to its

business dealings with third parties. Pursuant to the ABC Policy, among others, the Manager requires that certain agreements incorporate anti-bribery and anti-corruption provisions and communication of the zero-tolerance policy towards corruption and bribery is disseminated to all third parties in all correspondences to emphasise the Manager's commitment and seriousness. The ABC Policy is reviewed periodically to ensure that it continues to remain relevant, appropriate and effective to enforce the principles highlighted therein and to ensure continued compliance with the prevailing laws relating to corruption and bribery in Malaysia. A copy of the ABC Policy can be found on the Website.

A set of comprehensive communication slides has been established to communicate and disseminate the Corporate Liability Provision under Section 17A of the MACC Act as well as the ABC Policy throughout the CLMT Group through online training modules and other communication channels. The compliance with the policies and procedures put in place as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act will be monitored closely, both on an ongoing basis and in conjunction with the annual assessment of the CLMT Group's corruption risks. The annual risk assessment is carried out to identify the corruption risks to which the CLMT Group is exposed to and the appropriateness of the mitigation measures established to minimise the exposure to these risks.

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLATFA) lays down various activities which AMLATFA views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy on the prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. As part of its business operational practices, the Manager performs due diligence checks on its counterparties in order to ensure that it is able to detect any suspicious money laundering and terrorist financing activities and it does not enter into business transactions with terrorist suspects or other high-risk persons or entities.

Under this policy, all relevant records or documents relating to business relations with the CLMT's Group's customers or transactions entered into must be retained for a period of at least seven years following the termination of such business relations or the completion of such transactions.

All prospective employees, officers and Capital Markets Services Representatives Licence (CMSRL) representatives of the Manager are also screened against various money laundering and terrorism financing information sources and lists of designated entities and individuals provided by SC. Periodic training is provided by the Manager to its Directors, employees and CMSRL representatives to ensure that they are updated and aware of applicable anti-money laundering and countering of terrorism financing regulations, the prevailing techniques and trends in money laundering and terrorism financing and the measures adopted by the Manager to combat money laundering and terrorism financing.

Practice 3.2: The board establishes, reviews and together with management implements policies and procedures on whistleblowing.

A whistleblowing policy and other procedures are put in place to provide the Manager's employees and parties who have dealings with the Manager with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action.

The objective of this policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly and, to the extent possible, be protected from reprisal. The AC reviews all whistleblowing complaints at its scheduled meetings. Independent, thorough investigation and appropriate follow up actions are then taken. The outcome of each investigation is reported to the AC. All employees of the Manager are informed of this policy which is made available on CapitaLand's Intranet. A copy of the policy can be found on the Website.

Intended Outcome 4.0

The company addresses sustainability risks and opportunities in an integrated and strategic manner to support its long term strategy and success.

Practice 4.1: The board together with management takes responsibility for the governance of sustainability in the company including setting the company's sustainability strategies, priorities and targets. The Board takes into account sustainability considerations when exercising its duties including among others the development and implementation of company strategies, business plans, major

plans of action and risk management. Strategic management of material sustainability matters should be driven by senior management.

Practice 4.2: The board ensures that the company's sustainability strategies, priorities and targets as well as performance against these targets are communicated to its internal and external stakeholders.

Practice 4.3: The board takes appropriate action to ensure they stay abreast with and understand the sustainability issues relevant to the company and its business, including climate-related risks and opportunities.

The Board takes cognisance of the Code to strengthen the oversight of sustainability with five new practices.

In 2020, CapitaLand launched the Sustainability Master Plan that articulates the CapitaLand Group's sustainability targets, strategies and plans till 2030. The CapitaLand 2030 Sustainability Master Plan focuses on three key themes to drive sustainability efforts in the environment, social and governance (ESG) pillars, enabling the CapitaLand Group to create a larger positive impact for the environment and society. As a CLI-sponsored Real Estate Investment Trust, CLMT led by the Manager's CEO, is aligned with CapitaLand's 2030 Sustainability Master Plan. CapitaLand's 2030 Sustainability Master Plan is regularly reviewed where necessary to complement CapitaLand Group's business strategy and align with climate science.

To ensure the sustainability practice becomes an integral part of the organisational activities, the Board, had approved the sustainability performance and the achievement of set targets as part of CLMT Balanced Scorecard and these are cascaded down throughout the organisation from the Board through senior management to employees. Sustainability goals are part of the Balanced Scorecard for measuring performance which include measurements that track progress towards sustainability target for the Manager.

The Manager, through company disclosures and various engagement channels including dialogues, participation at conferences, member representations in industry related associations, benchmarking and responding to sustainability surveys seeks to understand its stakeholders' views, communicate effectively with them and respond to their concerns.

Corporate Governance

The Manager is committed to maintaining close stakeholder engagement and communication with key stakeholders.

The Board is mindful of the importance for its members to have an adequate understanding of the industry issues that may pose threat to the sustainability of the business, and they should possess the appropriate skills and experience to manage these risks. Whenever required, the Directors will undergo education programmes, such as through internal workshops and training to be apprised of changes to emerging sustainability issues including climate-related topics and their impacts on the Group.

Practice 4.4: Performance evaluations of the board and senior management include a review of the performance of the board and senior management in addressing the company's material sustainability risks and opportunities.

The Board effectiveness evaluation questionnaires for the financial year 2022 had been updated to include questionnaire on Board's oversight of ESG and sustainability-related performance measures. The Board concluded that ESG practices will remain one of the areas requiring ongoing focus and dedicated attention for continuous improvement.

Practice 4.5: The board identifies a designated person within management, to provide dedicated focus to manage sustainability strategically, including the integration of sustainability considerations in the operations of the company. (Step-up)

As part of the CapitaLand Group, CLMT's sustainability strategy is aligned to that of CLI. CLMT is committed to working towards long term and annual targets under CapitaLand's 2030 Sustainability Master Plan Framework. To strengthen its sustainability stewardship, the Manager has formalised a sustainability department effective January 2023, which is helmed by Ms Jasmine Loo, and supported by various Heads of Department of the Manager, and the Heads of Department of the operations and technical teams of CLI. Through the Sustainability department, the Board is updated regularly on matters relating to sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures.

Intended Outcome 5.0

Board decisions are made objectively in the best interests of the company taking into account diverse perspectives and insights.

Practice 5.1: The Nomination Committee should ensure that the composition of the board is refreshed periodically. The tenure of each director should be reviewed by the Nomination Committee and annual re-election of a director should be contingent on satisfactory evaluation of the director's performance and contribution to the board.

The Board has on 21 October 2021 established the NRC. The NRC is entrusted to assist the Board in, inter alia, matters relating to the appointment, re-appointment and retirement of Board and Board Committees members, review of Board's performance and Director's independence; the leadership development and succession plan and framework for the CEO; and the remuneration for the Directors.

The annual assessment of the Board, Board Committees and individual Directors was conducted by the NRC on 17 January 2023 using a self and peer assessment approach. The criteria for the evaluation are guided by the Corporate Governance Guide issued by Bursa Malaysia Berhad.

A summary of key activities undertaken by the NRC in discharging its nomination duties during the financial year under review and up to the date of this Statement is set out below:-

- (a) reviewed the size and composition of the Board, structure and membership of the Board Committees;
- (b) assessed the performance of the Board, Board Committees and individual Directors;
- (c) assessed the independence of all non-executive independent Directors;
- (d) reviewed whether a Director has been adequately carrying out his or her duties as a Director;
- (e) reviewed the payment of non-executive Directors' Fees;
- (f) reviewed the CLMT 2022 Balanced Scorecard; and
- (g) reviewed the Directors' Fit and Proper Policy.

Practice 5.2: At least half of the board comprises independent directors. For Large Companies², the board comprises a majority independent directors

² Large Companies refers to (1) Companies on the FTSE Bursa Malaysia Top 100 Index; or (2) Companies with market capitalisation of RM2 billion and above, at the start of the companies' financial year.

The Board has a strong independent element: it presently comprises eight (8) Directors, five (5) of whom (including the Chairman) are IDs. None of the IDs had served on the Board for nine years or longer. Profiles of the Directors are provided in Our Board of Directors section on page 20 to 26 of CLMT Annual Report 2022 reflecting that there is a majority of IDs on the Board of the Manager being manager of CLMT.

The Board reviews from time to time the size and composition of the Board and each Board Committee, with a view of ensuring that its size is appropriate in facilitating effective decision making, and the composition reflects a strong independent element as well as there is balance and diversity of thought and backgrounds. The review takes into account the scope and nature of CLMT Group's operations, and the competition that it faces.

Practice 5.3: The tenure of an independent director does not exceed a cumulative term limit of nine years. Upon completion of the nine years, an independent director may continue to serve on the board as a non-independent director. If the board intends to retain an independent director beyond nine years, it should provide justification and seek annual shareholders' approval through a two-tier voting process.

Practice 5.4: The board has a policy which limits the tenure of its independent directors to nine years without further extension. (Step Up)

The Board through NRC, assessed (and as and when circumstances require) the independence of each Director in accordance with the Listing Requirements, REITs Guidelines and the guidance in the Code. A Director is considered independent if he or she is independent in conduct, character and judgement, and:

- (a) has no relationship with the Manager, its related corporations, its major shareholders, CLMT's major Unitholders (being Unitholders who have interests in voting Units with 10% or more of the total votes attached to all voting Units) or the Manager's officers that could interfere, or be reasonably perceived to interfere with the exercise of his or her independent business judgement in the best interests of CLMT;
- (b) is independent from the management of the Manager and CLMT, from any business

relationship with the Manager and CLMT, and from every major shareholder of the Manager and every major unitholder of CLMT;

- (c) is not a major shareholder of the Manager or a major unitholder of CLMT;
- (d) is not employed by the Manager or CLMT or their related corporations;
- (e) has not served on the Board for a continuous period of nine years or longer;
- (f) is not and has not been an officer of the Manager or CLMT or their related corporations, the trustee of CLMT or its related corporation within the last three years;
- (g) has not been engaged as an adviser by the Manager or its related corporation under such circumstances as prescribed by Bursa Securities or is not presently a partner, director (except as an independent director) or major shareholder, as the case may be, of a firm or corporation which provides professional advisory services to the Manager or CLMT under such circumstances as prescribed by Bursa Securities within the last three years;
- (h) not acting as a nominee or representative of any executive director or major shareholder of the Manager or major unitholder of CLMT; and
- (i) has not engaged in any transaction with the Manager or CLMT under such circumstances as prescribed by Bursa Securities, or is not presently a partner, director or major shareholder, as the case may be, of a firm or corporation (other than subsidiaries of the Manager) which has engaged in any transaction with the Manager or CLMT under such circumstances as prescribed by Bursa Securities within the last three years.

There is a rigorous process to evaluate the independence of each ID. As part of the process:

- (a) each ID provides information on his business interests and confirms, upon appointment, as well as on an annual basis, that there are no relationships which interfere with the exercise of his independent business judgement in the best interests of Unitholders; and such information is reviewed by the NRC; and

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- (b) the NRC also reflects on the respective IDs' conduct and contributions at Board and Board Committee meetings, specifically, whether the relevant ID has exercised independent judgement in discharging his or her duties and responsibilities.

Each ID is required to recuse himself or herself from the Board's deliberations on his or her independence. In appropriate cases, the NRC also reviews the independence of an ID as and when there is a change of circumstances involving the ID. In this regard, an ID is required to report to the Manager when there is any change of circumstances which may affect his or her independence.

The NRC has also carried out the assessment of each of the independence of its IDs for FY 2022 and the paragraphs below set out the outcome of the assessment.

Mr Tan Boon Peng, Mr Lui Chong Chee, Encik Mohd Yusof bin Hussian, Mr Foo Wei Hoong and Ms Tan Ming-Li do not have any relationships which interfere with the exercise of their independence and have therefore demonstrated independence of character and judgement in the discharge of his/her responsibilities as a Director of the Manager in FY 2022. The Board was satisfied that each relevant non-executive Director had acted with independent judgement.

On the bases of the declarations of independence provided by the relevant ID and the guidance in the Code, REITs Guidelines and the Listing Requirements, the NRC concluded that each of Mr Tan Boon Peng, Mr Lui Chong Chee, Encik Mohd Yusof bin Hussian, Mr Foo Wei Hoong and Ms Tan Ming-Li is an ID. Each of the above Directors had recused himself or herself from the Board's deliberations on his or her independence. All assessments and evaluations carried out by the NRC were duly documented.

The Manager believes that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CLMT's business; renewal or replacement of a Director therefore does not necessarily reflect his/her performance or contributions to date. The Board has established the guideline that an ID will serve for an initial two three-year terms and any extension of term up to a maximum period of nine years (inclusive of the initial two terms served) will be individually considered by the Board. As at the date of this Statement, none of the ID had exceeded the maximum period.

Practice 5.5: Appointment of board and senior management are based on objective criteria, merit and with due regard for diversity in skills, experience, age, cultural background and gender. Directors appointed should be able to devote the required time to serve the board effectively. The board should consider the existing board positions held by a director, including on boards of non-listed companies. Any appointment that may cast doubt on the integrity and governance of the company should be avoided.

Practice 5.6: In identifying candidates for appointment of directors, the board does not solely rely on recommendations from existing board members, management or major shareholders. The board utilises independent sources to identify suitably qualified candidates. If the selection of candidates was based on recommendations made by existing directors, management or major shareholders, the Nominating Committee should explain why these source(s) suffice and other sources were not used.

Practice 5.7: The board should ensure shareholders have the information they require to make an informed decision on the appointment and reappointment of a director. This includes details of any interest, position or relationship that might influence, or reasonably be perceived to influence, in a material respect their capacity to bring an independent judgement to bear on issues before the board and to act in the best interests of the listed company as a whole. The board should also provide a statement as to whether it supports the appointment or reappointment of the candidate and the reasons why.

Directors' Fit and Proper Policy

In line with the new Paragraph 15.01A of the Listing Requirements, the Board had on 23 June 2022 approved and adopted the Directors' Fit and Proper Policy which outlined the fit and proper criteria for the appointment and re-appointment of Directors on the Board of the Manager and its subsidiaries. The said policy is devised to ensure that each of the Directors has the character, experience, integrity, competence and time to effectively discharge his or her role as a Director of the Manager and its subsidiaries. A copy of the Directors' Fit and Proper Policy is made available on the Website.

There was no person nominated for appointment as Director in FY 2022. Should there be any new appointment; NRC will assess the fitness and propriety of candidates that are to be appointed onto the Board as well as Directors who are seeking for re-election, pursuant to the Directors' Fit and Proper Policy.

The Board embraces diversity and formally adopted a Board Diversity Policy in January 2020. The Board Diversity Policy provides that the Board shall comprise talented and dedicated Directors with a diverse mix of expertise, experience, perspectives, skills and backgrounds, with due consideration given to other diversity factors including but not limited to diversity in business or professional experience, age and gender.

The Board believes in diversity and values the benefits that diversity can bring to the Board in its deliberations. Diversity enhances the Board's decision-making capability and ensures that the Manager has the opportunity to benefit from all available talent and perspectives.

The Board, in carrying out its duties of determining the optimal composition of the Board in its Board renewal process, identifies possible candidates and makes recommendations of board appointments to the Board whilst considers diversity factors such as age, educational, business and professional backgrounds of its members. Female representation is also considered an important aspect of diversity. The current Board comprises eight members who are professionals with varied backgrounds, expertise and experience including in finance, retail management, investment, real estate, legal and accounting. The current Board has one female member.

Though the appointment and re-appointment of Directors of the Manager is not subject to the approval of the Unitholders of CMLT, the Board has a formal and transparent process for the appointment and re-appointment of Directors. The NRC assisted the Board in matters relating to reviewing and recommending to the Board all nominations for the appointment and reappointment of Directors. For Board nomination, the NRC shall consider candidates on merit and against objective criteria and with due regard to the benefits of diversity on the Board, including gender, taking care that appointees have enough time available to devote to the position. Prior to the appointment of a Director, the proposed appointee shall be required to disclose any other business interests that may result in a conflict of interest and be required to report any future business interests that could result in a conflict of interest and of members to the various Board Committees.

During the financial year 2022, a new executive non-independent Director was appointed to the Board, which followed the above process. The Board is of the view that such a process provides an adequate basis to source for competent candidates to fill the positions of Directors in the Board.

Board Composition and Renewal

The Board strives to ensure that there is an optimal blend in the Board of backgrounds, experience and knowledge in business and general management, with expertise relevant to the CLMT Group's business and track record, whereby each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of the CLMT Group.

There is a structured process for determining Board composition and for selecting candidates for appointment as Directors. The Board through NRC evaluates the Board's competencies on a long term basis and identifies competencies which may be further strengthened in the long term. Board succession planning takes into account the need to maintain flexibility to effectively address succession planning and to ensure that the Manager continues to attract and retain suitably qualified individuals to serve on the Board. The process ensures that the Board composition is such that the Board has capabilities and experience which are aligned with CLMT's strategy and environment.

The NRC assisted the Board to carry out Board succession planning through the annual review of the Board's composition as well as when a Director gives notice of his or her intention to retire or resign. The NRC will seek to refresh the Board membership progressively and in an orderly manner, whilst ensuring continuity and sustainability of corporate performance.

The Board may retain external consultants from time to time to assist the Board in identifying suitable candidates for appointment to the Board. Candidates are identified based on the needs of CLMT and the relevant skills required, taking into account, among other things, the requirements in the Listing Requirements, REITs Guidelines and the Code, as well as the factors in the Board Diversity Policy. The candidates will be assessed against a range of criteria including their skills and expertise, market and industry knowledge. The Board also considers the qualities of the candidates, in particular whether they are aligned to the strategic directions and values of CLMT. In addition, the Board assesses the candidates' ability to commit time to the affairs of CLMT, taking into consideration their other current appointments.

Practice 5.8: The Nominating Committee is chaired by an Independent Director or the Senior Independent Director.

The NRC is chaired by Mr Tan Boon Peng, a non-executive independent Director.

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Practice 5.9: The board comprises at least 30% women directors.

Practice 5.10: The board discloses in its annual report the company's policy on gender diversity for the board and senior management

The Manager currently has eight (8) members, comprising seven (7) male Directors and one (1) woman Director on the Board, namely Ms Tan Ming-Li. Pursuant to the recent amendments to the Main Market Listing Requirements and REITs Guidelines, effective 1 June 2023, the management companies are required to have at least one (1) woman director on its Board. The Manager has met the said requirement.

Despite the Manager not meeting the 30% women directors in its board composition, it does not deprive the Board from objective decision-making from female perspective. Ms Tan Ming-Li has been in active legal practice since 1994. She specialises in corporate and securities law where she is principally involved in advising on capital market transactions, mergers and acquisitions, corporate restructuring as well as corporate finance related work. She has played an effective role in offering diverse perspectives and insights to the Manager and CLMT.

Nevertheless, the Board recognises and embraces the benefits of having a diverse Board and sees the increasing gender diversity at Board level as a good corporate governance practice, with that, the Board aims to achieve at least 30% female representation in the composition of the Board and senior management positions over the next one to two years when reviewing the nominations for the appointment and re-appointment of Directors for a new term. The formalisation of the appointment of woman candidate as Director(s) of the Manager will be the NRC's and Board's focused priority in year 2023 and 2024.

Intended Outcome 6.0

Stakeholders are able to form an opinion on the overall effectiveness of the board and individual directors.

Practice 6.1: The board should undertake a formal and objective annual evaluation to determine the effectiveness of the board, its committees and each individual director. The board should disclose how the assessment was carried out its outcome, actions taken and how it has or will influence board composition.

The Manager believes that oversight from a strong and effective Board goes a long way towards guiding a business enterprise to achieving success.

Whilst Board performance is ultimately reflected in the long term performance of CLMT Group, the Board believes that engaging in a regular process of self-assessment and evaluation of board performance provides an opportunity for the Board to reflect on its effectiveness including the quality of its decisions, and for Directors to consider their performance and contributions. It also enables the Board to identify key strengths and areas for improvement which are essential to effective stewardship and attaining success for CLMT.

As part of the Manager's commitment towards improving corporate governance, the Board has approved and implemented a process to evaluate annually the effectiveness of the Board as a whole and that of each of its Board Committees and individual Directors. The criteria for the evaluation are guided by the Corporate Governance Guide issued by Bursa Malaysia Berhad. As part of the process, a questionnaire is sent to the Directors, and the evaluation results are aggregated and discussed at the NRC meeting which were then shared with the Board and follow up action is taken where necessary with a view to enhance the effectiveness of the Board and individual Directors in the discharge of its or their duties and responsibilities respectively.

Board and Board Committees

The evaluation categories covered in the questionnaire included Board composition, Board processes, strategy, performance and governance, access to information and Board Committee effectiveness. As part of the questionnaire, the Board also considered whether the creation of value for Unitholders has been taken into account in the decision-making process. For FY 2022, the outcome of the evaluation was satisfactory and the Directors on the whole provided affirmative ratings across all the evaluation categories.

Individual Directors

The evaluation categories covered in the questionnaire include Director's duties, contributions, conduct and interpersonal skills, as well as strategic thinking and risk management. For FY 2022, the outcome of the evaluation was satisfactory and each of the Directors on the whole received affirmative ratings across all the evaluation categories.

The Board also recognises that contributions by an individual Director can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or Committee meetings.

Board Evaluation as an Ongoing Process

The Board believes that the performance evaluation should be an ongoing process and the Board achieves this by seeking feedback on a regular basis. The regular interactions among the Directors, and between the Directors and Management, also contribute to this ongoing process. Through this process of engaging its members, the Board also benefits from an understanding of shared norms among Directors which also contributes to a positive Board culture. The collective Board performance and the contributions of individual Directors are also reflected in, and evidenced by, synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, as well as lending support to Management in steering CLMT in the appropriate direction, for the long term performance of CLMT whether under favourable or challenging market conditions.

Intended Outcome 7.0

The level and composition of remuneration of directors and senior management take into account the company's desire to attract and retain the right talent in the board and senior management to drive the company's long term objectives. Remuneration policies and decisions are made through a transparent and independent process.

Practice 7.1: The board has remuneration policies and procedures to determine the remuneration of directors and senior management, which takes into account the demands, complexities and performance of the company as well as skills and experience required. The remuneration policies and practices should appropriately reflect the different roles and responsibilities of non-executive directors, executive directors and senior management. The policies and procedures are periodically reviewed and made available on the company's website.

A formal and transparent procedure exists for developing policies on Director and executive remuneration, and for fixing the remuneration packages of individual Directors and key management personnel, the primary responsibility of which has been delegated to the NRC. These policies are in line with CLMT Group's business strategy and the executive compensation framework is based on the key principle of linking pay to performance, which is aligned with the long term success of CLMT. Pay-for-performance is emphasised by linking total remuneration to the achievement of corporate and individual goals and objectives. The Board has access to independent remuneration consultants for advice on remuneration matters as and when required.

In terms of the process adopted by the Manager for developing and reviewing policies on remuneration and determining the remuneration packages for Directors and key management personnel, the Manager, through an independent remuneration consultant, takes into account compensation benchmarks within the industry, as appropriate, so as to ensure that the remuneration packages payable to Directors and key management personnel are in line with the objectives of the remuneration policies. It also considers the compensation framework of CLI as a point of reference. The Manager is a subsidiary of CLI which also holds a significant stake in CLMT. The association with the CLI Group puts the Manager in a better position to attract and retain better qualified management talent whereby it provides an intangible benefit to the Manager such that it allows its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and enhanced career development opportunities.

In FY 2022, an independent remuneration consultant, WTW (formerly known as Willis Towers Watson) provided professional advice on Board and executive remuneration. WTW, the consultant, is not related to the Manager, its controlling shareholder, its related corporations nor to any of its Directors.

Remuneration Policy for Key Management Personnel

The remuneration framework and policy is designed to support the implementation of CLMT Group's strategy and deliver sustainable Unitholder value. The principles governing the Manager's key management personnel remuneration policy are as follows:

Business Alignment

- › Focus on generating rental income and enhancing asset value over time so as to maximise returns from investments and ultimately the distribution and total return to Unitholders.
- › Provide sound and structured funding to ensure affordability and cost-effectiveness in line with performance goals.
- › Enhance retention of key talent to build strong organisational capabilities.

Motivate Right Behaviour

- › Pay for performance – align, differentiate and balance rewards according to multiple dimensions of performance.
- › Strengthen line-of-sight by linking rewards with performance.

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Fair & Appropriate

- › Ensure competitive remuneration relative to the appropriate external talent markets.
- › Manage internal equity such that the remuneration systems are being viewed as fair across the CLMT Group.
- › Significant and appropriate portion of pay-at-risk, taking into account risk policies of the CLMT Group, symmetrical with risk outcomes and sensitive to the risk time horizon.

Effective Implementation

- › Maintain rigorous corporate governance standards.
- › Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations.
- › Facilitate employee understanding to maximise the value of the remuneration programmes.

Remuneration for Key Management Personnel

Remuneration for key management personnel comprises a fixed component, variable cash component and employee benefits. A significant proportion of key management personnel's remuneration is in the form of variable compensation, awarded in a combination of short-term and long term incentives, in keeping with the principle that the interests of key management personnel align with those of Unitholders and that the remuneration framework links rewards to corporate and individual performance. The fixed component for key executives comprises the base salary, fixed allowances and compulsory employer contribution to the employees' Employees Provident Fund. The variable cash component comprises the Balanced Scorecard Bonus Plan which is linked to the achievement of annual performance targets for each key management personnel as agreed at the beginning of the financial year with the Board.

Under the Balanced Scorecard Framework, CLMT Group's strategy and goals are translated to performance outcomes comprising both quantitative and qualitative targets in the dimensions of:

- (a) Financial: This includes targets relating to profitability, distributions, capital structure, capital recycling and risk management;
- (b) Execution: This includes targets relating to occupancy rates, operational efficiency and stakeholder engagement;
- (c) Future Growth: This includes targets relating to investment or portfolio growth and asset enhancements; and

- (d) Sustainability: This includes targets relating to talent management, competency development and sustainability corporate practices.

These are cascaded down throughout the organisation, thereby creating alignment across the CLMT Group.

After the close of each year, the Board reviews CLMT Group's achievements against the targets set in the Balanced Scorecard and determines the overall performance taking into consideration qualitative factors such as the business environment, regulatory landscape and industry trends.

In determining the payout quantum for each key management personnel under the plan, the Board considers the overall business performance and individual performance as well as the affordability of the payout for the Manager.

For FY 2022, remuneration for key management personnel comprises a fixed component, a performance-based variable cash component, a performance-based variable equity-based component or cash-based component and market-related benefits. For the equity-based or cash-based component, for FY 2022, either shares of CapitaLand or cash was awarded pursuant to the Balanced Scorecard Bonus Plan of CapitaLand.

Practice 7.2: The board has a Remuneration Committee to implement its policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of board and senior management. The Committee has written Terms of Reference which deals with its authority and duties and these Terms are disclosed on the company's website.

The NRC which comprises exclusively non-executive directors with majority of them being independent directors, has been tasked with expanded duties and responsibilities to assist the Board in reviewing the appropriate framework and policies on matters relating to remuneration and compensation of the Board and key management personnel. The roles and responsibilities of the NRC are governed by its terms of reference. A copy of the terms of reference of the NRC can be found on the Website.

The Board assisted by the NRC, considers all aspects of remuneration, including overseeing the design and implementation of the remuneration policy and the specific remuneration packages for each Director and key management personnel. CLI engages independent remuneration consultants periodically to benchmark the remuneration of non-executive directors against the market. For the

FY 2022, the remuneration of Non-Executive Directors remains competitive and is benchmarked against a selected list of Malaysia REITs and property peers. No Director, however, is involved in any decision of the Board relating to his own remuneration.

Intended Outcome 8.0

Stakeholders are able to assess whether the remuneration of directors and senior management commensurates with their individual performance, taking into consideration the company's performance.

Practice 8.1: There is detailed disclosure on named basis for the remuneration of individual directors. The remuneration breakdown of individual directors includes fees, salary, bonus, benefits in-kind and other emoluments.

The Directors' fees for FY 2022 are shown in the table below. The CEO who is an executive Director,

is remunerated as part of the key management personnel of the Manager and does not receive any Director's fees. The non-executive Directors who are employees of the CLI Group also do not receive any Directors' fees. The compensation policy for Directors is based on a scale of fees divided into basic retainer fees for serving as Director and additional fees for attendance of and serving on any of the Committees. The framework for the non-executive Directors' fees has remained unchanged from that of the previous financial year.

The compensation package is benchmarked against market, taking into account the effort, time spent and demanding responsibilities on the part of the non-executive Directors in light of the scale, complexity and geographic scope of CLMT Group's business. The remuneration of non-executive Directors is reviewed from time to time to ensure that it is appropriate to attract, retain and motivate the non-executive Directors to provide good stewardship of the Manager.

Directors' Fees¹

Board Members	FY 2022 (RM)
Lui Chong Chee	251,000
Foo Wei Hoong	173,000
Tan Boon Peng	137,000
Mohd Yusof bin Hussian	151,000
Tan Ming-Li	151,000
Yap Neng Tong ²	181,000
Lim Cho Pin Andrew Geoffrey ²	131,000

1 Inclusive of attendance fees of (a) RM4,000 (local director) and RM5,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum.

2 In respect of the Directors who are nominees of CapitaLand, the Director's fees are payable to CapitaLand.

Practice 8.2: The board discloses on a named basis the top five senior management's remuneration component including salary, bonus, benefits in-kind and other emoluments in bands of RM50,000.

Practice 8.3: Companies are encouraged to fully disclose the detailed remuneration of each member of senior management on a named basis. (Step Up)

The Manager has opted not to disclose the top five Senior Management's remuneration. In arriving at its decision, the Manager has taken into account the intense competition for talent in the industry, as well as the need to balance the confidentiality and commercial sensitivities associated with remuneration matters. In addition, the remuneration of the CEO and other key management personnel

of the Manager is paid out of the fees that the Manager receives (of which the quantum and basis have been disclosed), and is not being borne by CLMT.

Intended Outcome 9.0

There is an effective and independent Audit Committee. The board is able to objectively review the Audit Committee's findings and recommendations. The company's financial statement is a reliable source of information.

Practice 9.1: The Chairman of the Audit Committee is not the Chairman of the board.

Practice 9.2: The Audit Committee has a policy that requires a former partner of the external audit firm of

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the listed company to observe a cooling-off period of at least three years before being appointed as a member of the Audit Committee.

Practice 9.3: The Audit Committee has policies and procedures to assess the suitability, objectivity and independence of the external auditor to safeguard the quality and reliability of audited financial statements.

Practice 9.4: The Audit Committee should comprise solely of independent directors. (Step Up)

The AC has established an External Auditors' Independence Guideline that considers among others:

- (a) The competence, audit quality and resource capacity of the external auditor (EA) in relation to the audit;
- (b) The nature and extent of the non-audit services rendered and the appropriateness of the level of fees; and
- (c) The written assurance obtained from the EA confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

The AC has reviewed the nature and extent of non-audit services provided by the EA during FY 2022 and the fees paid for such services. The AC also undertook a review of the independence of the EA, taking into consideration, among other factors, CLMT's relationship with the EA in FY 2022, as well as the processes and safeguards adopted by the Manager and the EA relating to audit independence. Based on the review and the results of the assessment by Management of the EA in FY 2022, the AC is satisfied that the EA are adequately resourced, effective and independent, the latter of which was confirmed through the provisions of the EA's written confirmation of their independence to the AC. The aggregate amount of fees paid and payable to the external auditors for FY 2022 was RM220,000, of which audit (and audit related) fees amounted to RM211,000 and non-audit fees amounted to RM9,000. The Chairman of the AC is not the Chairman of the Board. At present, the AC comprises three members, all of whom are non-executive independent directors (including the Chairman of the AC). The members bring with them invaluable recent and relevant managerial and professional expertise in accounting, auditing and related financial management domains.

The Manager had also adopted the enhanced practice introduced by the Code, i.e. a former partner of the EA is to observe a cooling-off period of at least three years before being appointed as a member of the AC. The extended cooling off period is to safeguard the independence of the audit by avoiding the potential threats and the former partner shall now apply to all former partners of the audit firm and/or its affiliates, including those providing advisory services and tax consulting. In this regard, the AC's terms of reference have been amended accordingly. Currently, none of the AC members was previously a partner of the incumbent external auditors, KPMG PLT (KPMG), within the period of three years commencing on the date of their ceasing to be a partner of KPMG. The AC also does not comprise former partners of CLMT's incumbent external auditors, KPMG (a) within a period of three years commencing from the date of their ceasing to be partners of KPMG; or (b) who has any financial interest in KPMG.

The AC has explicit authority to investigate any matter within its terms of reference. Management provides the fullest cooperation in providing information and resources, and in implementing or carrying out all requests made by the AC. The AC has direct access to the internal and external auditors and full discretion to invite any Director or key management personnel to attend its meetings. Similarly, both the internal and external auditors have unrestricted access to the AC.

Practice 9.5: Collectively, the Audit Committee should possess a wide range of necessary skills to discharge its duties. All members should be financially literate, competent and are able to understand matters under the purview of the Audit Committee including the financial reporting process.

At present, there is a level of financial literacy amongst the AC members who collectively have the appropriate competence and sufficient understanding of CLMT's business. The qualification and experience of the individual AC members are disclosed in Our Board of Directors section on page 20 to 26 in CLMT Annual Report 2022.

Key Audit Matters

In the review of the financial statements of the CLMT Group for FY 2022, the AC has discussed with Management the accounting principles that were applied and their judgement of items that might affect the integrity of the financial statements and also considered the clarity of key disclosures in the financial statements.

The AC reviewed the valuation of the investment properties, being the key audit matter as reported by the EA for FY 2022. The AC was updated of the valuation methodologies and key assumptions applied by the valuers for the investment properties in arriving at the valuations. Due diligence of the valuers' competency and independence was also presented to the AC.

The AC reviewed the outputs from the valuation process of the investment properties and held discussions with Management to review the valuation methodologies, focusing on significant changes in fair value measurement and key drivers of the changes including the reasonableness of the capitalisation rates adopted by the valuers.

The AC considered the findings of the EA, including their assessment of the appropriateness of valuation methodologies and the key assumptions applied in the valuation of the investment properties.

No significant matter came to the attention of the AC during the review.

The AC was satisfied with the valuation process, the methodologies used and the valuation of the investment properties. In FY 2022, the AC also met with the internal and external auditors, separately and without Management's presence, to discuss the reasonableness of the financial reporting process, the system of internal controls, and the significant comments and recommendations by the auditors.

In FY 2022, changes to accounting standards, accounting systems and accounting issues which have a direct impact on the financial statements were reported to and discussed with the AC at its meetings.

Intended Outcome 10.0

Companies make informed decisions about the level of risk they want to take and implement necessary controls to pursue their objectives.

The board is provided with reasonable assurance that adverse impact arising from a foreseeable future event or situation on the company's objectives is mitigated and managed.

Practice 10.1: The board should establish an effective risk management and internal control framework.

The Manager maintains an adequate and effective system of risk management and internal controls addressing material financial, operational, compliance and information technology (IT) risks to safeguard Unitholders' interests and CLMT Group's assets.

The Board has overall responsibility for the governance of risk and oversees the Manager in the design, implementation and monitoring of the risk management and internal control systems whilst the day-to-day risk management resides with the respective business units risk owners.

The AC and the Exco assist the Board in carrying out the Board's responsibility of overseeing the risk management framework and policies for CLMT Group.

The AC and the Exco, guided by their respective terms of reference, and in particular, during FY 2022:

- (a) made recommendations to the Board on CLMT Group's risk strategy, risk appetite and risk limits;
- (b) assessed the adequacy and effectiveness of the risk management and internal control systems established by the Manager to manage risks;
- (c) oversaw the formulation, updating and maintenance of an adequate and effective risk management framework, policies and strategies for managing risks that were consistent with CLMT Group's risk appetite and reported to the Board on its decisions on any material matters concerning the aforementioned;
- (d) made the necessary recommendations to the Board such that an opinion regarding the adequacy and effectiveness of the risk management and internal controls systems could be made by the Board in CLMT Annual Report 2022; and
- (e) considered and advised on risk matters referred to it by the Board or Management, including reviewing and reporting to the Board on any material breaches of the RAS (as defined below) any material non-compliances with the approved framework and policies and the adequacy of any proposed actions.

Practice 10.2: The board should disclose the features of its risk management and internal control framework, and the adequacy and effectiveness of this framework.

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risks in an integrated,

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systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

As part of the ERM Framework, the Manager undertakes and performs a Risk and Control Self-Assessment (RCSA) annually to identify material risks along with their mitigating measures. The adequacy and effectiveness of the systems of risk management and internal controls are reviewed at least annually by Management, the AC and the Board.

CLMT Group's Risk Appetite Statement (RAS), incorporating the risk limits, addresses the management of material risks faced by CLMT Group. Alignment of CLMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key risk indicators set for Management) put in place across the various functions within the Manager.

More information on the Manager's ERM Framework including the material risks identified can be found in the Enterprise Risk Management section on page 103 to 107 of CLMT Annual Report 2022.

The internal and external auditors conduct reviews of the adequacy and effectiveness of the material internal controls (including financial, operational, compliance and IT controls) and risk management systems. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal and external auditors are reported to and reviewed by the AC and the Exco. The AC also reviews the adequacy and effectiveness of the measures taken by the Manager on the recommendations made by the internal and external auditors in this respect.

The Board has received assurance from the CEO, the Chief Financial Officer and the relevant key management personnel of the Manager who have responsibility regarding various aspects of risk management and internal controls that the systems of risk management and internal controls for the CLMT Group are adequate and effective to address the risks (including financial, operational, compliance and IT risks) which the Manager considers relevant and material to its current business environment.

The CEO, the Chief Financial Officer and the relevant key management personnel of the Manager have obtained similar assurances from the respective risk and control owners for the purposes of Board assurance.

Based on the ERM Framework and the reviews conducted by Management and both the internal and external auditors, as well as the assurance from the CEO and the Chief Financial Officer of the Manager, the Board is of the opinion, that the system of risk management and internal controls (including financial, operational, compliance and IT risks) which the CLMT Group considers relevant and material to its current business environment as at 31 December 2022 is adequate. No material weakness in the systems of risk management and internal controls were identified by the Board or the AC in the review for FY 2022.

The Board notes that the systems of risk management and internal control established by the Manager provide reasonable assurance that CLMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However, the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

Intended Outcome 11.0

Companies have an effective governance, risk management and internal control framework and stakeholders are able to assess the effectiveness of such a framework.

Practice 11.1: The Audit Committee should ensure that the internal audit function is effective and able to function independently.

The Manager has in place an internal audit (IA) function supported by CapitaLand Group's Internal Auditors Department (CLI Group IA) which reports directly to the AC. CLI Group IA is independent of the activities it audits. The AC has carried out a review and is of the view that the internal audit function performed by CLI Group IA is, effective and independent. CLI Group IA plans its internal audit schedules in consultation with, but independently of, Management and its plan is submitted to the AC for approval prior to the beginning of each financial year. The AC also meets with CLI Group IA at least twice a year without the presence of Management. CLI Group IA has unfettered access to the Manager's documents, records, properties and employees, including access to the AC. During FY 2022, CLI Group IA has conducted all audit assignments pursuant to the 2022 annual internal audit plan as approved by AC and has also on a quarterly basis reported to AC a summary of the Related Party Transactions and Recurrent Related Party Transactions entered into by CLMT.

Practice 11.2: The board should disclose:

- (a) *whether internal audit personnel are free from any relationships or conflicts of interest, which could impair their objectivity and independence;*
- (b) *the number of resources in the internal audit department;*
- (c) *name and qualification of the person responsible for internal audit; and*
- (d) *whether the internal audit function is carried out in accordance with a recognised framework.*

CLI Group IA is adequately resourced and staffed with persons having relevant qualifications and experience. CLI Group IA is a corporate member of The Institute of Internal Auditors Inc. (IIA), Singapore, which is an affiliate of the IIA with its headquarters in the United States of America (USA). CLI Group IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by IIA, and has incorporated these Standards into its audit practices. With respect to FY 2022, the AC has reviewed and is satisfied as to the adequacy and effectiveness of the IA function.

None of the CLI Group IA team members are related to the CEO nor the Management. To ensure that internal audits are performed by competent professionals, CLI Group IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. For instance, CLI Group IA staff who are involved in IT audits have the relevant professional IT certifications and are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and information security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CLI Group IA identifies and provides training and development opportunities for its staff to ensure that their technical knowledge and skillsets remain current and relevant.

As of 31 December 2022, CLI Group IA staff strength is at 30 persons, including Head of CLI Group IA.

CLI Group IA is headed by Ms Jenny Tan. She has more than 10 years of experience in Internal Audit, Compliance and Group Finance. Ms Tan has a Masters of Professional Accounting (MPA) from University of Adelaide (Australia) as well as a Masters of Business Administration (MBA) from the University of Leicester (UK).

Intended Outcome 12.0

There is continuous communication between the company and stakeholders to facilitate mutual understanding of each other's objectives and expectations.

Stakeholders can make informed decisions with respect to the business of the company, its policies on governance, the environment and social responsibility.

Practice 12.1: The board ensures there is effective, transparent and regular communication with its stakeholders.

Practice 12.2: Large companies are encouraged to adopt integrated reporting based on a globally recognised framework.

The Manager is committed to keeping all Unitholders, other stakeholders, analysts and the media informed of the performance and changes in CLMT or its business which would likely materially affect the price or value of the Units. This is performed on a timely and consistent basis to assist Unitholders and investors in their investment decisions.

The Manager has in place an Investor Relations team which facilitates effective communication with Unitholders, analysts and the media. The Manager also maintains the website which contains information on CLMT including but not limited to current and past announcements and new releases, financial statements, investor presentations and annual reports of CLMT.

The Manager actively engages with Unitholders with a view to solicit and understand their views, and has put in place a Unitholders' Communication and Investor Relations Policy (IR Policy) to promote regular, effective and fair communication with Unitholders. The Policy, which sets out the mechanism through which Unitholders may contact the Manager with questions and through which the Manager may respond to such questions, is available on the Website. Unitholders are welcomed to engage with the Manager beyond general meetings and they may do so by contacting the Investor Relations department whose details may be found on the Website under the heading Ask Us or email the Manager at ask-us@clmt.com.my.

The Manager has a formal policy on corporate disclosure controls and procedures to ensure that CLMT complies with its disclosure obligations under the Listing Requirements. These controls and procedures incorporate the decision-making process and an obligation on internal reporting of the decisions made.

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More information on the Manager's investor and media relations initiatives can be found in the Investor & Media Relations section on page 63 to 65 of CLMT Annual Report 2022.

Intended Outcome 13.0

Shareholders are able to participate, engage the board and senior management effectively and make informed voting decisions at General Meetings.

Practice 13.1: Notice for an Annual General Meeting should be given to the shareholders at least 28 days prior to the meeting.

The Manager is committed to treating all Unitholders fairly and equitably.

All Unitholders enjoy specific rights under the Trust Deed and the relevant laws and regulations. These rights include, among other things, the right to participate in profit distributions. They are also entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings (including through proxies, if they are unable to attend in person, or if their Units are held through corporations).

All Unitholders were given at least 28 days' notice prior to the Annual General Meeting which is beyond the minimum requirement of 21 days. The notice includes details of the resolutions proposed along with any background information and reports or recommendations that are relevant. The Annual General Meeting of CLMT for 2023 will take place on 29 March 2023. Full details and the notification can be found in the Notice of Annual General Meeting section on page 214 to 218 of CLMT Annual Report 2022.

Practice 13.2: All directors attend General Meetings. The Chair of the Audit, Nominating, Risk Management and other committees provide meaningful response to questions addressed to them.

During FY 2022, all Directors namely, Mr Lui Chong Chee (Chairman), Mr Tan Choon Siang (CEO), Mr Foo Wei Hoong (AC Chairman), Mr Tan Boon Peng (NRC Chairman), En Mohd Yusof bin Hussian, Ms Tan Ming-Li, Mr Yap Neng Tong and Mr Lim Cho Pin Andrew Geoffrey attended (either in person or virtually) the 2022 Annual General Meeting held on 30 March 2022. The Directors were present to respond to any queries and clarifications addressed to them, if any. The presence of the Directors facilitates the unitholders to make informed voting decisions at the meeting.

Practice 13.3: Listed companies should leverage technology to facilitate –

- (a) voting including voting in absentia; and*
- (b) remote shareholders' participation at general meetings*

Listed companies should also take the necessary steps to ensure good cyber hygiene practices are in place including data privacy and security to prevent cyber threats.

Practice 13.4: The Chairman of the board should ensure that general meetings support meaningful engagement between the board, senior management and shareholders. The engagement should be interactive and include robust discussion on among others the company's financial and non-financial performance as well as the company's long term strategies. Shareholders should also be provided with sufficient opportunity to pose questions during the general meeting and all the questions should receive a meaningful response.

Practice 13.5: The board must ensure that the conduct of a virtual general meeting (fully virtual or hybrid) support meaningful engagement between the board, senior management and shareholders. This includes having in place the required infrastructure and tools to support among others, a smooth broadcast of the general meeting and interactive participation by shareholders. Questions posed by shareholders should be made visible to all meeting participants during the meeting itself.

CLMT supports the principle of encouraging Unitholders' participation and voting at general meetings. CLMT Annual Report 2022 is provided to Unitholders within 2 months from the end of CLMT's financial year. Unitholders may download CLMT Annual Report 2022 from the Website and printed copies of the same are available upon request. More than the legally required and minimum notice period for general meetings is generally provided by CLMT. Unitholders will receive the notices of general meetings and may download these notices from the Website. Notices of the general meetings are also advertised in the press and issued on Bursa Link. The rationale and explanation for each agenda item which requires Unitholders' approval at a general meeting are provided in the notice of the general meeting or in the accompanying circular (if any) issued to Unitholders in respect of the matter(s) for approval at the general meeting. This enables Unitholders to exercise their votes on an informed basis. Unitholders can download CLMT Annual Report 2022 and notice of the annual general meeting electronically at www.clmt.com.my while printed copies will be available upon request.

Notices of the general meetings are also advertised in the press and issued via Bursa Link. All Unitholders are given the opportunity to participate effectively in and to vote at general meetings.

The AGM of CLMT held on 30 March 2022 (2022 AGM) was conducted on virtual basis through live streaming and online remote voting using the Remote Participation and Voting (RPV) facilities managed by the Poll Administrator, Boardroom Share Registrars Sdn Bhd. The RPV facilities enabled unitholders to participate, posed questions (via real time submission of typed texts) and vote remotely without physically attending the meeting. The Poll Administrator is using the core Lumi AGM software of which there are security measures in place to address any potential cyber threats when conducting the virtual meetings. The Poll Administrator also has in place due process which ensured only registered unitholders are allowed to participate in the virtual meetings. The administrative details of the 2022 AGM as well as the detailed registration and voting procedures were shared with the Unitholders and the same were also published on the Website.

At the 2022 AGM, Management made a presentation to Unitholders to update them on CLMT's performance, position and prospects. The presentation materials were made available to Unitholders on the Website and Bursa Link. Unitholders were informed of the rules governing general meetings and were given the opportunity to communicate their views and discuss with the Board and the Management matters affecting CLMT. Representatives of the Trustee, Directors (including the chairmen of the respective Board Committees) and key management personnel were present for the entire duration of the 2022 AGM to address any queries from the Unitholders.

To safeguard Unitholders' interests and rights, a separate resolution is proposed for each substantially separate issue at general meetings. To ensure transparency in the voting process and better reflect Unitholders' interest, the Manager conducts electronic poll voting for all the resolutions proposed at the general meetings. One Unitholder is entitled to one vote. Voting procedures and the rules governing are explained and vote tabulation procedures are disclosed at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast, for or against and the respective percentages, on each resolution are tallied and displayed 'live on-screen' to Unitholders immediately at the general meetings. An independent scrutineer is

also appointed to validate the vote tabulation procedures. Votes cast for or against and the respective percentages, on each resolution are tallied and displayed 'live' on-screen to Unitholders immediately after each resolution is voted on at the general meeting. The total number of votes cast for or against each resolution and the respective percentages are also announced on Bursa Link after the general meetings. Voting in absentia and by email may only be possible following careful study to ensure that the integrity of information and authentication of the identity of Unitholders through the web are not compromised.

Questions received from Unitholders prior to the 2022 AGM and Unitholders' Meeting as well as the questions posed during the meetings were displayed on the screen and made visible to all meeting participants during the meetings, which were duly addressed and responded by the Board and the Management.

Practice 13.6: Minutes of the general meeting should be circulated to shareholders no later than 30 business days after the general meeting.

Minutes of the general meeting, recording the substantial and relevant comments made, questions raised and answers provided, are prepared and made available to Unitholders for their inspection upon request. The Minutes of the general meeting was also made available subsequently on the Website.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions (including Recurrent Related Party Transactions)

The Manager has established internal control procedures to ensure that all Related Party Transactions are made on terms which are the best available for CLMT and which are no less favourable to CLMT than an arm's length transaction between independent parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are the best available for CLMT and are no less favourable than an arm's length transaction between independent parties which may include obtaining (where applicable) third party quotations or obtaining valuations from independent valuers (in accordance with the REITs Guidelines and the Listing Requirements). The internal control procedures also ensure compliance with the Listing Requirements and the REITs Guidelines.

Corporate Governance

In particular, the procedures in place include the following:

Related Party Transactions ¹ (RPT) with percentage ratio ² :	Internal Approval, Procedures and Disclosure
Below 0.25%	Audit Committee recommends to Board ⁴
0.25% or more	Audit Committee recommends to Board ⁴ Immediate announcement
5% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Unitholders
25% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Principal Adviser Unitholders
Recurrent Related Party Transactions (RRPT) with percentage ratio ²	Immediate Announcement, Independent Adviser and Unitholders
Below 1% ³	Audit Committee recommends to Board ⁴
1% or more	Audit Committee recommends to Board ⁴ Immediate announcement

1 RPT of less than RM500,000 or RRPT is noted.

2 The calculation is based on the total assets which are the subject matter of the transaction compared with the total assets of CLMT.

3 Periodic review only.

4 Board save for interested directors who shall abstain.

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that RPT are conducted on terms which are best available for CLMT and which are no less favourable to CLMT than arm's length transaction between independent parties.

The Manager maintains a register to record all Related Parties of CLMT and RPT which are entered into by CLMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All RPT are subject to regular periodic reviews by the AC, which in turn obtains advice from CLI Group IA, to ascertain that the guidelines and procedures established to monitor RPT, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Malaysia, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all RPT entered into by CLMT during the financial year are disclosed on page 193 of the Financial Statements section of CLMT Annual Report 2022.

Dealing with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including the Directors, executive officers and employees of the Manager) may encounter in managing CLMT:

- The Manager will be a dedicated manager to CLMT and will not manage any other REITs or be involved in any other real property business;
- All executive officers of the Manager will be employed by the Manager;
- All resolutions at meetings of the Board of the Manager in relation to matters concerning CLMT must be decided by a majority vote of the Directors, including at least one ID;
- In respect of matters in which CapitaLand and/ or its subsidiaries have an interest, whether direct or indirect, any nominees

appointed by CapitaLand and/or its subsidiaries to the Board will abstain from voting;

- (e) In respect of matters in which a Director or his associates have an interest, whether direct or indirect, such interested Director will abstain from voting;
- (f) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CLMT with an affiliate of the Manager, the Manager is obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CLMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate; and
- (g) The Board shall comprise at least one-third of IDs. Currently the Board comprises a majority of IDs.

The Manager and the Trustee have been granted a right of first refusal (ROFR) by CapitaLand Mall Asia Limited (CMA), a wholly owned subsidiary of CLI, where:

- (a) For so long as the Manager shall remain the manager of CLMT and whereby the Manager and CMA are both subsidiaries of CapitaLand, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CLMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural

requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:

- (i) joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - (ii) a proposal made exclusively available to CMA and/or its subsidiaries; or
 - (iii) a fund or proposed fund managed by CMA and/or its subsidiaries.
- (b) In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CLMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has devised and adopted a securities dealing policy for the Manager's officers and employees which applies the best practice recommendations in the Listing Requirements. To this end, the Manager has issued guidelines to its Directors and employees as well as certain relevant executives of the CLI Group, which set out prohibitions against dealings in CLMT's Units (i) while in possession of material unpublished price-sensitive information, (ii) during the periods commencing 30 calendar days before the release of CLMT's quarterly results and up to the time of each announcement of CLMT's financial statements during a financial year. In addition, if any of such affected persons deal in CLMT's Units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in the Listing Requirements. They are also made aware of the applicability of the insider trading laws at all times.

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Trust Deed, details of which are disclosed under Notes to Financial Statements.

Corporate Governance

The Management Fees, which are contained in Clause 18 of the Trust Deed, are fees earned by the Manager for the management of CLMT's portfolio.

The Management Fees are fees earned by the Manager for the management of CLMT's portfolio. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

In addition, the Manager is also paid an Acquisition Fee or a Divestment Fee upon the successful

completion of an acquisition or divestment respectively. Further details on the Acquisition Fee and Divestment Fee are provided below:

Acquisition Fee

The Acquisition Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CLMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

Composition and Meeting Attendance in FY 2022

Board Members	Composition			Meeting Attendance			
	Audit Committee	Executive Committee	Nominating and Remuneration Committee	Board Number of Meetings: 7	Audit Committee Number of Meetings: 5	Executive Committee Numbers of Meetings: 4	Nominating and Remuneration Committee Number of Meetings: 2
Lui Chong Chee	–	–	Member	6/7	N.A.	N.A.	2/2
Tan Choon Siang ¹	–	Member	–	7/7	N.A.	4/4	N.A.
Foo Wei Hoong	Chairman	–	–	7/7	5/5	N.A.	N.A.
Tan Boon Peng	–	–	Chairman	6/7	N.A.	N.A.	2/2
Mohd Yusof bin Hussian	Member	–	–	6/7	5/5	N.A.	N.A.
Tan Ming-Li	Member	–	–	6/7	5/5	N.A.	N.A.
Yap Neng Tong	–	Chairman	Member	5/7	N.A.	4/4	2/2
Lim Cho Pin Andrew Geoffrey	–	Member	–	5/7	N.A.	2/4	N.A.

N.A. – Not applicable

¹ Appointed as Chief Executive Officer/Executive Director with effect from 1 January 2022.

Training programmes, seminar and conferences attended by the Directors during FY 2022 were:

- › Assessing Your Organizational Culture (Iclif Executive Education Center)
- › Boards Legal Obligation Based upon the Commonwealth Climate and Law Initiative
- › Bursa Immersive Session: The Board “Agender” (Bursa Malaysia)
- › Business Challenges and Regulatory Expectations – What Directors Need to Know (Fund Management) (Securities Industry Development Corporation)
- › Business Challenges and Regulatory Expectations – What Directors Need to Know (Fund Management) (Securities Industry Development Corporation)
- › Directors as Gatekeepers of Market Participants (Securities Industry Development Corporation)
- › Directors in a 4D World (Digital, Decentralised, Decarbonised, Diverse) (Singapore Institute of Directors)
- › EDB Society Sustainability Forum
- › Emerging and Current Regulatory Issues in the Capital Market (Securities Industry Development Corporation)
- › ESG Global Conference
- › ESG Series for Accountants and Financial Professionals (Malaysian Institute of Accountants)
- › International Directors Summit (Institute of Corporate Directors of Malaysia)
- › Investing Roundtable “Market Outlook in 2022”
- › Listed Entity Director Programme: Environmental, Social and Governance Essentials Core Module (Singapore Institute of Directors)
- › Malaysia’s Corporate Taxes and Incentives Updates (BoardRoom Limited)
- › Malaysian REIT Forum: M-REITs & the Road Ahead (Malaysian REIT Managers Association)
- › Managing Fraud, Bribery and Corruption Risks at Work (CapitaLand)
- › Mandatory Accreditation Programme (Institute of Corporate Directors of Malaysia)
- › Overview of the Malaysian Code on Corporate Governance 2021 for the Directors of CLMT and its subsidiaries (KPMG)
- › Panelist at the Roundtable Seminar (Institute of Real Estate & Urban Studies)
- › PNB Knowledge Forum 2022: The Enigma and Convergence of Science and Art (Permodalan Nasional Berhad)
- › Sustainable Investing: From Aspirational to Attainable (Asia Asset Management)
- › Talent Uprising: How Boards Should Rethink Their Talent Strategy in this Era of Opportunity (Institute of Corporate Directors of Malaysia)
- › Temasek Roundtable 2022 – Achieving Normalcy
- › Transfer Pricing Conference 2022 (Malaysian Institute of Accountants)

Audit Committee Report

The Audit Committee (AC) of the Manager was formed on 10 June 2010 to assist the Board in fulfilling its oversight responsibilities for the financial reporting process, the management of risk and system of internal controls, the governance processes, and the audit process for CLMT and the Manager as well as the Manager's process for monitoring compliance with laws and regulatory requirements.

The Board is pleased to present the report of the AC for FY 2022 to provide insights into the manner which the AC has discharged its functions during FY 2022.

(A) COMPOSITION

Presently, the AC consists of three members, comprising exclusively of non-executive independent directors. The members bring with them invaluable and professional expertise in accounting and related financial management domains. None of the AC members was previously a partner in the incumbent external auditors, KPMG PLT (KPMG), in the previous three years, nor do any of the AC members hold any financial interest in KPMG.

The list of the members of the AC during FY 2022 are as follows:

- | | | |
|----|------------------------|---|
| 1. | Foo Wei Hoong | Chairman / Non-Executive Independent Director |
| 2. | Mohd Yusof bin Hussian | Member / Non-Executive Independent Director |
| 3. | Tan Ming-Li | Member / Non-Executive Independent Director |

For the FY 2022 under review, the performance and effectiveness of the AC were evaluated through an annual Board effectiveness self-evaluation, the outcome of which was reviewed by the Nominating and Remuneration Committee. The Board is satisfied that the AC members have been able to discharge their functions, duties and responsibilities in accordance with the TOR of the AC, which are available on CLMT's website at www.clmt.com.my.

(B) MEETINGS AND ATTENDANCE

A total of five AC meetings were held during the financial year under review. The members of the AC and their attendance records are as follows:

Number of AC Meetings Attended	
Foo Wei Hoong	5/5
Mohd Yusof bin Hussian	5/5
Tan Ming-Li	5/5

(C) SUMMARY OF THE WORK OF THE AUDIT COMMITTEE

Throughout FY 2022 and up to the date of this report, AC has met its responsibilities in discharging its functions and obligations in accordance with its Terms of Reference (TOR) as described below:

1. Financial Reporting

- (a) Reviewed the quarterly results for all the financial quarters and year-end financial statements, ensuring the integrity of the financial statements of CLMT, and announcements relating to CLMT's financial performance, prior to the approval by the Board for the release of the announcements, focusing particularly on:
 - (i) changes in or implementation of major accounting policy changes;
 - (ii) significant matters highlighted including financial reporting issues, significant judgements made by Management, significant and unusual events or transactions, and how these matters are addressed; and
 - (iii) compliance with accounting standards and other legal requirements.
- (b) Discussed the key audit matters raised by the external auditors with Management and the disclosure thereof in the Auditors' Report for FY 2022.
- (c) Recommended to the Board for its approval, the half-yearly income distribution for payment to the Unitholders.

2. External Auditors

- (a) Reviewed the External Auditors' (EAs') report on the conduct of the audit of CLMT's financial statements FY 2022, the findings on significant accounting and financial reporting issues and its impact to the consolidated financial statements of the CLMT Group and, the findings on the internal control system as well as an overview of issues found during the interim audit.
- (b) Reviewed EA's scope of work and audit plans for the year under review to understand their audit methodology, significant risk areas and accounting policies/disclosures and timing.
- (c) Reviewed, in consultation with Management, the performance of the EA and their fees, upon satisfaction of their independence and objectivity including non-audit services rendered by the EA.
- (d) Held two (2) private sessions with the EA and CLI Group Internal Auditors ("IA") without the presence of Management to discuss any issues or reservations arising from their audit. No major concerns were highlighted by EA and CLI Group IA and they received full cooperation from Management.
- (e) Reviewed and updated the assessment criteria of EA's Independence Guidelines prior to their recommendations to the Board for approval.
- (f) Evaluated the performance of the EA for the financial year ended 31 December 2021 covering areas such as planning and conduct of audit; level of knowledge, capabilities, experience of audit team; auditor's communication and engagement; and independence and objectivity. The AC was satisfied that the EA were able to meet the audit requirements and statutory obligations of CLMT Group and their professional independence and objectivity as EA of CLMT Group. Following the assessment, the Board had at its meeting held on 27 January 2022 accepted the AC's recommendation, the re-appointment of Messrs KPMG PLT by MTrustee Berhad as EA of CLMT Group for the ensuing financial year of 31 December 2022.

Audit Committee Report

3. CapitaLand Investment Limited Group Internal Auditors

The IA function is outsourced and undertaken by CapitaLand Investment Limited Group ("CLI Group") Internal Auditors ("IA") that reports directly to the AC. The IA function was undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the internal control systems to manage risk exposures of the Manager and the CLMT Group. The AC had full access to the services and advice of the IA and received reports on all audits that were performed.

During FY 2022, CLI Group IA has executed the following IA services:

- (a) A total of five audit assignments and one deferred audit assignment were conducted on CLMT and the Manager based on the 2022 IA plan, adhering to the International Standards for the Professional Practice of Internal Auditing (Standards) issued by the Institute of Internal Auditors;
- (b) Conducted regular follow up with Management on agreed corrective actions on outstanding audit issues to ensure key risks and weaknesses were addressed effectively and in a timely manner including the tightening of internal controls, whereby the status of implementation of the IA recommendations were reported to the AC on a quarterly basis;
- (c) Prepared the annual IA plan and scope for FY 2023 to be deliberated and approved by the AC;
- (d) Conducted an annual assessment of IA's effectiveness and independence; and
- (e) Reviewed the report on IA's performance assessment performed by the Compliance Officer for the period from 1 October 2018 to 31 December 2021 and thereafter recommended to the Board for approval at its meeting held on 27 January 2022, the proposed renewal of the IA function outsourcing agreement, which was expiring on 6 February 2022 for the next three years until 6 February 2025.

The reports from CLI Group IA, including the result of findings, recommendations and Management's responses, were presented to the AC.

During FY 2022, AC monitored and assessed the role, performance and effectiveness of the IA function by reviewing the IA process from time to time and recommended to the Board for approval any changes to the IA process.

A quality assurance review on the CLI Group IA's function was performed by Ernst & Young Advisory Pte Ltd in 2018 and the assessment affirmed that CLI Group IA conformed to the Standards. The next review will be due in 2023.

The total costs incurred by the IA function for FY 2022 amounted to RM350,000.

4. Risk Management and Internal Control

AC also assisted the Board in examining the adequacy and effectiveness of CLMT's ERM Framework and the appropriateness of Management's responses to key risk areas and recommendations for improvements to be implemented. Based on the RCSA exercise conducted annually as well as the quarterly key risk indicator reports presented to AC with insights on the areas of risks including but not limited to climate change and environmental risk, their likelihood, impact and management action on CLMT's operating business, AC was thus able to keep under review the adequacy and effectiveness of CLMT's risk management system along with its risk portfolio, risk levels and risk mitigation strategies. No significant irregularity or deficiency in internal controls came to the attention of AC during FY 2022.

5. Related Party Transactions and Conflicts of Interest

The AC has:

- (a) reviewed and approved processes to regulate the RPT and RRPT (as defined in the Listing Requirements) and ensured compliance with the proper disclosure requirements in accordance with the REITs Guidelines and the Listing Requirements;

- (b) received reports from the Management and CLI Group IA on RPT and RRPT, reviewed and approved RPT and RRPT as required by the internal approval processes;
- (c) reviewed and assessed from time to time whether additional processes are required to be put in place to manage any material conflicts of interest within the CLMT Group and proposed, where appropriate, the relevant measures for the management of such conflicts for approval by the Board; and
- (d) reviewed the proposed acquisition by MTrustee Berhad, on behalf of CLMT, of Queensbay Mall for a total purchase consideration of RM990.50 million (Proposed Acquisition) prior to recommending the same to the Board for approval and to make the relevant announcement thereof.

AC was satisfied that all RRPT were in the best interest of CLMT, whereby the terms concluded were made on terms which were the best available for CLMT and which were no less favourable to CLMT than an arm's length transaction between independent parties and the monitoring procedures to regulate such transactions were appropriate and sufficient.

In the case of RPT, the AC having considered all aspects of the Proposed Acquisition, including but not limited to, the acquisition rationale provided by the Manager, the basis of arriving at the total purchase consideration with property yield analysis and comparison of transactions from capital value analysis, the terms and conditions of the relevant agreements, the effects of the Proposed Acquisition and having sought preliminary independent advice from the Independent Adviser, was of the view that the Proposed Acquisition was in the best interest of CLMT, was fair, reasonable and on normal commercial terms, and was not detrimental to the interest of the non-interested unitholders of CLMT.

6. Compliance

The AC reviewed the level of compliance of the Manager and CLMT with the REITs Guidelines, Listing Requirements, Companies Act 2016, CMSA, the Deed as well as Corporate Liability Provision under Section 17A of the MACC Act. The AC was satisfied that there were no major non-compliances based on the compliance reports completed by the Management and as reported by the Compliance Officer at the quarterly meetings during FY 2022.

7. Other Matters

- (a) The AC has reviewed the circular to unitholders of CLMT in relation to the Proposed Acquisition and the Proposed Private Placement of up to 1,031.77 million new units in CLMT to raise gross proceeds of up to RM495.25 million.
- (b) The AC has reviewed the valuation of properties prior to recommending the same to the Board for approval and to make the relevant announcement thereof.
- (c) The AC has reviewed and is satisfied with the annual Statements on Corporate Governance, Risk Management and Internal Control and the AC Report for publication in CLMT's Annual Report 2022.
- (d) The AC has assessed the proposals in relation to the appointment of Independent Adviser. Following the assessment, Kenanga Investment Bank Berhad has been appointed as the Independent Adviser for the Proposed Acquisition.

The AC Report was approved by the Board on 15 February 2023.

Statement on Risk Management and Internal Control

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any public listed issuer to include in its annual report a statement about the state of internal control of the listed issuer as a group and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CLMT Group. The Board also recognises that the reviewing of the adequacy and integrity of the system of risk management and internal controls is a continuing process and requires concerted efforts. In discharging its duties, the Board is supported and assisted by Management. It is an essential part of the Board's responsibilities to identify principal risks, formulate the risk appetite of the CLMT Group, set the key risk indicators/thresholds and ensure that appropriate systems and policies are in place to manage these risks and review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that the CLMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

RISK MANAGEMENT

Effective risk management is a fundamental part of CLMT's business strategy. The key risks and control measures are described in the Enterprise Risk Management section of CLMT Annual Report 2022. Recognising and managing risk is central to CLMT's business and to protect Unitholders' interests and value. CLMT operates within guidelines and parameters set by the Board for the Manager and CLMT. Based on the RCSA, transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie,

an issue for Management. The Enterprise Risk Management ("ERM") Framework supports this focus and provides a structured context for Management to undertake a review of past performance, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CLMT's strategic direction in detail and include specific focus on the identification of key businesses and financial risks which could prevent CLMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the AC and Exco respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment reflects the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks (including but not limited to climate change and environmental risk) will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when aligning CLMT's strategy in its risks and opportunities and when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of the CLMT Group against a previously approved budget. The Board also reviews the risks to the assets of the CLMT Group and acts upon any comments by EA of CLMT Group. In assessing business risks, the Board considers the economic environment and property industry risks. The Board and its Exco review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CLMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework for the CLMT Group. The Manager proactively identifies and addresses risks in the CLMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The AC and Exco assist the Board to oversee management

in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

KEY INTERNAL CONTROL PROCESSES

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CLMT in the best interests of Unitholders as well as to manage risk. These are described in the following paragraphs.

The Manager performs a RCSA exercise and maintains a risk register which identifies the material risks faced by the CLMT Group and the internal controls in place to manage or mitigate those risks. The risk register is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the AC and Exco and annually by the Board. The Management is tasked to review the risk register and will report to the AC as to the approach taken in identifying and assessing risks and internal controls under the RCSA. The Manager has established an approach on how the risk appetite is defined, monitored and reviewed for CLMT Group. Approved by the Board, the CLMT Group's RAS incorporates the risk limits and addresses the management of material risks faced by the CLMT Group. Alignment of the CLMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. Internal auditors conduct audits that involve testing the effectiveness of the material internal control systems for CLMT Group. Any material non-compliances or lapses in internal controls together with proposed corrective measures by the internal auditors are reported to the AC. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the Chief Executive Officer and Chief Financial Officer of the Manager that the risk management and internal control systems in place within the CLMT Group are adequate and effective in addressing the material risks in the CLMT Group in its current business environment including material financial, operational, compliance and IT risks. The Chief Executive Officer and Chief Financial Officer of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that RPT are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Trust Deed and, are made on terms which are best available for CLMT and which are no less favourable than an arm's length transaction between independent parties. The Manager incorporates into its annual internal audit plan a review of all RPT and RRPT. These established procedures are further explained on page 91 to 92 of CLMT Annual Report 2022.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on page 92 to 93. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CLMT shall be executed on terms that are best available to CLMT and which are no less favourable to CLMT than transactions between independent parties. The Manager has outsourced its internal audit function to CapitaLand Group's Internal Auditors Department (CLI Group IA) which reports directly to the AC.

CLI Group IA is adequately resourced and staffed with persons having relevant qualifications and experience. CLI Group IA is a corporate member of The Institute of Internal Auditors Singapore (IIA), which is an affiliate of the IIA with its headquarters in the United States of America (USA). CLI Group IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices.

To ensure that internal audits are performed by competent professionals, CLI Group IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. This includes CLI Group IA staff who are involved in Information Technology (IT) audits having relevant professional IT certifications. The IT auditors are also members of the Information System Audit and

Statement on Risk Management and Internal Control

Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CLI Group IA identifies and provides training and development opportunities for its staff to ensure their technical knowledge and skill sets remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CLMT. The AC is of the view that the internal audit function performed by CLI Group IA is adequately resourced, effective and independent. Information about CLI Group IA is on page 98 of CLMT Annual Report 2022.

The scope of the internal audit function for FY 2022 included the following:

- (a) Carried out scheduled audit assignments in accordance with the 2022 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and management's agreed actions;
- (c) Updated the AC on the implementation status of management's agreed actions on a quarterly basis;
- (d) Reviewed RPT including RRPT and presented the findings of the review to the AC on a quarterly basis;
- (e) Reported whistleblowing cases and investigated various matters when required and as directed by the AC;
- (f) Updated AC on the key observations on the effectiveness of IA function of listed issuers by Bursa Securities; and
- (g) Prepared the 2023 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistleblowing policy to provide employees of the Manager with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CLMT and the Manager and also for independent investigation of any reports by employees with the appropriate follow up action. This whistleblowing policy has been established and is being reviewed periodically to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The adopted whistleblowing policy is further explained on page 77 of CLMT Annual Report 2022.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CLMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. In FY 2022, the issues raised were attended to and responded by Management to the internal and external auditors with agreed actions to be undertaken by Management. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the REITs Guidelines and the Listing Requirements.

The Anti-Bribery and Corruption (ABC) Policy is established by the Board, in line with the corporate liability provision of the Malaysian Anti-Corruption Commission (Amendment) Act 2018 and the Guidelines on Adequate Procedures based on the five T.R.U.S.T. principles (T-top level commitment; R-risk assessment; U-undertake control measures; S-systematic review, monitoring and enforcement; T-training and communication). In our effort to strengthen the governance of risk management, an Anti-Corruption Compliance Programme is incorporated in the Compliance Plan, with emphasis on periodic review of an adequate anti-corruption compliance programme as part of the adequate procedures recommended by the Malaysian Anti-Corruption Commission (MACC) pursuant to Section 17A(5) of the MACC (Amendment) Act 2018. The ABC Policy is further explained on page 76 of CLMT Annual Report 2022.

The Board reviews and approves, inter alia, the following reports from Management, upon recommendation of the AC and Exco, on a periodic basis:

- (a) CLMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of key treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other key operational matters.

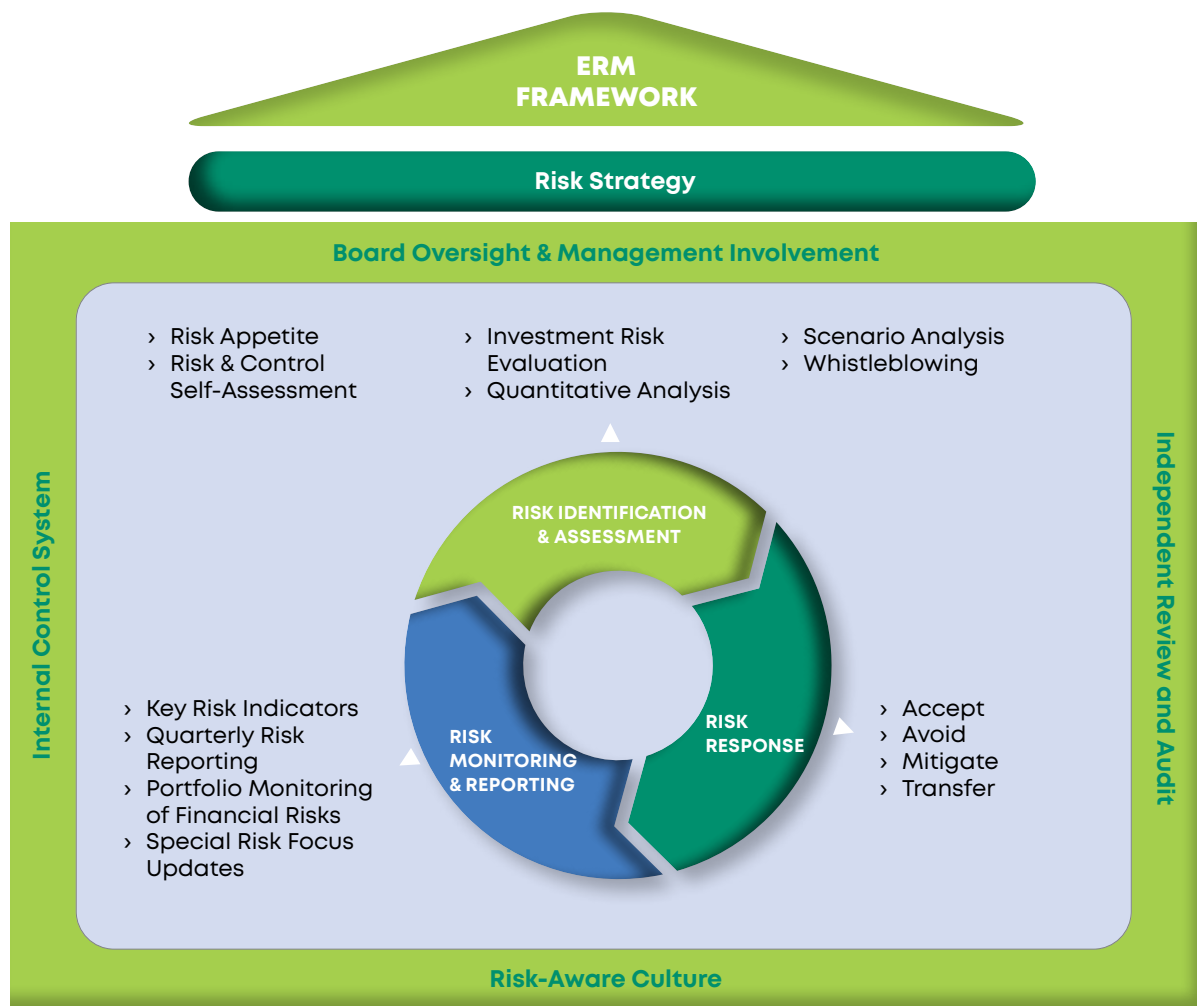
Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CLMT Group addressing financial, operational, compliance and IT risks.

Enterprise Risk Management

CLMT Group believes in maintaining a robust risk management framework to proactively identify, assess and respond to material risks that can impact our objectives to deliver stable distributions and sustainable total returns to Unitholders. By pursuing a risk strategy of optimisation of opportunities within the approved risk appetite levels, we position CLMT for long term sustainable results.

Ensuring Best-in-class Risk Management, Corporate Governance and Compliance to Build a Sustainable Business

The Manager's Enterprise Risk Management (ERM) Framework is adapted from the International Organization for Standardisation 31000 International Risk Management Standards. It is benchmarked against other relevant best practices and guidelines and reviewed annually to ensure its continued relevance and practicality. It sets out the required environmental and organisational components needed to identify, assess, respond to, monitor and report material risks in an integrated, systematic and consistent manner as depicted below.



Enterprise Risk Management

Board Oversight and Senior Management Involvement

The Board, assisted by the AC and Exco, approves CLMT Group's risk appetite (risk tolerance) which determines the nature and extent of material risks CLMT Group is willing to take to achieve its strategic objectives.

The Board also regularly reviews CLMT Group's risk profile, material risks and mitigation strategies; and ensures the adequacy and effectiveness of the risk management framework and policies.

The Manager's management team directs and monitors the implementation and practice of risk management across CLMT Group, including monitoring the risk exposure through key risk indicators.

Robust Internal Control System

CLMT Group's ERM Framework operates within a risk governance structure based on three lines of defence. Employees have an important role as the first line of defence and are accountable for the effective management of risks that arise from their business activities. The first and second line of defence are responsible for the design and implementation of effective internal controls using a risk-based approach.

Risk management and compliance departments at CLI as the second line of defence provides oversight and governance over risk management and compliance practices, promote and embed a culture of risk ownership and accountability.

Regular Independent Review and Audit

CLI Group's Internal Audit Department (CLI Group IA) and External Audit as the third line of defence review the adequacy and effectiveness of risk management and internal control systems design and implementation so as to provide reasonable assurance to the AC on its adequacy and effectiveness.

A Strong Culture of Risk Awareness

The Manager work closely with the risk management and compliance departments at CLI as well as various support functions to ensure risk management practices are implemented effectively and consistently across CLMT Group.

Risk workshops are conducted regularly to ensure these practices are embedded in our decision-making and business processes.

Management team reinforces the culture by setting the right 'tone at the top', leading by example, and communicating our risk strategy.

CLMT's Material Risks and Opportunities

CLMT Group's Risk and Control Self-Assessment (RCSA) exercise, coordinated by the Manager is conducted annually to identify key material risks, including new and emerging risks, that CLMT faces in delivering our strategic objectives, its mitigating measures and the opportunities. Based on 2022 RCSA results, the measures taken to mitigate the material risks and opportunities to capitalise on are set out below:

Material Risk	Key Mitigating Action	Opportunities
Business Interruption/ Pandemic Business disruptions arising from sudden and major disaster events such as COVID-19 pandemic, fire, flooding, pro-longed power outages, riots, protests or other major building infrastructure/ equipment failures causing major disruption at the properties (including tenants' business) resulted in potential injury or even loss of lives of our staff, customers and shoppers.	› Continue to place the wellbeing of our tenants, shoppers, guests and customers as top priority by adopting contactless technologies and innovative tech solutions to enhance safety, cleanliness and hygiene at CLMT Group's properties. › Future proof CLMT Group's business through digitalisation of business operations and processes, innovation and flexibility in CLMT Group's product offerings such as - accelerating our omnichannel solutions, - assisting our customers with digital transition, - optimising the use-of-space › Crises management protocols are put in place to facilitate communications and feedback between property management staff and key management team in times of crises. › Proactive facilities management (e.g. spot checks, routine inspections and scheduled maintenances) to maintain building infrastructure and functionality of equipment. › Ensure assets are adequately covered by insurance.	› Ride on the digital adoption trend and ongoing business digitalisation to innovate and improve product offerings to our customers. › Opportunities to reposition or repurpose CLMT's assets to meet the new norms.

Material Risk	Key Mitigating Action	Opportunities
Climate Change Physical risks such as rising sea levels, violent storms, long intense heat waves, flash floods and fresh water depletion. Transitional risks including potentially more stringent regulations and increased expectations from stakeholders.	› Assessment of the detailed physical risks in the evaluation of any new acquisitions. › Incorporate shadow internal carbon price in the evaluation of new investment/capital expenditure decisions. This helps to price in climate-related costs and opportunities, support low-carbon investments, prepare for stringent climate legislation, and avoid stranded assets. › Regularly review CLMT Group's mitigation and adaptation efforts, which include • future proofing our portfolio against changing climatic conditions from the design stage; and • improving the operational efficiency of our properties, setting targets for carbon emissions, water, energy and waste efficiency. › CLM has a well-established environmental management system which is externally certified to ISO 14001 in 15 countries. › For more information, please refer to the CLM Global Sustainability Report 2022 that will be published by 31 May 2023.	› Enhance our positive reputation and strong track record in sustainability efforts as a competitive advantage for CLMT Group to build a resilient portfolio of assets, achieve resource efficiency. › Accelerate sustainability innovation and collaboration with tenants, supply chain contractors, vendors and suppliers.
Competition Keen industry competition from established players who are able to capture our customers by meeting their expectations or reacting aptly to market trends.	› Leverage on development partnership and assets pipeline with CapitaLand Development via the ONE CapitaLand ecosystem. › Leverage on strong network of investment and asset management professionals with deep knowledge in multi-sector assets to source for opportunities. › Constantly strive to differentiate ourselves from our peers by adapting CLMT Group's business and products to the evolving needs of tenants and shoppers, delivering competitive products and services, and engaging shoppers with shopper-centric initiatives and loyalty programmes in the retail ecosystem. › Focus on building key enablers that give CLMT Group a competitive advantage amidst the competition and digital disruptions, such as - embarking on digital transformation in our processes, enhancing our data analytics capabilities to speed up data-driven decisions; and - leveraging innovation tools and solutions to assist our customers pivoting to the new digital operating model. › Incorporate Environmental, Social and Governance (ESG) considerations in CLMT Group's business to reinforce our leading position as a sustainable REIT. › Leverage in-house team of industry analysts to keep CLMT Group on top of latest market trends.	› Rely on strong experience in multi-sector asset and portfolio management as well as best-in-class operating platforms.

Enterprise Risk Management

Material Risk	Key Mitigating Action	Opportunities
Cyber Security & Information Technology Ongoing business digitalisation exposes the business to IT-related threats, which may result in compromising the confidentiality, integrity and availability of CLMT Group's information assets and/or systems.	› The outsourced Information Technology (IT) executes its Cyber Security Strategy through ongoing review against existing/evolving threat landscapes, and institute measures to minimise vulnerability exposure and manage threat vectors. › Ongoing mandatory staff IT Security Awareness Training to counter human intervention in the information security chain. › CLM Group-wide IT Security Policy and Data Protection Framework is periodically reviewed and updated to ensure relevancy. › Maintain and test IT Security Incident Management Procedure to ensure prompt response and timely remediation to cyber security incidents. › Conduct annual Disaster Recovery Plan exercise to ensure timely recoverability of business-critical IT systems. › Put in place enhanced protection controls for systems that hold personal data.	› Build a cyber resilient infrastructure and network to harness the full potential of innovation and digital transformation of our business processes.
Economic Economic instability or changes in macro-economic factors such as inflation or unemployment, which results in challenging business conditions	› Diversify CLMT's portfolio across different asset classes and geographies in accordance with Board-approved limits. › Disciplined approach to financial, investment and asset management. › Maintain robust investment criteria and processes to ensure portfolio sustainability and seize growth or recycling potential of the assets in different life cycle and location. › Actively monitor macroeconomic trends, policies and regulatory changes in key markets.	› Leverage on the existing local business presence under the ONE CapitaLand ecosystem and its in-depth market knowledge with access to different classes to create a more resilient investment portfolio.
Financial Exposure to financial risks involving liquidity, and interest rates and their volatility. Volatility of cash flow negatively impacting planned cash generation and cash usage profile.	› Proactively review the capital management of CLMT Group to ensure that adequate financial resources are available for the working capital requirements and income distributions. › Focus on instilling financial discipline and deploy capital to earn optimal risk-adjusted returns and maintain a strong balance sheet to invest in suitable opportunities. › For more details, please refer to the Financial Risk Management section on page 187 to 191.	› Manage our financial risks well to give confidence to our investors.

Material Risk	Key Mitigating Action	Opportunities
Fraud, Bribery & Corruption Any forms of fraud, bribery and corruption that could be perpetrated by employees, third parties or collusion between employees and third parties.	› Foster a culture of ethics and integrity in CLMT Group. › Adopt a zero-tolerance stance against fraud, bribery and corruption (FBC) across our businesses. › Communicate the commitment to integrity from the top through policies and practices, such as FBC Risk Management Policy, Whistleblowing Policy, Ethics and Code of Business Conduct Policies and Anti- Money Laundering and Countering the Financing of Terrorism Policy and mandatory eLearning. › All third party communication to include CLMT Group's zero tolerance stand against FBC.	› Recognising the strong governance and upholding the highest level of integrity are important to build stakeholders confidence.
Leasing Strong competition, economic downturn and challenging market conditions and disruptions due to COVID-19 are some key factors that could result in key tenants not renewing their leases, adversely affecting the leasing performance of CLMT Group's properties.	› Establish and maintain a diversified tenant base and sustainable trade mix. › Proactive tenant management strategies which are in line with the assets' positioning are in place. › Closely monitor tenants' performance and maintain positive relationships and rapport with tenants to build loyalty with CLMT Group's properties.	› Focus efforts on stabilising the portfolio through constructive tenant engagement, proactive asset and lease management to build greater resilience in the long run.
Regulatory & Compliance Non-compliance with applicable laws and regulations, including tax, data protection and privacy, in the markets where CLMT Group operates.	› Maintain a framework that proactively identifies the applicable laws and regulations, including taxation, and embed compliance into day-to-day operations. › Leverage specialised teams from both locally and CLI such as compliance and tax, and external consultants to provide advisory services and updates on changes to laws and regulations. › CLI's established Group-wide policies and procedures to address the requirements of the applicable laws and regulations such as, Personal Data Protection Policy and Anti-Money Laundering Policy. › Report significant regulatory non-compliance cases on a quarterly basis to the Audit Committee to which the board delegates its oversight responsibilities.	› Keep abreast of the changing regulatory landscape to identify opportunities for improvements in the various compliance areas.
Safety, Health & Wellbeing Increased expectations from stakeholders to provide a safe and healthy environment, including wellbeing, at our assets and operations	› Assess health and safety related risks in the evaluation of any new acquisitions. › Entrench a sustainable safety culture through deep safety capabilities, disciplined safety practices, and a progressive and pervasive safety mindset that drive safety key performance targets of both CLMT Group and our supply chain. › CLI has a well-established Group occupational health and safety management system which is externally certified to ISO 45001 in 15 countries. › For more information, please refer to the CLI Global Sustainability Report 2022 that will be published by 31 May 2023.	› Assess health and safety related risks in the evaluation of any new acquisitions.

Sustainability Management

BOARD STATEMENT

At CapitaLand Malaysia Trust (CLMT), sustainability is at the core of everything we do. We are committed to growing in a responsible manner, delivering long term economic value, and contributing to the environmental and social wellbeing of our communities. CLMT's material environmental, social and governance (ESG) factors are aligned with CapitaLand 2030 Sustainability Master Plan, which was launched in 2020, and will be reviewed by the Board of Directors together with Management every two years.

The CapitaLand 2030 Sustainability Master Plan steers our efforts on a common course to maximise impact through building a resilient and resource efficient real estate portfolio, enabling thriving and future-adaptive communities, and accelerating sustainability innovation and collaboration. Ambitious ESG targets have been set which include carbon emissions reduction targets validated by the Science Based Targets initiative (SBTi). During the first scheduled review in 2022, CapitaLand Investment (CLI) revised its SMP targets to elevate its SBTi-approved targets in line with a 1.5°C scenario, incorporate its Net Zero commitment, and enhance focus on social indicators. As a CLI-sponsored real estate investment trust, CLMT aligned with and actively contributes to the targets set out under CapitaLand's 2030 Sustainability Master Plan.

CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM or the Manager)'s Board is responsible for overseeing the CLMT's sustainability efforts, and takes ESG factors into consideration in determining its strategic direction and priorities. The Board also approves the executive compensation framework based on the principle of linking pay to performance. CLMT's business plans are translated to both quantitative and qualitative performance targets, including sustainable corporate practices and are cascaded throughout the organisation.

REPORTING SCOPE AND PERIOD

As an externally managed real estate investment trust, CLMT is managed by CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM or the Manager), which is a wholly owned subsidiary of Singapore-listed CapitaLand Investment Limited (CLI or Sponsor), a leading global real estate investment manager with a strong Asia foothold.

CLMT's properties are managed by Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Consultants Sdn. Bhd. (collectively known as Property Managers) that are responsible for the properties' daily operations. The CapitaLand team behind the Manager and Property Managers responsible for property and portfolio operations are identified as employees of CLMT. Taking guidance from the operational control approach as defined by the Greenhouse Gas (GHG) Protocol Corporate Standard, the computation for CLMT's environmental performance (carbon emissions, energy and water consumption) relates to the properties¹ managed by the Property Managers.

As at 31 December 2022, there were five operational retail properties in CLMT's portfolio and this report covers the sustainability performance of all the retail properties for the period 1 January 2022 to 31 December 2022 (FY 2022), unless otherwise indicated. Data from prior years has been included for comparison, where available. This sustainability report should be read together with the financial, operational and governance information detailed in CLMT's Annual Report 2022.

Properties:

- › Gurney Plaza
- › East Coast Mall
- › Sungei Wang Plaza – CLMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area, and (ii) 1,298 car park bays which comprise 100% of the car park bays.
- › 3 Damansara Property (comprises 3 Damansara and 3 Damansara Office Tower)
- › The Mines

For the purpose of this sustainability management statement, the recent acquisition of Valdor Logistics Hub that was completed on 14 December 2022 has been excluded. Properties which are in operation for less than 12 months are excluded from the computation.

¹ Properties which are in operation for less than 12 months are excluded from the computation.

SUSTAINABILITY COMMITMENT

As a CLI-sponsored REIT, CLMT is aligned with CapitaLand's 2030 Sustainability Master Plan (SMP) unveiled in 2020 to elevate the Group's commitment to global sustainability in the built environment. The SMP drives CapitaLand's sustainability efforts in the environment, social and governance (ESG) pillars, enabling the Group to create a larger positive impact for the environment and society.

CapitaLand's 2030 SMP is regularly reviewed where necessary to complement the Group's business strategy and align with climate science. The first scheduled review in 2022 is in progress and the outcome will be published before end May 2023.

Five pathways were identified to achieve CL Group's sustainability objectives, and CapitaLand will adapt its strategies as technologies evolve and new scientific data become available:

1. Integrating sustainability in CapitaLand's real estate life cycle

From the earliest stage of the investment process, to design, procurement, construction, operations and redevelopment or divestment, sustainability targets will be embedded in policies, processes, best practices, and key performance indicators of CapitaLand's business operations.

2. Strengthening innovation and collaboration to drive sustainability

CapitaLand will continue to source globally for new ideas and technologies to meet its sustainability ambitions and work with like-minded partners to create shared values.

3. Leveraging sustainability trends and data analytics

This allows CapitaLand to track critical performance and progress in water usage, waste management, energy consumption, carbon emission, and health and safety. These measurements along with social indicators are key to driving performance improvement across our operating properties and development projects.

4. Monitoring and reporting progress to ensure transparency

As CapitaLand tracks its sustainability progress, it will continue to validate its performance by external assurance and align its Global Sustainability Report to international standards.

5. Increasing engagement and communication with key stakeholders

It is key to building awareness among CapitaLand's employees, investors, customers and communities, and collectively effecting transformational change to achieve CapitaLand's 2030 targets.

BOARD, TOP MANAGEMENT AND STAFF COMMITMENT AND INVOLVEMENT

The Sponsor's Board recognises the importance of sustainability as a business imperative, and ensures that sustainability considerations are factored into CLI's strategy development.

On a regular basis, CLI Board is updated through the Strategy and Sustainability Committee on the sustainability management performance of the Group, key material issues identified by stakeholders, and the planned follow-up measures. Additionally, through the Risk Committee and Audit Committee, the CLI Board is typically updated at least once a year and at ad hoc Board meetings on matters related to sustainability risks, and relevant performance metrics, including carbon emissions performance, progress on achieving the reduction targets, green certification, human capital development, as well as stakeholders' expectations on climate change and/or other social matters. They are also informed of any work-related safety incidents, business malpractice incidents and environmental incidents, which may include climate-related damages or disruptions.

The Strategy and Sustainability Committee (SSC), a Board Committee chaired by Lead Independent Director Mr Anthony Lim, is responsible for overseeing CLI's sustainability strategies and goals, including providing guidance to Management and monitoring progress against achieving the goals of sustainability initiatives. The SSC typically meets twice a year, with additional meetings convened as necessary.

The sustainability work teams comprise representatives from CLI business units and corporate functions. Each business unit also has its own Environmental, Health and Safety (EHS) Committee to drive initiatives in countries where it operates with support from various departments. This governance is cascaded from CLI level to CLMT level through the operations of CapitaLand's EHS Committee.

The Manager's properties are overseen by representatives in the EHS Committee to drive initiatives within its properties. CMRM's Board is

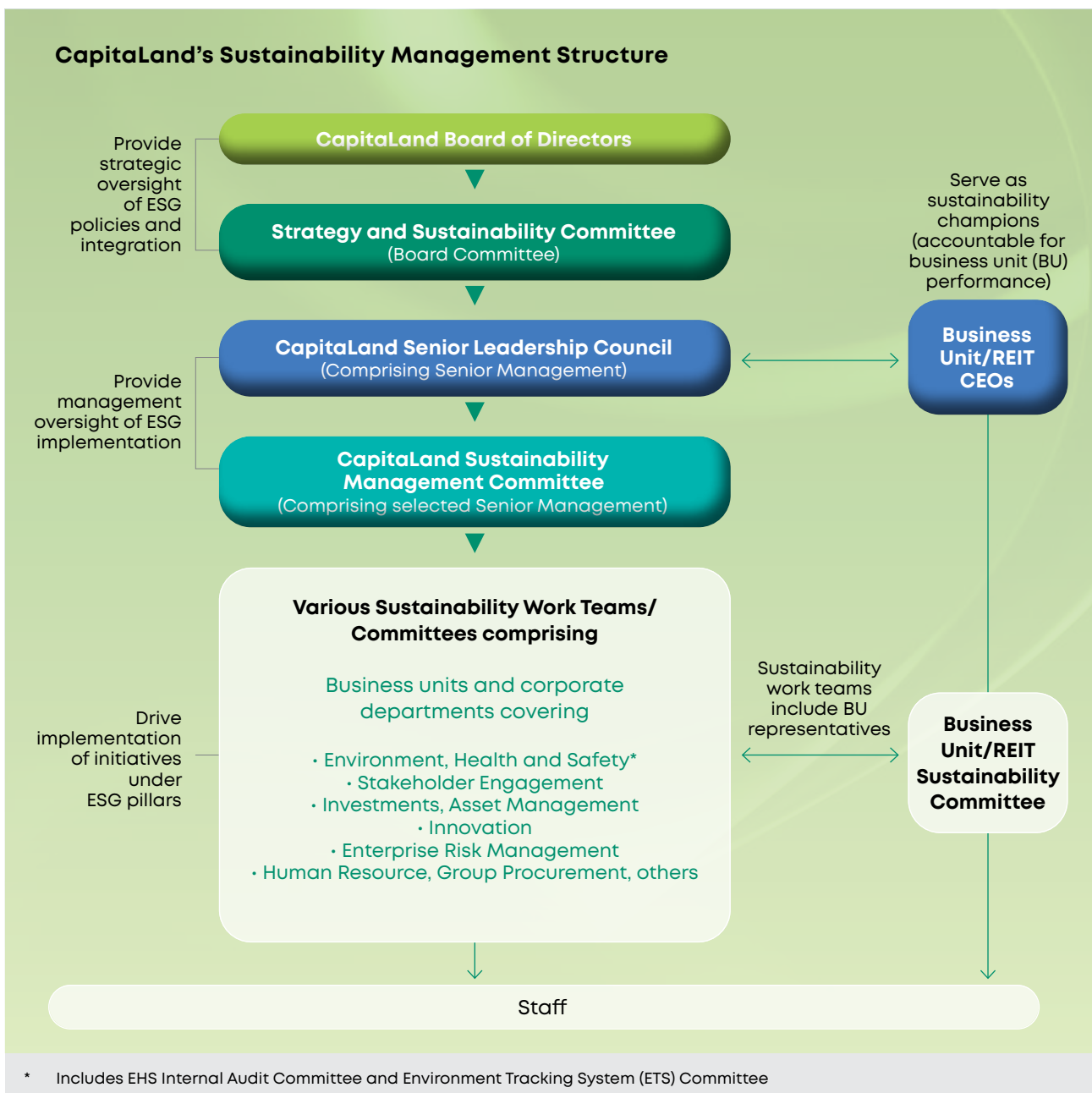
Sustainability Management

updated regularly through the Executive Committee and Audit Committee on matters relating to sustainability risks and business malpractice incidents. CMRM's Board is also updated on the sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures. The Manager works closely with the Property Managers in carrying out strategies and relevant activities, abiding by CapitaLand's sustainability framework and policies.

As a CLI-sponsored REIT, CLMT's sustainability strategy is aligned to that of the Sponsor. CLMT is committed to working towards long term and annual targets under CapitaLand's 2030 Sustainability Master Plan Framework. To strengthen its sustainability stewardship, the Manager has

formalised a sustainability department effective January 2023, which is then supported by various Heads of Department of the Manager, and the Heads of Department of the operations and technical teams of CLI. Through the Sustainability department, CMRM's Board is updated regularly on matters relating to sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures.

To measure its performance, CLMT has incorporated ESG key performance targets/indicators, most of which are linked to remuneration for the Manager's staff, including top management. The performance on these performance targets have financial and non-financial consequences.



CMRM'S SUSTAINABILITY MANAGEMENT STRUCTURE



CapitaDNA Visions, Mission, Credo and Core Values

CORE VALUES
WINNING MINDSET | ENTERPRISING | RESPECT | INTEGRITY

Commitment to Our Stakeholders

We create great customer value and experiences through high-quality products and services.



for our Customers
Tenants, shoppers, home owners, residents

We deliver sustainable shareholder returns and build a strong global network of capital partners.



for our Investors
including business partners

We develop high performing people and teams through rewarding opportunities.



for our People
Staff

We care for and contribute to the economic, environmental and social development of communities.



for our Communities
Government agencies/NGOs, general public, environment suppliers/contractors

Sustainability Management

MAINTAINING DIVERSITY ON THE BOARD

CMRM's Board embraces diversity and has a Fit and Proper Policy which provides for the Board to comprise talented and dedicated Directors with a wide mix of expertise, experience, perspectives, skills and backgrounds, with due consideration given to diversity including but not limited to, business or professional experience, age and gender, ethnicity and culture, geographical backgrounds and nationalities. With respect to female representation, the Nominating and Remuneration Committee (NRC) notes the Malaysian Code on Corporate Governance 2021 target of women making up 30% of the boards of Bursa Malaysia-listed companies by 2030. In its annual review of the Board's composition, the NRC expressly considers and includes a commentary to the Board about diversity in the composition of the Board. The Board aims to achieve at least 30% female representation in the composition of the Board and senior management positions over the next one to two years when reviewing the nominations for the appointment and re-appointment of Directors for a new term. The formalisation of the appointment of woman candidate as Director(s) of the Manager will be the NRC's and Board's focused priority in year 2023 and 2024.

RECOGNITION BY GLOBAL BENCHMARKS

CapitaLand was one of the first companies in Singapore to voluntarily publish an annual Global Sustainability Report since FY 2009 and has had the entire report externally assured since FY 2010. Benchmarking against an international standard and framework that is externally validated helps CapitaLand to overcome the challenges in sustainability reporting that may arise from our portfolio of diverse asset types and geographical presence globally.

CapitaLand has been a signatory to the United Nations (UN) Global Compact since 2015 and our Communication on Progress for FY 2022 will be made available at www.unglobalcompact.org when published. In February 2023, we also became a signatory of the UN-supported Principles for Responsible Investment (UN PRI), as part of our commitment to investing responsibly.

For their efforts, CapitaLand is listed on the Global 100 Most Sustainable Corporations Index, Dow Jones Sustainability World Index and Asia-Pacific Index, GRESB, FTSE4Good Index Series, MSCI Global Sustainability Indexes and The Sustainability Yearbook. The CLI Global Sustainability Report 2022 will be published by 31 May 2023.

CLI's sustainability reporting has evolved into a uniquely hybrid model using the Global Reporting Initiative (GRI) Standards and GHG Protocol (operational control method) since 2009, CDP since 2010, GRESB since 2013, Value Reporting Foundation's Integrated Reporting Framework since 2015, UN SDG Reporting since 2016, Taskforce for Climate-related Financial Disclosures (TCFD) framework since 2017, and Sustainability Accounting Standards Board (SASB) Standards since 2020.

CLI will continue to enhance its disclosures in accordance with these standards, and will be reporting in accordance with the updated GRI Universal Standards 2021 which came into effect for reports published on or after 1 January 2023. The report will continue to be externally assured to AA1000 Assurance Standard, and will cover the Group's global portfolio and employees, including its listed REITs and business trusts – CapitaLand Integrated Commercial Trust, CapitaLand Ascendas REIT, CapitaLand Ascott Trust, CapitaLand China Trust, CapitaLand India Trust and CapitaLand Malaysia Trust, unless otherwise indicated. The scope of the assurance will cover CapitaLand Malaysia Trust's portfolio.

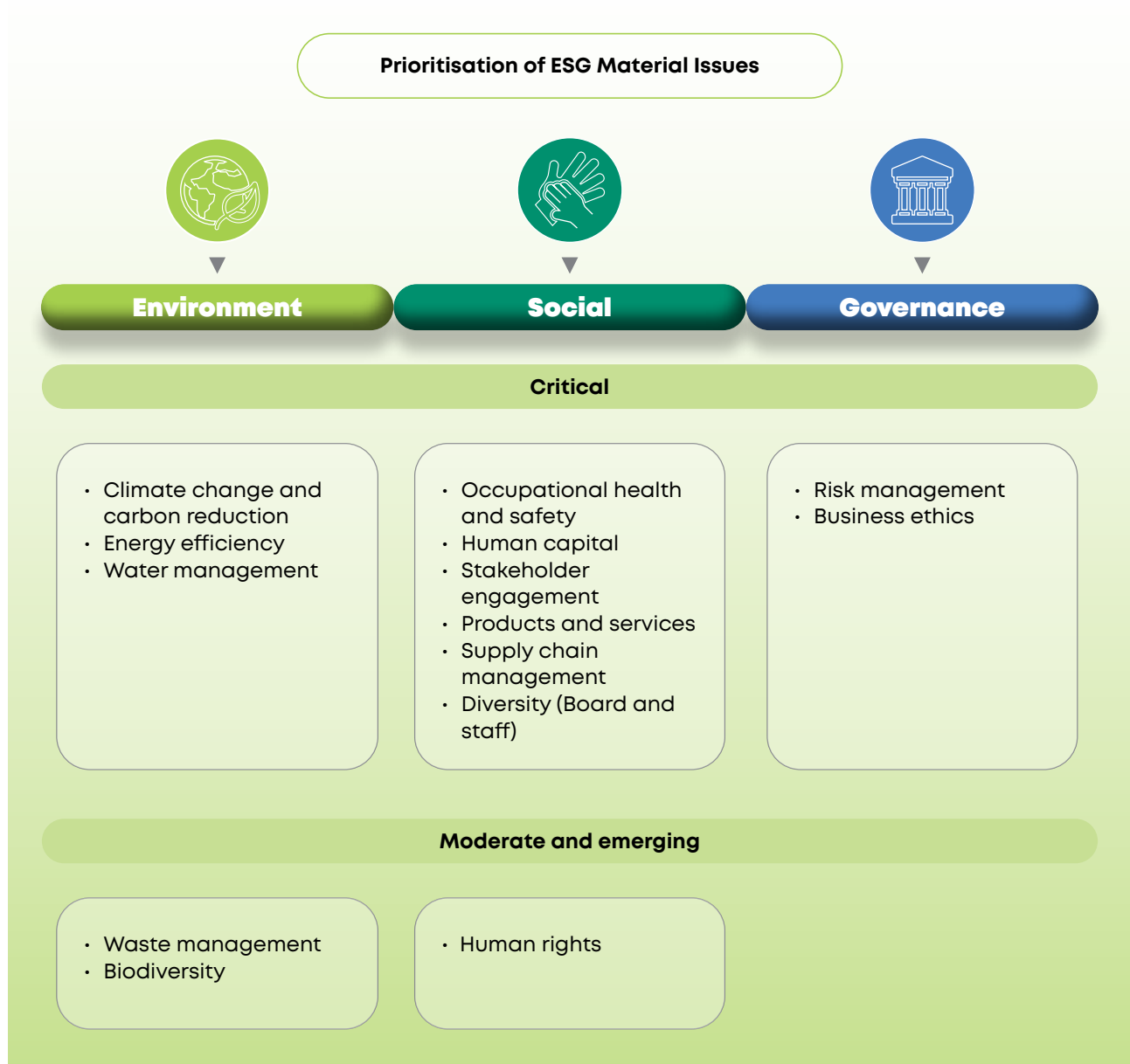
MATERIALITY

As CLMT is a CLI-sponsored REIT, CapitaLand's ESG material issues have been deemed material and applicable to CLMT's business and operations. CapitaLand has a regular review, assessment and feedback process in relation to ESG topics. Key to this is an annual Group-wide Risk and Control Self-Assessment exercise which entails the identification, assessment and documentation of material risks and corresponding internal controls. These material risks include fraud and corruption, environmental (e.g. climate change), health and safety, and human capital risks which are ESG-relevant.

Guided by CapitaLand's 2030 Sustainability Master Plan to elevate the Group's commitment to global sustainability, CLMT, as a CLI-sponsored REIT, identifies and reviews material issues that are most relevant and significant to us and our stakeholders. These ESG material issues are assessed and prioritised based on the likelihood and potential impact of issues affecting the business continuity of CLMT. For external stakeholders, priority is given to issues important to the community and applicable to CLMT.

The Manager and Property Managers engage stakeholders through various programmes and channels to identify and assess material ESG issues which significantly impact business operations and

stakeholders. The Group-wide Risk and Control Self-Assessment exercise provides the framework for the identification, assessment and documentation of material risks and corresponding internal controls. These are prioritised based on the likelihood and potential impact of issues affecting business continuity and development. For more information on stakeholder engagement, please refer to the Social and Relationship Capital chapter of this report and the upcoming CapitaLand Investment Global Sustainability Report 2022.



CREATING VALUE AND ALIGNMENT TO UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS (UN SDGS)

As a CLI-sponsored REIT, CLMT's material ESG issues and the value created, aligned to CapitaLand's 2030 Sustainability Master Plan focus areas and commitments¹, are mapped to six integrated reporting Capitals – Environmental, Manufactured, Human, Social and Relationship, Organisational, and Financial. This is further mapped against eight UN SDGs that are most aligned with CapitaLand's 2030 Sustainability Master Plan focus areas, and where CLMT can achieve the greatest positive impact.

¹ The CapitaLand Group's 2030 Sustainability Master Plan is regularly reviewed and adjusted where necessary to complement the Group's business strategy and align with climate science. The first scheduled review in 2022 is in progress and will be published before end May 2023.

Sustainability Management

The UN SDGs call on companies everywhere to advance sustainable development through the investments they make, the solutions they develop, and the business practices they adopt. In doing so, the goals encourage companies to reduce their negative impacts while enhancing their positive contributions to the sustainable development agenda. For more information, please refer to the CLI Global Sustainability Report 2022.

Our Commitments	2022 Value Created	
Environment - Transit to low-carbon business and reduce energy consumption through improved energy efficiency and increase use of renewable energy - Reduce water consumption, reuse water and prevent water pollution, especially in countries where the availability of clean water and sanitation are of concern - Green our global operational portfolio by 2030 - Strengthen climate resilience of our portfolio by addressing climate related risks and opportunities throughout the real estate lifecycle - Actively embrace innovation to ensure commercial viability without compromising the environment for future generations. - CapitaLand's Supply Chain Code of Conduct influences its supply chain to operate responsibly in the area of environmental management.	For CLMT: 25% reduction in carbon emissions intensity since 2009 25% reduction in energy intensity since 2009 29% reduction in water intensity since 2009 - RM42.2 million in utilities cost avoidance since 2009² - Green our operational portfolio by 2030 - Continued to enhance implementing the recommendations of the TCFD and improve TCFD reporting. For more details, please reference the TCFD segment in CLMT Annual Report 2022 - In the midst of conducting detailed climate risk assessment and scenario analysis for our portfolio³ - From the innovation submissions received through CapitaLand Sustainability X Challenge 2021 and 2022, currently piloting one innovative project in the area of improving water efficiency at East Coast Mall - Retained ISO 14001 certification in Malaysia	Environmental Capital Manufactured Capital
Social - CapitaLand believes that regardless of ethnicity, age or gender, staff can make a significant contribution based on their talent, expertise and experience. We adopt consistent, equitable, and fair labour policies and practices in rewarding as well as developing staff under the direct hire of CapitaLand. - CapitaLand aims to provide a work environment that is safe and contributes to the general wellbeing of our staff, tenants, contractors, suppliers and the communities that use our properties. - CapitaLand's Supply Chain Code of Conduct influences its supply chain to operate responsibly in the areas of human rights, and health and safety. - CapitaLand is committed to activities that are aligned with our focus on community investment. We engage our stakeholders to raise awareness of philanthropy, environmental, health and safety, as well as promote sustainability within the tenant community.	For CLMT: - Malaysia workforce of more than 240 staff - Males and females at a ratio of about 53:47 - About 70% of workforce was aged between 30 and 50 - About 20% of senior management were women, 81% staff engagement score, with 98% survey participation - Over 26 training hours per staff 100% of staff attended at least 1 ESG training - Zero work-related fatality and permanent disability - No reported incidents relating to discrimination, child labour or forced labour - Retained ISO 45001 certification in Malaysia - Invested close to RM64,000 through CapitaLand's philanthropic arm, CapitaLand Hope Foundation, to benefit to benefit over 1,200 underprivileged children	Human Capital Social and Relationship Capital Manufactured Capital
² Cost avoidance is computed by multiplying the absolute energy (kWh) and water (m³) savings against the annual average tariff rate on a business-as-usual (BAU) basis. ³ For more information, please refer to the CLI Global Sustainability Report 2022.		

Our Commitments	2022 Value Created	Organisational Capital
Governance - Adopted a Board Diversity Policy, with due consideration given to diversity including but not limited to, business or professional experience, age and gender, ethnicity and culture, geographical backgrounds and nationalities. - CapitaLand is committed to meeting high standards of risk management in the way it conducts its business. All employees are required to understand and be responsible for ensuring that risks are managed effectively in their day-to-day work. - CapitaLand requires third-party service providers and vendors to adhere to anti-bribery and anti-corruption provisions. - CapitaLand's Supply Chain Code of Conduct influences its supply chain to operate responsibly in the area of anti-corruption.	For CLMT: - About 12.5% of the Board were women 100% of staff attended Fraud, Bribery & Corruption awareness online training 100% of staff attended Whistleblowing training 100% of staff attended Cybersecurity training 100%⁴ of CLMT's supply chain agreed to abide by the CapitaLand's Supply Chain Code of Conduct	Human Capital 
Economic Integrate CapitaLand's ESG performance with financial metrics.	For CLMT: - Secured a RM60 million sustainability-linked loan facility - Please refer to the following sections in CLMT Annual Report 2022: - Highlights of FY 2022, page 7 - Year in Brief, page 13 - Capital Management, page 61	Financial Capital
⁴ Property maintenance and project related contracts for owned and managed properties and projects. This includes supply chain complying with their own code of conduct which is equivalent or more stringent than CapitaLand Supply Chain Code of Conduct.		

Sustainability Management

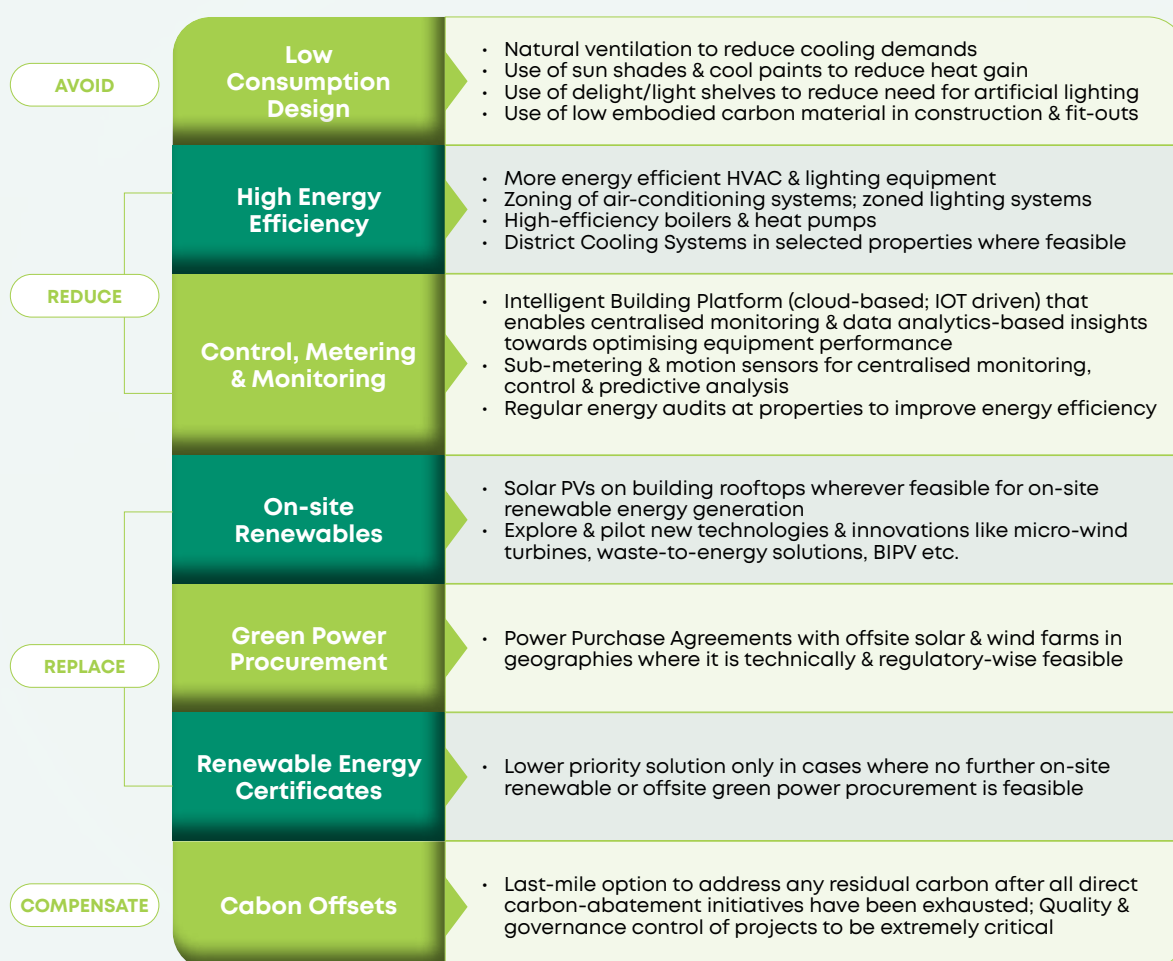
COMMITTING TO NET ZERO BY 2050 AND ELEVATING CAPITALAND'S CARBON EMISSIONS REDUCTION TARGET TO 1.5°C SCENARIO

In 2022, CapitaLand Group elevated its scope 1 and 2 carbon emissions reduction targets which were validated by Science Based Targets initiative (SBTi) to be in line with a 1.5°C trajectory⁵, currently the most ambitious designation available through the SBTi process. This will translate to Net Zero in 2050.

Aligned with the Group's elevated science-based target, CLMT commits to reducing its absolute scope 1 and 2 emissions by 46% by 2030 from a 2019 base year and aims to achieve Net Zero by 2050, consistent with the effort required to limit global temperature increase to below 1.5°C.

To operationalise its SBTi approved carbon emissions reduction target for scope 1 and 2 emissions, CLMT is reviewing its carbon intensity reduction targets and other environment targets, including changing reference to 2019 as the baseline year instead of 2009.⁶ CLMT also aims to conduct a comprehensive review of its scope 3 emissions to better track and disclose its material scope 3 emissions, and is committed to developing scope 3 emission goals aligned to science-based targets.

Over the next decade, as part of CLI's roadmap to Net Zero, CLI will prioritise the decarbonisation levers below, and in particular, continue to source globally for new ideas and technologies to achieve higher energy efficiency and intensify its renewable energy integration efforts.



⁵ The carbon emission reduction target in line with a 1.5°C trajectory was elevated from its target of a "well-below 2°C" trajectory set in 2020.

⁶ It is reviewed as part of the scheduled review of CapitaLand's 2030 Sustainability Master Plan in 2022 and will be published before end May 2023.

ENVIRONMENTAL & MANUFACTURED CAPITAL

As a CLI-sponsored REIT, CLMT is aligned with CapitaLand's science-based targets set out in CapitaLand's 2030 Sustainability Master Plan as we transit to a low-carbon business. CapitaLand's carbon emissions intensity reduction target is computed from the approved science-based target, to better track day-to-day operational efficiency. As part of the CapitaLand Group, CLMT is committed to working towards the long term and annual targets under CapitaLand's 2030 SMP Framework¹:

- Reduce carbon emissions intensity by 78% by 2030
 - Reduce energy intensity by 35% by 2030
 - Reduce water intensity by 45% by 2030
- (Using 2009 as base year)

CLMT is aligned with CapitaLand's commitment to minimise its environmental impact and contribute towards desired positive outcomes for the benefit of stakeholders. CLMT is committed to environmental sustainability and value creation as a real estate owner. By leveraging technologies and analytics in optimising the usage of energy, water and waste management across our properties, we believe the efficient use and management of environmental resources such as energy, water and waste contributes to higher efficiency and sustainability of CLMT's portfolio.

Managing Our Environmental Footprint

CapitaLand's Environmental Management System (EMS) is a key tool in managing CLMT's environmental footprint across its entire portfolio. The EMS, together with CapitaLand's Occupational Health and Safety Management System (OHSMS) are integrated as CapitaLand's Environmental, Health and Safety Management System (EHSMS) that complies with ISO 14001 and OHSAS 18001 standards. ISO 14001 and OHSAS 18001 are internationally recognised standards for environmental management and occupational health and safety management of businesses respectively.

CapitaLand's Environmental, Health and Safety Policy

As a CLI-sponsored REIT, CLMT is committed to protecting the environment and upholding the occupational health and safety (OHS) of everyone in the workplace. We regularly conduct the following:

- › Carry out exemplary EHS practices to minimise pollution as well as health and safety risks
- › Seek continual improvement on its EHS performance
- › Comply with relevant legislations and other requirements
- › Implement CapitaLand's OHS programmes

CapitaLand's Environmental, Health and Safety (EHS) Committee maintains the Group's EHS Management System. Each strategic business unit also has its own EHS Committee to drive initiatives in countries where they operate, with support from various departments.

The EHS policy is readily available to all employees, tenants, suppliers and service providers. Employees attend training and awareness programmes to facilitate the effective implementation of CapitaLand's EHSMS. New hires are introduced to the EHSMS and CapitaLand's EHS policy and briefed on their respective roles. More detailed training on the implementation of EHSMS is conducted for heads of departments in administration, operations, and project management, including heads of operating properties, design managers and project managers. Since 2012, all business functions such as property management for CLMT's properties are EHS certified.

Management of Environmental Aspects and Impacts

The EHSMS provides a systematic process to manage CLMT's environmental impact and to continuously improve its environmental performance. A key element is to identify and manage significant environmental aspects of its business operations that can potentially have a negative impact on the environment. The significance level of each environmental aspect and impact is assessed using a risk assessment technique based on factors comprising the likelihood of the occurrence, severity of the impact and control measures implemented. New or updated legal requirements are reviewed quarterly and compliance is evaluated annually.

CLMT strives to minimise environmental impact in areas such as resource depletion, carbon emissions and waste generation. This is done by setting environmental targets such as green building rating targets, carbon emissions, energy and water usage reduction targets, participating in stakeholder engagement activities, as well as implementing various measures to achieve them.

¹ To operationalise its SBTi-approved carbon emissions reduction target for scope 1 and 2 emissions, CLI is reviewing its carbon emissions intensity reduction targets and other environment targets, including changing reference to 2019 as the baseline year instead of 2008. The targets are being reviewed as part of the scheduled review of CapitaLand's 2030 SMP in 2022 and will be published before end May 2023.

Sustainability Management



CLMT has commenced working plans to achieve green certifications for its properties and aims to green its operational portfolio by 2030.

Training and Awareness

To facilitate effective implementation of CapitaLand's EHSMS, training and awareness programmes are planned and conducted for CLMT's staff. New employees are introduced to the EHSMS and EHS policies and briefed on their roles. Heads of Departments in administration, operations, and project management including heads of operating properties, design managers and project managers undergo more detailed training.

Internal and External Audits

As a CLI-sponsored REIT, CLMT taps on CapitaLand's internal audit system to ensure the conformance and effective implementation of its EMS to ISO 14001 international standards. External audits are conducted annually by a third-party accredited certification body. An annual audit of the EMS provides assurance to CLMT's stakeholders on its commitment to best practices.

Green Certification Targets

CLMT has commenced working plans to achieve green certifications for its properties and aims to green its operational portfolio by 2030. This is in line with CapitaLand's target to green its global operational properties by 2030, with each property achieving a minimum certification level by a green rating system administered by a national government ministry/agency or the World Green Building Council.

Engaging Tenants to Go Green

Collaboration with tenants is becoming more important to influence and support their sustainability goals. For CLMT's properties in Malaysia, a green fit-out guide is shared with new tenants to raise awareness and encourage adoption of greener fit-outs, lighting efficiency requirements and promote green practices and behaviour.

Environmental Tracking System

Leveraging CapitaLand's Environmental Tracking System (ETS), we track energy and water usage, waste collection and disposal, as well as carbon emissions at our operating properties. The ETS is also used to survey the various initiatives implemented at CLMT's properties, including efficiency measures, biodiversity and habitat risks, water management and flood risk.

The property management teams of each property submit monthly data and upload supporting documentation in the ETS. The consolidated data is analysed against reduction targets. This facilitates better understanding of consumption patterns better and identification of areas for eco-efficiency improvements.

Various energy conservation measures which focus on innovation to reduce energy consumption have been implemented in CLMT properties.

Focus	Initiatives
Energy Efficiency: Central Air Conditioning System	• Installed with Measurement & Verification system to monitor system performance daily • Perform preventive and periodic servicing and maintenance • Chiller ionisation system • Chiller management system
Energy Efficiency: Lighting	• Installation of LED fittings with motion sensors at staircase • Lighting power budget of not more than 22 Watts per m² for tenanted areas
Energy Efficiency: Equipment	• Replace equipment with higher efficiencies
Control, Metering and Monitoring	• Conduct energy audits at the properties to improve energy efficiency • Upgrading of existing Building Management System

Energy Consumption and Intensity

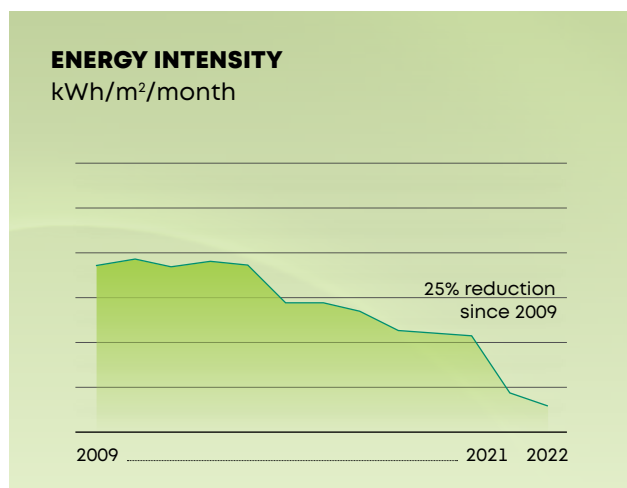
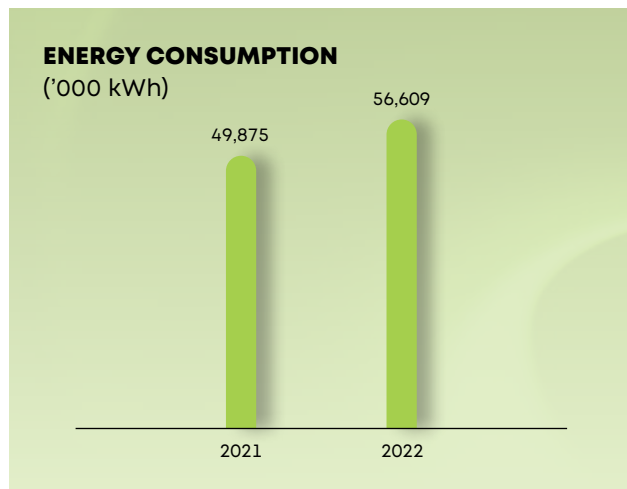
CLMT's total energy consumption comprises direct energy consumption (fuel consumption for maintenance of diesel generator) and indirect energy consumption (purchase of electricity and heating).

In FY 2022, CLMT's total energy consumption increased by 13.5% year-on-year to 56,609 kWh and almost all of it was contributed by indirect energy consumption. This increase was attributed to more retail trades were allowed to resume operations following the relaxation of pandemic-related restrictions.

CLMT recorded an energy intensity of 12.5 kWh/m²/month in 2022, which translates to 25% reduction in energy consumption intensity compared to the 2009 baseline.

CLMT is in the progress of exploring opportunities to generating electricity from renewable sources at its properties.

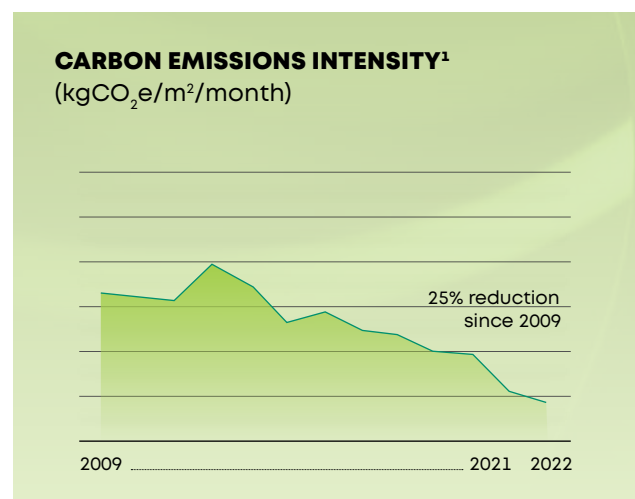
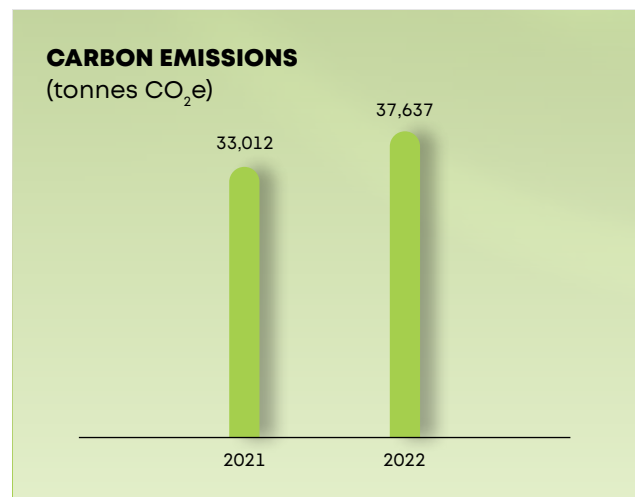
In support of the annual Earth Hour campaign, all non-essential lights were turned off at all CLMT's properties for one hour on 26 March 2022.



Carbon Emissions and Intensity

CLMT is committed to address climate change risks through the reduction of its energy consumption. Improving energy efficiency represents the largest and most cost-effective way to mitigate those emissions.

CLMT's total scope 1 and scope 2 carbon emissions in FY 2022 increased by 14% year-on-year to 37,637 tonne CO₂e. CLMT recorded a carbon emissions intensity of 8.3 kgCO₂e/m²/month in 2022, which translates to a 25% reduction in carbon emissions intensity compared to the 2009 baseline.



1 Total carbon emissions is computed mostly from purchased electricity consumption under Scope 2, as defined by the Greenhouse Gas (GHG) Protocol (operational control approach) and using individual country CO₂ emission factors retrieved from the International Energy Agency (IEA) Statistics – CO₂ emission factors from fuel combustion. Scope 1 is minimal or zero as scope 1 emissions is only from ad-hoc usage of diesel genset.

Sustainability Management

EV CHARGING STATIONS

Understanding the needs of increasing environmentally conscious among our stakeholders, there are a total of nine electric vehicle charging stations that have been installed in CLMT's retail portfolio including Gurney Plaza, 3 Damansara, The Mines and Sungei Wang Plaza. Plans are also underway to roll out more electric vehicle charging stations in our portfolio in collaboration with Malaysian Green Technology And Climate Change Corporation and other reputable EV charging solution providers.



Water Consumption and Intensity

CLMT is committed to reducing total water consumption and preventing water pollution. Water usage and discharge for each property are monitored and checked regularly. For CLMT properties, water is withdrawn from local municipal sources, and used in building systems such as irrigation and air-conditioning. Proper water management ensures minimal wastage and promotes responsible use of this precious resource and the following initiatives have been rolled out in CLMT's retail properties:

- Lowered flush volumes and use of water-efficient faucets
- Replaced corroded fixtures
- Installed automatic irrigation systems
- Installed video surveillance and remote meters on water supply and air conditioning systems to monitor water consumption in real-time

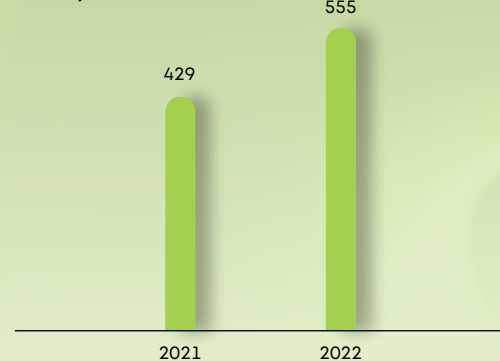
The property management teams conduct regular checks across water features and monitor water usage closely such that any fluctuations or anomalies can be identified and acted upon promptly.

In FY 2022, CLMT's total water consumption was approximately 555,247m³, an increase of 29.5% year-on-year.

CLMT recorded a water intensity of 0.123 m³/m²/month in FY 2022, which translates to 29% reduction in water intensity consumption compared to 2009 baseline.

At East Coast Mall, we are in the midst of piloting an innovation project from the CapitaLand

WATER CONSUMPTION ('000 m³)



WATER INTENSITY (m³/m²/month)

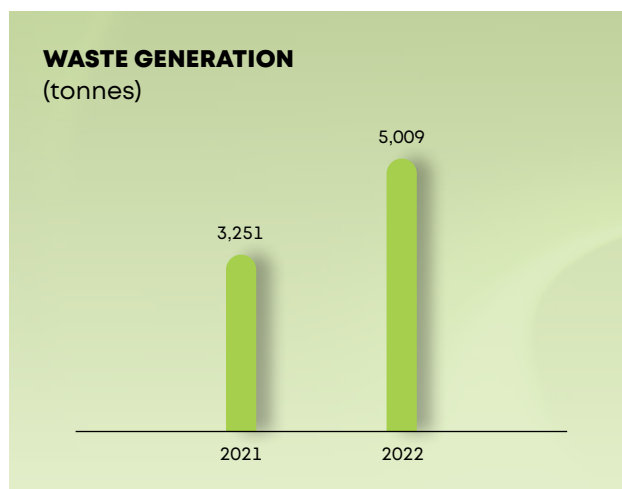


Sustainability X Challenge using modulating valve with sensor to reduce toilet water usage and minimise water wastage. This is expected to complete in 2023.

Operational Waste

CLMT aims to play its part by managing waste at its properties responsibly. As waste generated at its properties is mostly from tenants, shoppers and the general public, we engage our stakeholders through various means to minimise and recycle waste. Recycling and disposal bins for each type of waste (hazardous and all other waste) are made available at all CLMT properties. The waste collected and recycled are tracked by the property management teams of each property.

In FY 2022, we collected a total of 5,009 tonnes of non-hazardous waste within all CLMT properties, of which 2.1% (equivalent to 107 tonnes) were recyclable waste comprising paper, plastic, metals, glass and other materials. CLMT will continue to implement measures to reduce waste generation and increase recycling rate across its portfolio.



Biodiversity

CLMT's properties are all located within urban areas. As CLMT does not have any sites located within protected areas, no material biodiversity risks have been identified.

FY 2022 Key Performance Indicators

	CLMT 2030 Target	CLMT 2022 Performance	
Low-carbon Transition	Reduce carbon emissions intensity by 78%*	25% reduction in carbon emissions intensity*	■
	Reduce energy intensity by 35%*	25% reduction in energy intensity*	■
	35% of total electricity consumption from renewable sources	0%	■
	100% of existing buildings to achieve a minimum green rating	0%	■
Water Conservation and Resilience	Reduce water intensity by 45%*	29% reduction in water intensity*	■
Waste Management and Circular Economy	Achieve 25% recycling rate in its day-to-day operations	2.1% in recycling rate	■
Annual Targets			
Environmental Management System (EMS)	Maintain ISO 14001 certification for its EMS	Retained ISO 14001 certification in Malaysia	
	Manage risks of environmental impact	EMS is audited annually, providing assurance to top management and external investors on CLMT's compliance and alignment to best practices	
■ In progress ■ Achieved/Exceeded Targets * Using 2009 as baseline			

Sustainability Management

HUMAN CAPITAL

Our People

As an externally managed REIT, CLMT and its properties are managed by the Manager and Property Managers. Hence, the staff of the Manager and Property Managers are deemed as CLMT employees. These teams have more than 240 employees and are responsible for CLMT's property operations in Malaysia. We recognise that people are our greatest asset contributing to the success of the business. Our workforce comprises mainly full-time and permanent employees based in Malaysia.

Fairness and Diversity

CapitaLand has in place an integrated human capital strategy designed to recruit, develop and motivate employees. As a CLI-sponsored REIT, CLMT is committed to developing a high-performance work culture that embraces diversity and collaboration amongst its employees.

CLMT upholds CapitaLand's commitment to be a workplace of choice for employees and adheres to its policies on non-discriminatory employment practices and equal remuneration. We have adopted the five key principles of fair employment advocated by the Tripartite Alliance for Fair and Progressive Employment Practices. This is reflected in the Employers' Pledge for Fair Employment Practices signed by CapitaLand.

The five key principles of fair employment we adhere to include:

- › Recruit and select employees on the basis of merit (such as skills, experience or ability to perform the job), regardless of age, race, gender, religion, marital status and family responsibilities, or disability
- › Treat employees fairly and with respect and implement progressive human resource management systems
- › Provide employees with equal opportunity to be considered for training and development based on their strengths and needs to help them achieve their full potential
- › Reward employees fairly based on their ability, performance, contribution and experience
- › Comply with the labour laws and abide by the Tripartite Guidelines on Fair Employment Practices

To attract top talent, all job opportunities are advertised publicly via online job portals, with selections based wholly on individual merit. This is consistent with CapitaLand's non-discriminatory employment practices.

Human Rights

CLMT upholds and respects the fundamental principles set out in the Universal Declaration of Human Rights, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, United Nations Global Compact's principles on Human Rights and Malaysia government's legal frameworks and legislation to protect individual rights, i.e. Employment Act and Malaysia National Wages Consultative Council's Guidelines.

There were zero reported incidents pertaining to discrimination and human rights violation in FY 2022.

Positive Work Environment

For CLMT, we are committed to providing a positive and vibrant workplace that promotes personal development, good health and wellbeing, as well as a fulfilling career. We continue to implement initiatives such as flexible hours and work arrangements, comprehensive medical benefits, and employee engagement programmes to foster a culture of high performance and work-life harmony. Part-time employees are also entitled to the same benefits as their full-time colleagues, on a prorated basis.

Employment contracts with clearly stated terms and conditions are signed for all confirmed employees. In the event of termination or employee resignation, depending on the employee's job grade, a minimum notice period of one month must be fulfilled. Exit interviews are also conducted as part of the continuing efforts to improve retention policies and initiatives.

We advocate a pay-for-performance philosophy to drive ownership of collective goals. This encourages a high-performance work culture, which supports the mission to deliver long term sustainable Unitholders' value. At CLMT, we also adopt CapitaLand's robust performance management system to ensure that all employees receive regular performance and career development guidance. Annual performance reviews involve open discussions on the employee's performance, developmental needs, areas for improvement and career planning. Key performance indicators are set to drive employee performance and contribution to CLMT's annual targets and key objectives. Employees participate in setting team and individual goals to clearly define performance and compensation expectations. Supervisors are also encouraged to provide regular feedback on employee performance.

Talent Management

We actively seek innovative, dynamic and talented individuals, both internally and externally, with the right level of experience to support our growth. This is managed through the recruitment of talents across different career stages, from entry-level graduates to mid-career professionals and industry veterans. All new hires are required to undergo an orientation programme that helps them assimilate to CapitaLand's business operations, strategy, core values and management philosophy. We constantly build our management bench strength by identifying and developing high-potential talent as part of the regular succession planning process.

Our talent management programme addresses the development of organisational core competencies as well as position-specific competencies. During the annual performance and career development review, all employees are highly encouraged to openly discuss their performance and aspirations with their supervisors, as well as to identify any training needs.

Fair Remuneration

Aligning employee performance targets with corporate objectives as well as industry benchmarking ensures remuneration is fair across the organisation. To ensure that our remuneration packages are competitive, external human resource consultants are regularly engaged to benchmark our compensation and benefits packages against local industry peers. We also actively review our employee compensation strategies to ensure that they commensurate with market practice.

Our people are offered comprehensive and competitive remuneration packages. These include short-term cash bonus and long term cash-based and equity-based reward plans such as restricted cash, share and performance share programmes. Such cash-based and equity reward plans help to strengthen the link between reward and performance, as well as to retain talent.

As part of CapitaLand Group, CLMT employees also enjoy a flexible benefits plan, paid maternity/paternity leave, and time-off for volunteer work. A flexible benefits plan enables the employees to complement their personal medical and insurance needs with those provided by the company. Employees can also customise their benefits for themselves and their families.

Learning and Development

CapitaLand encourages the cross fertilisation of talent and ideas, and leverage the Group's Human Resource functions to develop our people. For CLMT, we are committed to talent development programmes that enable people to acquire the relevant knowledge and skills for business excellence and to reach their full potential.

CapitaLand allocates up to 0.5% of its annual wage bill towards learning and development programmes for employees. In line with its drive to upskill employees, CapitaLand conducts formal classroom training, and provides on-the-job exposure, mentoring and coaching, and opportunities for job rotation and overseas postings.

Our employees have direct access to a year-long training calendar comprising a series of pre-evaluated training courses. CapitaLand has an in-house training hub, CapitaLand Institute of Management and Business (CLIMB), which supports the training and development needs of employees.

CapitaLand also has in place training roadmaps and a wide variety of courses to equip our teams with the skills and confidence to carry out their duties. In 2022, approximately 100% of CLMT employees attended at least one training event, and the average number of training hours completed by each employee exceeded 26 hours. Employees pursuing relevant courses are eligible for paid examination leave of up to 10 days per calendar year.

CLMT's employees who are also licensed representatives under the Securities Commission Malaysia (SC)'s Capital Markets Services Licence, recorded 32 training hours per employee, which was above the minimum requirement by SC.

Sustainability Management

Learning CAREnival



The quarterly Learning CAREnival 2022 was conducted virtually in March, June, August, and November 2022. The programme featured a mix of internal and external speakers, who were invited to deliver talks on five main themes: Digital Fluency, Holistic Wellbeing, Career Resilience, Sustainability as well as Lifestyle and Leisure.

Knowledge Exchange Series

The Knowledge Exchange Series is a networking and information sharing session inaugurated in September 2020 to explore topics relating to our businesses. It aims to enhance internal communication, knowledge sharing and promote business understanding and collaboration across teams. It also allows employees to share their project initiatives and best practices. In addition, internal and external speakers are regularly invited to share experiences during the sessions. The topics for Knowledge Exchange 2022 included The Yin and Yang of Interest Rates and World Events (March), Ascott & The Evolution of the Hospitality Industry (July), Five Business Lessons Over 90 years (December).



Future Economy Skills

Various Future Economy Skills (FES) Trainings that are mapped to 'Staying Relevant' and focused on 5 categories of skills, (i.e., Adaptability, Global Perspective, Learning Agility, Digital Fluency & Self-Management) were conducted (in person or virtually) throughout 2022 to help employees manage oneself effectively and pay close attention to work and living trends that impact the strategies, direction, and motivation for technical skills development.

Job Security

CLMT is committed to providing meaningful jobs for its employees. In the event of termination or employee resignation, there is a minimum notice period of one month that needs to be fulfilled, depending on the employee's job grade.

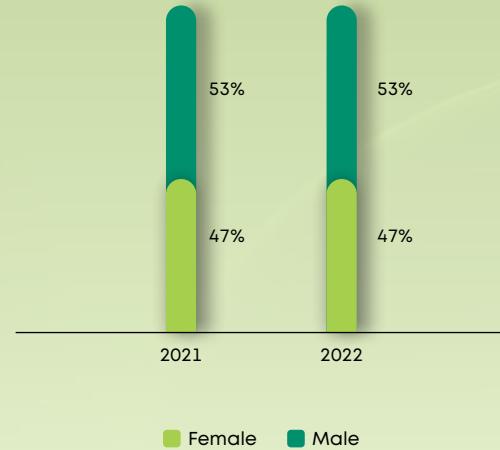
Re-employment Opportunities

In alignment with CapitaLand, CLMT has a re-employment policy in place for employees who have reached the current statutory retirement age of 60, to enable them to continue to work if they are still able and willing to continue contributing to CLMT. In 2022, four employees were above the age of 60.

Employee Profile

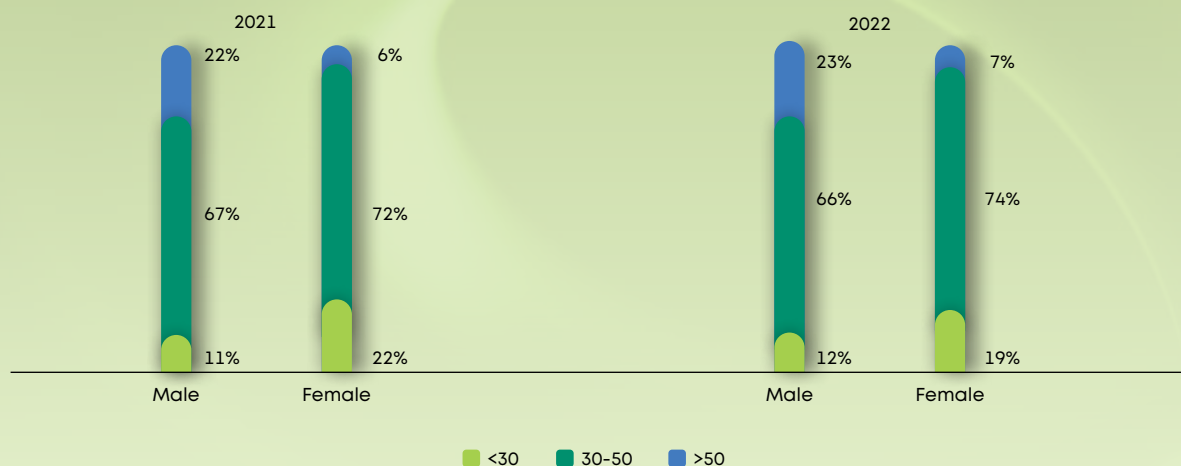
For CLMT, we have a vibrant and competent team of employees in our workforce. Of the total 244 employees in 2022, there were 128 (53%) males and 116 (47%) females.

EMPLOYEE DIVERSITY BY GENDER



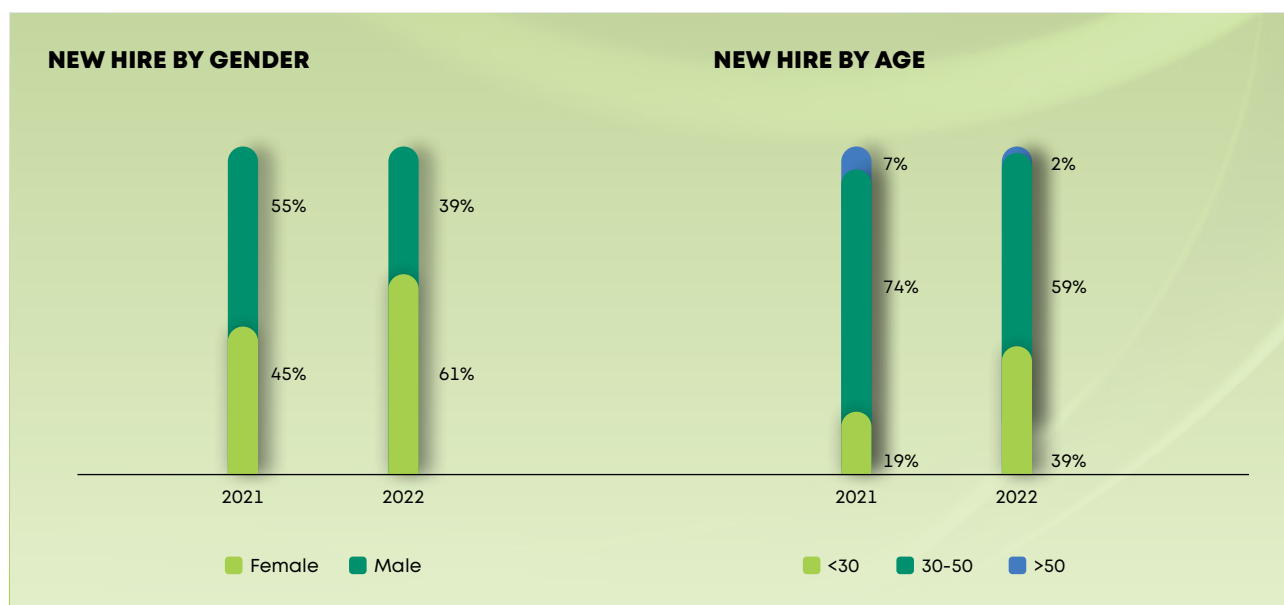
The workforce also comprises an almost equal ratio of male and female employees. Female employees are well represented in the middle and senior management levels. In 2022, close to 58% of the employees who are managers and above were female. Approximately 20% of the senior management, comprising those at Vice President level and above, were female. Employees between the ages of 30 to 50 accounted for 70% of the workforce, while those below 30 were around 15%. As at 31 December 2022, more than 62% of our employees have been with us for five years or longer.

EMPLOYEE PROFILE BY AGE & GENDER

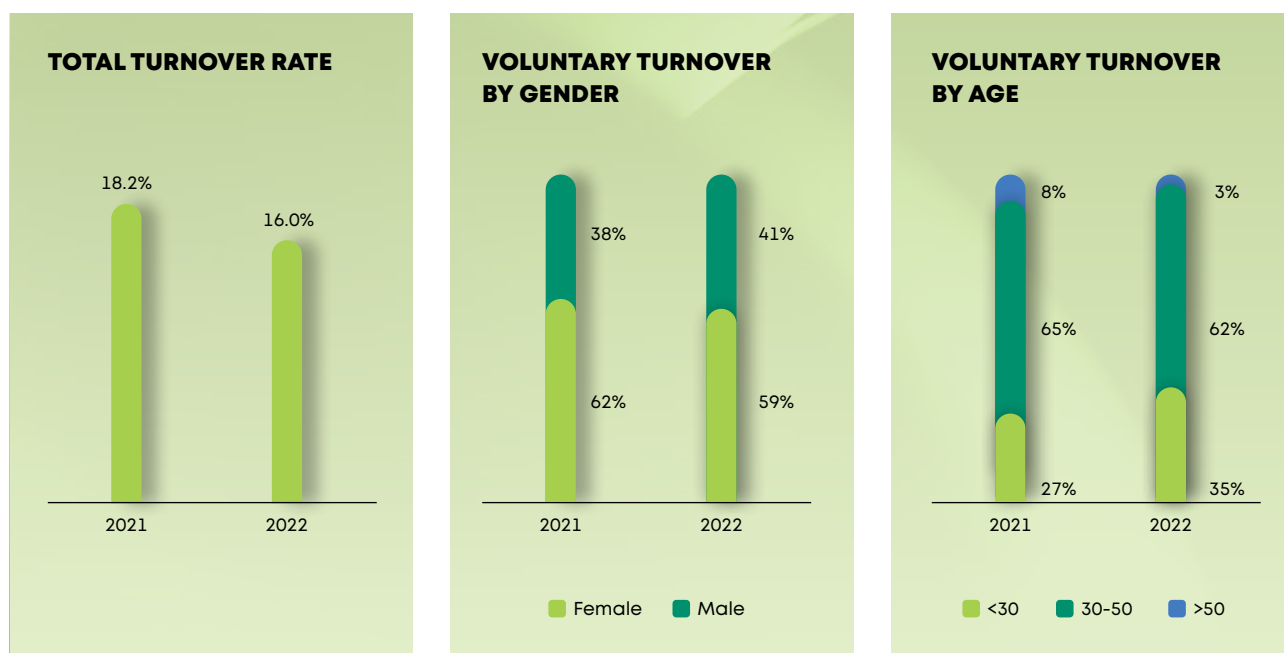


Sustainability Management

New hires represented 17% of the total headcount in 2022.



The employee total turnover rate for 2022 improved to 16.0% compared to 18.2 % a year ago.



Ethics and Integrity

In alignment with CapitaLand, CLMT adopts a strong stance against bribery and corruption. In addition to complying with clear guidelines and procedures regarding the giving and receipt of corporate gifts, all employees are required to pledge their commitment to CapitaLand's core values, which includes upholding the highest standards of integrity.

CapitaLand has established a Whistleblowing policy and other procedures to provide employees and business partners with well-defined, accessible and trusted channels for reporting suspected fraud, corruption dishonest practices or other workplace improprieties.

The Whistleblowing policy and procedures also allow for the independent investigation of any reported incidents and appropriate follow-up action, while assuring whistleblowers of protection from reprisals.

In alignment with CapitaLand, CLMT upholds a strict policy on ethical business conduct, which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle workplace harassment and grievances are also in place. These policies have helped to detect and prevent occupational fraud primarily in three ways:

First, we offer fair compensation packages, based on practices of pay-for-performance and promotion based on merit to our employees. We also provide various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures our employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, we seek to build and maintain the right organisational culture through CapitaLand's core values, educating our employees on good business conduct and ethical values.

To instill CapitaLand's core values and principles, new CLMT hires are placed to undergo the CapitaLand Immersion Programme which includes a mandatory module on anti-corruption policies and procedures. Employees are retrained on how the core values and principles can apply to their daily work.

Occupational Health and Safety

CLMT strives to achieve zero work-related injuries resulting in employee permanent disability or fatality by adopting stringent occupational health and safety (OHS) practices. Employees are expected to take ownership of OHS issues, and proactively report all OHS-related incidents alongside non-compliance and non-conformities. CLMT regularly monitors the operations to control workplace safety risks and strives to eliminate or minimise them through various measures. Hazards Identification and Risk Assessments are reviewed annually or when appropriate. OHS hazards are identified for the administration, development and operational functions of the business and risks are assessed. Standard operating procedures are in place to minimise the occurrence of such hazards.

In 2022, there were zero staff work-related fatality and permanent disability.

Employee Wellbeing

CLMT aims to provide a safe work environment that contributes to the general wellbeing of its employees. In Malaysia, this is carried out through a Total Wellbeing Programme to promote health and wellbeing of all employees. CLMT supports the programme by engaging its workforce through regular health and recreational activities, as well as brainstorming workshops. We also have a flexible work arrangement policy that permits flexible work hours, working from home or part-time work arrangements for our workforce.

In 2022, some of the activities conducted to encourage a well-balanced and healthy lifestyle among employees include free COVID-19 screening, virtual health-related activities through health talks and campaign. Tips on healthy living and effective exercise were published regularly through CapitaLand's intranet and email blasts.

Sustainability Management

Pre-Hospitalisation COVID-19 Test Coverage

Given the COVID-19 situation in the country, there has been a requirement for each patient to undergo a COVID-19 test before every hospital admission. In view of that, Group Health Plan (GHP) has been extended to cover the Pre-Hospitalisation COVID-19 Test for employees.

COVID-19 Tests for Employees Using Self-Test Kits

Employees have been required to undergo COVID-19 self-tests on a weekly or fortnightly basis with test kits provided by the Company during the pandemic period. This initiative is to ensure the safety of our workplace and to mitigate the risk of COVID-19 infection. Employees who tested positive through self-testing would be required to be on home quarantine and update their supervisors and HR immediately.

Regular Communication Sessions with Staff

Several communication sessions with staff were organised such as CMO-Connect and #HRConnect, to keep employees abreast of company directions, performance, latest developments, and people matters. Topics related to employee health, safety and wellbeing were also shared during those sessions.



Workplace Wellness and Wellbeing Talks

Several talks in relation to employee wellness and wellbeing were conducted virtually with the aim of promoting wellbeing and creating a healthy work environment.



Employee Engagement and Wellbeing Events

Various events/initiatives were organised in 2022 such as distribution of Starter Pack, CNY Prosperity Bags and Raya Festive Meal Vouchers to employees, Scoops n' Smiles, Fruitilicious Parties, 3D2N Staff Year End Gathering & Teambuilding at Port Dickson, Deepavali Get-together Gathering, Christmas Gathering and Gift Exchange, etc. to enhance wellbeing and foster camaraderie among employees. Commendation Awards was also put in place to recognise employees for their exceptional performance, behaviour and achievement.



Sustainability Management

As we continue to adapt to a safe lifestyle, CLMT is forthcoming with hygiene and safety practices at the workplace. Employees' concerns and anxiety are mitigated by proactively highlighting workplace sanitary health practices, provision of safety and health equipment and keeping abreast with Ministry of Health's safety guidelines.

Personal Protective Equipment (PPE) Kits distribution

The Company continued in distributing face masks to employees at work particularly to front-liners. Hand gloves, hand sanitisers and other PPE Kits are made readily available at the workplace.

Fire Safety and Evacuation Intensive Training

Fire safety and evacuation intensive training courses were conducted in May and June 2022 to equip employees with the necessary knowledge and skills so that they would be able to function well in the event of a fire emergency in the workplace.



First Aider & Cardiopulmonary Resuscitation (CPR) Certification Training

Several First Aider & CPR certification trainings were conducted in August 2022. The sessions are aimed to equip employees with essential knowledge and skills for being competent in providing first aid and prompt emergency care in the event of an injury or sudden illness.



STAKEHOLDER ENGAGEMENT

Stakeholders are groups that CLMT's business has a significant impact on, and those with a vested interest in its operations. Key stakeholders include employees, customers, business associates, builders and suppliers, as well as the investment and local community. Other groups include regulators and key government agencies, non-governmental organisations (NGOs), representatives of the capital market and the media. They are mapped into groups based on their impact on CLMT.

Through the various engagement channels, CLMT seeks to understand its stakeholders' views, communicate effectively with them and respond to their concerns. Engagement channels include dialogues with government agencies, participation at conferences, member representations in industry-related associations, benchmarkings and responding to sustainability surveys.

Stakeholders	Engagement Channel	Issues	Capitals
Employees	- Regular dialogue sessions with senior management - Regular staff engagement surveys - Volunteer programmes - Training and development	- Work-life balance - Remuneration and benefits - Staff welfare	Human Capital Social and Relationship Capital
Investors, analysts and media	- Annual general meetings - Quarterly financial results announcements - Media releases and interviews - Annual reports - Company website - Regular analyst and investor meetings - Site visits	- Operational efficiency, monetary savings, cost avoidance - Return on equity, earning, business strategy, market outlook - ESG risks and opportunities	Financial Capital Social and Relationship Capital
Customers (Tenants and shoppers)	Tenants: Tenant satisfaction survey, green fit-out guide and joint promotions and strategic partnerships Shoppers: mall campaigns, exhibition, social media campaigns CapitaLand's social media channels	- Facilities management - Customer experience	Social and Relationship Capital Environmental Capital
Supply Chain (Main contractors, vendors, suppliers)	- CapitaLand's Supply Chain Code of Conduct - Environmental, Health and Safety (EHS) management system - Quarterly EHS monitoring - Vendor evaluation, events, meetings and training	- Design and quality - Occupational health and safety practices - Workers' welfare and wellbeing - Environmental compliance	Human Capital Social and Relationship Capital Environmental Capital

Sustainability Management

Stakeholders	Engagement Channel	Issues	Capitals
Government/ national agencies/ community and non-governmental organisations (NGOs)	• Longstanding partner of various national programmes • Participation in external conferences/forums • Corporate advertisements • Consultation and sharing with academics, NGOs and business associations • Sustainability reports	• Stakeholder programmes to advocate sustainable tenant/consumer behaviours • Advocating best practices	Social and Relationship Capital

Tenant Satisfaction Survey

CLMT strives to create meaningful relationships with its customers. To maintain the relevance of its malls, CLMT conducted a tenant satisfaction survey for five of its retail properties in FY 2022, with an overall participation rate of 87%. CLMT garnered feedback on a range of matters from cleanliness, security, mall ambience to the adequacy of car park lots. On an average, 90% of the respondents expressed satisfaction with CLMT's services. The survey is useful in providing specific and actionable feedback, which allows us to better address our tenants' needs and concerns. The feedback obtained is reviewed and relevant follow up actions are taken to improve the experience and service levels to its tenants and shoppers.

ENGAGING OUR COMMUNITY

Earth Hour 2022

CLMT participates in Earth Hour annually across all its properties by switching off façade lights and non-essential lighting from 8:30 pm (local time). CLMT encourages tenants to participate by switching off all non-essential lights for that hour.



Uniqlo, Neubodi, SenQ and Riicycle Penang. Shoppers were rewarded with CapitaStar Vouchers, carpark rebate and other prizes when they bring items to recycle at the participating stores.

#GivingBersama 2.0

In FY 2022, CLMT collaborated with CapitaLand Malaysia, to provide essential and school supply relief to support more than 1,200 beneficiaries in Malaysia. The beneficiaries are from 36 homes and schools in the Klang Valley, Kuantan, Penang and Johor. With funding support from CapitaLand Hope Foundation (CHF), CapitaLand Group's philanthropic arm, we donated RM64,000 to provide them with essential items and school supplies.

Green Givers @ Gurney Plaza

In conjunction with Earth Hour and World Givers Campaign was held at Gurney Plaza with the support of the Penang Green Council. We aimed to raise awareness for this initiative and through this recycling campaign, we collaborates with participating brands such as L'Occitane, Nespresso,



ORGANISATIONAL CAPITAL

Corporate Governance Culture

The Manager embraces the tenets of good corporate governance, including accountability, transparency and sustainability. It is committed to enhancing long term Unitholder value and has appropriate people, processes and structure to direct and manage the business and affairs of the Manager with a view to achieving operational excellence and delivering CLMT's long term strategic objectives. The policies and practices developed meet the specific business needs of CLMT and provide a firm foundation for a trusted and respected real estate investment trust.

The Manager remains focused on ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CLMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations while achieving operational excellence and delivering CLMT's long term strategic objectives. The Board is responsible for the Manager's corporate governance standards and policies, underscoring their importance to the Manager.

CLMT adheres to the policies, guidelines and practices relating to Communicating with Shareholders, Dealing with Interested Persons, Dealing with Conflicts of Interest, Dealings in Securities and Code of Business Conduct, amongst others.

For details on CLMT's corporate governance framework and culture, please refer to the Corporate Governance section, page 68 to 95 of CLMT Annual Report 2022.

Compliance

CLMT is a member of the Malaysian Investor Relations Association (MIRA) and Malaysia REIT Managers Association (MRMA).

In FY 2022, there were zero incidents on material non-compliance with the laws and regulations relevant to the REIT, the Manager or the Property Managers. This includes regulations and industry codes concerning marketing communications and PDPA.

In alignment with CapitaLand, CLMT's zero tolerance towards bribery and corruption is further reflected through the anti-bribery and anti-corruption provisions incorporated into its business contracts and agreements. In 2022, there were zero incidents related to corruption.

Enterprise Risk Management

As an integral part of corporate governance, a comprehensive Enterprise Risk Management (ERM) framework enables CLMT to proactively identify, assess, manage and communicate risks in an integrated, systematic and consistent manner.

The Board is responsible for the governance of risks across CLMT, assisted by the Audit Committee which provides oversight of risk management at the Board level. The Board approves CLMT's risk appetite which determines the nature and extent of material risks that the Manager is willing to take to achieve the CLMT's business objectives and corporate strategy. For more details, please refer to the ERM section, page 103 to 107 of CLMT Annual Report 2022.

FINANCIAL CAPITAL

Financial Performance

CLMT delivered a set of improved results for FY 2022 as it continues to progress well to recover from the impact and challenges of the pandemic. For a detailed overview of CLMT's financial results and performance, please refer to the following sections of this Annual Report – Highlights of FY 2022, page 6; Financial Highlights, page 8 to 9; Financial Review, page 59 to 60; and Financial Statements, page 156 to 195 of CLMT Annual Report 2022.

Feedback

Stakeholders with questions or feedback for CLMT are welcome to send them to ask-us@clmt.com.my.

Independent Market Overview



Prepared by: Savills (Malaysia) Sdn. Bhd.

Date: 15 February 2023

1.1 MACROECONOMIC & DEMOGRAPHIC OVERVIEW

The global economy remained upbeat despite the challenge of COVID-19. The reopening of the economies led to a growth rebound as many countries began to reopen international borders. In Malaysia, the reopening of the international border on 1 April 2022 has stimulated Malaysia's economic growth. Bank Negara Malaysia (BNM) statistics indicated that Malaysia's economy grew substantially at 14.2% in Q3/2022 (Q2/2022: 8.9%), in line with the Ministry of Finance's (MOF) projection. MOF further projected the country's economy to grow by 6.5% - 7.0% in 2022 (GDP growth in 2021: 6.1%), sustained by domestic and external demand, improved labour market, and government policies (including the increment of minimum salary wage and Bantuan Keluarga Malaysia).

Department of Statistics Malaysia's (DOSM) statistics showed that domestic demand rose by 13.1% in Q3/2022 (Q2/2022: 13.0%)¹, with private consumption growth expanding at 15.1%¹ as of Q3/2022. This growth was driven by the private sector expenditure that can be attributed to the continued recovery of the labour market and improved income conditions. From 1 May 2022, the minimum salary wage has been increased from RM1,200 to RM1,500. Such increment contributes to the rise in household income, stimulating spending on necessities and discretionary items. Additionally, the reopening of international borders has attracted the arrival of tourists and travellers, further contributing to the robust growth in private consumption.

Labour market conditions improved further in Q3/2022, with an unemployment rate of 3.7% (Q2/2022: 3.9%)¹, the lowest rate recorded since the pandemic. The labour force recorded a significant year-on-year (y-o-y) increase of 2.6% in Q3/2022 to 69.4%¹, above the pre-pandemic crisis level of 68.5% in Q4/2019. These figures further suggested that the hiring of employees was sustained and recovered.

Furthermore, the private sector wages also showed a continuous improvement at 8.0% in Q3/2022 (Q2/2022: 7.8%)¹, supported by the strong economic recovery and expansion

pace. Robust enhancements across both the services and manufacturing sectors drove this growth.

On the other hand, Malaysia's headline inflation eased to 3.8% in Q4/2022 from 4.5% in Q3/2022. This is primarily attributed to the slowed down in the increase of food and non-alcoholic beverage prices. The full-year inflation rate stood at 3.3% in 2022, which is in line with the earlier projection by the Ministry of Finance (MOF). MOF further anticipated that inflation would moderate between 2.8% and 3.3% in 2023. This forecast is based on the positive outlook in commodity price stability and benefits enjoyed from the government's gradual implementation of targeted subsidies mechanism amid economic pressure and uncertainties in 2023.

From January 2022, BNM raised the Overnight Policy Rate (OPR) four times by 100 basis points from 1.75% to 2.75% in November 2022 to address the inflationary pressure caused by the global pandemic. As of 31 December 2022, the OPR remained at 2.75% in 3Q/2022, and this decision was made to support the nation's economic growth further.

According to the Ministry of Tourism, Arts and Culture (MOTAC), more than 1.6 million tourist arrivals were registered in May and June 2022, a threefold increase compared with the first four months in 2022 (Jan-Apr 2022: 490,112). This remarkable tourist comeback was also observed in July 2022, with a further rise in tourist arrivals at 11%, accounting for more than 3.2 million tourists and RM0.62 billion receipts recorded. This indicated a significant y-o-y increase in tourist arrivals compared to 2021, which recorded only 0.13 million tourist arrivals and RM0.24 billion in tourist receipts. This favourable outlook is in line with MOTAC's revision of its projection of 9.2 million tourist arrivals and RM26.8 billion tourist receipts in 2022. Furthermore, Tourism Malaysia expects a surge in tourist arrivals – especially from ASEAN and European countries – under the new government's leadership following the recent General Election (GE15) in November 2022. As forecasted by Tourism Malaysia, the tourist arrivals in 2023 are targeted to reach 15.6 million with RM47.6 billion in tourist receipts. Notably, the arrival of 1 million tourists from China is expected by the Malaysia Inbound Tourism Association (MITA), following the reopening of China's travel borders from 8 January 2023.

1 Data presented is the latest available data as Q4 data is pending for release by the relevant agencies.

1.2 KEY ECONOMIC INDICATORS

State	2017	2018	2019	2020	2021	2022
GDP at Constant 2015 Prices (RM billion)¹						
Malaysia	1,300.8	1,363.8	1,424.0	1,345.1	1,386.7	1,476.9^(e)
W.P. Kuala Lumpur ¹⁵	206.2	220.4	233.8	216.6	218.2	–
Selangor	302.2	323.2	345.0	327.1	343.5	–
Penang	86.8	91.2	94.6	92.7	99.0	–
Pahang	54.6	56.3	58.4	54.9	55.4	–
Johor	123.6	130.6	134.2	128.0	131.1	–
Real GDP Growth (%)²						
Malaysia	5.8	4.8	4.4	-5.5	3.1	6.5-7.0^(e)
W.P. Kuala Lumpur ¹⁵	7.6	6.9	6.1	-7.4	0.8	–
Selangor	7.2	7.0	6.7	-5.2	5.0	–
Penang	5.1	5.1	3.7	-2.1	6.8	–
Pahang	7.3	3.1	3.8	-6.1	0.9	–
Johor	5.9	5.7	2.8	-4.7	2.4	–
GDP at Current Prices (RM billion)²						
Malaysia	1,372.3	1,447.8	1,512.7	1,418.0	1,545.4	–
W.P. Kuala Lumpur	213.2	229.3	244.6	227.5	231.4	–
Selangor	313.0	333.8	358.0	340.0	364.3	–
Penang	89.2	93.3	97.6	97.1	103.9	–
Pahang	58.9	59.2	61.1	60.5	66.2	–
Johor	130.6	136.4	140.6	135.8	146.6	–
GDP per capita at Current Prices (RM)³						
Malaysia	42,854	44,780	46,513	43,702	47,439	–
W.P. Kuala Lumpur	113,358	121,509	129,677	108,791	111,292	–
Selangor	49,048	51,547	55,030	48,607	51,930	–
Penang	51,130	52,921	55,202	55,774	59,685	–
Pahang	35,751	35,577	36,560	38,010	41,313	–
Johor	35,315	36,388	37,377	33,856	36,474	–
Industrial Production Index (2015 = 100)⁴	108.7	112.1	114.8	110.1	118.1	125.4 (Jan-Oct'22)
Manufacturing Sales (RM billion)⁵	–	–	1,376.0	1,346.6	1,554.7	1,485.2 (Jan-Oct'22)

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State	2017	2018	2019	2020	2021	2022
Mean Monthly Household Income⁶						
Malaysia	–	–	7,901	7,089	–	–
W.P. Kuala Lumpur	–	–	13,257	11,728	–	–
Selangor	–	–	10,827	9,668	–	–
Penang	–	–	7,774	6,850	–	–
Pahang	–	–	5,667	5,144	–	–
Johor	–	–	8,013	7,264	–	–
Domestic Aggregate Demand at Current Prices (RM billion)²						
Private Consumption	759.7	831.4	904.2	863.0	894.9 ^p	999.0^(e)
Private Investment	234.5	245.8	252.5	222.3	231.1 ^p	241.4^(e)
Public Consumption	167.1	173.3	176.3	185.4	196.5 ^p	199.1^(e)
Public Investment	109.4	104.6	94.5	74.4	67.0 ^p	69.7^(e)
Malaysia Retail Trade Index (RM billion)⁷	450.3	500.0	537.6	511.0	533.6	542.9^(p) (Jan-Oct'22)
Malaysia Retail Trade Index (2015 = 100) ⁷	117.3	128.9	139.5	131.0	135.6	159.8^(p) (Jan-Oct'22)
Consumer Price Index (Average Prices at 2010 = 100)⁸						
Malaysia	119.5	120.7	121.5	120.1	123.1	127.2
Peninsular Malaysia	120.3	121.5	122.4	121.1	124.2	128.5
Core Inflation (%)⁹	2.2	1.6	1.5	1.1	0.7	2.0-3.0^(p)
Consumer Sentiment Index (every 4Q of the year)¹⁰	82.6	96.8	82.3	85.2	97.2	98.4 (Q3/2022)
Consumer Sentiment Index Growth Rate (%)	12.1	17.2	-15.0	3.5	14.1	–
Population ('000)¹¹						
Malaysia	32,023 ^e	32,382 ^e	32,523 ^e	32,447 ^e	32,576 ^e	32,652^(p)
W.P. Kuala Lumpur	1,793	1,790	1,783	1,982	1,964	1,945^(p)
Selangor	6,381	6,475	6,506	6,994	7,015	7,038^(p)
Penang	1,744	1,763	1,768	1,740	1,740	1,739^(p)
Pahang	1,647	1,665	1,671	1,591	1,602	1,613^(p)
Johor	3,697	3,749	3,761	3,774	4,020	4,023^(p)
Labour¹²						
Labour Force ('000)	14,980.1	15,280.3	15,581.6	15,667.7	15,797.2	15,890.8 (1H/22)

State	2017	2018	2019	2020	2021	2022
Employment ('000)	14,476.8	14,776.0	15,073.4	14,956.7	15,064.0	15,223.8 (1H/22)
Unemployed ('000)	503.3	504.3	508.2	711.0	733.0	667.0 (1H/22)
Labour Force Participation Rate (%)	68.0	68.3	68.7	68.4	68.6	68.5 (1H/22)
Unemployment Rate (%)	3.4	3.25	3.3	4.5	4.6	4.2 (1H/22)
Overnight Policy Rate (%)¹³	3.0	3.3	3.0	1.75	1.75	2.75
Base Lending Rate (%)¹⁴	6.7	6.9	6.8	5.8	5.5	5.8 (Jan-Oct'22)
Base Rate (%)¹⁴	3.6	3.9	3.8	2.8	2.4	2.6 (Jan-Oct'22)
Tourist Arrivals (million persons)¹⁵	26.0	25.8	26.1	4.3	0.1	9.2^(e)
Tourist Receipts (RM billion)¹⁵	82.1	84.1	86.1	12.7	0.24	26.8^(e)

Sources: Many of the 2022 data are estimates. Full-year 2022 data have yet to be released as of the date of this report.

- 1 Department of Statistics Malaysia (DOSM)
- 2017-2022 data is based on the Department of Statistics Malaysia (DOSM), Gross Domestic Product (GDP) State.
- 2 Ministry of Finance (MOF).
- Economic Outlook 2023 Report.
- 3 Department of Statistics Malaysia (DOSM)
- State GDP Table 2015-2021.
- 4 Department of Statistics Malaysia (DOSM)
- Index of Industrial Production, October 2022.
- 5 Department of Statistics Malaysia (DOSM)
- Monthly Manufacturing Statistics, October 2022.
- 6 Department of Statistics Malaysia (DOSM)
- Household Income Estimates and Incidence of Poverty Report, Malaysia 2020.
- DOSM household income estimates are limited to 2019 and 2020.
- 7 Department of Statistics Malaysia (DOSM)
- Wholesale & Retail Trade Index, October 2022.
- 8 Department of Statistics Malaysia (DOSM)
- Consumer Price Index Malaysia, November 2022.
- 9 Bank Negara Malaysia (BNM)
- BNM Quarterly Bulletin 3Q22, November 2022.
- 10 Malaysia Institute of Economics Report (MIER)
- Consumer Sentiments Survey Report, 3rd Quarter 2022
- 11 Department of Statistics Malaysia (DOSM)
- 2017-2019 data is extracted from the Current Population Estimates, 2021.
- 2020-2022 data is extracted from the Current Population Estimates, 2022.
- 12 Department of Statistics Malaysia (DOSM)
- Labour Force Report, October 2022.
- 13 Bank Negara Malaysia (BNM)
- OPR Decision and Statement, November 2022.
- 14 Bank Negara Malaysia (BNM)
- Monthly Highlights and Statistics in October 2022.
- 15 Tourism Malaysia
- My Tourism Data.
- 16 Includes WP Putrajaya

Note:

(e) = estimated data

(p) = preliminary data

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2.0 RETAIL MARKET OVERVIEW & TRENDS

Commentary on current retail market outlook and trends

The continuous evolution of the retail landscape pushes retailers to adjust and adapt to the changing expectations of consumers – from mom-and-pop stores and urban markets to megamalls and retail podiums. In the last three years, retailers have had to adapt to the most volatile situations they have ever seen, dealing with the pandemic, inflation, and labour shortage. Amidst the pandemic, where the retail scene experienced unprecedented challenges, retailers are pushed to be more creative by adapting and embracing new opportunities, such as doing business via e-commerce channels.

In Malaysia, retail malls have striven to be on par with the expectations of new-generation consumers – Gen Z and Millennials – without leaving out the older generations. The pandemic has brought forth certain retail trends and expanded the possibilities of some existing ones.

The rental rates of retail spaces for prime malls decreased slightly in 2021 compared to 2020. These estimates are based on the gross revenue of the respective annual report, i.e. Pavilion Kuala Lumpur and Suria KLCC hold average monthly gross rentals of RM25 psf and RM29 psf (2020: RM26 psf and RM33 psf), respectively. In general, retail rental rates are expected to remain stagnant as retailers are still holding on to prime retail lots, especially with the opening of new malls, which will continue to have downward pressure on the rental rates. While retailers are still recovering from the COVID-19 challenges and with the increasing inflation rate, the demand increase for retail lots is less expected. Furthermore, existing malls are expected to maintain their rental rate for better occupancy. Following this, rental reversion is less likely to happen; thus, the rental rate is expected to remain flattish yet, stable.

The omnichannel experience

Omnichannel is where retailers promote their products and services and engage with consumers across different channels, platforms and devices. It creates an integrated and cohesive consumer experience whereby consumers can interact with businesses seamlessly across various channels.

For the past three years, most consumers have experienced the luxury of online purchasing without needing to visit physical stores. Although a return option is available for online purchasing, some might still prefer an offline physical experience – seeing and touching the product – before purchasing it.

The resumption of business did not stop retailers operating physical shops from having an “online purchasing” option where consumers can choose to collect in-store or have their purchases delivered, as it moves alongside the trend of the online-merge-offline (OMO) model. ZARA, Uniqlo, H&M and Cotton On are among those that have offered an exchange/return for online purchases to encourage consumers to purchase their products.

The use of open space for “Artisan Markets”

The increasing exposure to local products has spurred interest among consumers to look for artisanal products – goods made in small batches to reflect a high quality of craftsmanship and uniqueness. Several retail malls are grabbing this opportunity and bringing together local artisans, designers, and food producers to promote and sell their products in a loft-like setting or an open space/walkway. These settings, also known as pop-up stores, are unique as they offer an intimate shopping experience and function as informal social gathering spaces for shoppers to engage and interact with the artists and designers who made the artisanal products.

In conjunction with the celebration of Merdeka month, The Artisans Haven hosted a curated series of pop-up shops for three months across Malaysia Grand Bazaar Bukit Bintang City Centre, Fahrenheit 88 and Tokyo Street Pavilion KL. In addition, the Publika and Plaza Arkadia are among the malls that have established artisan markets, providing convenience to shoppers to shop for artisanal products while visiting the malls.

Meanwhile, a community art space which featured an array of cultural and art activities took shape in Gurney Plaza. The Merdeka Art Exhibition (with a pop-up market) and OSP Creative Market at Art @ Gurney Plaza have jointly organised with Penang Art District and Open Studios Penang, aimed to bring local artists together in celebrating patriotism through crafts and artworks. The public could explore the local artists’

artworks via exhibitions, creative markets, studios and art tours. In conjunction with the Penang International Food Festival (PIFF) 2022, Taste of Penang was held at Gurney Plaza, with more than 80 vendors serving up myriad treats. Besides food, visitors were also entertained by live performances and cooking demonstrations.

Over at East Coast Mall, Kuantan, the East Coast Textile Craft Festival was held to recognise and celebrate the textile heritage. Jointly collaborated with Kraftangan Malaysia, the festival served as a platform to showcase local handcrafts and promote textile products via the textile craft exhibition, demonstration, children's fashion shows and batik painting contest.

New attraction and retail concepts

The Mitsui Shopping Park Lalaport, which opened in January 2022, is Mitsui Fudosan Co Ltd's first Lalaport in Southeast Asia and the largest among all Lalaport malls, including those in Japan. The mall has an 18,000 sq ft greenery space of the Central Rooftop Garden and the "Insta Worthy" Grand Steps, which feature a range of illuminations during seasonal events. The mall also incorporates digital and informative technology in providing customer services and store support through their Lalaport MY mobile app. It offers easy access and live streaming utility features for its customers to obtain the latest information on stores' promotions and events. Besides, the mall is also the first shopping mall in Malaysia to have an ergonomic and hygienic staff lounge for mall employees and staff, which features a napping space and powder rooms.

The opening of IOI City Mall Phase 2 in August 2022 has featured the indoor farm of IOI City Farm, an 18,000 sq ft indoor edutainment exhibition space that provides the public with an opportunity to learn about plants and animals. Design with an 'indoor farm' concept, the area consists of three zones: Plant, Animal, and Aquatic. Furthermore, the mall also has opened the IOI Sports Centre, which consists of 15 badminton and two futsal courts, making it convenient for residents nearby to have their sports activities.

In Penang, Sunway Carnival Mall opened its doors to shoppers in June 2022 after its expansion exercise. The expansion has doubled the mall's retail space to 1 million sq ft and increased the number of shops to 350. The mall expansion has

welcomed stores from both international and local retail brands, including Jaya Grocer, JD Sports, Uniqlo, HaiDiLao, Kaison, Golden Screen Cinema (the largest 13-screen cinema in the Northern Region), Calvin Klein, Tommy Hilfiger, Swarovski, Pandora, Guess, Superdry, Bath & Body Works, Victoria's Secret, and Charles & Keith.

Foreign retailers and brands debut in Malaysia

Several foreign brands made their first appearance in Malaysia's retail landscape in 2022. The entry of these foreign brands is expected to enrich Malaysia retail's scene and increase footfall.

Japan's largest furniture and household retail company, NITORI, opened its first store in Southeast Asia in January 2022 in Mitsui Shopping Park Lalaport @ BBCC. Subsequently, NITORI opened its second and third stores on 28 July 2022 in Pavilion Bukit Jalil and IOI City Mall on 25 August 2022, respectively. Recently, their fourth store opened in One Utama Shopping Centre on 24 November 2022. Thereafter, in Johor, NITORI opened its fifth and largest store in Malaysia in The Mall, Mid Valley Southkey, on 15 December 2022. The opening of the sixth store will be at Toppen Shopping Centre, Johor, in 2023. Over the next five years, NITORI plans to open another 20 stores within Malaysia.

Nojima, one of Japan's leading digital and home appliance speciality stores, also made its debut in Mitsui Shopping Park Lalaport @ BBCC in January 2022. Spanning over 26,000 sq ft, the Nojima store features a comprehensive range of quality electrical appliances, IT gadgets, furniture and bedding products brands. Metrojaya department store also appeared in Mitsui Shopping Park Lalaport on 21 September 2022.

In Pavilion Bukit Jalil, Tsutaya Books – Japan's largest bookstore chain – officially opened in July 2022 with more than 31,000 sq ft of floor-to-ceiling bookshelves. The bookstore allows visitors to experience exhibitions and a selection of curated books. The bookstore also features a café, space for family-friendly activities and a playground.

Furthermore, Eslite Spectrum, a well-known bookstore and concept store in Taiwan, made its debut in Starhill Gallery, Bukit Bintang, in December 2022, as Eslite's first store in

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South-East Asia. It also resembles a curated mini retail space, offering numerous lifestyle outlets, including fashion, gift, home items and a coffee shop.

In Pavilion Kuala Lumpur, the US luxury fashion brand Ralph Lauren has launched its coffee shop – Ralph's Coffee, next to its fashion retail space, offering dine-in and takeaway services. French luxury Maison Chanel opened its new shoe boutique within the same mall, occupying approximately 900 sq ft. Besides that, Italian luxury brand Prada reopened with refined and sophisticated products, settling at a combined 3,600 sq ft space across two floors. For food and beverage, Pavilion Kuala Lumpur has welcomed Malaysia's second outlet of Five Guys, an American burger chain.

Meanwhile, in Sunway Pyramid, Nike by Sunway was launched with a new concept designed for the local communities and focused on experiential shopping. The third outlet of JONETZ by Don Don Donki Malaysia opened in Sunway Pyramid on 1 November 2022. It also features DONKI's sushi restaurant, "Sen Sen Sushi", and premium Japanese rice specialist "Tomita Seimai" – the first one in Malaysia. JONETZ by Don Don Donki aims to open another 11 Don Don Donki stores by June 2024.

2.1 RETAIL MARKET OUTLOOK

The reopening of the country's economy and international borders in April 2022 has supported the retail industry after almost two-and-a-half years of uncertainty regarding business operating hours and pandemic-related restrictions. Shopping malls have seen increasing footfall and retail sales, especially in established regional and neighbourhood malls. Higher inbound tourism growth has also led to a boost in retail and leisure-related activities, benefitting shopping malls in Kuala Lumpur, Penang and Johor.

The completion of Mitsui Shopping Park Lalaport earlier this year has set a benchmark for the new retail concepts, partly adopted from pandemic-infused trends such as having an outdoor space and incorporating a mobile application for convenient shopping. Notably, significant malls in the pipeline, such as The Exchange TRX, Pavilion Damansara Heights and Warisan Merdeka Mall@118, will enter the market with new experiential retail concepts integrated with technology, modern architectural design, and new-to-market entrants.

In-store shopping is still essential to fulfil the rising demand of consumers, with a higher expectation that malls not only serve a retail purpose but also provide an in-store experience and social space for shoppers. The retail scene is expected to have shopping malls with more open green space and communal areas with outdoor seating and better ventilation. Mixed-use of space with pop-up stores to promote local and small businesses and hosting events has become a trend.

Nevertheless, the retail market's outlook still faces the following challenges

- 1) The rising inflation rate makes consumers more prudent, especially in spending on big-ticket items. Reducing disposable income will likely affect retail sales going forward.
- 2) Globally, the combination of a recession in the US, the energy crisis in Europe, the ongoing Russia-Ukraine conflict, and China's slow recovery strategy on COVID-19 are the factors that impact the spending propensity.
- 3) The uncertainty of the expected global recession next year, alongside big companies undergoing retrenchment, will likely discourage spending within the coming months.

2.2 RETAIL SUPPLY IN WP KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

The statistics from National Property Information Centre (NAPIC) recorded that the total retail supply for Malaysia, including shopping centres, retail arcades and hypermarkets, stood at 187.7 million sq ft as of Q3/2022, an increase of 3.36% from Q3/2021.

Most retail spaces are located within shopping centres, which accounts for 75.8% of the total retail stock as of Q3/2022. Selangor and WP Kuala Lumpur are the most significant contributors to shopping centres, with a total of 43.4% of the nationwide shopping centre supply, followed by Penang and Pahang at 9.3% and 3.0%, respectively. In Q3/2022, the total retail supply per capita in Malaysia decreased to 5.4 sq ft per capita from 5.6 sq ft per capita reported in Q3/2021. A similar trend was observed for the shopping centre supply, in which the supply per capita also experienced a reduced trend, from 4.2 sq ft per capita in Q3/2021 to 4.1 sq ft per capita in Q3/2022.

2.2.1 SHOPPING CENTRE STOCK IN MALAYSIA AS OF Q3/2022

State	No. of properties	Total Space (million sq ft)	Percentage of Total Space in Malaysia (%)
WP Kuala Lumpur	74	30.2	21.2
WP Putrajaya	2	0.9	0.6
WP Labuan	1	0.3	0.2
Selangor	89	31.5	22.1
Johor	71	19.5	13.7
Penang	42	13.2	9.3
Perak	38	7.3	5.1
Negeri Sembilan	30	3.4	2.4
Melaka	22	4.7	3.3
Kedah	37	5.0	3.5
Pahang	25	4.1	3.0
Terengganu	8	1.2	0.8
Kelantan	9	2.6	1.8
Perlis	4	0.2	0.2
Sabah	35	7.3	5.1
Sarawak	72	11.0	7.7
MALAYSIA	559	142.4	100.0
Source: National Property Information Centre (NAPIC)			

2.2.2 PER CAPITA RETAIL STOCK AND SHOPPING CENTRE STOCK IN MALAYSIA AND SELECTED STATES AS OF Q3/2022

State	Malaysia	WP Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (million sq ft)	187.7	35.1	41.9	20.0	4.8
Shopping centre stock (million sq ft)	142.4	30.3	31.5	13.2	4.1
Percentage of shopping centre stock out of retail stock (%)	75.9	86.0	75.2	66.0	85.4
Population 2022* (million)	34.7	1.9	6.9	1.8	1.8
Retail stock per capita (sq ft per person)	5.4	18.5	6.1	11.1	2.7
Shopping centre stock per capita (sq ft per person)	4.1	15.9	4.6	7.3	2.3
Source: Savills Research					
*Estimates The population estimates for the year 2022 adopted for the per capita calculation are derived from the mid-year population estimates based on the 2010 Population and Housing Census of Malaysia, published by the DOSM					

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2.3 FUTURE RETAIL SUPPLY IN WP KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

WP Kuala Lumpur & Selangor

The Greater Kuala Lumpur (which includes WP Kuala Lumpur and Selangor) is expected to witness the completion of megamalls which have been delayed in construction due to the pandemic. Greater KL is expected to have an additional 4.7 mil sq ft (WP Kuala Lumpur) and 0.8 mil sq ft (Selangor) of retail spaces in the coming three years.

In WP Kuala Lumpur, The Exchange Mall @ TRX (1.3 million sq ft) and Warisan Merdeka Mall @ 118 (900,000 sq ft) are expected to be completed in 2023 and 2024, respectively. Pavilion Damansara Heights Phase 1 is scheduled to open in 2023, while Phase 2 is expected in 2024, totalling 1.06 mil sq ft of retail space.

Meanwhile, in Selangor, KSL Esplanade Mall (650,000 sq ft) and Sunsuria Forum@7th Avenue (150,000 sq ft) are scheduled for completion in 2023.

Penang

Penang will have an additional approximately 1.13 mil sq ft retail space in 2023 from the completion of The Mall at Penang Times Square 3 (Phase 3) (230,000 sq ft) and Sunshine Mall @ Sunshine Central (900,000 sq ft).

Progressively, Waterfront Shoppes at The Light City (900,000 sq ft) and Klippa Shopping Centre (1.6 mil sq ft of Gross Leasable Area) are scheduled for completion in 2025.

Pahang

There is no future retail supply in Pahang recorded at least until 2024.

2.3.1 FUTURE SUPPLY OF RETAIL SPACE IN SHOPPING CENTRES IN SELECTED STATES

State	Future Shopping Centre Stock (million sq ft NLA) 2023-2026	Year	Future Shopping Centre Supply
WP Kuala Lumpur	4.7	2023	- The Exchange Mall @ TRX - Pavilion Damansara Heights Phase 1
		2024	- Warisan Merdeka Mall @ 118 - Pavilion Damansara Heights Phase 2
		2026	- Mall @ The Loft Maju Kuala Lumpur Phase 1 - Q Mall @ Queensville
Selangor	0.8	2023	- KSL Esplanade Mall - Sunsuria Forum@ 7 th Avenue
Penang	3.8	2023	- Mall@Penang Times Square- Phase 3 - Sunshine Mall@ Sunshine Sentral
		2025	- The Waterfront Shoppes @The Light City (Phase 1) - Klippa Shopping Centre
		2026	- The Waterfront Shoppes @The Light City (Phase 2) - Mitsui Outlet
Pahang			N/A
Source: Savills Research			

2.4 RETAIL STOCK AND OCCUPANCY

Malaysia's occupancy rate generally dropped by -1.4% from 76.6% (Q3/2021) to 75.2% (Q3/2022). By state, the occupancy rate in WP Kuala Lumpur and Selangor also dropped, whereas Pahang recorded a slight increase and Penang remained unchanged.

In the near term, it is envisaged that the average occupancy rate will decline further due to a larger impending supply. Nevertheless, retail sales have improved with the continuously secured back footfalls in most shopping malls. This will help to improve the occupancy rate in the long term.

2.4.1 OCCUPANCY RATES OF RETAIL SPACE (SHOPPING COMPLEX) IN MALAYSIA AS OF Q3/2022

State	Total Space (million sq ft)		Occupied Space (million sq ft)		Occupancy Rate (%)	
	Q3/2021	Q3/2022	Q3/2021	Q3/2022	Q3/2021	Q3/2022
W.P Kuala Lumpur	33.2	35.1	27.2	28.7	82.0	81.8
W.P Putrajaya	0.9	0.9	0.8	0.8	88.0	85.0
W.P Labuan	0.3	0.3	0.3	0.3	95.7	96.4
Selangor	40.0	41.9	31.7	32.2	79.2	76.7
Johor	26.3	26.3	19.4	18.5	73.7	70.3
Pulau Pinang	20.1	20.0	14.3	14.3	71.2	71.5
Perak	10.3	11.8	8.7	9.0	84.1	76.2
Negeri Sembilan	6.5	6.5	4.4	4.4	67.2	67.1
Melaka	6.8	6.8	4.3	4.3	63.3	62.6
Kedah	6.3	6.4	4.6	4.6	73.8	72.1
Pahang	4.7	4.8	3.2	3.4	68.3	70.8
Terengganu	2.1	2.2	1.6	1.7	78.3	76.9
Kelantan	4.1	4.3	3.3	3.5	80.1	81.4
Perlis	0.6	0.6	0.6	0.5	92.0	81.6
Sabah	8.2	8.1	6.2	6.1	76.4	75.5
Sarawak	11.3	11.7	8.4	8.9	74.8	76.6
MALAYSIA	181.6	187.7	139.1	141.1	76.6	75.2

Source: National Property Information Centre (NAPIC)

2.5 CAPITAL VALUES

Two notable retail transactions in 2022 were recorded in KL City with an investment value worth RM270.0 million and RM2,200.0 million, respectively. However, there are no retail transactions recorded in Selangor and Pahang, but Penang recorded one retail transaction worth RM1,078.0 million.

YNH Property Bhd sold its 163 Retail Park, a stratified seven-storey shopping centre, to ALX Asset Bhd for RM270 million. Completed in 2018, 163 Retail Park is a part of mixed integrated development known as Kiara 163 that comprises an office tower, a serviced apartment tower and a hotel suite tower.

Pavilion Real Estate Investment Trust (Pavilion REIT) entered into a conditional sale and purchase agreement with Malton Bhd to acquire Pavilion Bukit Jalil Mall for RM2,200 million. The mall consists of a block of the 5-storey retail mall with two basement car park levels.

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2.5.1 HISTORICAL TRANSACTION (VOLUME & VALUE)

Volume and Value of Shopping Complexes

State	2017		2018		2019		2020		2021		9M/ 2022 ^p	
	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
WP Kuala Lumpur	1	77	0	0	1	1,480	0	0	0	0	2	71.64
Selangor	2	217.8	0	0	0	0	1	30	6	562.62	0	0
Penang	0	0	0	0	1	14	1	200	0	0	0	0
Pahang	0	0	0	0	0	0	0	0	0	0	0	0
Total	3	294.80	0	0	2	1,494	2	230	6	562.62	2	71.64
Source: National Property Information Centre (NAPIC), Savills Research												
Notes: (p) = preliminary data												

2.6 RECENT AND NOTABLE SHOPPING MALL TRANSACTIONS

Shopping Mall	Year	NLA (mil sq ft)	Transaction Price (RM million)	Capital Value (RM psf)	Purchaser
WP Kuala Lumpur					
163 Retail Park ¹	2022	0.3	270	1,058	ALX Asset
Pavilion Bukit Jalil ¹	2022	1.8	2,200	1,222	Pavilion REIT
Setapak Central Mall ¹	2020	0.5	318	653	Fraser Property
Ampang Point Mall	2020	0.3	300	1,200	Nadin Holdings Sdn Bhd
Pavilion Bukit Jalil ²	2019	0.9 (49% of 1.8 mil sq ft)	1,480	822	Regal Path Sdn Bhd
Elite Pavilion Mall	2017	0.2	580	2,397	Pavilion REIT
M3 shopping mall	2017	0.2	105	575	LBS Bina Group
Selangor					
Empire City Mall ³	2021	1.7	180	-	Rubberex Corp
SS2 Mall (vacated building)	2018	0.5	180	391	DK-MY Properties Sdn Bhd
AEON Mahkota Cheras Shopping Centre	2017	0.2	87.8	415	Foremost Wealth Management Sdn Bhd
Empire Shopping Gallery	2017	0.4	570	1,629	Pelaburan Hartanah Berhad (PHB)
Penang					
Queensbay Mall ¹	2022	0.9	1,078	1220	CapitaLand Malaysia Trust
1st Avenue Mall	2019	0.4	153	376	I Homes Properties Sdn Bhd
Pahang					
N/A					

Source: Savills Research

Note

1. Related party transaction.
2. Purchase price of RM1.48 mil is based on 49% of the shares in the under-construction Pavilion Bukit Jalil Mall (1 block of the retail mall with 5 levels of retail space, 2 levels of basement parking, centralised green area and supporting infrastructure)
3. Rubberex Corp ventured into property investment via a strategic 20% stake in the ongoing development of Empire City Mall for RM180.0 million. A market valuation was conducted for the development using an income approach to derive a valuation of RM1.0 billion or RM571 psf.

3.0 INDUSTRIAL AND LOGISTICS MARKET OVERVIEW

3.1 CURRENT INDUSTRIAL AND LOGISTICS MARKET OUTLOOK & TRENDS

Positive prospects for e-commerce and logistics activities continue to drive demand for industrial space, fueling demand for industrial estates.

The industrial sector has shown resilience throughout the pandemic, fueled by e-commerce growth and accelerating demand for warehouse and logistics space. Since the pandemic outbreak in 2020, the booming e-commerce industry has contributed significantly to the development of the logistics industry. Both e-commerce players and last-mile logistics service providers are looking for business and spatial expansion, especially in strategic locations close to the port or airport.

The reopening of international borders on 1st April 2022 positively impacts the national economy by attracting more foreign investment. This is reflected in the GDP growth driven by strong internal and external demand, increased economic activity, and continued high e-commerce penetration in the country.

Built-to-Suit (BTS) development

With the changing industrial landscape and accelerated digitalisation brought by the pandemic, the built-to-suit (BTS) model will be favourable among enterprises in the smart manufacturing (Industry 4.0) and logistics/warehousing sector, which will eventually enhance the offering of innovative products from developers who are specialising in integrated industrial development solutions.

With the rise of e-commerce underpin by the growth in manufacturing sector, demand for BTS properties in Greater KL (due in part to its proximity to ports and airports) has seen gaining momentum, as witnessed by developments such as Axis Mega Distribution Centre in Kuala Langat, Cainiao Aeropolis Distribution Centre in Sepang and Axis Aerotech Centre in Subang.

There are also numerous developers capitalising on the growing demand by offering industrial plots for BTS developments in Integrated Industrial Parks such as Eco Business Park V (Puncak Alam), Compass @ Kota Seri Langat, Bandar Bukit Raja Industrial Gateway (Bukit Raja) and Elmina Business Park (Kota Elmina).

Notable upcoming developments include strategic partnerships between local developers and international industry experts. Sime Darby has entered into a joint venture (JV) with LOGOS Property Group Ltd to establish a development fund to develop its 177-acre BTS development on industrial land in Bandar Bukit Raja, primarily targeting clients in the logistics sector. The JV leverages LOGOS Property's expertise in delivering sustainable, green building-certified integrated industrial space solutions, including the latest in warehouse/logistics automation and construction technology.

In Iskandar Malaysia, notable BTS developments include Mercedes-Benz Regional Logistics Hub in Senai Airport City, Volkswagen Regional Distribution Centre in Port of Tanjung Pelepas as well as Wiyynn Corporation's development in Senai Airport City. Due to its proximity to Singapore, Iskandar Malaysia is a highly sought-after location for BTS investment opportunities, with Singapore remaining as the second-largest foreign investor with total committed investments of RM25.3 billion (2016 to 1H 2022). With the advent of smart manufacturing facilities/logistics warehouses, the region is expected to witness substantial growth in the near future.

Integrated industrial park

In recent years, the integrated industrial park has gained popularity, where industrial players prefer to locate themselves in a well-equipped industrial park with better security systems, facilities, and value-added services. The unique selling point of an integrated industrial park is the integration of industrial, business, commercial and infrastructure components that will provide synergy and sustainability within the industrial park.

Independent Market Overview

The launch of “Industrial Park Development Guidelines with the Concept of “Managed Industrial Park” in the State of Selangor” in 2021 has further prospered the development of Managed Industrial Park / Integrated Industrial Park in Greater KL. It provides a clear guideline and reference on the differentiation between the planned industrial park and managed industrial park with features like infrastructures, utilities, amenities or public facilities, management services and centralised labour quarters, to name a few.

A few notable ongoing and upcoming integrated industrial park developments in Greater KL include Kota Elmina by Sime Darby, Eco Business Park V in Puncak Alam by Eco World, and The Compass @ Kota Seri Langat by PNB, KWEST and AREA Group JV. Meanwhile, in Iskandar Malaysia, similar ongoing integrated industrial parks include i-Park @ Indahpura, i-Park @ SiLC, and i-Park @ Senai Airport City by AME Elite Consortium Berhad; Eco Business Park I, II and III by Eco World Group; and Nusajaya Tech Park by UEM-CapitaLand JV. Such novel concepts will continue gaining their market position.

In August 2022, AME Elite Consortium Bhd and Majestic Builders also announced to develop of an integrated industrial park in Seberang Perai Tengah, Penang, with a Gross Development Value of RM1 billion through their JV company, Suling Hill Development Sdn Bhd. The entire development will consist of a built-to-suit component supported by workers' dormitories on a 71.21-hectare freehold development land.

In December 2022, Tiong Nam Logistics Holdings Bhd entered a joint venture agreement with Johor Corp to develop a high-tech logistics industrial park on a 300-acre land in Sedenak Technology Valley. The development will consist of ready-built and customised warehouses, factories, and commercial buildings, alongside integrated logistics infrastructure for global businesses.

Besides, YTL Data Center Holdings Pte Ltd has announced to develop of a 500MW data centre campus in Johor which will feature the first data centre park in Malaysia to be powered by solar energy. The said development will be situated on a 275-acre land dedicated to Data Centre development. YTL Power International Berhad signed a partnership with GDS Holdings Limited to co-develop a 168 MW Data Centre capacity across eight data centre facilities within the park with its first Sea Data Centre Tier-III 72MW certified facility to be constructed, which will commence by Q1 2024.

Logistics outlook remain promising

The global trend of digitalisation and globalisation has benefitted the growth of e-commerce, which in turn, stimulates the demand for warehouses and logistics space. The buoyant market for logistics services is witnessed by the growing interest in space expansion and active acquisitions by logistics players, Real Estate Investment Trusts (REITs) and Third-Party Logistics (3PL) providers.

As of Q4/2022, there was about 50 million sq ft of warehousing/logistics spaces available in Greater KL, which were mainly concentrated in Klang and Shah Alam district (approximately 38 million sq ft or 76% of market share), due to its strategic location and proximity to Port Klang and KLIA. The remaining warehouse/logistic hubs were in prominent suburbs such as Petaling Jaya, Subang Jaya and Puchong Jaya, including the northern and southern parts of Greater KL.

With the continued expansion and adoption of e-commerce, developers have seized the opportunity to venture into logistics real estate. Xin Hwa Holdings Berhad, a domestic integrated logistics service provider, has invested approximately RM100 million to establish an e-fulfilment centre in Shah Alam to support the booming e-commerce market. The facilities comprise a 7-storey office and a 3-storey warehouse with a total built-up area of 300,000 sq ft. Besides, Ninja Van Malaysia has also launched its giant warehouse in Shah Alam, which spans 260,000 sq ft, in line with its expansion plan.

In April 2022, OCR Group Bhd and Magna Prima Bhd announced their collaboration to develop an integrated e-commerce logistics hub in Section 15, Shah Alam. The said logistics hub has a total Gross Development Value of RM1.5 billion, which will be developed and launched in phases from 2023. In addition, J&T Express acquired a 30-acre industrial land in Bandar Rimbayu in June 2022 to construct its integrated logistics centre for express distribution, logistics and transportation, and warehousing.

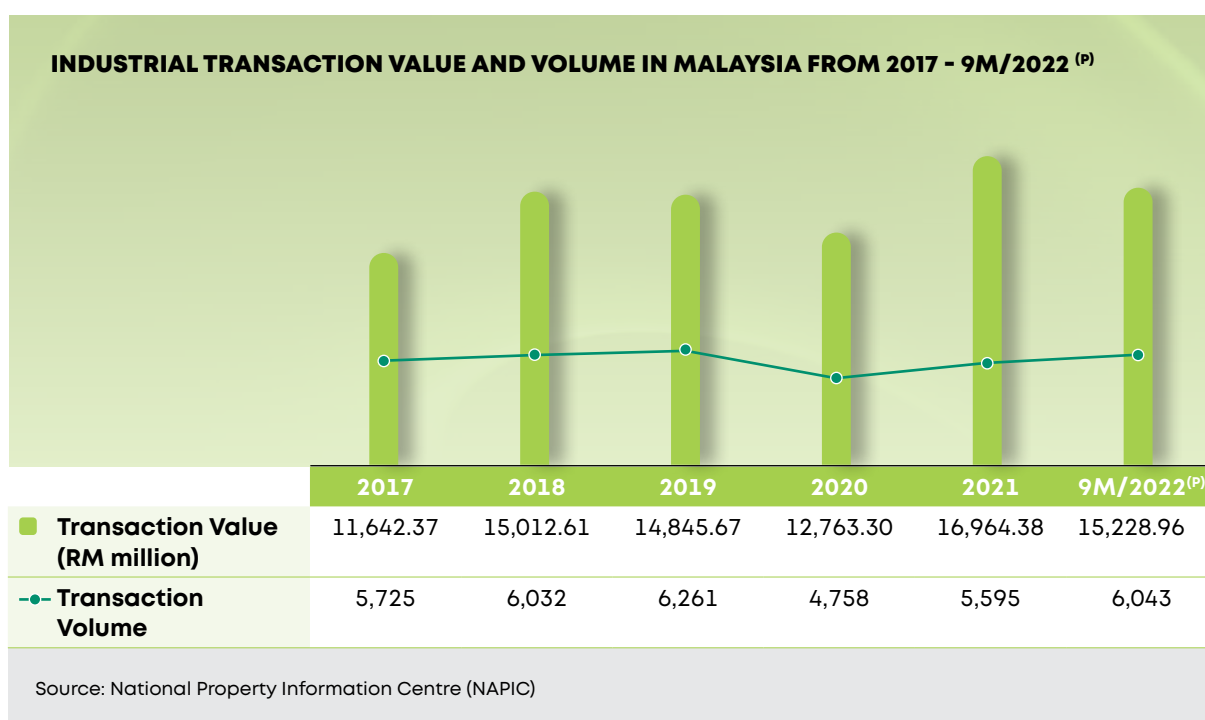
Daiwa House had on September 2022 launched the ground-breaking ceremony for its Phase 3 warehouse, a large-scale multi-tenanted logistics facility situated on a 15-acres site in Section 33, Shah Alam. The warehouse will have a gross floor area of 1.68 million sq ft to cater for 12 tenants upon completion. Besides that, AXIS REIT has also re-developed its existing warehouse in Shah Alam (Bukit Raja Distribution Centre 2), which will be leased to Shopee's logistics arm, Shopee Express Malaysia Sdn Bhd, for a term of 15 years upon its completion in August 2023.

The Employees Provident Fund (EPF) and Ally Logistics Property Co Ltd (ALP) will co-develop a pre-leased smart warehouse in Bukit Raja on a 27-acre freehold industrial land scheduled to complete in Q3/2024. The said logistics hub, upon completion, will span across 1.8 million sq ft of space and to be leased to Ally Logistics Property (ALP) completely under a 15-years master lease agreement.

With more industrial developers investing in high-grade logistic facilities to attract tenants who demand quality facilities and value-added services such as security, asset management and facilities management, this trend will eventually put pressure on the old conventional factories/warehouses in terms of occupancy rates and rental returns.

3.2 INDUSTRIAL PROPERTY SECTOR: MALAYSIA

The industrial sector in Malaysia is continuously improving, with more transaction activities recorded in 2021 as the market is expanding to serve the growing e-commerce and logistic sector as well as the growing demand in manufacturing sectors in the region. The substantial expansion in these sectors was mainly driven by the consistency rolled out of government policies with related stimulus packages and aids that were introduced.



Independent Market Overview

3.2.1 MALAYSIA: SUPPLY OF INDUSTRIAL PROPERTIES BY STATE 2017 TO 9M/2022

District	Existing Supply (No. of Units)						Future Supply (No. of Units)	
	2017	2018	2019	2020	2021	9M/2022	Incoming	Planned
WP Kuala Lumpur	5,138	5,138	5,138	5,138	5,138	5,138	0	37
WP Putrajaya	48	48	48	48	48	48	0	0
WP Labuan	635	635	635	641	641	641	8	0
Selangor	39,593	40,380	40,701	40,984	41,339	41,624	1,560	1,665
Johor	16,243	16,840	17,681	18,079	18,525	18,718	716	810
Pulau Pinang	9,157	9,169	9,231	9,507	9,606	9,647	154	138
Perak	8,286	8,433	8,463	8,471	8,471	8,482	107	338
Negeri Sembilan	5,486	5,503	5,516	5,528	5,556	5,574	168	598
Melaka	6,698	6,987	7,104	7,158	7,158	7,184	803	1,783
Kedah	3,825	3,858	3,858	3,858	3,869	3,869	69	307
Pahang	3,498	3,541	3,559	3,578	3,584	3,647	49	220
Terengganu	865	866	866	866	866	866	83	66
Kelantan	604	604	606	613	617	618	17	44
Perlis	222	234	295	296	296	296	30	140
Sabah	6,067	6,145	6,163	6,189	6,237	6,310	223	265
Sarawak	6,808	7,016	7,117	7,347	7,337	7,340	307	141
TOTAL	113,173	115,397	116,981	118,301	119,288	120,002	4,294	6,552
Source: National Property Information Centre (NAPIC)								

In terms of geographical distribution, the top three states which represented almost 60% of Malaysia's existing industrial property supply as of Q3/2022 are Selangor (34.7% share, 41,624 units), followed by Johor (15.6% share, 18,718 units), and Pulau Pinang (8.0% share, 9,647 units). According to MIDA, Malaysia attracted a total of RM194 billion in approved investments in the first nine months of 2022 (9M/2022), with Selangor and Johor among the states that recorded the highest number of approved investments.

Our basket of industrial warehouses properties selected from the established Real Estate Investment Trusts (REITs) in Malaysia (mainly located in greater KL, Penang and Johor) observed a steady 100% occupancy primarily due to the committed long-term lease by the warehouse occupiers, allowing the majority of the existing warehouses to generate constant rental income over the long run. A committed long-term lease has allowed most of the stand-alone/ detached warehouse occupancy performance to remain at the 100% mark, with most of the warehouses being single-tenanted. At the same time, some of the facilities were multi-tenanted, shared by two or more tenants

3.3 INDUSTRIAL PROPERTY SECTOR: WP KUALA LUMPUR & SELANGOR (GREATER KL)

3.3.1 WP KUALA LUMPUR & SELANGOR: INDUSTRIAL PROPERTY VOLUME AND VALUE OF TRANSACTIONS, 2017 TO 9M/2022 ^(p)

State	Industrial Property Type	2020		2021		9M/2022 ^(p)	
		Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
WP Kuala Lumpur	Vacant Plot	0	0.00	2	3.91	3	13.86
	Terraced Factory/ Warehouse	38	56.83	53	89.33	58	126.94
	Semi-Detached Factory/ Warehouse	8	42.18	8	40.10	4	19.55
	Detached Factory/ Warehouse	11	86.93	14	91.92	24	307.21
	Industrial Complex/ Unit	23	10.03	17	7.29	20	7.80
	Others	5	3.24	3	2.61	1	0.99
	Total	85	199.21	97	235.16	110	476.35
Selangor	Vacant Plot	360	3,440.25	400	3,727.65	428	2,511.61
	Terraced Factory/ Warehouse	714	724.38	888	912.97	933	892.90
	Semi-Detached Factory/ Warehouse	287	1,175.63	430	1,567.46	421	1,717.36
	Detached Factory/ Warehouse	151	1,827.63	187	2,582.49	188	2,177.24
	Industrial Complex/ Unit	38	17.23	7	38.49	9	4.18
	Others	51	105.87	40	88.18	41	245.14
	Total	1,601	7,290.99	1,952	8,917.24	2,020	7,548.43

Source: National Property Information Centre (NAPIC)

Notes:
(p) = preliminary data

The industrial property sector in Greater KL saw a rebound in market activity, with 2,049 industrial properties worth RM9.15 billion changing hand in 2021, reflecting an improvement in the transactions market in line with the gradual easing of restrictions in the market. Subsequently, 2,130 transactions were recorded with RM8.02 billion in 9M/2022, indicating an improvement as the economy recovers in the second half of 2022.

Independent Market Overview

3.3.2 WP KUALA LUMPUR & SELANGOR: SUPPLY OF INDUSTRIAL PROPERTIES BY TYPE, 2017 TO 9M/2022

State	Industrial Property Type	Existing Supply (No. of Units)			Future Supply (No. of Units)	
		2020	2021	9M/2022	Incoming	Planned
WP Kuala Lumpur	Terraced	2,545	2,545	2,545	0	37
	Semi-Detached	412	412	412	0	0
	Detached	511	511	511	0	0
	Flatted Factory	1,670	1,670	1,670	0	0
	Industrial Complex	0	0	0	0	0
	Cluster	0	0	0	0	0
	Total	5,138	5,138	5,138	0	37
Selangor	Terraced	28,647	28,785	28,919	333	363
	Semi-Detached	6,694	6,826	6,926	368	732
	Detached	5,273	5,356	5,407	302	473
	Flatted Factory	263	264	264	464	0
	Industrial Complex	107	108	108	1	4
	Cluster	0	0	0	92	93
	Total	40,984	41,339	41,624	1,560	1,665

Source: National Property Information Centre (NAPIC)

As of 9M/2022, the cumulative industrial supply in Greater KL stood at 46,762 units. In Selangor, there are 1,560 units of industrial properties in the upcoming supply, with 1,665 units from the planned supply. Selangor comprises most of the bulk supply, while WP Kuala Lumpur only makes up to 37 units of the planned supply, most of which are terraced factories.

3.3.3 GREATER KL: SELECTED INDUSTRIAL PROPERTY TRANSACTIONS IN 2022

Location	Property Details	Land Area (Acres)	Tenure ⁽¹⁾	Date of Transaction	Consideration (RM million)
Serendah	Industrial Land	4.31	LH	12 th January 2022	8.4
Beranang	Industrial Land with Building	9.0	LH	28 th January 2022	23.0
Subang Jaya	Industrial Lands	5.96	–	15 th February 2022	65.6
Klang	Industrial Lands	2.90	FH	31 st March 2022	25.3
Petaling Jaya	Industrial Land with Building	2.00	LH	7 th April 2022	20.0
Ijok	Development Land	60.81	LH	22 nd April 2022	74.2
Petaling Jaya	Industrial Land	1.07	LH	20 th May 2022	10.0
Petaling Jaya	Industrial Land with Building	3.63	FH	23 rd June 2022	60.1
Shah Alam	Industrial Land with Building	1.18	FH	5 th July 2022	20.2
Klang	Industrial Land	10.07	–	7 th July 2022	30.7
Klang	Industrial Land	15.11	LH	12 th July 2022	78.7
Klang	Industrial Land and Building	7.98	LH	29 th July 2022	47.1
Ijok	Industrial Land	9.32	LH	1 st August 2022	30.5
Klang	Industrial Land	11.90	LH	16 th August 2022	38.4
Klang	Industrial Land	2.88	FH	17 th August 2022	16.5
Serendah	Industrial Land	140.0	LH	30 th August 2022	304.9
Sepang	Industrial Land	1.55	LH	15 th September 2022	4.3
Klang	Industrial Land	6.16	FH	23 rd September 2022	41.0
Klang	Industrial Land with Building	1.24	FH	26 th October 2022	14.7
Ijok	Industrial Land	9.81	LH	1 st November 2022	36.0
Shah Alam	Industrial Land with Building	6.00	LH	7 th November 2022	41.0
Rawang	Industrial Land with Building	1.90	FH	10 th November 2022	13.8
Bandar Baru Bangi	Industrial Land with Building	6.82	LH	21 st December 2022	31.0
Bandar Bukit Raja	Industrial Land with Building	1.23	FH	29 th December 2022	12.2

Source: JPPH/ Savills Research

Note: (1) FH = Freehold; LH = Leasehold

Industrial transactions continued to stay positive in 2022, with 24 major transactions amounting to RM1,047.6 million recorded in the year. Prime locations, such as Klang and Shah Alam, continue outperforming others by registering 12 deals worth RM365.8 million, contributing to 35% of the total transaction value. This was mainly due to the strategic location of both Klang and Shah Alam in Greater KL, near the seaports - Port Klang and surrounded by a readily available labour market. The scarcity of industrial lands in established areas such as Petaling Jaya, Subang, Shah Alam and Klang has witnessed an increase in land values over the years, which potentially pushed the demand outwards to the Northern and Southern regions of Greater KL, which the increasing number of transactions in both the regions has seen.

Independent Market Overview

3.4 INDUSTRIAL PROPERTY SECTOR: PENANG

3.4.1 PENANG: INDUSTRIAL PROPERTY VOLUME AND VALUE OF TRANSACTIONS, 2017 TO 9M/2022 ^(p)

Industrial Property Type	2017		2018		2019		2020		2021		9M/2022 ^(p)	
	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
Vacant Plot	96	139.11	93	222.38	85	181.65	82	129.45	116	388.24	79	461.43
Terraced Factory/Warehouse	132	89.47	165	141.46	133	90.67	115	98.09	138	114.31	137	103.52
Semi-Detached Factory/Warehouse	93	172.94	80	157.52	90	174.37	92	192.94	103	232.28	91	241.91
Detached Factory/Warehouse	44	239.90	50	567.41	45	391.09	47	369.61	74	769.18	58	406.02
Industrial Complex/Unit	24	13.16	22	27.80	15	6.82	8	4.01	20	99.77	25	12.32
Others	63	23.58	48	51.25	24	20.30	18	21.53	13	8.86	9	2.37
Total	452	678.16	458	1,167.82	392	864.90	362	815.63	464	1,612.64	399	1,227.57

Source: National Property Information Centre (NAPIC)

Notes:
(p) = preliminary data

In Penang, industrial property transactions recorded RM1,612.64 million in 2021, a sharp increase of 97.7% from RM815.63 million in 2020. In contrast, transactions rose 28.2% from 362 in 2020 to 464 in 2021. Subsequently, 9M/2022 recorded 399 transactions worth RM1.23 billion. Strong demand from semiconductor, logistics, manufacturing and medical suppliers supports Penang in increasing industrial deal value and volume, thanks to its robust industry ecosystem.

3.4.2 PENANG: SUPPLY OF INDUSTRIAL PROPERTIES BY TYPE, 2017 TO 9M/2022

State	Industrial Property type	Existing Supply (No. of Units)						Future Supply (No. of Units)	
		2017	2018	2019	2020	2021	9M/2022	Incoming	Planned
Penang	Terraced	5,083	5,083	5,099	5,117	5,171	5,157	26	0
	Semi-Detached	1,618	1,626	1,640	1,850	1,886	1,938	104	128
	Detached	1,896	1,900	1,910	1,941	1,950	1,952	24	10
	Flatted Factory	489	489	511	511	511	511	0	0
	Industrial Complex	71	71	71	71	71	72	0	0
	Cluster	0	0	0	17	17	17	0	0
Total		9,157	9,169	9,231	9,507	9,606	9,647	154	138

Source: National Property Information Centre (NAPIC)

As of 9M/2022, Penang's cumulative industrial supply stood at 9,647 units. There are 154 units of industrial properties in the upcoming supply, with 138 units from the planned supply. On the other hand, the bulk of Penang's 292 units in the pipeline were mainly contributed by semi-detached factories (79.5% share, 232 units), followed by detached factories (11.6% share, 34 units) and terraced factories (8.9% share, 26 units).

Independent Market Overview

3.4.3 PENANG: SELECTED INDUSTRIAL PROPERTY TRANSACTIONS IN 2022

Location	Property Details	Land Area (acres)	Tenure ⁽¹⁾	Date of Transaction	Consideration (RM million)
Penang Science Park	Factory & Office	1.8	LH	5 January 2022	19.4
Bayan Lepas	Factory & Office	2.0	LH	16 March 2022	38.0
Seberang Perai Tengah	Vacant Land	176.0	FH	22 August 2022	130.0
Balik Pulau	Factory & Office	–	FH	20 September 2022	5.8
Seberang Prai Tengah	Factory & Office	3.2	LH	28 September 2022	19.0
Barat Maung	Vacant Land	1.05	FH	9 November 2022	7.5
		2.94	LH	9 November 2022	9.5
		2.00	LH	9 November 2022	11.0
Seberang Perai Tengah	Vacant Land	0.91	FH	1 December 2022	17.3
	Vacant Land	3.77	FH	1 December 2022	
Bayan Lepas	Industrial Land with Building	2.07	LH	2 December 2022	25.5
Sungai Jawi, Seberang Prai	Industrial Land with Building	12.62	FH	14 December 2022	80.0
Source: JPPH/ Savills Research					
Note: (1) FH = Freehold; LH = Leasehold					

Industrial sales remained relatively stable in 2022, with 9 major transactions worth RM363.01 million recorded. Seberang Perai contributed to the majority of transactions, with 4 transactions worth RM246.31 million, contributing to 68% of the total transactions. Industrial activities remain active, with more land banks needed for expansion. Therefore, the Penang state government is looking at expanding Batu Kawan Industrial Park 2 (BKIP 2) with 1,500 acres of industrial land and Batu Kawan Industrial Park 3 (BKIP 3) with 600 acres of industrial land to meet the surging demand for industrial land in the coming years.

Besides, the Penang government has also proposed a new 339-hectare industrial area known as Penang Technology Park, which mainly focuses on high-technology sectors like semiconductors, aerospace and medical devices manufacturing companies. Phase 1 of the development will span 200 acres, primarily infrastructure development such as roads, drainage, and water and electricity supply.

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Statements of Financial Position

As at 31 December 2022

		Group		Trust	
	Note	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Assets					
Plant and equipment	3	3,362	3,490	3,362	3,490
Investment properties	4	3,892,000	3,826,000	3,892,000	3,826,000
Investment in subsidiary	5	–	–	*	*
Total non-current assets		3,895,362	3,829,490	3,895,362	3,829,490
Trade and other receivables	6	35,954	27,283	35,902	27,231
Amount due from subsidiary	7	–	–	5,079	5,263
Cash and cash equivalents	8	84,309	76,176	79,362	71,237
Total current assets		120,263	103,459	120,343	103,731
Total assets		4,015,625	3,932,949	4,015,705	3,933,221
Equity					
Unitholders' capital	9	2,274,725	2,235,447	2,274,725	2,235,447
Undistributed profits		143,366	155,851	143,381	155,866
Total unitholders' funds		2,418,091	2,391,298	2,418,106	2,391,313
Liabilities					
Borrowings	10	1,266,919	1,267,324	967,315	967,915
Tenants' deposits		35,338	26,131	35,338	26,131
Deferred tax liabilities	11	–	1,738	–	1,738
Amount due to subsidiary	7	–	–	300,000	300,000
Total non-current liabilities		1,302,257	1,295,193	1,302,653	1,295,784
Borrowings	10	184,399	144,945	184,399	144,945
Tenants' deposits		42,995	50,684	42,995	50,684
Trade and other payables	12	67,883	50,829	67,552	50,495
Total current liabilities		295,277	246,458	294,946	246,124
Total liabilities		1,597,534	1,541,651	1,597,599	1,541,908
Total equity and liabilities		4,015,625	3,932,949	4,015,705	3,933,221
Net assets value (NAV)					
– before final income distribution		2,418,091	2,391,298	2,418,106	2,391,313
– after final income distribution		2,372,629	2,370,416	2,372,644	2,370,431
Units in circulation ('000)	9	2,206,935	2,130,856	2,206,935	2,130,856
NAV per unit (RM)					
– before final income distribution		1.0957	1.1222	1.0957	1.1222
– after final income distribution		1.0751	1.1124	1.0751	1.1124

* Denotes RM2 issued and paid-up share capital in CLMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year Ended 31 December 2022

		Group		Trust	
	Note	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Gross rental income		220,127	185,620	220,127	185,620
Car park income		19,394	12,915	19,394	12,915
Other revenue		36,296	25,572	36,296	25,572
Gross revenue		275,817	224,107	275,817	224,107
Maintenance expenses		(37,628)	(35,075)	(37,628)	(35,075)
Utilities		(46,832)	(34,353)	(46,832)	(34,353)
Other operating expenses	13	(38,847)	(51,541)	(38,847)	(51,541)
Property operating expenses		(123,307)	(120,969)	(123,307)	(120,969)
Net property income		152,510	103,138	152,510	103,138
Interest income		1,969	1,215	1,969	1,215
Other non-operating income		3,250	3,250	3,250	3,250
Fair value losses on investment properties (net)	4	(41,066)	(76,389)	(41,066)	(76,389)
Net investment income		116,663	31,214	116,663	31,214
Manager's management fee	14	(18,720)	(16,437)	(18,720)	(16,437)
Trustee's fee	15	(400)	(400)	(400)	(400)
Auditor's fee		(220)	(181)	(212)	(175)
Tax agent's fee		(26)	(31)	(21)	(29)
Valuation fee		(291)	(277)	(291)	(277)
Finance costs	16	(46,517)	(48,121)	(46,517)	(48,121)
Other non-operating expenses		(1,803)	(1,650)	(1,816)	(1,658)
Total non-operating and trust expenses		(67,977)	(67,097)	(67,977)	(67,097)
Profit/(Loss) before taxation		48,686	(35,883)	48,686	(35,883)
Taxation	17	1,738	5,490	1,738	5,490
Profit/(Loss) and total comprehensive income/(loss) for the financial year		50,424	(30,393)	50,424	(30,393)
Distribution adjustments	A	36,891	69,523	36,891	69,523
Income available for distribution		87,315	39,130	87,315	39,130
Distributable income¹	19	87,489	39,033	87,489	39,033

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year Ended 31 December 2022

	Note	Group		Trust	
		2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Total comprehensive income/(loss) for the financial year is made up as follows:					
Realised profit		89,752	40,506	89,752	40,506
Unrealised loss		(39,328)	(70,899)	(39,328)	(70,899)
		50,424	(30,393)	50,424	(30,393)
Earnings/(Loss) per unit (sen)	18				
– before Manager's management fee		3.20	(0.66)	3.20	(0.66)
– after Manager's management fee		2.33	(1.44)	2.33	(1.44)
Distribution per unit (DPU) (sen)					
– for the financial year	19	4.01	1.84	4.01	1.84
Income distribution²					
Distribution of 0.86 sen per unit relating to 1.1.2021 to 30.6.2021				–	18,151
Distribution of 0.98 sen per unit relating to 1.7.2021 to 31.12.2021 ³	19			–	20,882
Distribution of 1.95 sen per unit relating to 1.1.2022 to 30.6.2022				42,027	–
Distribution of 2.06 sen per unit relating to 1.7.2022 to 31.12.2022 ³	19			45,462	–
				87,489	39,033

1. The difference between income available for distribution and distributable income is due to the rounding effect of DPU.
2. Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.
3. The declared final income distribution will be recognised in the immediate subsequent financial year.

	Note	Group		Trust	
		2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Note A					
Distribution adjustments comprise:					
Manager's management fee payable in units		5,153	3,343	5,153	3,343
Depreciation	3	1,391	1,349	1,391	1,349
Amortisation of transaction costs on borrowings	16	919	854	724	659
Tax and other adjustments		(9,900)	(6,922)	(9,705)	(6,727)
Realised portion		(2,437)	(1,376)	(2,437)	(1,376)
Fair value losses on investment properties (net)	4	41,066	76,389	41,066	76,389
Deferred tax reversal	17	(1,738)	(5,490)	(1,738)	(5,490)
Unrealised portion		39,328	70,899	39,328	70,899
Total distribution adjustments		36,891	69,523	36,891	69,523

The accompanying notes form an integral part of these financial statements.

Statements of Changes in Net Asset Value

For the Financial Year Ended 31 December 2022

	Unitholders' capital RM'000	Undistributed profits RM'000	Total unitholders' funds RM'000
Group			
At 1 January 2021	2,198,446	245,466	2,443,912
Total comprehensive loss for the financial year	–	(30,393)	(30,393)
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	4,469	–	4,469
– Units issued under the Distribution Reinvestment Plan (net of issue costs)	32,532	–	32,532
– Distribution paid to unitholders	–	(59,222)	(59,222)
Increase/(Decrease) in net assets resulting from unitholders' transactions	37,001	(59,222)	(22,221)
At 31 December 2021/1 January 2022	2,235,447	155,851	2,391,298
Total comprehensive income for the financial year	–	50,424	50,424
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	4,071	–	4,071
– Units issued under the Distribution Reinvestment Plan (net of issue costs)	35,207	–	35,207
– Distribution paid to unitholders	–	(62,909)	(62,909)
Increase/(Decrease) in net assets resulting from unitholders' transactions	39,278	(62,909)	(23,631)
At 31 December 2022	2,274,725	143,366	2,418,091
Note 9			
Trust			
At 1 January 2021	2,198,446	245,481	2,443,927
Total comprehensive loss for the financial year	–	(30,393)	(30,393)
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	4,469	–	4,469
– Units issued under the Distribution Reinvestment Plan (net of issue costs)	32,532	–	32,532
– Distribution paid to unitholders	–	(59,222)	(59,222)
Increase/(Decrease) in net assets resulting from unitholders' transactions	37,001	(59,222)	(22,221)
At 31 December 2021/1 January 2022	2,235,447	155,866	2,391,313
Total comprehensive income for the financial year	–	50,424	50,424
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	4,071	–	4,071
– Units issued under the Distribution Reinvestment Plan (net of issue costs)	35,207	–	35,207
– Distribution paid to unitholders	–	(62,909)	(62,909)
Increase/(Decrease) in net assets resulting from unitholders' transactions	39,278	(62,909)	(23,631)
At 31 December 2022	2,274,725	143,381	2,418,106
Note 9			

The accompanying notes form an integral part of these financial statements.

Statements of Cash Flows

For the Financial Year Ended 31 December 2022

	Note	Group		Trust	
		2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Cash flows from operating activities					
Profit/(Loss) before taxation		48,686	(35,883)	48,686	(35,883)
Adjustments for:					
Manager's management fee paid/payable in units ¹		5,153	3,343	5,153	3,343
Depreciation	3	1,391	1,349	1,391	1,349
Fair value losses on investment properties (net)	4	41,066	76,389	41,066	76,389
Finance costs	16	46,517	48,121	46,517	48,121
(Reversal of)/Loss on impairment for trade receivables (net)	6	(4,874)	6,068	(4,874)	6,068
Interest income		(1,969)	(1,215)	(1,969)	(1,215)
(Gain)/Loss on disposal/write off of plant and equipment		(1)	2	(1)	2
Operating profit before changes in working capital		135,969	98,174	135,969	98,174
Changes in working capital:					
Trade and other receivables		16,787	(4,304)	16,460	(3,337)
Trade and other payables		1,255	(4,137)	6,599	(5,104)
Tenants' deposits		1,518	(6,736)	1,518	(6,736)
Amount due to/from subsidiary		–	–	(9,716)	(10,876)
Net cash generated from operating activities		155,529	82,997	150,830	72,121
Cash flows from investing activities					
Acquisition of investment property	4	(79,950)	–	(79,950)	–
Incidental costs on acquisition of investment properties		(1,883)	–	(1,883)	–
Acquisition of plant and equipment		(1,006)	(1,350)	(1,006)	(1,350)
Capital expenditure on investment properties		(13,611)	(5,808)	(13,611)	(5,808)
Deposits paid on acquisition of investment properties	6	(19,759)	–	(19,759)	–
Proceeds from disposal of plant and equipment		1	–	1	–
Interest received		1,969	1,215	1,969	1,215
Net cash used in investing activities		(114,239)	(5,943)	(114,239)	(5,943)
Cash flows from financing activities					
Distribution paid to unitholders ¹		(27,424)	(26,424)	(27,424)	(26,424)
Interest expense and other financing costs paid		(45,009)	(47,753)	(40,318)	(35,577)
Payment of transaction costs related to Distribution Reinvestment Plan		(205)	(266)	(205)	(266)
Proceeds from drawdown of interest-bearing borrowings		157,266	77,789	157,266	77,789
Repayment of interest-bearing borrowings		(117,785)	(76,100)	(117,785)	(76,100)
Withdrawal of pledged deposits from a licensed bank		–	1,300	–	–
Net cash used in financing activities		(33,157)	(71,454)	(28,466)	(60,578)
Net increase in cash and cash equivalents		8,133	5,600	8,125	5,600
Cash and cash equivalents at 1 January		71,246	65,646	71,237	65,637
Cash and cash equivalents at 31 December		79,379	71,246	79,362	71,237
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		66,267	63,099	61,333	58,166
Cash and bank balances		18,042	13,077	18,029	13,071
	8	84,309	76,176	79,362	71,237
Less: Pledged deposits	8	(4,930)	(4,930)	–	–
		79,379	71,246	79,362	71,237

1. Non-cash transactions

A portion of the income distribution was paid in new CLMT units pursuant to the Distribution Reinvestment Plan and a portion of management fees were paid in new CLMT units to the Manager.

The accompanying notes form an integral part of these financial statements.

Statements of Cash Flows

For the Financial Year Ended 31 December 2022

Reconciliation of movements of liabilities to cash flows arising from financing activities

	At 1 January 2021 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2021/ 2022 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2022 RM'000
Group							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	77,977	(8,461)	–	69,516	5,841	–	75,357
Unsecured revolving credit	115,160	10,150	–	125,310	33,640	–	158,950
Unrated and secured MTN	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction costs	(1,754)	–	767	(987)	–	(432)	(1,419)
Total liabilities from financing activities	1,409,813	1,689	767	1,412,269	39,481	(432)	1,451,318
Trust							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	77,977	(8,461)	–	69,516	5,841	–	75,357
Unsecured revolving credit	115,160	10,150	–	125,310	33,640	–	158,950
Amount due to subsidiary	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction costs	(968)	–	572	(396)	–	(627)	(1,023)
Total liabilities from financing activities	1,410,599	1,689	572	1,412,860	39,481	(627)	1,451,714

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

As at 31 December 2022

CapitaLand Malaysia Trust (CLMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 20 September 2021. CLMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REIT Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

CLMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2022 relates to the Trust and its subsidiary (the Group).

Under the Deed, the principal activity of CLMT is to invest, on a long term basis, in a portfolio of income-producing real estate as deemed fit by the Manager, that are used for retail, commercial, office and industrial purposes, or such other non-real estate investments, as may be permitted under the Deed, the REIT Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. Except as disclosed above, there have been no significant changes in the nature of these activities during the financial year.

For financial reporting purposes, the intermediate and ultimate holding company of the Group are CapitaLand Investment Limited (CLI) and Temasek Holdings (Private) Limited respectively. The intermediate and ultimate holding companies are incorporated in the Republic of Singapore.

The principal activity of the Manager is to manage and administer CLMT. The Manager, incorporated in Malaysia, is a wholly-owned subsidiary of CLI.

The Manager's registered office and principal place of business is as follows:

Unit No.1-27, Level 27, Naza Tower
No.10, Persiaran KLCC
50088 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 15 February 2023.

Notes to the Financial Statements

As at 31 December 2022

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REIT Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The Group and the Trust have applied the following MFRSs and amendments to MFRSs for the first time for the annual period beginning on or after 1 April 2021 and 1 January 2022:

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 April 2021

- Amendment to MFRS 16, *Leases – Covid-19-Related Rent Concessions beyond 30 June 2021*

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2022

- Amendments to MFRS 3, *Business Combinations – Reference to the Conceptual Framework*
- Amendments to MFRS 9, *Financial Instruments (Annual Improvements to MFRS Standards 2018–2020)*
- Amendments to Illustrative Examples accompanying MFRS 16, *Leases (Annual Improvements to MFRS Standards 2018–2020)*
- Amendments to MFRS 116, *Property, Plant and Equipment – Proceeds before Intended Use*
- Amendments to MFRS 137, *Provisions, Contingent Liabilities and Contingent Assets – Onerous Contracts – Cost of Fulfilling a Contract*

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) and are applicable to but have not been adopted by the Group and the Trust:

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2023

- Amendments to MFRS 101, *Presentation of Financial Statements – Disclosures of Accounting Policies*
- Amendments to MFRS 108, *Accounting Policies, Changes in Accounting Estimates and Errors – Definition of Accounting Estimates*
- Amendments to MFRS 112, *Income Taxes – Deferred Tax related to Assets and Liabilities arising from a Single Transaction*

Notes to the Financial Statements

As at 31 December 2022

1. BASIS OF PREPARATION (CONTINUED)

(a) Statement of compliance (continued)

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) and are applicable to but have not been adopted by the Group and the Trust (continued):

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2024

- Amendment to MFRS 16, *Leases – Lease Liability in a Sale and Leaseback*
- Amendment to MFRS 101, *Presentation of Financial Statements – Non-current Liabilities with Covenants and Classification of Liabilities as Current or Non-current*

MFRSs, interpretations and amendments yet to be effective

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*.

The Group and the Trust plan to apply the abovementioned amendments:

- from the annual period beginning on 1 January 2023 for those amendments that are effective for annual periods beginning on or after 1 January 2023.
- from the annual period beginning on 1 January 2024 for those amendments that are effective for annual periods beginning on or after 1 January 2024.

The initial application of the accounting standards, amendments or interpretations are not expected to have material financial impact to the current and prior period financial statements of the Group and of the Trust.

(b) Basis of accounting

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no critical judgement involved in applying accounting policies. The area which involved significant estimation uncertainties that have significant effect on the amounts recognised in the financial statements relates to the valuation of investment properties as disclosed in Note 4.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by the Group's entities, unless otherwise stated.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date of which control commences until the date on which control ceases.

The Trust controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(c) Plant and equipment (continued)

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 – 3 years
Office equipment	3 – 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the period in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REIT Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined annually based on independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised. Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or the Trust may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(e) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commitment date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case, the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the lessee's incremental borrowing rate.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including office equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group leases out its investment properties. The Group has classified these leases as operating leases.

The Group recognises lease payments received from investment properties under operating leases as rental income on a straight-line basis over the lease term as part of revenue.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(f) Financial instruments

(i) Recognition and initial measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without significant financing component) or a financial liability is initially measured at fair value plus or minus, in the case for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issuance. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Financial instrument categories and subsequent measurement

Financial assets

Categories of financial assets are determined on initial recognition and are not reclassified subsequent to their initial recognition unless the Group or the Trust changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change of the business model.

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss. Subsequent to initial recognition, these financial assets are measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets (see Note 2(g)(i)) where the effective interest rate is applied to the amortised cost.

All financial assets are subject to impairment assessment (see Note 2(g)(i)).

Financial liabilities

The financial liabilities at initial recognition of the Group and of the Trust are classified as amortised cost. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gains or losses on derecognition are also recognised in profit or loss.

(iii) Derecognition

A financial asset or part of it is derecognised when, and only when the contractual rights to the cash flows from the financial asset expire or transferred, or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount of the financial asset and the sum of consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(f) Financial instruments (continued)

(iii) Derecognition (continued)

A financial liability or a part of it is derecognised when, and only when, the obligation specified in the contract is discharged, cancelled or expires. A financial liability is also derecognised when its terms are modified and the cash flows of the modified liability are substantially different, in which case, a new financial liability based on modified terms is recognised at fair value. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

(iv) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group and the Trust currently have a legally enforceable right to set off the amounts and they intend either to settle them on a net basis or to realise the asset and liability simultaneously.

(g) Impairment

(i) Financial assets

The Group and the Trust recognise loss allowances for expected credit losses on financial assets measured at amortised cost. Expected credit losses are a probability-weighted estimate of credit losses.

The Group and the Trust measure loss allowances at an amount equal to lifetime expected credit loss, except for cash and bank balance for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss. Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since the initial recognition and when estimating expected credit loss, the Group and the Trust consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Trust are exposed to credit risk.

The Group and the Trust estimate the expected credit losses on trade receivables by assessing the risk of loss of each customer individually based on their financial information, past trend of payments and external credit ratings, where applicable.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Trust assess whether financial assets carried at amortised cost are credit-impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(g) Impairment (continued)

(i) Financial assets (continued)

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group or the Trust determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's or the Trust's procedures for recovery of amounts due.

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss.

Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(h) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(i) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(j) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(k) Revenue recognition

(i) Rental income

Rental income from leasing of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fees. Contingent rents, which include gross turnover rent, are recognised as income in the financial year in which they are earned. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised as income in the financial year in which they are earned.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised as income in the financial year in which they are earned.

(l) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

(m) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of the Group or the Trust and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 15.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

(n) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable or receivable in respect of previous financial years.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(n) Tax expense (continued)

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Where investment properties are carried at fair value in accordance with the accounting policy set out in Note 2(d), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying values at the reporting date unless the property is depreciable and is held with the objective to consume substantially all the economic benefits embodied in the property over time, rather than through sale. Deferred tax assets and liabilities are not discounted.

(o) Earnings per unit

The Group and the Trust present basic and diluted earnings per unit. Basic earnings per unit is calculated by dividing the total return by the weighted-average number of units outstanding during the financial year. Diluted earnings per unit is determined by adjusting the total return and the weighted-average number of ordinary units outstanding, for the effects of all dilutive potential units.

(p) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

(q) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

Notes to the Financial Statements

As at 31 December 2022

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(q) Fair value measurements (continued)

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

3. PLANT AND EQUIPMENT

Group and the Trust	Computer RM'000	Office equipment RM'000	Total RM'000
Cost			
At 1 January 2021	3,948	9,859	13,807
Additions	79	1,271	1,350
Write-off	–	(3)	(3)
At 31 December 2021/1 January 2022	4,027	11,127	15,154
Additions	10	1,254	1,264
Disposal/Write-off	(6)	(240)	(246)
At 31 December 2022	4,031	12,141	16,172
Accumulated depreciation			
At 1 January 2021	3,411	6,905	10,316
Depreciation for the financial year	264	1,085	1,349
Write-off	–	(1)	(1)
At 31 December 2021/1 January 2022	3,675	7,989	11,664
Depreciation for the financial year	134	1,257	1,391
Disposal/Write-off	(6)	(239)	(245)
At 31 December 2022	3,803	9,007	12,810
Carrying amounts			
At 1 January 2021	537	2,954	3,491
At 31 December 2021/1 January 2022	352	3,138	3,490
At 31 December 2022	228	3,134	3,362

Notes to the Financial Statements

As at 31 December 2022

4. INVESTMENT PROPERTIES

	2022 RM'000	2021 RM'000
Group and the Trust		
At 1 January	3,826,000	3,895,000
Acquisition of investment property	81,787	–
Capital expenditure capitalised	25,279	7,389
Fair value losses (net)	(41,066)	(76,389)
At 31 December	3,892,000	3,826,000

On 14 December 2022, CLMT completed the acquisition of Valdor Logistics Hub at a purchase consideration of RM79,950,000 and incurred incidental costs of RM1,837,000 that were also capitalised as part of the acquisition cost.

Investment properties refer to shopping malls, office block and logistics hub which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CLMT's lease agreements generally contain an initial non-cancellable period an initial non-cancellable period up to three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM22,592,000 (FY2021: RM10,601,000), which represents CLMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and 3 Damansara Property collectively valued at RM2,799,000,000 (FY2021: RM2,805,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall, CLMT's 205 strata titles in Sungei Wang Plaza and Valdor Logistics Hub are unencumbered as at the reporting date. Valdor Logistics Hub will be pledged to the bank as security upon draw down of the sustainability-linked term loan as disclosed in Note 10 (a).

Details of the investment properties are as follows:

	Date of acquisition	Location	Tenure	Fair value at 31 December 2022 ¹ RM'000	Fair value at 31 December 2021 ² RM'000	% of fair value to NAV at 31 December 2022 ³ %	% of fair value to NAV at 31 December 2021 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,675,000	1,665,000	69.3	69.6
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁴	590,000	579,000	24.4	24.2
Sungei Wang Plaza ⁵	14 Jul 2010	Kuala Lumpur	Freehold	422,000	442,000	17.5	18.5
3 Damansara Property	10 Jul 2015	Selangor	Freehold	469,000	480,000	19.4	20.1
The Mines	14 Jul 2010	Selangor	Leasehold ⁴	655,000	660,000	27.1	27.6
Valdor Logistics Hub	14 Dec 2022	Penang	Freehold	81,000	–	3.3	–
				3,892,000	3,826,000		

1 Based on valuation carried out on 31 December 2022.

2 Based on valuation carried out on 31 December 2021.

3 This is computed based on market value of the investment properties over the NAV before final income distribution as at 31 December 2022 and 31 December 2021. This is calculated in accordance with the REIT Guidelines.

4 The leases have unexpired lease periods of more than 50 years.

5 CLMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 1,298 car park bays which comprise 100.0% of the car park bays in Sungei Wang Plaza.

Notes to the Financial Statements

As at 31 December 2022

4. INVESTMENT PROPERTIES (CONTINUED)

All land/strata titles have been transferred and registered in the name of the Trustee.

The following are recognised in profit or loss in respect of investment properties:

	2022 RM'000	2021 RM'000
Group and the Trust		
Gross revenue	275,817	224,107
Less: Property operating expenses	(123,307)	(120,969)
Net property income	152,510	103,138

(a) Operating lease payments receivable

The operating lease payments to be received are as follows:

	2022 RM'000	2021 RM'000
Group and the Trust		
Less than one year	158,252	151,936
One to two years	95,715	66,820
Two to three years	39,075	22,653
Three to four years	840	71
Total undiscounted lease payments	293,882	241,480

(b) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant assumptions and unobservable inputs underlying the estimation of fair value of investment properties are those related to term capitalisation and reversionary capitalisation rates, car park and other income, outgoings expenses and allowance for void. Term capitalisation and reversionary capitalisation rates for the investment properties range from 6.25% to 7.25% (FY2021: 6.25% to 6.50%) and from 6.50% to 7.50% (FY2021: 6.50% to 7.00%) respectively. The estimated fair value would increase (decrease) if the capitalisation rates, outgoings and allowance for void were lower (higher) and if car park and other income was higher (lower).

(c) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The fair value of the Group's and of the Trust's investment property portfolio are revalued at least every twelve months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(d) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use.

Notes to the Financial Statements

As at 31 December 2022

5. INVESTMENT IN SUBSIDIARY

	Trust
	2022 RM'000
	2021 RM'000
CLMT MTN Berhad¹	
(formerly known as CMMT MTN Berhad)	
At cost	
Unquoted shares	*

* Denotes RM2

1 Audited by KPMG PLT

CLMT holds 100.0% equity interest (FY2021: 100.0%) in CLMT MTN Berhad, a special purpose vehicle incorporated and primarily operating in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CLMT through the issuance of issuance of rated/unrated secured Medium Term Notes under the Medium Term Notes Programme as set out in Note 10(b).

6. TRADE AND OTHER RECEIVABLES

	Group		Trust	
	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Trade				
Trade receivables	15,140	31,007	15,140	31,007
Less: Allowance for impairment losses	(9,577)	(14,485)	(9,577)	(14,485)
	5,563	16,522	5,563	16,522
Other receivables	7,592	8,302	7,592	8,302
	13,155	24,824	13,155	24,824
Non-trade				
Deposits	20,764	1,091	20,764	1,091
Interest receivables	159	68	153	63
	20,923	1,159	20,917	1,154
Trade and other receivables categorised as amortised cost	34,078	25,983	34,072	25,978
Prepayments and others	1,876	1,300	1,830	1,253
Trade and other receivables	35,954	27,283	35,902	27,231

Other receivables comprise mainly of accrued revenue yet to be billed. Non-trade balances comprise mainly of earnest deposits paid of RM19,759,000.

Notes to the Financial Statements

As at 31 December 2022

6. TRADE AND OTHER RECEIVABLES (CONTINUED)

The following table provides information about the exposure to credit risk and expected credit losses for trade receivables.

	Gross carrying amount RM'000	Allowance for impairment losses RM'000	Net balance RM'000
Group and the Trust			
2022			
Past due 1 – 30 days	2,972	(195)	2,777
Past due 31 – 90 days	353	(213)	140
Past due more than 90 days	11,815	(9,169)	2,646
	15,140	(9,577)	5,563
2021			
Past due 1 – 30 days	10,409	(1,605)	8,804
Past due 31 – 90 days	4,842	(1,609)	3,233
Past due more than 90 days	15,756	(11,271)	4,485
	31,007	(14,485)	16,522

The movement of impairment losses for trade receivables during the financial year is as follows:

	Note	2022 RM'000	2021 RM'000
Group and the Trust			
At 1 January		14,485	8,600
Amounts written off		(34)	(183)
(Reversal of)/Loss on impairment for trade receivables (net)	13	(4,874)	6,068
At 31 December		9,577	14,485

The Manager of CLMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits are held as collateral.

7. AMOUNT DUE FROM/(TO) SUBSIDIARY

The amount due from subsidiary of RM5,079,000 (FY2021: RM5,263,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CLMT of RM4,930,000 (FY2021: RM4,930,000) which is subject to an average interest rate of 2.18% (FY2021: 2.00%) per annum that is based on the prevailing deposit rates of licensed banks.

The amount due to subsidiary of RM300,000,000 (FY2021: RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CLMT and the subsidiary on 9 December 2019 where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CLMT. The amount due to subsidiary is secured, subject to interest rate at 3.24% (FY2021: 3.24%) per annum which is payable semi-annually and the principal is repayable in 2026 to coincide with the revised maturity as the noteholder for the unrated and secured MTN has given its commitment to continue its subscription for another 3 years upon the maturity of the current MTN on 20 June 2023.

Notes to the Financial Statements

As at 31 December 2022

8. CASH AND CASH EQUIVALENTS

	Group		Trust	
	2022	2021	2022	2021
	RM'000	RM'000	RM'000	RM'000
Deposits placed with licensed banks	66,267	63,099	61,333	58,166
Cash and bank balances	18,042	13,077	18,029	13,071
	84,309	76,176	79,362	71,237

Gurney Plaza maintains a separate designated revenue account while The Mines and 3 Damansara Property maintain separate designated revenue and operating accounts with licensed banks. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM52,088,000 (FY2021: RM48,346,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM4,930,000 (FY2021: RM4,930,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

9. UNITHOLDERS' CAPITAL

	Amount	Number of	Amount	Number of
	2022	units	2021	units
	RM'000	'000	RM'000	'000
Group and the Trust				
Issued and fully paid:				
At 1 January	2,235,447	2,130,856	2,198,446	2,063,846
Units issued as part satisfaction of the Manager's management fee	4,071	7,197	4,469	7,110
Units issued under Distribution Reinvestment Plan (net of issue costs)	35,207	68,882	32,532	59,900
At 31 December	2,274,725	2,206,935	2,235,447	2,130,856

The Distribution Reinvestment Plan (DRP) was established on 19 June 2020 to enable unitholders to reinvest the income distribution received into new units. During the financial year, DRP was applied to the income distribution for the period from 1 July 2021 to 31 December 2021 (2H 2021) and 1 January 2022 to 30 June 2022 (1H 2022).

For the 2H 2021 income distribution, CLMT paid RM20.9 million or 0.98 sen per unit, in which a total of 21,519,490 of new units were issued out of 39,419,982 units eligible under the DRP, this represents a take up rate of 54.6%. The new units were issued at the price of RM0.5223 per unit.

For the 1H 2022 income distribution, CLMT paid RM42.0 million or 1.95 sen per unit, in which a total of 47,363,371 of new units were issued out of 77,828,938 units eligible under the DRP, this represents a take up rate of 60.9%. The new units were issued at the price of RM0.5119 per unit.

Notes to the Financial Statements

As at 31 December 2022

9. UNITHOLDERS' CAPITAL (CONTINUED)

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2022 and 2021, the Manager has no direct unitholdings in CLMT. Nevertheless, parties related to CLMT and the Directors of the Manager holding units in CLMT are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2022			
<i>Direct unitholdings of parties related to CLMT</i>			
CMMT Investment Limited	797,447	36.1	426,634
Menang Investment Limited	74,121	3.4	39,655
Ms Ng Kuan Yee	13	N.M.	7
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2022</i>			
Mr Lim Cho Pin Andrew Geoffrey ¹	50	N.M.	27
Mohd Yusof bin Hussain	67	N.M.	36
2021			
<i>Direct unitholdings of parties related to CLMT</i>			
CMMT Investment Limited	754,036	35.4	433,571
Menang Investment Limited	63,831	3.0	36,703
Ms Ng Kuan Yee	13	N.M.	7
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2021</i>			
Mr Lim Cho Pin Andrew Geoffrey ¹	50	N.M.	29
Mohd Yusof bin Hussain	63	N.M.	36

N.M. – Not meaningful

¹ Units held through nominees.

² The market value of the units for the respective years are computed based on the closing market price of RM0.535 per unit as at 31 December 2022 and RM0.575 per unit as at 31 December 2021.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CLI and are regarded as parties that have joint control over the Group and the Trust for financial reporting purposes.

10. BORROWINGS

	Group		Trust	
	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Non-current				
Secured term loans				
– Fixed rate	848,680	848,680	848,680	848,680
– Floating rate	69,750	69,750	69,750	69,750
Secured revolving credit	49,697	49,816	49,697	49,816
Unrated and secured MTN	300,000	300,000	–	–
Less: Unamortised transaction costs	(1,208)	(922)	(812)	(331)
	1,266,919	1,267,324	967,315	967,915
Current				
Secured revolving credit	25,660	19,700	25,660	19,700
Unsecured revolving credit	158,950	125,310	158,950	125,310
Less: Unamortised transaction costs	(211)	(65)	(211)	(65)
	184,399	144,945	184,399	144,945
	1,451,318	1,412,269	1,151,714	1,112,860

Notes to the Financial Statements

As at 31 December 2022

10. BORROWINGS (CONTINUED)

(a) Secured term loans and revolving credit

CLMT had entered into three separate secured facility agreements with licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2) and 26 June 2015 (Secured Facility 3).

Secured Facility 1 comprises fixed and floating rate term loan facilities of RM500.0 million and a revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facilities of RM69.8 million and a revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature between 2026 to 2028.

Secured Facility 3 comprises fixed rate term loan facility of RM348.7 million, a revolving credit facility of RM100.0 million and a bank guarantee facility of RM10.0 million. Secured Facility 3 will mature on July 2027.

As at 31 December 2022, the principal amounts utilised under the Secured Facilities 1, 2 and 3 were RM546.4 million (FY2021: RM536.5 million), RM78.6 million (FY2021: RM83.1 million) and RM378.0 million (FY2021: RM368.4 million) respectively, of which total secured revolving credit utilised under these facilities was RM75.4 million (FY2021: RM69.5 million).

On 19 December 2022, CLMT accepted a sustainability-linked term loan offer of RM60.0 million with an initial loan tenure of 5 years and an option to extend for another 5 years after the end of the initial tenure. This loan is subject to fulfilment of terms and conditions and will be available to refinance the bridging loans drawn for the acquisition of Valdor Logistics Hub. The loan remains undrawn as at the financial year end.

The average effective interest rate for the Secured Facilities 1, 2 and 3 was approximately 3.2% (FY2021: 3.1%) per annum.

(b) Secured Medium Term Notes Programme

The Group has a secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CLMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The MTN Programme has a tenure of twenty years from the date of first issuance of MTN, which was on 20 December 2012. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CLMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CLMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2019, the Issuer issued a RM300.0 million three and a half-year unrated and secured MTN (3-TM) which will be maturing on 20 June 2023. 3-TM bears a coupon rate of 4.07% per annum for the first 2 years which is payable semi-annually and upon expiration of the first 2 years, the issuer had elected to refix 3-TM at a fixed rate of 3.24% per annum payable semi-annually.

During the financial year, the existing noteholder has agreed to continue its subscription of the MTN upon its maturity on 20 June 2023 for another 3 years to 20 June 2026.

(c) Unsecured revolving credit

As at 31 December 2022, the outstanding unsecured revolving credit was RM158.9 million (FY2021: RM125.3 million) at an average effective interest rate of approximately 3.5% (FY2021: 3.2%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM2,799,000,000 (FY2021: RM2,805,000,000).

Notes to the Financial Statements

As at 31 December 2022

11. DEFERRED TAX LIABILITIES

With effect from 1 January 2019, the applicable Real Property Gains Tax (RPGT) rate under the Finance Act 2020 for disposal of real properties or shares in real properties companies which have been held for more than 5 years is 10%.

It is the business model of CLMT to hold investment properties to earn rental income and for long term capital growth. Hence, there are no expected disposals of investment properties held for less than 5 years.

During the financial year, CLMT reversed RM1,738,000 (FY2021: RM5,490,000) of deferred tax liabilities to profit or loss, this being the net changes of the RPGT exposure due to the reassessment of fair value on freehold investment properties.

12. TRADE AND OTHER PAYABLES

	Group		Trust	
	2022	2021	2022	2021
	RM'000	RM'000	RM'000	RM'000
Current				
Trade				
Trade payables	4,027	2,376	4,027	2,376
Amount due to related parties	7,097	5,082	7,097	5,082
	11,124	7,458	11,124	7,458
Non-trade				
Interest payables	5,471	3,745	5,152	3,426
Accruals	45,174	33,602	45,162	33,587
Other payables	687	498	687	498
	51,332	37,845	51,001	37,511
Trade and other payables categorised as amortised cost	62,456	45,303	62,125	44,969
Advances	5,427	5,526	5,427	5,526
Trade and other payables	67,883	50,829	67,552	50,495

Included in the amount due to related parties is an amount due to the Manager of RM6,996,000 (FY2021: RM5,015,000) of which RM2,711,000 (FY2021: RM1,630,000) is payable in units of CLMT as payment for the performance component of management fee for the period from 1 July 2022 to 31 December 2022 (FY2021: for the period from 1 July 2021 to 31 December 2021) and Trustee's fee of RM67,000 (FY2021: RM67,000). The relationship and transactions of the above are further disclosed in Note 25.

13. OTHER OPERATING EXPENSES

	Note	2022	2021
		RM'000	RM'000
Group and the Trust			
Property management fees and reimbursements		20,653	23,986
Marketing expenses		5,975	3,914
Quit rent and assessment		11,126	11,821
General and administrative expenses		5,967	5,752
(Reversal of)/Impairment losses for trade receivables (net)	6	(4,874)	6,068
		38,847	51,541

Property management fees are payable to the property managers, namely (1) Knight Frank Property Management Sdn. Bhd. for all CLMT's properties for the full year under review except for Sungei Wang Plaza; and (2) Zaharin Nexcap Property Consultants Sdn. Bhd., the property manager for CLMT's interest in Sungei Wang Plaza. Property management reimbursements include reimbursable staff costs and other reimbursements for managing the investment properties.

Notes to the Financial Statements

As at 31 December 2022

13. OTHER OPERATING EXPENSES (CONTINUED)

The property management fee for Gurney Plaza, The Mines, East Coast Mall and 3 Damansara Property is based on a monthly fee of RM75,000 (FY2021: RM75,000) as stipulated in the property management agreement dated 28 March 2019. Property management fee for CLMT's interest in Sungei Wang Plaza is based on a monthly fee of RM19,000 (FY2021: RM19,000) as stipulated in the property management agreement dated 13 March 2020. Property management fee of RM1,744 was also incurred in respect of the newly acquired property, Valdor Logistics Hub in December 2022.

14. MANAGER'S MANAGEMENT FEE

	2022 RM'000	2021 RM'000
Group and the Trust		
Base management fee	11,476	11,538
Performance fee	7,244	4,899
	18,720	16,437
Acquisition fee capitalised in investment properties	800	–

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1% per annum of the total asset value and a performance fee of up to 5% per annum of net property income. For the financial year ended 31 December 2022, the Manager has accounted for a base fee of 0.29% (FY2021: 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (FY2021: 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which is payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment. As the acquisition of Valdor Logistics Hub was completed during the financial year, an acquisition fee of RM800,000 is payable to the Manager and capitalised as part of the investment property's acquisition cost.

During the financial year ended 31 December 2022, the Manager was paid 7,197,000 of units (FY2021: 7,110,000 of units) in CLMT or equivalent to RM4,071,000 (FY2021: RM4,469,000), as part settlement of its management fee for the period from 1 July 2021 to 30 June 2022 (FY2021: 1 July 2020 to 30 June 2021). The Manager disposed 2,834,000 and 4,363,000 of CLMT units (FY2021: 4,388,000 and 2,722,000) at cost to a related party, Menang Investment Limited, on 12 May 2022 and 17 November 2022 (FY2021: 12 May 2021 and 10 November 2021) respectively.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

15. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

With the agreement from Trustee, the Trustee's fee for the financial year ended 31 December 2022 was RM400,000 (FY2021: RM400,000).

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16. FINANCE COSTS

	Group		Trust	
	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Interest expense on secured term loans	29,303	29,703	29,303	29,703
Interest expense on unrated and secured MTN	9,705	12,128	–	–
Interest expense on RTFA with subsidiary	–	–	9,705	12,128
Interest expense on secured and unsecured revolving credits	6,135	5,261	6,135	5,261
Amortisation of transaction costs on borrowings	919	854	724	659
Others	455	175	650	370
	46,517	48,121	46,517	48,121

17. TAXATION

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year of assessment would be subject to income tax.

As CLMT will distribute more than 90.0% of its distributable income for the financial year ended 31 December 2022 to its unitholders, no provision for tax expense has been made for the current financial year.

	2022 RM'000	2021 RM'000
Group and the Trust		
Deferred tax reversal	(1,738)	(5,490)
Taxation for the financial year	(1,738)	(5,490)
Reconciliation of tax expense is as follows:		
Profit/(Loss) before taxation	48,686	(35,883)
Income tax at Malaysian statutory tax rate of 24.0%	11,685	(8,612)
Effect of net fair value losses on investment properties not subject to tax	9,856	18,333
Effect of income not subject to tax	(23,871)	(8,580)
Effect of expenses not deductible for tax purposes	2,330	2,768
Effect of double deduction on tax expense	–	(3,909)
	–	–
Effect of net cumulative fair value changes on investment properties subject to Real Property Gain Tax	(1,738)	(5,490)
Taxation for the financial year	(1,738)	(5,490)

Notes to the Financial Statements

As at 31 December 2022

18. EARNINGS/(LOSS) PER UNIT

Basic and diluted earnings/(loss) per unit

The calculation of earnings/(loss) per unit is based on the weighted average number of units and profit/(loss) for the financial year.

	2022 RM'000	2021 RM'000
Group and the Trust		
Profit/(Loss) for the financial year	50,424	(30,393)
Add: Manager's management fee	18,720	16,437
Profit/(Loss) for the financial year before Manager's management fee	69,144	(13,956)
	2022 '000	2021 '000
Group and the Trust		
Issued units at the beginning of the financial year	2,130,856	2,063,846
Weighted average number of units issued during the financial year	32,122	40,877
Weighted average number of units at the end of the financial year	2,162,978	2,104,723
Earnings/(Loss) per unit (sen)		
– before Manager's management fee	3.20	(0.66)
– after Manager's management fee	2.33	(1.44)

Diluted earnings/(loss) per unit equals to basic earnings/(loss) per unit as there are no potential dilutive units in issue.

Notes to the Financial Statements

As at 31 December 2022

19. DISTRIBUTIONS TO UNITHOLDERS

	2022 RM'000	2021 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	220,127	185,620
Car park income and other revenue	55,690	38,487
Interest income	1,969	1,215
Less: Expenses	(190,471)	(186,192)
Add/(Less): Adjustment for rounding difference	174	(97)
Distributable income	87,489	39,033
Distribution per unit (sen) of which:		
– taxable income (sen)	3.93	1.10
– non-taxable income (sen)	0.08	0.74
	4.01	1.84

The Manager declared a final income distribution of approximately RM45,462,000 or 2.06 sen per unit on 19 January 2023, for the period from 1 July 2022 to 31 December 2022. In total, CLMT will be paying approximately RM87,489,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2022.

In the prior financial year, the Manager declared a final income distribution of approximately RM20,882,000 or 0.98 sen per unit on 27 January 2022, for the period from 1 July 2021 to 31 December 2021. This final income distribution was paid on 23 March 2022. In total, CLMT had paid approximately RM39,033,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2021.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CLMT level is as follows:

Resident unitholders

- | | | |
|-----|----------------------|--------------------------------------|
| (a) | Corporate | Tax flow through, no withholding tax |
| (b) | Other than corporate | Withholding tax at 10% |

Non-resident unitholders

- | | | |
|-----|-------------------------|------------------------|
| (c) | Corporate | Withholding tax at 24% |
| (d) | Institutional investors | Withholding tax at 10% |
| (e) | Individuals | Withholding tax at 10% |

20. PORTFOLIO TURNOVER RATIO

	2022	2021
Group		
Portfolio turnover ratio (PTR) (times)	*	–

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CLMT for the financial year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CLMT against other REITs.

* Less than 0.1 times

Notes to the Financial Statements

As at 31 December 2022

21. MANAGEMENT EXPENSE RATIO

	2022	2021
Group		
Management expense ratio (MER) (%)	0.9	0.8

MER is calculated based on the total fees of CLMT, including Manager's management fee, Trustee's fee, acquisition fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CLMT with other REITs which may use different basis of calculation may not be an accurate comparison.

22. CAPITAL COMMITMENTS

Capital commitments in relation to capital expenditure of the existing portfolio of CLMT are as follows:

	2022 RM'000	2021 RM'000
Group and the Trust		
Contracted but not provided for	4,062	1,714

23. FINANCIAL INSTRUMENTS

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Carrying amount Group		Carrying amount Trust	
	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Financial assets categorised as amortised cost:				
Trade and other receivables	34,078	25,983	34,072	25,978
Amount due from subsidiary	–	–	5,079	5,263
Cash and cash equivalents	84,309	76,176	79,362	71,237
	118,387	102,159	118,513	102,478
Financial liabilities categorised as amortised cost:				
Borrowings	1,451,318	1,412,269	1,151,714	1,112,860
Tenants' deposits	78,333	76,815	78,333	76,815
Amount due to subsidiary	–	–	300,000	300,000
Trade and other payables	62,456	45,303	62,125	44,969
	1,592,107	1,534,387	1,592,172	1,534,644

Notes to the Financial Statements

As at 31 December 2022

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.2 Net gains/(losses) arising from financial instruments

	2022 RM'000	2021 RM'000
Group and the Trust		
Net gains/(losses) on:		
Financial assets at amortised cost		
– Reversal of/(Impairment losses) for trade receivables (net)	4,874	(6,068)
– Interest income	1,969	1,215
	6,843	(4,853)
Financial liabilities at amortised cost		
– Finance costs	(46,517)	(48,121)
– Realised foreign exchange loss	(5)	(1)
	(46,522)	(48,122)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and the Trust. The Group and the Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which set its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and the Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

At the reporting date, RM184,610,000 (FY2021: RM145,010,000) of outstanding revolving credits will be subject to annual review within the next twelve months. The Group and the Trust will continue to manage their capital structure proactively by spreading out the debt maturities to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Notes to the Financial Statements

As at 31 December 2022

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Note	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Group								
2022								
Bank borrowings (excluding unamortised transaction costs)	10	1,152,737	2.99 – 4.71	1,339,673	274,360	39,857	672,231	353,225
Unrated and secured MTN (excluding unamortised transaction costs)	10	300,000	3.24 – 4.67	346,554	11,510	14,049	320,995	–
Tenants' deposits		78,333	–	78,333	42,995	12,828	22,267	243
Trade and other payables	12	62,456	–	54,274	54,274	–	–	–
		1,593,526		1,818,834	383,139	66,734	1,015,493	353,468
2021								
Bank borrowings (excluding unamortised transaction costs)	10	1,113,256	2.99 – 4.26	1,303,389	223,092	31,138	324,630	724,529
Unrated and secured MTN (excluding unamortised transaction costs)	10	300,000	3.24	314,544	9,705	304,839	–	–
Tenants' deposits		76,815	–	76,815	50,684	18,378	7,753	–
Trade and other payables	12	45,303	–	39,928	39,928	–	–	–
		1,535,374		1,734,676	323,409	354,355	332,383	724,529
	Note	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Trust								
2022								
Bank borrowings (excluding unamortised transaction costs)	10	1,152,737	2.99 – 4.71	1,339,673	274,360	39,857	672,231	353,225
Tenants' deposits		78,333	–	78,333	42,995	12,828	22,267	243
Amount due to subsidiary	7	300,000	3.24 – 4.67	346,554	11,510	14,049	320,995	–
Trade and other payables	12	62,125	–	54,262	54,262	–	–	–
		1,593,195		1,818,822	383,127	66,734	1,015,493	353,468
2021								
Bank borrowings (excluding unamortised transaction costs)	10	1,113,256	2.99 – 4.26	1,303,389	223,092	31,138	324,630	724,529
Tenants' deposits		76,815	–	76,815	50,684	18,378	7,753	–
Amount due to subsidiary	7	300,000	3.24	314,544	9,705	304,839	–	–
Trade and other payables	12	44,969	–	39,913	39,913	–	–	–
		1,535,040		1,734,661	323,394	354,355	332,383	724,529

Notes to the Financial Statements

As at 31 December 2022

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM5,471,000 (FY2021: RM3,745,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- (b) an amount of RM2,711,000 (FY2021: RM1,630,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM5,152,000 (FY2021: RM3,426,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM2,711,000 (FY2021: RM1,630,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and the Trust also have vigilant monitoring and debt collection procedures. Additionally, certain revenue streams such as car park income and recovery from tenants do not have credit terms since they are settled on cash or prepayment terms. Debtors turnover days of the Group for the financial year was approximately 24 days (FY2021: 54 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and have high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

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23. FINANCIAL INSTRUMENTS (CONTINUED)

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities (including borrowing from subsidiary) and also seeking to ensure a competitive level of cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2022, the Group's and the Trust's borrowings at fixed rates are 79.1% (FY2021: 81.3%) and 79.1% (FY2021: 81.3%) respectively while the remaining balances are on floating rates.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed in as deposits with licensed banks which yield better returns than cash at bank.

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

		Group		Trust	
	Note	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
Financial assets					
Fixed rate instruments					
Deposits placed with licensed banks	8	66,267	63,099	61,333	58,166
Amount due from subsidiary	7	–	–	4,930	4,930
		66,267	63,099	66,263	63,096
Financial liabilities					
Fixed rate instruments					
Secured term loans	10	848,680	848,680	848,680	848,680
Unrated and secured MTN	10	300,000	300,000	–	–
Amount due to subsidiary	7	–	–	300,000	300,000
		1,148,680	1,148,680	1,148,680	1,148,680
Floating rate instruments					
Secured term loans	10	69,750	69,750	69,750	69,750
Secured and unsecured revolving credit	10	234,307	194,826	234,307	194,826
		304,057	264,576	304,057	264,576
		1,452,737	1,413,256	1,452,737	1,413,256

The exposure to interest rate risk are in respect of the floating rate instruments as reported above.

Notes to the Financial Statements

As at 31 December 2022

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.6 Market risk (continued)

23.6.1 Interest rate risk (continued)

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 50 basis points (bp) (FY 2021: 100 bp) in interest rate at the reporting date would have increased the finance costs by RM1,520,000 (FY2021: RM2,646,000) per annum. A decrease in 50 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

23.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables, amount due from subsidiary and trade and other payables approximate their fair values due to the relatively short-term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2022 RM'000	Fair value 2022 RM'000	Carrying amount 2021 RM'000	Fair value 2021 RM'000
Group				
Tenants' deposits	78,333	76,095	76,815	75,969
Fixed rate secured term loans	848,680	834,919	848,680	841,635
Unrated and secured MTN	300,000	298,040	300,000	299,824
Trust				
Tenants' deposits	78,333	76,095	76,815	75,969
Fixed rate secured term loans	848,680	834,919	848,680	841,635
Amount due to subsidiary	300,000	298,040	300,000	299,824

The fair values of the tenants' deposits is categorised as Level 2 and the remaining financial liabilities are categorised as Level 3.

Notes to the Financial Statements

As at 31 December 2022

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.7 Fair value information (continued)

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2022	2021
Group and the Trust		
Tenants' deposits	2.9%	1.9%
Fixed rate secured term loans	4.9%	4.1%
Unrated and secured MTN	4.8%	3.5%
Amount due to subsidiary	4.8%	3.5%

24. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening its capital structure and competitive position.

The Manager maintains an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REIT Guidelines, the gearing ratio of the Group should not exceed 60.0% (FY2021: 60.0%) at the time the borrowings or financing facilities or deferred payment arrangements are incurred. The gearing limit for Malaysia real estate investment trusts was temporarily increased from 50% to 60% until 31 December 2022 as announced by Securities Commission on 12 August 2020. At balance sheet date, the gearing level of the Group stood at 36.2% (FY2021: 35.9%) and has maintained the gearing ratio below the statutory threshold during the financial year.

	Note	2022 RM'000	2021 RM'000
Group			
Total asset value (before final income distribution)		4,015,625	3,932,949
Total borrowings (excluding unamortised transaction costs)	10	1,452,737	1,413,256
Gearing ratio (%)		36.2	35.9

There was no change in the Group's approach to capital management during the financial year.

Notes to the Financial Statements

As at 31 December 2022

25. RELATED PARTIES

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2022 RM'000	2021 RM'000	2022 RM'000	2021 RM'000
The Manager				
CapitaLand Malaysia REIT Management Sdn. Bhd.				
– Management fee (Note 14)	18,720	16,437	18,720	16,437
– Acquisition fee (Note 14)	800	–	800	–
The Trustee				
MTrustee Berhad				
– Trustee's fee (Note 15)	400	400	400	400
Related company of a material unitholder and of the Manager				
CapitaLand Retail Malaysia Sdn. Bhd.				
– Project management fee for asset enhancement works	173	98	173	98
U Mobile Sdn. Bhd.				
– Rental income from leasing of space	264	264	264	264
Special Coral Sdn. Bhd.				
– Deposit paid for the acquisition of 433 strata parcels in Queensbay Mall	19,690	–	19,690	–
Retail Galaxy Pte. Ltd.				
– Deposit paid for the acquisition of 4 companies along with 5 strata parcels in Queensbay Mall as disclosed in Note 27 (ii)	69	–	69	–
CapitaLand Development Pte. Ltd.				
– Technical support and advisory services	34	–	34	–

Notes to the Financial Statements

As at 31 December 2022

26. OPERATING SEGMENTS

The Group's Chief Operating Decision Makers (CODM) has identified Retail as a reportable segment for the purpose of performance assessment.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by the segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

	Retail RM'000	Others RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2022			
Gross revenue	274,024	1,793	275,817
Net property income/(expense)	152,687	(177)	152,510
Interest income			1,969
Other non-operating income			3,250
Fair value losses of investment properties (net)			(41,066)
Unallocated expenses			(21,460)
Finance costs			(46,517)
Profit before taxation			48,686
Taxation			1,738
Profit for the financial year			50,424
Segment loss for the year ended 31 December 2021			
Gross revenue	220,847	3,260	224,107
Net property income	101,813	1,325	103,138
Interest income			1,215
Other non-operating income			3,250
Fair value losses of investment properties (net)			(76,389)
Unallocated expenses			(18,976)
Finance costs			(48,121)
Loss before taxation			(35,883)
Taxation			5,490
Loss for the financial year			(30,393)

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

Notes to the Financial Statements

As at 31 December 2022

27. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR

The following significant events occurred during the financial year:

- (i) The Trustee has, on behalf of CLMT, entered into conditional sale and purchase agreement dated 7 June 2022 with Ingenieur EPCM Sdn. Bhd., a third party, to purchase 2 plots of contiguous freehold land and industrial properties in Sungai Jawi, Penang for a total purchase consideration of RM79,950,000 and incurred incidental costs of RM1,837,000 as disclosed in Note 4. The new property was named Valdor Logistics Hub (VLH) and the post-acquisition results of VLH was incorporated in CLMT Group upon the completion of acquisition on 14 December 2022.
- (ii) As announced by CLMT to Bursa Securities on 9 November 2022, the Trustee has, on behalf of CLMT entered into the following:
 - a conditional sale and purchase agreement with Special Coral Sdn. Bhd. ("Special Coral") to acquire from Special Coral, 433 strata titles within Queensbay Mall for a purchase consideration of RM984,480,000; and
 - a conditional share purchase agreement with Retail Galaxy Pte. Ltd. ("Retail Galaxy") to acquire from Retail Galaxy all the issued and paid-up share capital of Scenic Growth Sdn. Bhd., Luxury Ace Sdn. Bhd., Success Idea Sdn. Bhd. and Milky Way Properties Berhad ("Target Companies"), which collectively hold 5 strata titles within Queensbay Mall for a total purchase consideration of RM3,450,000, together with an inter-company settlement on behalf of the Target Companies of RM2,570,000.

The acquisition is expected to be funded via a combination of proposed private placement of up to 1,031,771,000 new units in CLMT to raise up to RM495,250,000 cash proceeds and the remainder to be satisfied via bank borrowings. The acquisition and equity financing are subject to approvals from the relevant authorities and unitholders of CLMT.

As announced by CLMT to Bursa Securities on 8 February 2023, the unitholders' approval will be sought at the Unitholders' Meeting that will be held on 23 February 2023. The acquisition and proposed private placement are expected to be completed by 1Q 2023.

Manager's Report

CapitaLand Malaysia REIT Management Sdn. Bhd., the Manager for CapitaLand Malaysia Trust (CLMT or the Trust), has pleasure in presenting its report together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2022.

CLMT is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 20 September 2021. CLMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REIT Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

Under the Deed, the principal activity of CLMT is to invest, on a long term basis, in a portfolio of income-producing real estate as deemed fit by the Manager, that are used for retail, commercial, office and industrial purposes, or such other non-real estate investments, as may be permitted under the Deed, the REIT Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth.

The Manager is of the view that it has achieved the investment objective for the financial year ended 31 December 2022. Except as disclosed in the financial statements, there was no change in the strategies and policies employed during the financial year.

DIRECTORS

The Directors of the Manager who have held office during the financial year until the date of this report are as follows:

Lui Chong Chee
Tan Choon Siang
Foo Wei Hoong
Tan Boon Peng
Mohd Yusof bin Hussian
Tan Ming-Li
Yap Neng Tong
Lim Cho Pin Andrew Geoffrey

DIRECTORS' BENEFITS

Neither at the end of the financial year, nor at any time during that year, did there subsist any arrangement to which the Manager was a party, whereby the Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of CLMT.

Since the end of the previous financial year, no Director of the Manager has received or become entitled to receive any benefit (other than a benefit included in the aggregated amount of remuneration received or due and receivable by the Directors), by reason of a contract made by the Manager or a related corporation with any Director of the Manager or with a firm of which the Director of the Manager is a member of, or with a company in which the Director of the Manager has substantial financial interest.

Manager's Report

DIRECTORS' INTERESTS

According to the register of Directors' shareholdings kept by the Manager under Section 59 of the Companies Act 2016 in Malaysia, the interests of Directors of the Manager in office at the end of the financial year in units in CLMT during the financial year were as follows:

	At 1.1.2022 Unit	Acquired Unit	Sold Unit	At 31.12.2022 Unit
Lim Cho Pin Andrew Geoffrey ¹	49,579	905	–	50,484
Mohd Yusof bin Hussian	63,257	3,367	–	66,624

1 Units held through nominees

The other Directors of the Manager in office at the end of the financial year did not have any interests in units in CLMT during the financial year.

SOFT COMMISSION

There was no soft commission received by the Manager during the financial year from any broker or dealer by virtue of transactions conducted for CLMT.

OTHER INFORMATION

- (a) Before the financial statements of the Group and of the Trust were made out, the Manager took reasonable steps:
- (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that there were no known bad debts and that adequate allowance had been made for doubtful debts; and
 - (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business have been written down to an amount which the current assets might be expected so to realise.
- (b) At the date of this report, the Manager is not aware of any circumstances:
- (i) that would render the amount written off for bad debts or the amount of the provision for doubtful debts in the Group and the Trust inadequate to any substantial extent, or
 - (ii) that would render the values attributed to the current assets in the financial statements of the Group and of the Trust misleading, or
 - (iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate, or
 - (iv) not otherwise dealt with in this report or financial statements that would render any amount stated in the financial statements of the Group and of the Trust misleading.
- (c) As at the date of this report, there does not exist:
- (i) any charge on the assets of the Group and of the Trust that has arisen since the end of the financial year which secures the liabilities of any other person; and
 - (ii) any contingent liability of the Group or of the Trust that has arisen since the end of the financial year.

Manager's Report

OTHER INFORMATION (CONTINUED)

(d) In the opinion of the Manager:

- (i) except for those already disclosed in the financial statements, the results of the operations of the Group and of the Trust during the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature;
- (ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group or of the Trust for the financial year in which this report is made; and
- (iii) no contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group or of the Trust to meet their obligations as and when they fall due.

OTHER SIGNIFICANT EVENTS

Except for those already disclosed in the financial statements, there are no significant events during the financial year and up to the date of this report.

CHANGES IN MATERIAL LITIGATION

The Manager is not aware of any pending litigation which is material since 31 December 2022 up to the date of this report.

AUDITORS

The auditors, KPMG PLT, have expressed their willingness to continue in office.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 15 February 2023.

Lui Chong Chee
Chairman

Tan Choon Siang
Chief Executive Officer

Date: 15 February 2023

Statement by the Manager

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CapitaLand Malaysia Trust and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia REIT Management Sdn. Bhd., the financial statements set out on page 156 to 195 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2022 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 15 February 2023.

Lui Chong Chee
Chairman

Tan Choon Siang
Chief Executive Officer

Date: 15 February 2023

Statutory Declaration

I, **Soon Yeong Chyan**, the officer of CapitaLand Malaysia REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Trust, do solemnly and sincerely declare that the financial statements set out on page 156 to 195, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed Soon Yeong Chyan, MIA CA12084, at Kuala Lumpur, Wilayah Persekutuan on 15 February 2023.

Soon Yeong Chyan

Before me:

Trustee's Report

TO THE UNITHOLDERS OF CAPITALAND MALAYSIA TRUST
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Trust (CLMT) for the financial year ended 31 December 2022. In our opinion and to the best of our knowledge, CapitaLand Malaysia REIT Management Sdn. Bhd., the Manager of CLMT, has managed CLMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that valuation has been carried out on all the properties of CLMT in accordance with the Deed and any other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2022 are in line with and are reflective of the objectives of CLMT.

For and on behalf of the Trustee,
MTrustee Berhad

Nurizan Binti Jalil
Chief Executive Officer

Date: 15 February 2023

Independent Auditors' Report

TO THE UNITHOLDERS OF CAPITALAND MALAYSIA TRUST
(Established in Malaysia)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of CapitaLand Malaysia Trust ("CLMT"), which comprise the statements of financial position as at 31 December 2022 of the Group and of CLMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CLMT for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on page 156 to 195.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CLMT as at 31 December 2022, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CLMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CLMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CLMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) – Significant accounting policy: Investment properties and Note 4 – Investment properties.

The key audit matter

The Group owns a portfolio of investment properties comprising shopping malls, an office block and a logistics hub located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM3,892,000,000 as at 31 December 2022.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied i.e. a small change in the assumptions can have a significant impact to the valuation.

This is a key audit matter because of the inherently subjective nature of investment property valuations arising from the use of assumptions in the valuation methodology and the financial significance of the balances.

Independent Auditors' Report

TO THE UNITHOLDERS OF CAPITALAND MALAYSIA TRUST
(Established in Malaysia)

Key Audit Matters (continued)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

- We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.
- We considered the qualifications and competence of the external valuers vis-à-vis the expert's qualifications, membership of a professional body or industry association, and license to practice.
- We held discussions with the external valuers to understand their processes, judgements and observations in determining the assumptions applied in their valuations.
- We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods commonly used by external valuers.
- We tested samples of data applied in the projected cash flows used in the valuations by the external valuers to lease agreements and other supporting documents.
- We challenged the key assumptions used in the valuations by external valuers, such as capitalisation rates, by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the external valuers.
- We also considered the adequacy of the disclosures in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

CapitaLand Malaysia REIT Management Sdn. Bhd. (Manager) is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CLMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CLMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CLMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CLMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of financial statements of the Group and of CLMT that give a true and fair view in accordance with the provision of the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Manager is also responsible for such internal control as the Manager determine is necessary to enable the preparation of financial statements of the Group and of CLMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CLMT, the Manager is responsible for assessing the ability of the Group and of CLMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CLMT or to cease operations, or have no realistic alternative but to do so.

Independent Auditors' Report

TO THE UNITHOLDERS OF CAPITALAND MALAYSIA TRUST

(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CLMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CLMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CLMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of CLMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or CLMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CLMT, including the disclosures, and whether the financial statements of the Group and of CLMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CLMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Independent Auditors' Report

TO THE UNITHOLDERS OF CAPITALAND MALAYSIA TRUST
(Established in Malaysia)

OTHER MATTERS

This report is made solely to the unitholders of CLMT, as a body, and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT

(LLP0010081-LCA & AF 0758)
Chartered Accountants

Petaling Jaya,

Date: 15 February 2023

Ow Peng Li

Approval Number: 02666/09/2023 J
Chartered Accountant

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

INTRODUCTION

CapitaLand Investment (CLI) started to align its climate-related disclosures with the Taskforce for Climate-related Financial Disclosures (TCFD) recommendations in the four key areas of governance, strategy, risk management and metric and targets since 2017 and further declared its support for TCFD and its recommendations in 2019. CLI and its REITs, including CapitaLand Malaysia Trust (CLMT) are continuing their journey to enhancing the implementation and reporting against the TCFD recommendations.

GOVERNANCE

The Board of Directors of CapitaLand Malaysia REIT Management Sdn. Bhd., the Manager of CLMT, (the Board) considers sustainability issues as part of CLMT's strategic formulation, determines the material ESG factors and oversees the management and monitoring of the material ESG factors.

The Board sets CLMT's risk appetite, which determines the nature and extent of material risks that CLMT is willing to take to achieve their strategic and business objective. As part of the material risk issues being highlighted, climate change has been identified as critical. The Board regularly reviews climate change risks as part of the Manager's Enterprise Risk Management (ERM) Framework.

The Board is actively involved in discussions on climate-related initiatives. Taking the lead from CLI, the Board is updated on relevant performance metrics as well as stakeholders' expectations on climate change. They are also kept aware of any environmental incidents, which may include climate-related damages or disruptions. Furthermore, based on the annual Risk and Control Self-Assessment (RCSA) exercise, as well as the quarterly key risk indicators reports, findings on the areas of risks, including but not limited to environmental and climate risk, are presented to the Board. These are presented together with their likelihood, impact and management action. Based on these, the Board is able to review and confirm the adequacy and effectiveness of CLMT's risk management system, along with the risk portfolio, risk levels and mitigation strategies.

The Manager works closely with CapitaLand's Environmental, Health and Safety (EHS) Committee to manage climate-related risks and opportunities. This EHS Committee drives initiatives related to climate-related risks and opportunities, as well as the broader environmental issues. The Property Manager under CLI also has an engineering and sustainability team, led by the Head of Engineering. The focus of these two teams includes integrating sustainability into operations. In alignment with CLI, the Manager's CEO is responsible for CLMT's climate-related targets. A key objective of the Manager's senior management is to transit to a low-carbon business that is aligned with climate science and build a resilient and resource efficient portfolio. As of 1 January 2023, CLMT has set up a sustainability department, that will oversee CLMT's sustainability matters, including climate-related issues. This sustainability department, which reports to the CEO, is also supported by various Heads of Department of the Manager, and the Heads of Department of the operations and technical teams of CLI to manage and implement CLMT's sustainability objectives and strategies. The sustainability department regularly updates the Board on matters relating to sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures.

CLI group-wide sustainability management comes under the purview of a CLI Board Committee, the Strategy and Sustainability Committee. The CLI Strategy and Sustainability Committee, chaired by Lead Independent Director, is responsible for overseeing sustainability strategies and goals including providing guidance to management and monitoring progress against achieving the goals of any sustainability initiatives in 2022. It is supported by the Group Sustainability Office and various work teams to drive continued progress and improvement in the areas of ESG. The work teams comprise representatives from CLI business units and corporate functions. This governance is cascaded from the Group level to CLMT level through the operations of CapitaLand's EHS Committee and the newly established sustainability department on CLMT level.

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

STRATEGY

As a CLI-sponsored REIT, CLI's identified ESG issues have been deemed to be material and applicable to CLMT's business operations. The selection of these issues will be guided by CLI's regular review, assessment and feedback process in relation to ESG topics.

Since 2016, climate change and emissions reduction are one of the key ESG material issues identified as relevant and critical for CLMT and CLI. This has been confirmed with this year's CLI ESG factors materiality review. Climate change risk has also been identified as a key risk as part of the ERM Framework and includes both physical and transition risks. Physical risks are a result of climate change and can be acute or chronic in climate patterns, such as rising sea levels, violent storms, long intense heat waves, flash floods and freshwater depletion. Transition risks result from a transition to a lower-carbon economy, which could entail potentially more stringent regulations and increased expectations from customers and stakeholders.

In line with CLI, the Manager's strategy to identify and address climate-related risks and opportunities spans all areas of its real estate life cycle, from the earliest stage of the investment process, to design, procurement, construction, operations and redevelopment or divestment.

- All new investments into operational assets and development projects undergo the EHS Impact Assessment during due diligence to identify any environmental (including climate change) risks and opportunities related to the asset/project site and its surroundings. The assessment covers performance metrics such as energy efficiency, as well as transition and physical risks and opportunity considerations. Significant findings from the assessment would be incorporated in the investment paper submitted to CLMT's Board for approval.
- Through the implementation of CLI's Sustainable Building Guidelines (SBG), the aim is to identify and address the risks and opportunities of climate change right from the design stage. The local context of each project is studied in detail, and appropriate measures are taken into consideration with regards to adaptation of climate change. SBG also sets guidelines for buildings to be more energy efficient, e.g. setting green rating targets, specifying minimum equipment efficiency, and requiring the use of onsite renewable energy whenever possible.
- At the operational asset level, the CLI Environment, Health and Safety Management System (EHSMS), which is audited by a third-party accredited certification body to ISO 14001 standard, serves to monitor transition risks relating to climate regulations via EHS legal registers updates and regular stakeholder engagements. Operational issues pertaining to climate change, energy and water are also identified and managed through the EHSMS to strengthen the climate resilience of the portfolio.
- The CapitaLand 2030 Sustainability Master Plan further outlines the targets and pathways for transition to a low-carbon business that is aligned with climate science. Energy use and carbon reduction targets, as well as green certification targets are set for its operational assets. Initiatives are put in place to improve the environmental performance, resilience and durability of its assets through system upgrades, system optimisation, effective maintenance and changes to user behaviour. The continued achievement of high green building ratings as well as energy and water efficiency measures put in place to achieve the reduction targets would help to mitigate the impact of changing weather conditions.

As part of the 2030 Sustainability Master Plan formulation, CLMT generally considers medium term time frames to be until 2030, and long term beyond 2030 in relation to the identification of climate-related risks and opportunities.

CLI and its REITs, including CLMT, commenced its climate scenario analysis in 2022 for its global portfolio to understand how the identified climate-related risks and opportunities could impact future operations. This analysis considers scenarios based on the latest global and scientific developments (scenarios from 1.5°C to 3°C for current to long-term time frames), to draw conclusions on the financially material physical and transition risks and validate the current strategy. CLI and the REITs will then review their mitigation and adaptation plans, and identify opportunities, in alignment with CapitaLand's 2030 Sustainability Master Plan. The Plan was designed to build resilience throughout CLI's operations and futureproof CLI's real estate portfolio to guard against climate change risks and to avoid premature obsolescence and adopt available opportunities.

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

Scenario analysis on future climate-related risks and opportunities

The climate scenario analysis for CLI's global portfolio considered the parameters listed below:

Key physical risk scenarios	NGFS ¹ 1.5°C Orderly NGFS 2°C Orderly NGFS 3°C Hot House World (NDC ²)
Key transition risk and opportunities scenarios	CRREM ³ 1.5°C CRREM 2°C NGFS 3°C SSP2 ⁴ Hot House World
Geographical coverage	All assets* within operating regions
Time horizon	2050, 2100

* As of 31 December 2022; Malaysia for CLMT

The analysis includes both quantitative and qualitative assessments. The quantitative assessments of potential financial impacts are being conducted based on available climate-related projections and assumptions under the abovementioned scenarios. Six physical risks, including fluvial flooding, coastal flooding, extreme heat, tropical cyclones, wildfires and extreme cold and one transition risk, shifts in carbon price, were assessed during the process. For other risk areas which are identified to be material, but difficult to quantify, such as changes in consumer and investor preferences, a qualitative assessment is conducted based on internal stakeholder consultation within CLI and CLMT.

Potential impacts of climate-related risks and opportunities assessed across the portfolio are identified under different scenarios, as shown in Table 1 and 2. CLMT faces more exposure to physical risks under the 3°C scenario in the long term, as minimal transition policies are expected to be in place while the development of low-carbon technology or related market changes may be slower. Under the 1.5°C and 2°C scenarios, CLMT faces higher levels of transition risks as more stringent climate-related policies are expected to be introduced and implemented.

The insights on both quantitative and qualitative assessments of the material risks identified provide a basis for the next steps in understanding the severity of risk impacts across time horizons.

Table 1: Material physical risks assessed under the 3°C scenario for CLMT's portfolio in Malaysia

Risk type	Primary risk driver	Potential impacts
Fluvial flooding	Water level rise of the river could occur due to excessive rain or snowmelt, leading to losses from assets located in high flood risk zones	• Increase in assets exposed to growing severity of river floods • Increase in operating costs (e.g. repair costs, business interruption)
Coastal flooding	Properties in coastal areas may be exposed to steady and continuous sea level rise	• Increase in assets exposed to coastal flooding • Increase in capital expenditures to construct coastal defense and flood control infrastructure
Extreme heat	Hot days and extreme heat could become more common and/or severe	• Increase in cooling demand leading to higher electricity costs
Tropical cyclones	Properties may face more frequent and severe tropical cyclone	• Higher chance of damage to specific asset locations that are tropical cyclone-prone • Increase in operating costs (e.g. business interruption)
Wildfires	Risk of wildfires could increase in extremely dry conditions, such as drought, and during high winds	• Increase in assets exposed to wildfires • Increase in operating costs (e.g. filtration demand, business interruption)

¹ The Network of Central Banks and Supervisors for Greening the Financial System (NGFS)

² Nationally Determined Contributions (NDC)

³ Carbon Risk Real Estate Monitor (CRREM)

⁴ Shared Socioeconomic Pathways (SSP)

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

Table 2: Material transition risks and opportunities under the 1.5°C scenario for CLMT's portfolio in Malaysia

Risk type	Primary risk / opportunity driver	Potential impacts
Shifts in carbon prices	Carbon emissions are being priced through taxation or emissions trading schemes	• Increase in operational costs associated with carbon pricing
Changes in regulator expectations	Regulators with more stringent policies and regulations around climate change for the buildings industry	• More comprehensive disclosures expected on climate change actions and metrics
Changes in customer expectations	Consumer preferences could change and shift towards greener buildings	• Increase in number of tenants seeking for assets with high-performing green credentials
Shifts in electricity prices	Growing adoption of renewable energy could drive changes in electricity costs	• Increase in capital investment in renewable energy • Fluctuations in operating costs from electricity price variability
Use of new technologies	Investment in technologies for improving energy and water	• Reduced exposure to increase in carbon price, electricity price and water price • Reduction in operating costs
Increased demand for green products and services	Shift in consumer preferences and development of low emissions goods and services	• Increase in revenue by tapping on the green rental premium created by increased demand for sustainable buildings • Increase in asset value for low carbon buildings

As an ongoing process, CLI and CLMT will review and update, if appropriate, the processes associated with risk management in order to account for the material environmental and climate-related risks identified.

RISK MANAGEMENT

CLMT conducts an annual Trust-wide Risk and Control Self-Assessment (RCSA) exercise that requires business units and corporate functions to identify, assess and document material risk which includes ESG relevant risks, along with their key controls and mitigating measures. Material risks and their associated controls are consolidated and reviewed at the REIT level before they are presented to the Manager's Audit Committee and the Manager's Board. This exercise is based on CLI's annual Group-wide RCSA exercise, review of the Risk Appetite Statement and Key Risk Indicator on Climate Change and Environmental Risk. Such climate-related risks and opportunities are identified and mitigated through CapitaLand's ERM framework, and its externally certified ISO 14001 Environmental Management System (EMS).

CLMT's risk management process to address its key risks and uncertainties, including climate change, is discussed further in the Annual Report, Enterprise Risk Management on page 105.

Climate-related risks and opportunities are identified and mitigated through CLI's ERM Framework. CLMT prioritises material ESG issues based on the likelihood and potential impact of the issues affecting business continuity and development. Notably, CLMT is cognisant of the risk posed by existing and emerging regulatory requirements with relation to climate change as it is outlined in CapitaLand's ERM Framework as a transition climate change risk. Some of these risks include:

- Regulatory or compliance risk, prompted by certain regulations in the countries of operation. These include but are not limited to the Environmental Risk Management Guidelines introduced by the Monetary Authority of Singapore (MAS) in 2020 requiring financial institutions and asset managers to place greater emphasis on both physical and transition environmental risks; and the Singapore Stock Exchange mandate introduced in December 2021 that all issuers must provide climate reporting that is aligned to the recommendations of the TCFD on a 'comply or explain' basis in their sustainability reports from the financial year commencing 2024 for the materials and buildings industry. Even though these regulations would not cover the activities of CLMT, the REIT is referring to them as best market

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

practice. With this, CLMT will be in a better position to work towards adopting stretch recommendations that are fully aligned with TCFD disclosures by end 2024 that are expected of financial institutions regulated by Bank Negara Malaysia.

- Market risks, including shifts in carbon and electricity prices, or customer expectations, prompted by the conclusions of conferences such as COP27 in November 2022, where it was further stressed that urgent action is needed to combat global warming, and this can only be done through global action from governments and businesses. Other developments, such as Malaysia's aim to achieve carbon neutrality by 2050 at the earliest, are also monitored by CLMT as they affect the day-to-day operations and practices of the REIT.

Physical risks are observed through the regular monitoring of incidents across the portfolio, for example cases of floods. In 2020, CLI had conducted a global portfolio baseline study to better understand its portfolio's physical climate risk in relation to floods. This included insights into whether properties were located in low lying plains, encountered flooding in previous years, had equipment located in the basement, and had exposure to other flood risks. Globally, most of CLI's properties already have flood control features/measures in place, such as flood barriers, sensors, water level pumps and flood emergency response plans.

Through CLI's ERM Framework and the implementation of the EHS Impact Assessment for all new investments, certain physical risks are prioritised e.g. floods are highlighted in the due diligence reports and plans to integrate climate change resilience and adaptation considerations into the design, development and management of its properties. To further strengthen climate resilience to flood risk, CLMT, through CLI regularly engages its operation teams to ensure flood emergency response plans are implemented across its portfolio.

METRICS & TARGETS

At the Group level, CLI has tracked and reduced the carbon emissions of its managed and owned operational properties, including those of CLMT, via its cloud-based Environmental Tracking System. All related metrics have been regularly disclosed in CLI's annual Global Sustainability Report. Since 2010, CapitaLand has been disclosing Scope 1, 2 and 3 GHG emissions of its global portfolio and the data has been externally assured.

Furthermore, in 2022, the Group had their carbon emissions reduction targets approved by the Science Based Targets initiative (SBTi) for a 1.5°C scenario. This target is in line with the goals of the Paris Agreement to keep global temperature rise to 1.5°C in this century. CLI has also committed to Net Zero by 2050 for its Scope 1 and 2 emissions, which includes CLMT's assets. Please refer to the CLI Global Sustainability Report 2022 which will be published by May 2023.

For the full financial year (FY) of 2022, Direct Scope 1 carbon emissions for CLMT portfolio is minimal and thus not disclosed. Indirect Scope 2 carbon emissions amounted to 37,637 tCO₂e. Carbon intensity was 8.3kgCO₂e/m² per month. Overall carbon intensity (tCO₂e/m²) for indirect Scope 2 carbon emissions was reduced by 25% from the 2009 baseline, which contributes towards the CLI Group's carbon emissions reduction targets. To calculate its carbon emissions, CLMT takes guidance from the operational control approach as defined by the GHG Protocol Corporate Standard, in line with the Group. For more information, please refer to page 119.

Aligned with CLI, CLMT has set sustainability and climate-related performance metrics and targets that are linked to the remuneration policies for members of senior management, such as the Balance Scorecard (BSC) framework for FY 2022 which had included both quantitative and qualitative targets relating to climate change.

CLI has implemented a shadow internal carbon price since 2021 to account for climate-related risks and opportunities for its new investments.

CLI will continue to explore new metrics to measure climate-related risks and opportunities which CLMT will assess and adopt where relevant for its portfolio.

Statistics of Unitholdings

As at 2 February 2023

Issued and Fully Paid Units	2,206,935,495 units (voting rights: 1 vote per unit)
Public Spread	As at 2 February 2023, the public unitholding spread of CLMT was 60.50% ¹

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	395	4.12	7,531	0.00
100 – 1,000	1,427	14.90	876,599	0.04
1,001 – 10,000	4,374	45.67	22,449,241	1.02
10,001 – 100,000	2,810	29.34	92,381,626	4.18
100,001 – less than 5% of issued units	568	5.93	580,656,651	26.31
5% and above the issued units	4	0.04	1,510,563,847	68.45
Total	9,578	100.00	2,206,935,495	100.00

THIRTY (30) LARGEST UNITHOLDERS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	797,447,041	36.13
2	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD	246,052,406	11.15
3	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM BUMIPUTERA	236,467,200	10.71
4	KUMPULAN WANG PERSARAAN (DIPERBADANKAN)	230,097,200	10.43
5	MENANG INVESTMENT LIMITED	74,121,107	3.36
6	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 2 - WAWASAN	57,200,000	2.59
7	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (AHAM AM)	52,213,592	2.37
8	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA	49,802,800	2.26
9	CITIGROUP NOMINEES (TEMPATAN) SDN BHD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	29,165,900	1.32
10	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 3	19,952,900	0.90
11	AMANAHRAYA TRUSTEES BERHAD PUBLIC SMALLCAP FUND	15,107,534	0.68

Statistics of Unitholdings

As at 2 February 2023

THIRTY (30) LARGEST UNITHOLDERS (CONTINUED)

No	Name of Unitholder	Holdings	%
12	CITIGROUP NOMINEES (ASING) SDN BHD CBNY FOR DFA INTERNATIONAL REAL ESTATE SECURITIES PORTFOLIO OF DFA INVESTMENT DIMENSIONS GROUP INC	13,324,111	0.60
13	AMANAHRAYA TRUSTEES BERHAD AMANAH SAHAM BUMIPUTERA 2	11,465,000	0.52
14	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN EQUITY 3	8,543,900	0.39
15	AREA STAR SDN BHD	7,513,007	0.34
16	AMANAHRAYA TRUSTEES BERHAD ASN IMBANG (MIXED ASSET BALANCED) 1	5,479,800	0.25
17	CGS-CIMB NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR YEOH KOK SAN (BSDM-CL)	5,394,762	0.24
18	CITIGROUP NOMINEES (ASING) SDN BHD EXEMPT AN FOR OCBC SECURITIES PRIVATE LIMITED (CLIENT A/C-NR)	5,196,858	0.24
19	HSBC NOMINEES (TEMPATAN) SDN BHD HSBC (M) TRUSTEE BHD FOR ZURICH LIFE INSURANCE MALAYSIA BERHAD (NP-OTHER-REITS)	4,877,500	0.22
20	LIM SUAN	4,831,271	0.22
21	HSBC NOMINEES (TEMPATAN) SDN BHD HSBC (M) TRUSTEE BHD FOR ZURICH LIFE INSURANCE MALAYSIA BERHAD (LIFE PAR)	3,984,800	0.18
22	REMARKABLE VENTURES SDN BHD	3,970,000	0.18
23	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (AHAM AM EQ)	3,920,370	0.18
24	KENANGA NOMINEES (TEMPATAN) SDN BHD RAKUTEN TRADE SDN BHD FOR TONG SEECH WI	3,812,214	0.17
25	HSBC NOMINEES (ASING) SDN BHD SBL EXEMPT AN FOR J.P. MORGAN SECURITIES PLC	3,640,768	0.16
26	HLB NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR TAN CHOON BENG	3,549,696	0.16
27	PUBLIC NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR HONG HO AIK (E-PTS)	3,539,277	0.16
28	PUBLIC NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR CHANG SOON KOON (E-JBU)	3,525,544	0.16
29	CITIGROUP NOMINEES (ASING) SDN BHD CB SPORE GW FOR GOVERNMENT OF SINGAPORE (GIC C)	3,114,900	0.14
30	CARTABAN NOMINEES (ASING) SDN BHD SSBT FUND J724 FOR SPDR S&P EMERGING MARKETS ETF	2,764,305	0.13
Total		1,910,075,763	86.54

Statistics of Unitholdings

As at 2 February 2023

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr Lui Chong Chee	Non-Executive Independent Director	Singaporean	–	–	–
Mr Tan Choon Siang	Executive Non-Independent Director	Singaporean	–	–	–
Mr Foo Wei Hoong	Non-Executive Independent Director	Malaysian	–	–	–
Mr Tan Boon Peng	Non-Executive Independent Director	Malaysian	–	–	–
En Mohd Yusof bin Hussian	Non-Executive Independent Director	Malaysian	66,624	–	66,624
Ms Tan Ming-Li	Non-Executive Independent Director	Malaysian	–	–	–
Mr Yap Neng Tong	Non-Executive Non-Independent Director	Singaporean	–	–	–
Mr Lim Cho Pin Andrew Geoffrey	Non-Executive Non-Independent Director	Singaporean	–	50,484	50,484
Total			66,624	50,484	117,108

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	797,447,041	–	797,447,041	36.13
2	Employees Provident Fund Board	–	246,052,406	298,265,998	13.52
	Employees Provident FD BD (AFFIN HWG) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>		52,213,592		
3	Amanah Saham Bumiputera Registered with: <i>AmanahRaya Trustees Berhad</i>	–	236,467,200	236,467,200	10.71
4	Kumpulan Wang Persaraan (Diperbadankan)	230,097,200	–	234,017,570	10.60
	Kumpulan Wang Persaraan (Diperbadankan) (AHAM Equity Fund) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>	–	3,920,370		
Total		1,027,544,241	538,653,568	1,566,197,809	70.96

Notice of Annual General Meeting

CAPITALAND MALAYSIA TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

NOTICE IS HEREBY GIVEN that the Annual General Meeting (“**AGM**”) of the holders of units (“**Units**”) (“**Unitholders**”) of CapitaLand Malaysia Trust (“**CLMT**”) will be held on a virtual basis through live streaming via Remote Participation and Electronic Voting facilities from the broadcast venue (“**Broadcast Venue**”) at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor on Wednesday, 29 March 2023 at 10.00 a.m. to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad, as trustee of CLMT (the “**Trustee**”), the report by CapitaLand Malaysia REIT Management Sdn. Bhd., as manager of CLMT (the “**Manager**”), and the Audited Financial Statements of CLMT for the financial year ended 31 December 2022 and the Auditors’ Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolutions:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD (“PROPOSED AUTHORITY 1”)** **Ordinary Resolution 1**

“**THAT** pursuant to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (“**Bursa Securities**”), provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CLMT (“**New Units**”) from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, **PROVIDED THAT** the aggregate number of New Units issued pursuant to this resolution, when aggregated with the number of units in CLMT issued during the preceding 12 months, must not exceed 20% of the total number of units issued in CLMT for the time being:

AND THAT the Proposed Authority 1 shall be effective and continue to be in force from the date of receipt of all relevant authorities’ approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority 1 is revoked or varied by the Unitholders in a Unitholders’ meeting,

whichever occurs first (“**Validity Period**”);

AND THAT the New Units to be issued pursuant to the Proposed Authority 1 shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

Notice of Annual General Meeting

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CLMT, to give effect to the aforesaid Proposed Authority 1 with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CLMT and its Unitholders and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CLMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority 1.”

(Please see Explanatory Note 1)

3. **PROPOSED RENEWAL OF UNIT BUY-BACK AUTHORITY TO REPURCHASE UP TO TEN PERCENT (10%) OF THE TOTAL NUMBER OF UNITS ISSUED (“PROPOSED RENEWAL OF UNIT BUY-BACK MANDATE”)** **Ordinary Resolution 2**

“**THAT** subject to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (“**Bursa Securities**”) (“**Listing Requirements**”), provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021), and any prevailing laws, guidelines, rules and regulations issued by the relevant authorities, the Board of the Manager shall be authorised to repurchase the Units in CLMT for and on behalf of CLMT through Bursa Securities, subject to the following:

- (a) the aggregate number of Units in CLMT which may be repurchased shall not exceed ten percent (10%) of the total number of Units issued at the time of purchase and the compliance with the public unitholding spread requirements as stipulated under the Listing Requirements;
- (b) the maximum funds to be allocated by CLMT for the purpose of repurchasing the Units shall not exceed the aggregate of the retained profits of CLMT based on the latest audited financial statements of CLMT available at the time of purchase;
- (c) the authority conferred by this resolution shall be effective and continue to be in force from the date the Unitholders pass this resolution, whichever may be the later, until:
 - (i) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
 - (ii) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
 - (iii) the authority is revoked or varied by the Unitholders in a Unitholders’ general meeting,

whichever occurs first;

THAT where the Manager has repurchased the Units, the Board shall cancel the Units so repurchased immediately.

AND THAT authority be and is hereby given to the Board of the Manager, for and on behalf of CLMT, to sign and execute all documents, and do all acts and things as may be required for or in connection with and to give effect to, and to implement the Proposed Renewal of Unit Buy-Back Mandate with full power to do all such acts as they may consider necessary or expedient in the best interest of CLMT and its Unitholders so as to give full effect to the same with further power to assent to any condition, modification, variation and/or amendment as may be required or imposed by the relevant authorities.”

(Please see Explanatory Note 2)

Notice of Annual General Meeting

4. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO THE DISTRIBUTION REINVESTMENT PLAN THAT PROVIDES THE UNITHOLDERS OF CLMT AN OPTION TO REINVEST THEIR CASH DISTRIBUTION INTO NEW UNITS (“PROPOSED AUTHORITY 2”)**

Ordinary
Resolution 3

“**THAT** pursuant to the Distribution Reinvestment Plan (“DRP”) established at the deferred AGM of CLMT held on 19 June 2020 and as approved by the Unitholders at the AGM of CLMT held on 30 March 2022, provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue New Units (“**DRP New Units**”) from time to time as may be required to be allotted and issued pursuant to the DRP, upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, **PROVIDED THAT** the issue price shall not be more than 10% discount to the volume weighted average market price (“**VWAMP**”) of the Units for the five (5) market days immediately preceding the price-fixing date. The VWAMP shall be adjusted ex-distribution(s) before applying the aforementioned discount AND **THAT** such authority to allot and issue New Units shall continue to be in force until the conclusion of the next AGM of CLMT.

THAT the New Units shall, upon allotment and issue, rank equally in all respects with the existing Units in issue, save and except that the holders of the DRP New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment of the DRP New Units issued pursuant to the DRP.

AND THAT authority be and is hereby given to the Board to do all such acts and things and enter into all such transactions, arrangements and agreements and to execute, sign and deliver for and on behalf of CLMT, all such documents and impose such terms and conditions or delegate all or any part of its powers as they may consider necessary or expedient in order to give full effect to the Proposed Authority 2 and DRP, with full power to assent to any condition, modification, variation and/or amendment including amendment, modification, suspension and termination of the DRP (irrespective of whether an election to exercise the distribution reinvestment has been made by the Unitholders), as the Board may, in their absolute discretion, deem fit and in the best interest of CLMT and its Unitholders and/or as may be imposed or agreed to by any relevant authorities.”

(Please see Explanatory Note 3)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA REIT MANAGEMENT SDN. BHD.

(Registration No. 200801018055 (819351-H))
as Manager of CapitaLand Malaysia Trust

Teo Soh Fung (SSM PC No.: 202008001818) (MAICSA No. 7046614)
Teo Mee Hui (SSM PC No.: 202008001081) (MAICSA No. 7050642)
Company Secretaries

Kuala Lumpur

28 February 2023

ENCLOSURES:

1. **Explanatory Notes**
2. **Proxy Form**

cc : MTrustee Berhad
Securities Commission Malaysia

Notice of Annual General Meeting

NOTES:

1. The Broadcast Venue is strictly for the purpose of complying with Section 327(2) of the Companies Act 2016 which requires the Chairman of the meeting to be present at the main venue of the meeting. Unitholders **WILL NOT BE ALLOWED** to attend this AGM in person at the Broadcast Venue on the day of the AGM. Unitholders are to participate, speak (including posing questions to the Board via real time submission of typed texts) and vote (collectively, “**participate**”) remotely at this AGM via the Remote Participation and Electronic Voting facilities (“**RPEV**”) provided by Boardroom Share Registrars Sdn Bhd via its website at <https://investor.boardroomlimited.com>. **Please read these Notes carefully and follow the procedures in the Administrative Details for the AGM which will be made available on the corporate website at www.clmt.com.my in order to participate remotely.**
2. Only Unitholders whose names appear in the Record of Depositors on 23 March 2023 are entitled to participate and vote at the AGM or appoint proxy to participate and vote instead of him.
3. Any Unitholder entitled to participate at the AGM may appoint up to two (2) proxies to participate at the AGM and vote in the Unitholder’s place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one (1) proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two (2) proxies (whether a Unitholder or not).
4. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolutions shall be put to vote by way of a poll.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two (2) proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
6. Where a Unitholder appoints two (2) proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
7. If the Proxy Form is submitted in hard copy, it must be in writing under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorised officer or attorney duly authorised by a valid instrument.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator office, Boardroom Share Registrars Sdn Bhd at 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://investor.boardroomlimited.com> (“eProxy Lodgement”), not less than 48 hours before the time appointed for holding the AGM or any adjournment thereof; in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.

Notice of Annual General Meeting

PERSONAL DATA PRIVACY:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to participate and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and MTrustee Berhad (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and MTrustee Berhad (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the "**Purposes**"), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and MTrustee Berhad (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and MTrustee Berhad (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and MTrustee Berhad in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

EXPLANATORY NOTES:

1. Ordinary Resolution 1 – Proposed Authority 1

The Proposed Ordinary Resolution 1, if passed, would enable the Manager to allot and issue New Units from time to time provided that the aggregate number of the New Units to be issued during the Validity Period, when aggregated with the number of units issued during the preceding 12 months must not exceed 20% of the total number of units issued in CLMT for the time being.

The Proposed Authority 1 will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CLMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority 1, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

Any allotment and issuance of New Units pursuant to the Proposed Authority 1 will be subject to the relevant approvals of Securities Commission Malaysia and Bursa Malaysia Securities Berhad.

2. Ordinary Resolution 2 – Proposed Renewal of Unit Buy-Back Mandate

Unitholders are advised to refer to the Statement to Unitholders dated 28 February 2023, which is available on CLMT website at www.clmt.com.my for further information.

3. Ordinary Resolution 3 – Proposed Authority 2

The Proposed Authority 2, if passed, will give authority to the Board of the Manager to allot and issue the DRP New Units pursuant to the DRP upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, and such authority shall expire at the conclusion of the next Annual General Meeting of CLMT.

CAPITALAND MALAYSIA TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

Proxy Form

Annual General Meeting

IMPORTANT:**Personal Data Privacy**

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 28 February 2023.

I/We, _____ (Name(s) and NRIC no./Passport no./Company

Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Trust ("CLMT"), hereby appoint:

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			
Email Address:		Tel No.:	

and/or (delete as appropriate)

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			
Email Address:		Tel No.:	

or, failing whom, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf at the Annual General Meeting of CLMT ("AGM") to be held on a virtual basis through live streaming via Remote Participation and Electronic Voting facilities from the broadcast venue ("**Broadcast Venue**") at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor, and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolutions to be proposed at the AGM as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the AGM.

No.	Ordinary Resolution:	For*	Against*
SPECIAL BUSINESS			
1	Proposed Authority 1		
2	Proposed Renewal of Unit Buy-Back Mandate		
3	Proposed Authority 2		

* If you wish to exercise all your votes "For" or "Against", please tick [v] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2023

Total number of Units held

Signature(s) of unitholder(s) / Common Seal[^]

[^] Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Poll Administrator together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

BOARDROOM SHARE REGISTRARS SDN BHD

11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan, Malaysia

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

NOTES TO PROXY FORM:

1. The Broadcast Venue is strictly for the purpose of complying with Section 327(2) of the Companies Act 2016 which requires the Chairman of the meeting to be present at the main venue of the meeting. Unitholders **WILL NOT BE ALLOWED** to attend this AGM in person at the Broadcast Venue on the day of the AGM. Unitholders are to participate, speak (including posing questions to the Board via real time submission of typed texts) and vote (collectively, "participate") remotely at this AGM via the Remote Participation and Electronic Voting facilities ("RPEV") provided by Boardroom Share Registrars Sdn Bhd via its website at <https://investor.boardroomlimited.com>. **Please read these Notes carefully and follow the procedures in the Administrative Details for the AGM which will be made available on the corporate website at www.clmt.com.my in order to participate remotely.**
2. Only Unitholders whose names appear in the Record of Depositors on 23 March 2023 are entitled to participate and vote at the AGM or appoint proxy to participate and vote instead of him.
3. Any Unitholder entitled to participate at the AGM may appoint up to two (2) proxies to participate at the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one (1) proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two (2) proxies (whether a Unitholder or not).
4. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolutions shall be put to vote by way of a poll.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two (2) proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
6. Where a Unitholder appoints two (2) proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
7. If the Proxy Form is submitted in hard copy, it must be in writing under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorized officer or attorney duly authorised by a valid instrument.

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8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator office, Boardroom Share Registrars Sdn Bhd at 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://investor.boardroomlimited.com> ("eProxy Lodgement"), not less than 48 hours before the time appointed for holding the AGM or any adjournment thereof; in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.

PERSONAL DATA PRIVACY:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak (including posing questions to the Board via real time submission of typed texts) and vote at the virtual AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the Purposes), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

GENERAL

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors as at 23 March 2023.

Corporate Information

REGISTERED ADDRESS

MTrustee Berhad

(Registration Number:
198701004362 (163032-V))
B-2-9 (2nd Floor),
Pusat Perdagangan Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Telephone No.: +60 3 7983 1088
Facsimile No.: +60 3 7984 9612

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CLMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad

(Registration Number:
198701004362 (163032-V))

Business Address

Level 15, Menara AmFirst
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7954 6862
Facsimile No.: +60 3 7954 3712

MANAGER

CapitaLand Malaysia REIT Management Sdn. Bhd.

(Registration Number:
200801018055 (819351-H))
**Manager's Registered Office /
Principal Place of Business**
Unit No. 1-27, Level 27,
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Website

www.clmt.com.my

BOARD OF DIRECTORS OF THE MANAGER

Mr Lui Chong Chee

Chairman and Non-Executive
Independent Director

Mr Tan Choon Siang

Chief Executive Officer and
Executive Non-Independent
Director

Mr Foo Wei Hoong

Non-Executive Independent
Director

Mr Tan Boon Peng

Non-Executive Independent
Director

Encik Mohd Yusof bin Hussian

Non-Executive Independent
Director

Ms Tan Ming-Li

Non-Executive Independent
Director

Mr Yap Neng Tong

Non-Executive Non-Independent
Director

Mr Lim Cho Pin Andrew Geoffrey

Non-Executive Non-Independent
Director

Executive Committee

Mr Yap Neng Tong (Chairman)
Mr Lim Cho Pin Andrew Geoffrey
Mr Tan Choon Siang

Audit Committee

Mr Foo Wei Hoong (Chairman)
Encik Mohd Yusof bin Hussian
Ms Tan Ming-Li

Nominating and Remuneration Committee

Mr Tan Boon Peng (Chairman)
Mr Lui Chong Chee
Mr Yap Neng Tong

COMPANY SECRETARIES OF THE MANAGER

Teo Soh Fung

(SSM PC No.: 202008001818)
(MAICSA 7046614)
Unit No. 1-27, Level 27
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur

Teo Mee Hui

(SSM PC No.: 202008001081)
(MAICSA 7050642)
10th Floor, Menara Hap Seng
No. 1 & 3, Jalan P. Ramlee
50250 Kuala Lumpur

AUDITORS

KPMG PLT

(Firm No: LLP0010081-LCA &
AF0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Ms Ow Peng Li

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Registration Number:
197101000970 (11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite Avenue 3
Bangsar South No. 8 Jalan
Kerinchi
59200 Kuala Lumpur, Malaysia
Telephone No.: +60 3 2783 9299
Facsimile No.: +60 3 2783 9222

PROPERTY MANAGERS

Knight Frank Property Management Sdn. Bhd.

(Registration Number:
201601040834 (1211775-H))
Suite 10.01, 10th Floor
Centrepont South, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

Zaharin Nexcap Property Consultants Sdn. Bhd.

(Registration Number:
201401017278 (1093365-D))
Suite 23-5, Oval Tower Damansara
Menara Permata Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Telephone No.: +60 3 7733 2122
Facsimile No.: +60 3 7733 2103

PRINCIPAL BANKERS

Affin Bank Berhad
Alliance Bank Malaysia Berhad
CIMB Bank Berhad
HSBC Bank Malaysia Berhad
Malayan Banking Berhad
Public Bank Berhad
RHB Bank Berhad
United Overseas Bank
(Malaysia) Bhd

